Manappuram Finance Ltd. (MANAPPURAM)

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BSE Limited
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Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Sir / Madam,

Sub: Concall Transcript of the Q1 Results Conference Call held on 04.08.2022
Ref: Ref: SEC/SE/126/22 -23 dated 30th July, 2022

With reference to the above, kindly take on record the concall transcript of Q1 Results Conference Call held on 04.08.2022 . The same h ad been updated in compan y's websit e also.

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Thanking You.

Yours Faithfully,
For Manappuram Finance Limited

Manoj Kumar V.R.
Company Secretary
Ph: +91 9946239999

"Manappuram Finance Limited
Q1 FY 2 3 Earnings Conference Call "

August 04 , 202 2

MANAGEMENT : MR. V. P. NANDAKUMAR , MD AND CEO, MANAPPURAM FINANCE LIMITED
MS. BINDU A. L. - CFO, MANAPPURAM FINANCE LIMITED
MR. B. N. RAVEENDRA BABU - MD, ASIRVAD MICROFINANCE LIMITED
MR. RAJESH NAMBOODIRIPAD - CFO, ASIRVAD MICROFINANCE LIMITED
MR. K SENTHIL KUMAR - HEAD VEHICLE AND EQUIPMENT FINANCE , MANAPPURAM FINANCE LIMITED

MR. SUVEEN P. S. - CEO, MANAPPURAM HOME FINANCE
MR. BIKASH KUMAR MISHRA - CFO, MANAPPURAM HOME FINANCE
MODERATOR: MS. SHWETA DAPTARDAR – ELARA SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Manappuram Finance Q1 FY'23 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participants lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concl udes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

 I now hand the conference over to Shweta Daptardar from Elara Securities. Thank you, and over to you, ma'am.

Shweta Daptardar : Thank you, Kathy. Good evening, everyone. On behalf of Elara Capital, we welcome you all to the earnings conference call of Manappuram Finance Limited to discuss the Q1 FY'23 performance. From the esteemed management, we have with us today Mr. V. P. Nandakumar, MD and CEO; Ms. Bindu A.L :, CFO; Mr. B N Raveendra Babu, MD Asirvad Microfinance Limited; Mr. Rajesh Namboodiripad, CFO Asirvad Microfinance Limited; Mr. K Senthil Kumar, Head Vehicle and Equipment Finance; Mr. Suveen P.S., CEO, Manappuram Home Finance; Mr. Bikash Kumar Mishra, CFO Manappuram Home Finance.

Without further ado , I now hand over the call to Mr. Nandakumar for his opening comments post which we can open the floor for Q&A. Thank you, and over to you, sir.

V.P. Nandakumar: Thank you, Shweta. Good evening, ladies and gentlemen. Welcome to our Q1 FY'23 conference call. In our last concall, I made a reference to the rather uneven recovery of the economy and its impact on our growth. We have now been able to see a momentum picking up and we hope to capitalize on the upbeat mood in the coming quarter.

However, a discussion of the macroeconomics scenario has to take note of the intense specul

ation about a possible downturn in t he U.S. economy, its global impacts and the concerns on the rupee exchange rates. But going by result indicators there is every likelihood that India will be able to tame the external headwinds and come out of this phase as an outlier. In an important deci sion, that came on July 1st, The Central Bank hiked the customs duty of gold from 7.5% to 12.5% to create more fiscal headroom and we don't foresee any negative impact on gold prices or the gold loan business. Rural India shows good promise with tractor sa les going up, and the digital penetration reaching unprecedented level s, even though the inflation is slowing down the recovery process to an extent.

In the last con call, I also talked about competition among NBFCs and how we decided to take a more prude nt approach rather than engaging in no n-economical market phenomenon. So , the gold loan portfolio of the company stands at INR 20,471 crore, represent ing a growth of 23.6% when compared with the first quarter FY'22. Overall, the consolidated assets under m anagement has reached INR 30,760 crore, representing an increase of 24.3% over the year ago quarter, and up by 1.6% quarter -on-quarter. The consolidated net profit of

INR 282 crore is an improvement of 8% over the preceding quarter.
 There is more competit ion now in the gold loan sector but we are not unduly worried because there is still a lot of untapped potential.

At Manappuram we believe in long -term growth and not short -term gain. We are really optimistic about long -term prospects of the company 's microfinance subsidiary, Asirvad, which has an AUM of INR 7,013 crore showing a growth of 15.8% year -on-year. The latest guideline by RBI for MFI, especially the removal of the 10% spread cap ha s created a playing field and is expected to expand the market for all players including us.

We have seen maximum growth in the Vehicle Finance business recording 68% increase year -on-year with an AUM of NR1,755 crore. The home loan business asset has reached INR875 crore registering a 3.49% increase over the correspo nding quarter in FY'22 .

MSME and others have increased to INR 1,113 crore as of 30th June 2022.

For a more comprehensive review of our financial performance, I hand the floor to our CFO, Ms. Bindu A.L.

Bindu A.L : Thank you, sir. Good evening, ladies and gentlemen, and thank you all for joining us. Now coming to the operational overview, our consolidated AUM for Q1 FY'23 was INR30,760 crore, up by 1.6% Q-on-Q and up by 24.3 percentage by year -wise. Consolidated profit after tax was INR282 crore for Q1 FY'23, which was up by 8% Q -o-Q. ROE on a consolidated basis was 13% and ROA was 3.3% for the quarter ended June 2022. Our current leverage is currently only 2.8 times.

Our GNPA as on 30th June 2022 is at 1.43 % versus 2.95% during the previous quarter. We are carrying surplus liquidity across all businesses. Cash and cash equivalents on hand on a consolidated basis was INR2,150 crore and undrawn bank line was INR3,195 crore. Our CP exposure is only 1% of total borrowings in the standalone entity. Our ALM is well positioned across all the buckets. Standalone borrowing cost has gone up to 7.47% compared to 7.15% in Q4 FY'22 due to the repo rate hike of 90 basis points.

Talking about the gold loan business, it constitute s 67% of consolidated AUM and the rem aining 33% comprises of microfinance, vehicle, housing and SME finance. Gold loan AUM increased by 1.5 % Q -on-Q and up by 23.6 %, Y -o-Y. Gold loan yield improved to 19.4% in Q1 and thereafter 21.7% in July compared to 18.8% into Q4 FY'22. During the quarte r, we were able to add 4.2 lakh new customers. Gold loan aver

age ticket size and average duration was INR56,272 and 84 days, respectively. Our whole
 standalone PAT was INR290 crore, up by 9.4% Q -on-Q and down by 31.8% Y -o-Y. ROE at 14.4% versus 13.5% is in March 2022. Total number of gold loan customers are 24.5 lakh, with gold loan book at INR20,471 crore. Our weighted average LTV stands at INR3051 per gram or 65% of the gold price, as on 30th June 2022.

Coming to Microfinance, Asirvad AUM stands at INR7, 013 crore, flat Q -o-Q and up by 16% Y -o-Y due to process changes and transition to revise RBI guidelines in April 2022, disbursements were low. Since May 2022 onwards monthly run rate of growth in MFI business is around INR150 crore, at an improved yield o f 24% compared to 20.3% up to March 2022. Our collection efficiency from MFI business at 102% and disbursements during the quarter was INR1,098 crore. In the light of RBI ’s new MFI regulation, we are in the process of building a higher, secured gold loan b ook in Asirvad. The gold loan AUM as on 30th June 2022 in Asirvad stands at INR421 crore. Cumulative ECL provision in Asirvad is INR463 crore, net NPA stands at 1.91%.

Coming to Vehicle Finance business. We have reported an AUM of INR1,755 crore, which is up by 6.8% Q -o-Q and up by 68% Y -o-Y. Collection efficiency for the quarter was 100%. GNPA has come down to 4% from 6.7%.

The Home Loan business has a total book of INR875 crore, which is up by 3.5% Q -o-Q and 30.9% Y -o-Y. This business reported a profit of INR5.2 crore during the quarter. Collection efficiency is at 97%. GNPA is maintained at 5.9%.

Now to MSME and others, INR1,113 crore. Collection efficiency 107% and GNPA at 1.6%. Provisions and write -offs for the standalone entity at INR8.8 crore compa red to only INR23.6 crore in Q4 FY'22. The board declared an interim dividend of INR0.75 for this quarter. Our capital position is strong and the company is well capitalized with a capital adequacy ratio of 31.4%. Consolidated net worth stands at INR8,574 crore [ph], book value at INR1.013.

We can now go for Q&A. Thank you.

Moderator: Thank you very much, madam. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Piran Engineer from CLSA. Pleas e go ahead.

Piran Engineer: Yes. Hi. Thanks for taking my question. So , my first question is, what percentage of the book is still in teaser loan. Hello? Am I audible?

Bindu A.L: Yes Piran. It is around 10% of our book.

 Piran Engineer: And this will mature in 2Q or what? When does this sort of run down?

Bindu A.L: So it will be -- the maturity up to December '22.

Piran Engineer: Okay. And how do we really think about yields going forward? Right now 21.7%. Does it go back to that 25% leve l or does it settle around 22% to 23%?

V.P. Nandakumar: So I hope it will be settled around to 21% to 21.5%.

Piran Engineer: Okay. So, July yields is what is indicative of the future.

V.P. Nandakumar: Yes. Yes. This is indicative of the future , but if rates move further, the reference rates move further and borrowing costs escalate to that exten t it may go up at this level, at the current level even at 50 bps increase in the policy rate. Then I think it will settle somewhere around 21% and 22% maximum.

Piran Engineer: Got it. And sir, second question on your Slide 17 where you talk to Q -o-Q growth of gold loan for the banks, this is only personal gold loan, right? You're not taking --?

Bin

du A.L: The data that we have taken.

V.P. Nanda kumar: It is only personal gold loan.

Bindu A.L: Yes.

Piran Engineer: So, banks you are saying now are becoming less competitive. What about competition within the NBFC space of either the stand -alone gold financers or the multi -product NBFCs wh o also do gold loan? How is competition from them?

V.P. Nandakumar: Look, competition is there for the new product. Competition would be there. What I said is, even though there is competi tion and the competitive landscape may enlarge also, but in Indi a, we have vast custody of gold. And, yes, there is a gold bought in also to the tune of around 800 ton nes to 1000 ton nes annually and that major portion is still going for jewelry, the workhouse of jewelry et cetera. So, when the competition landscape inc reases, widens, the family gold also increases. And so, we can expect competition. Most players will come, but at the same time the possibilities and opportunities are also increasing.

Piran Engineer: No, but I mean, are they more competitive today tha n they w ere six months back or competition has gone down a bit from the n?

V.P. Nandakumar: It is...

Piran Engineer: I understand competition will always be there, but is it more or is it less?

V.P. Nandakumar: See, the competition is similar to what it was six months back. The current situation is, from the lower performance the demand has not come to the level of pre -COVID. So. it is very evident from other segments also that there is lot of small ticket borrowing. Yes, whether it is small tick et borrowing for housing finance or two-wheeler , small cars, so the demand is yet to pick up to the level of pre -COVID. But at the same time, it is showing consistent improvement. Particularly for the gold loan, the demand starts from school re -openings se ason, et cetera. We have seen some demand and the real demand comes when in the agri, sowing season starts. Sowing season starts post monsoon. From September onwards it will start. So we hope, by that time, with the segment where the demand is seen less no w also will catch up.

Piran Engineer: Okay. Okay. And sir, just one other thing that if growth remains sluggish as we are delivering 1% or 2% Q -o-Q, will the industry not again reintroduce teaser loans to gain, to get some growth ticket? Like it you ca n happen again in Diwali, right? Or is that not a possibility?

V.P. Nandakumar : Yes. See, what we look at these, yes, we have also introduced some teaser schemes. Now after doing that, what we feel is, we should always have an eye on the profitability. So with an eye on profitability, we want to give importance to the yield now. So we want to see a stable yield in the sense that it will not go down below 20% to 21%. And within that, what is the growth percent, we feel like it is possible, so we hope here situations will improve.

Another picture for us is, Asirvad coming back particularly in the background of the regulatory changes for removing NIM cap and allowing these companies to up to 25% of the non -NIM portfolio, which we are utilizing to build the gold loan portfolio. That is , we have started that. And overall, it has grown around INR400 crore. I feel like this quarter will have; I mean there will be significant growth there. And other businesses like commercial vehicle finance, MSME finance, these are also showing good rate of growth. So , things are going to improve from here onwards. And the things should come back very soon.

Piran Engineer: Got it. Sir, just lastly. Muthoot got RBI approval to open 150 new branches last month. Any update for u s?

V.P. Nandakumar: So, we are also wai

ting. Yes, we are awaiting that.

Piran Engineer: Okay. Anything more you can share on that front?

V.P. Nandakumar: Yes. They have conducted an inspection and there are some action points which we can do dur ing this quarter and hope once these are completed, we will also get the branch opening permission.

Piran Engineer: Okay. Understood. Thank you, sir and all the best.

V.P. Nandakumar: Okay.

Moderator: The next question is from the line of Sanke t Chheda from B&K Securities. Please go ahead.

Sanket Chheda: Yes. Hi, sir. So, my question was on again, yields. We are seeing that in July yields have moved to 21.7%. And we are saying that moving ahead, it should stay at 20% to 21%. Then how should we look at growth in the gold loan book? What should we aspire for this year going ahead?

V.P. Nandakumar: So yes, so today the growth is flat, but we all hope that the improvement will take place. The improvement will happen when demand from the lower level really catches up. I hope this will catch up soon with the sowing season which will start just after this month. So, we hope thing s will improve from September. So , gold loan is stagnant now. But I see the other segments already growing like commerc ial vehicle segment, MSME segment are showing quality growth. And also, our MFI also will perform well in the coming quarters and I expect , we are able to clear to the pre -COVID portfolio, which is not very significant now. So this will happen in the next two quarters, hopefully, then it will come back to model of around 5% ROA. So, this will significantly support the consolidated balance sheet and P&L.

Sanket Chheda : Okay. So as of now, you are not putting any number on gold or overall AUM go ld loan?

V.P. Nandakumar: No, no. Gold loan, I have said around 10% grow th. You have seen, we could, a figure around less than 2%. So , I have the hope that in the coming quarters, it will pick up. I am not saying the growth will be achieved, it will pick up, this is my hope, whereas in all of the segments, we will achieve a growth much more than 20%.

Sanket Chheda: Okay. Okay. And while sir competitions from banks, you are saying it is the same to what it was at six months back but then are we seeing any compe tition from unorganized space? Are any signs of that shift happening, from unorganized to organized, because now the differential has widened, though we are at 20%, 21% versus 22%
 earlier, the differential has widened. So, are we seeing anything on that fr ont?

Sanket Chheda: So, for the unorganized sector, as well as the NBFCs for renewal, for improving the yield, the demand should come from lower -middle class. Lower middle class in the sense that who borrows an average of INR 1 lakh or below INR 1 lakh . This is a segment which will definitely help us on two things. One, push of the AUM up and also the yield up. That segment this year.

V.P. Nandakumar: To catch up fully. So, this is what I've said early, in this segment across all business, the demand is less. So, post monsoon, I hope things will pick up . We expected that to pick up when those school reopening season starts. There was some growth but after that this year the spend without these lower segment was less, but post - COVID, post monsoon, when they go for purchasing fertilizer, sowing assets et cetera., they have no other way, but to have the working capital and by the time I hope it will catch up. So that the targeted growth would b

e possible in the coming months.

Sanket Chheda: Okay. Sir, and last question from my side. Have we provided anything on contingency on our Assam Expert or they are out of our MFI book or do we see any potential gain out there in the coming quarters?

V.P. Nandakumar: So the collection in MFI segment during the quarter end reached at 102%. So we are able to collect beyond the ability. So, on an average. I am telling on an average. And specifically to Assam we are first of all, we have a small portfolio and we don't have -- we didn't have the portfolio in branches as well, which actually saw a serious recovery problem. So, in Assam also the collection -- our collection saw come back to similar to other states. There is only a marginal decline compared to the neighboring state.

Sanket Chheda: Sure, sir. Those we re the questions from me.

Moderator: The next question is from the line of Alpesh from IIFL Securities. Please go ahead.

Alpesh Mehta: Yes, hi. Good evening, sir. First question is on the Slide Number 18 when I see the 1Q auctions which were at INR 1500 crore, and when I see the 4Q auctions, which are right around INR920 crore. But however, the impact on the yield in March was significantly higher as compared to June in numbers that we have reported in 1Q. What was the specific reason? You have menti oned that there is a one -time auction? What was that exactly and why the loss was relatively less in 1Q of last year?

 Bindu A.L: So, slide 18 you're talking about the yield slide, right?

Alpesh Mehta: Yield slide. Right. Yes, that's right.

Bindu A .L: Yes. So March '22, the yield has come down due to the auction. You were aware...

Alpesh Mehta: What was the exact figure Bindu , what was the auction amount in March, the one -time loss related to that, for the auction?

Bindu A.L: For that, I wi ll come back. It was around INR1,000 crore. Q4 was INR920 crore.

Alpesh Mehta : No, auction for March month, you have mentioned INR618 crore, but there is no specific amount given for the losses related to that.

Bindu A.L: Yes. So overall, there was an impact on the overall yield due to two reasons. One is the low yield product, plus this auction loss. The specific number of auction loss on account of this INR618 crore auction, I will come back to you.

Alpesh Mehta : Okay. And then if I correlate this au ction for 4Q versus 1Q of last year, the yield w as not impacted so much in 1Q FY'22 day got impacted significantly in 4Q FY'2 2?

Bindu A.L: Okay. So if we compare the auctions in Q1 of FY'22, we were at 25%, 26% yield.

Alpesh Mehta: Yes. But the auctions were almost INR1550 crore whereas when you look at the 4Q FY'22 yield, yield was 18.8% but the auctions were two-third of what was there in 1Q FY'22. I understand there was obviously pricing pressures related to the product. But auction -relate d losses seem to be significantly up.

Bindu A.L : Yes. So , two reasons. One is the lower yielding product we were at a low yield. Every month it was coming down. So I get back with the details of how much relating to the yield issue and the auction loss .

Alpesh Mehta: Okay. The second question is on gold loan. Now on the gold loan branches, in Asirvad we have opened 320 branches which are dedicated specifically to gold loan. So, do we have to go through the RBI to get the approval related to that, on ce we cross the threshold of INR1000 crore, we don't have to go to the RBI for that?

V.P. Nandakumar: See, 1000 branches alone is not the criteria. It is one of the criteria. So for Asirvad, even if it crosses 1000 branches , we need not go. Because ther e is another thing. Th

is is applicable only for gold loan company. As long as portfolio is below 80%, it is not defined as a
 gold loan company. Anyway, but in MFI there is a cap of 25%. Beyond 25%, the non -MFI portfolios cannot grow. So, the question doesn 't arise.

Alpesh Mehta: So, basically we can open the gold loan specific branches in Asirvad without going to RBI?

V.P. Nandakumar: Yes. Without prior approval.

Alpesh Mehta: Okay and the branch reclassification, which has the number of branches reduced in the previous quarter which is on Slide number 27 related to Asirvad, is it because of this reclassification?

V.P. Nandakumar: Branch decline?

Alpesh Mehta: So when I looked at Slide number 27, the Asirvad branches reported for FY'22, 1062 , whereas in the previous quarter it was 1500 plus. Is there any reclassification here?

Bindu A.L: So, one is MFI branches and other one is including gold loan branches.

Alpesh Mehta: Okay. So earlier we used to report including gold loan branches n ow it's dedicated MFI branches.

Bindu A.L: Yes.

V.P. Nandakumar: It is MFI branches and gold loan branches.

Alpesh Mehta: Okay just the last question, the Asirvad AUM which is reported on slide number 26 which is INR7000 crore, whereas in the e arlier slides the MFI related AUM around INR6400 crore. So, difference is the gold loan in Asirvad?

Bindu A.L: Yes. INR421 crore gold loan and INR6500 all the numbers in MFI.

Alpesh Mehta: Okay. And in case of Asirvad our cost of points declined alm ost 30 basis points whereas, I see for the standalone operations which has gone up and the higher yielding borrowing that got matured in Asirvad or something from PSL related anything that will decide over it?

Bindu A.L: With the NIM cap removal we are taking a lot of efforts to reduce the cost of borrowing in Asirvad. Earlier it was borrowing costs plus 10%. So, we are negotiating with the lenders and that is a return some high cost of borrowing with the surplus liquidity they were able to repay, and th at is the reason they were able to maintain the borrowing cost with slight 10%.

 Alpesh Mehta: Okay. And sir, what is your experience related to this RBI new guidelines related to the calculation of the AUM gold income in the MFI business, are you seein g any impact on your business or, what percentage of the portfolio was already qualified that could you like to be? Any experience based on the implementation on that household income calculation?

Bindu A.L: Household income calculation.

V.P. Nandaku mar: Yes, yes. Household income. See, the RBI guidelines accordingly, we changed our software and our field staff is trained. So we started doing like from the very beginning.

Alpesh Mehta : Okay. So, was entire...

V.P. Nandakumar : We captured the household income, et cetera, and stuff and we are capping the maximum at 50% to the EMI repayments et cetera, whatever has been, whatever amendments have been made in the regulation has been implemented and controlled using the software.

Alpesh Mehta: Any impact on our outstanding portfolio because of this implementation?

V.P. Nandakumar: No, not outstanding. So this is on the incremental portfolio only. No, that is why this is possible. So there is no impact on the outstanding portfolio.

Alpesh Me hta: Okay. Great. Thank you, and all the best.

V.P. Nandakumar: Thank you.

Moderator: The next question is from the line of Abhijit Tibrewal from M

otilal
Oswal. Please go ahead.

Abhijit Tibrewal: Madam, Bindu madam, first thing, rather than talking about yields, I would say, can you kind of guide on the spreads that we will be looking to maintain because I understand yields could be a function of how interest rates kind of behave or how, what actions RBI takes. So if you could just help us un derstand, I mean while the spreads have improved on a sequential basis, while you have already shared yields on 21.7% as in July, can you help us understand, I mean where was cost of borrowings in July? Just to understand what kind of spread that in making now?

Bindu A.L: Okay. So we were at 19.7% gold loan yield in Q1 and our overall AUM limit is around 19.7% and 7.47% is our cost of borrowing. But
 the increasing yield is higher than the increase in cost of borrowing. And that is the reason we expect an improvement in the spread.

Abhijit Tibrewal: So when 7.47 %, this was the cost of borrowings as on, let's say in June quarter. What is the cost of borrowings as on July? So, comparable number for 21.7% yields that you have reported as in July?

Bindu A .L: So this July it is not very different. It depends on the new roll over which we are doing. So, during the quarter, we expect that another only 25 basis points to 30 basis points increase in the cost of borrowing.

Abhijit Tibrewal: Got it. And seco ndly, I mean I was seeing except for the first 20 days of April there, I mean the gold prices that actually spiked, there was not a very I mean significant change in gold prices at least during the first quarter. So I mean how do we kind of explain the seq uential decline in your gold holdings?

V.P. Nandakumar : See, the gold holding will decline with the prices going up because see people are borrowing to meet their requirements and they have, they know the necessity and they are redeeming it in the time frame. So they internally held the calculation of both the cash flow and affordability to borrow, as far as gold loan is concerned, unlike many other loans. So, when the gold price goes up, LTV is absolute amount goes up, the tonnage will decrease. The re verse is with gold price going down.

Abhijit Tibrewal: Okay. So, sir, on Slide number 6, where you have given inventory for the quarter and you talked about pruning the lowering the higher ticket size 6.9% teaser in gold loan portfolio, which you also suggested is about 10% of our book and is expected to run off by December this year. Two quick questions here. I mean, one thing is, I mean how are you seeing that you are looking to prune this portfolio? Are you talking about the run downs that happens in the normal course or something that we happen to kind of here, that I mean during the quarter, a lot of other gold finance companies actually reached out to customers and were requesting them to kind of increase the rates, basically move from 6.9% to mid -year 9.9 % or 10.9%?

V.P. Nandakumar: So this is a natural liquidation process in that. So they are postponing redemption not based on the interest rates. So the average life of the loan is around 100 days to 150 days. So this is a natural reduction process, not been taken over by the other NBFC.

 Abhijit Tibrewal: Okay. Sir, my last question is on your MFI business I don't know if I am kind of reading it right, I mean that is the stage 3 could be increase from 1.7% to 7.7%?

V.P. Nandakumar: Which one?

Bindu A.L : MFI stage 3, as you are aware, last year, there we

re resolution plans available to customers and June '21 we had a higher restructuring book and we were continuously following up the collection but expecting that only we keep providing something extra. And now, if they are building and if they are not paying for three, four months,

this will flip to Stage 3. So this structured book, whatever stress is
there that is materialized during this quarter.

Abhijit Tibrewal: Okay. So, madam, just a last follow -up question here, which means that I mean the stress, which was there, specifically talking about in the restructured pool of air MFI business, that's all reflecting in the 7.7% now?

Bindu A.L: Yes.

Abhijit Tibrewal: So now the f ollow -up question here was that I mean I think somewhere on Slide number 6, you have also talked about credit cost now expected to decline going forward from your MFI business. So, I mean what we've been seeing over the last three to four quarters, we've b een doing credit cost of about INR100 crore to INR120 crore odd in MFI business. So what would be the run rate, like in terms of the 100% MFI business and going ahead assuming what you suggested last part of the stress has already slipped to stage 3 now?

Bindu A.L: Okay. So we expect a substantial reduction in the credit cost in the coming quarters. So it is that we will see, we expect from and in September to some extent and things should be much better in the second half of the year. So we are expecti ng some kind of 1%, 1.5% of RO A for this year, is our expectation.

So that is the reason we feel that on whatever the stress in the portfolio, it like to Stage 3 and because of this provisioning, we were able to manage this in this quarter. So going forwa rd, we expect the credit cost to come down and it will be a better RO A in the second half of the year.

Abhijit Tibrewal: Got t.

V.P. Nandakumar: See, post -COVID portfolio is somewhere around 88% now. So, it is on 88% and there the collection, if yo u see, is nearly 99%. Whereas pre-COVID portfolio has come down to around 12%. So, there also collection, so we hope will improve even from the full year.

Abhijit Tibrewal: Got it, sir. So this is very, very useful.

V.P. Nandakumar: Yes. And now, f or incremental disbursal the NIM is around 15%, increased from 10% using the relaxed regulation with regard to the NIM cap.

Moderator: The next question is from the line of Alpesh from IIFL Securities. Please go ahead.

Alpesh Mehta: Sir, if I see y our home loan that has been a continuous reduction in the average ticket size related to?

V.P. Nandakumar: So, the reason we focused on high yielding loans, small ticket loans to improve on the yield. So that's the reason. So now, we started focusing on saving higher ticket. But so we hope it will grow slowly. We are expecting that to take around INR10 lakhs in another quarter, incremental.

Alpesh Mehta: Okay. So what would be the average yield on the incremental business?

V.P. Nandakumar: Now it is, on our incremental portfolio, we are getting a yield of around 16%.

Alpesh Mehta: And what was it when the average ticket size was around INR10 lakhs?

V.P. Nandakumar : So, earlier it was hovering around to 14% plus. So it has improved by 150 b ps. On the incremental portfolio, it has gone up by 200 bps. from the three quarters in past.

Alpesh Mehta: Because this numbers are not reflected into the yields that you report on the outstanding portfolio. The outstanding portfolio yields remained a t around 14% since many quarters?

V.P. Nandakumar: It is 16%, now.

Alpesh Mehta: In the home construction, its 16%, outstanding portfolio, at le

ast what is reported in the PPT is around 14%, if I'm not wrong, whereas the share of home loan has gone up. Average ticket size has come down but the average yields remain more or less similar at around 14%.

V.P. Nandakumar: Average has improved. Quarter -on-quarter earlier it was like around 15%. Now it is 16.09% around.

Alpesh Mehta: Okay. Because what is reported in the PPT in the Slide number 13.

 V.P. Nandakumar: No there are three bifurcations, home loan, home construction and LAP.

Alpesh Mehta: Yes, so the home loan is showing 14%.

V.P. Nandakumar : Home loans are basically like purch ase ready property where like we give that 14% around and home construction is self -construction property where like stage wise construction funding we are doing that is 16%, and for LAP portfolio, other than housing loan that is 18%. Rated average overall is 16.09%.

Alpesh Mehta: Perfect. So I'm talking about the home loans by the way.

V.P. Nandakumar: The home loan includes construction, home construction as well. This is just bifurcation we have given, what is the construction pool. What is the pu rchase ready property?

Alpesh Mehta: Yes, sir, I understand that, but when you look at this 40% portfolio within the home loan, the housing finance, which is pure home loan business, the average ticket size is INR6.5lakhs rupees, this used to be INR10 lakh rupees few quarters backs and the yields that we had been reporting on this if it's 14% constant. So I'm just trying to understand what am I missing in this.

Bindu A.L: We will come back on that.

Alpesh Mehta: Okay, great. Thank you. And all the best.

Moderator: The next question is from the line of Aalok Shah from Monarch Networth. Please go ahead.

Aalok Shah: Thanks for the opportunity or said a couple of questions on the Microfinance book. One is, can you kind of help us understand the targeted trajectory on the Stage 3 assets? Where do we see that by end of this fiscal? And an extension to that, what is the guided credit cost for FY'23?

Bindu A.L: Yes. So whatever restructured book fits into this quarter, and if you see the breakup , our stage 1 is almost 87% and stage 2 and stage 3 is 13%. So we believe that there will not be much addition and we are holding nearly INR462 crore provision against this Stage 2 and 3. So going forward. I think for the whole year, we are expecting much lesser credit costs, FY'22 we had almost INR400 crore P&L impact on account of credit loss and this year we expect much reduction, netting up to the first quarter impact, I think that number should come down.

 Aalok Shah: So, do you want to put a number t o it, madam or we expect the trajectory to move back to where we started?

V.P. Nandakumar: Rajesh?

Rajesh Namboodiripad: In this regard, I think most of it is already crystallized. So slight increase is only expected on this. So the number should hov er some around this actually. This will turn more or less the same.

Aalok Shah: In that case, credit cost number will that kind of remain sticky for the coming quarters?

Rajesh Namboodiripad: No, the current live book, it would be, but going forward as book, I mean we close on some of it, it will come down in the by the March end.

Aalok Shah: Okay. My question is on the capital position in Asirvad Microfinance. We added 19.8%. So what is th e thought through on augmenting capital in this year?

V.P. Na ndakumar : You see the current

capital adequacy ratio is really high. The leverage is around 2.8 times. So we have plenty of room to play around. So at the same time, if the environment is good, values are good, we are open to increased capital from the m arket also. So that idea is always open, but in the eventuality to ensure that the growth is not shortened or back to NAV. We will have required capital for the product.

Aalok Shah: Sure. And just one book keeping question, if I heard it right May onward s disbursements are INR150 crore.

Bindu A.L: Net growth.

V.P. Nandakumar : That is the net growth. Yes.

Bindu A.L: Disbursements are around INR550 crore to INR600 crore.

V.P. Nandakumar : INR500 crore to INR600 crore is the...yes.

Moderator : The next question is from the line of Ankit Patel from L&T Mutual Fund. Please go ahead.

Ankit Patel: Yes, good evening sir. Again, sorry to continue on this subject. You said that some of this book will run down, the MFI book, which will result in r educing credit cost and improvement of the Stage 1, Stage 2, Stage 3 split but unlike gold some of what will be the tenor over here that we are looking at and again, it could be unsecured kind of
 facility. So do you believe that there would be losses on th ese accounts or what is the recoverability on these restructured accounts?

V.P. Nandakumar : See, the restructured accounts in different bucket is. Our collection efficiency is around 33% and before we hope it will further improve to around 40% plus. Ye s in the coming days because while we have seen that it was lower than, lesser than that. So it is improving. It is showing. So for a month on month improvement. So this is on the impaired portfolio. So the post -COVID portfolio is around 88% now, nearly i t is plus it is around 87%, 88% now. There the recoveries around 99%. And so the pre -COVID total portfolio is around 12%. There also the recover be is to the extent of one -third now, it is improving. So a sufficient provision have been take them in the pas t and during the next quarters, it will be over, and we expect to report the RO A of the business of around 1.5% during this year itself, last year quarter.

Bindu A.L : And then the average duration is around 24 months. So the pre - COVID book, March '20 b ook will be maturing now and because of this resolution plan, customer also not getting that impacted because their bureau records will be proper, as the restructuring also them to keep their bureau record clean. But as it is getting matured and slipped to NPA, now I think customers also showing more interest to close the loans and so that they will, they can continue as a standard loan.

Moderator: We take the last question from the line of Sanket Chheda from B&K Securities. Please go ahead.

Sanket Ch heda : Yes. So, sorry I lost two important questions. So what was the guidance on provision on the overall book and also on the MFI book for this year?

Bindu A.L : So this year, so the MFI book, we took almost INR120 crore in the first quarter. So in th e coming quarters our expectation is much lesser credit cost. I think overall provisions half of last year is our expectation.

Sanket Chheda: For last year made about INR490 crore. You're saying INR250 crore of which INR130 crore we have already taken?

Bindu A.L : So, last year MFI alone also INR400 crore and on other portfolios also temporary there was spiked in NPA number. So, now all other businesses settled down almost with the pre -COVID NPA level. In the case of MFI, we expect half of last year.

 Sanket Chheda: So INR200 crore MFI may be INR100 crore in other businesses should not e xceed INR300 crore is that right? Is this assumption good?

Bindu A.L : Other business and we are not expecting that, because we are seeing stability.

Sanket Chh eda: Okay. So what you have provided this quarter in totality, that much on the providing next three quarters put together?

Bindu A.L: Yes, so maybe an increase in the second quarter, then I think a normalized in second half.

Moderator: Thank you, ladies and gentlemen. With this I now hand the conference over to Shweta Daptardar for closing comments. Over to you, ma'am.

Shweta Daptardar : Thank you. On behalf Elara Capital, we thank the management of Manappuram Finance for g iving us the opportuni ty to host the earnings call. Thank you all.

V.P. Nandakumar : Thank you.

Bindu A.L: Thank you.

Rajesh Namboodiripad : Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Elara Securities Private Limited that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2023

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Call: May 2023

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Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

Ref: Sec/SE/ 176/2023-24
August 1 7,2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Sub: Con call Transcript of the Q 1 Results Conference Call held on August
10,2023
Ref: SEC/SE/164/23 -24 dated August 03,2023

With reference to the above, kindly note that the transcript of Q 1 results Conference Call held on August 10,2023 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/public/uploads/editor -
images/files/Manappuram%20Transcript -Aug -10-2023.pdf

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary
Ph-+91 9946239999

"Manappuram Finance Limited Q1 FY '24 Earnings
Conference Call "

August 10, 2023

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
MS. SUMITHA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A. L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAVINDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE
LIMITE D
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED

MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER , ASIRVAD MICROFINANCE
MR. SUVEEN P. S. – CHIEF EXECUTIVE OFFICER ,
MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY – CFO
MODERATOR : MR. SANKET CHEDDA – DAM CAPITAL

Moderator : Ladies and gentlemen , good day, and welcome to the Manappuram Finance Limited Q1 FY '24 Earnings Conference Call, hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Sanket Chedda from DAM Capital. Please go ahead, sir. Thank you, and over to you.

Sanket Chedda: Hello, and good evening to all of you. We are here today to discuss Manap puram Q1 FY '24 results.

We have the entire management team with us. Mr. V . P. Nandakumar, who is the MD and CEO; Ms. Sumitha Nandan who is the ED; and Mr. Bindu, who is the CFO ; Mr. Ravindra Babu, who is MD of Asirvad Micro Finance ; Mr. Rajesh who is the CFO; Mr. Kamal Parmar, who is Head of Vehicle business; M r. Suveen who is our CEO and Mr. Robin Karuvely who is the CFO.

Without further ado, I will hand the call over to Mr. Nandakumar for his opening remarks, post which we will follow up with the question and answer . Over to you, sir.

V. P. Nandakumar:

Thank you. Good evening , ladies and gentlemen . Welcome to the conference call for our first quarter FY '24 financials .

I take great pleasure in presenting our results at a time when India is being hailed as a bright spot in the global economy and the optimism about India's growth prospects is all pervasive as we are now the m ost popular and youthful country in the world . The young cohorts will power our economy and we at Manappuram Finance are well pl aced to seize the opportunity .

In the last Con Call, I had stressed the need for a balanced and prudent growth strategy. This quarter, we have achieved a notable growth in both AUM and profitability.

I am happy to share that we have recorded a net profit of 498 crore with an improvement of 77 % year-on-year, driven by profitability in gold loan and consolidation in Micro finance business which has witnessed a clear turn around.

Gold loan AUM stands steady at Rs 20,603 crore while standalone AUM at Rs 25,768 crore has grown by 12.6% year-on-year. The consolidated AUM h as touched 37,086 crores in Q1 representing an increase of 20.6% over the year-ago quarter . I remember with gratitude all the stakeholders for this creditable performance , but more than anything else , it is the trust of our customers that has helped us negotiate the various challenges that cropped up, big and small , and press ahead on our journey of progress .

The NBFC space is growing with the emergence of new players , but India's underpenetrated financial market gives room for a large number of player s to coexist .

The c ompany's Micro Finance subsidiar y, Asirvad, has posted an AUM of Rs 10,141 crore showing a growth of 44.6 % year-on-year and net profit of 111 crores during Ql vis -à-vis net loss in the year -ago quarter . I have no doubt that the share of Micro Finance in the overall profit pi e is set to go up in the days to come .

Like in the previous quarters , we continue to post maximum growth in the vehicle finance business recording 59.8% increase year -on-year with an AUM of 2,805 crores followed by home loans with AUM of 1,203 crores, registering 37.5% increase over the corresponding quarter in FY '23.

The strategy of diversifying into other sectors is gaining pace . The share of non-gold verticals in our total assets under management no w stands at 44% and this is very much in line with our stated objective of achieving a 50:50 portfolio mix between gold and the non -gold segment s.

We will continue with our policy of becoming a well -diversified NBFC.

Micro Finance business is expected to continue to gain traction as the sector correlates well with the economic recovery . MSME and personal loan segments are also areas where we want to increase our presence . All this, while we continue to maintain a comfortable liquidity position .

For a mor e comprehensive review of our financial performance , I hand the floor to our CFO Bindu.
Bindu A L: Thank you, sir. Good evening, ladies and gentlemen, and thank you for joining us today.
With regard to Q1 performance , our consolidated AUM for Q1 FY '24 was Rs. 37,086 crore representing 4.6% sequential growth and 20.6% Y-o-Y growth . Consolid ated profit after tax was Rs. 498 crore , which was up by 20 % Q-on-Q and up by 76.7 % Y-o-Y.
ROE on a consolidated basis was 20% and the ROA was 5%. Our leverage is currently only 2.8 x GNPA at 1.45% versus 1.33% during the previous quarter. Cash -on-cash equivalents on a consolidated basis was Rs. 2,452 crores . The undrawn bank line was Rs. 2,580 crores .
Our CP exposure is nil in the stand -alone entity. Standalone borrowing cost has gone up by 18 basis points in Q1 FY '24. About the Gold Loan business, which constitutes 56% of consolidated AUM, whereas remaining 44% comprises Micro Finance , Vehicle, Housing and MSME business .
Consolidated gold loan AUM was Rs. 20,603 crore, an increase by 4.3% Q -on-Q and Y -o-Y flat. During the quarter , we were able to add 4.46 lakh new customers . Our average gold loan LTV is 64%. Online gold loan book accounts for 55 % of total gold loan book .

Our standalone PAT was Rs. 381 crores , up by 23.2% sequentially and up by 31.3% Y -o-Y.
Coming to Micro Finance business , Asirvad Micro Finance , the AUM stands at Rs. 10,140 crores, including gold loan AUM of Rs. 790 crores , Q-on-Q 1% growth and 4 5% increase Y-o-Y.
PAT for MFI business has increased to Rs. 111 crore in Q1 versus Rs. 99 crore in Q4 FY '23.
Collection efficiency from MFI business stood at 102%, and disbursements during the quarter was Rs. 1,814 crore. Cumulative ECL provision in Asirvad was Rs. 217 crore, and net NPA stands at 1. 29%. Asirvad CRAR improved to 22 .6%. ROA for the quarter was 4.4%, and ROE of 26.6% for the quarter.
Vehicle Finance , we have reported an AUM of Rs. 2,805 crore, which is up by 14% Q -on-Q and 60% Y -o-Y. ROA for vehicle finance business around 2.2% for this quarter. Collection efficiency including arrears 100%, GNPA 2.9%
Home loan business reported a book of Rs. 1,203 crore, up by 9.7% Q -on-Q and 37.5% Y -o-Y growth. It now operates from 66 branches and reported a profit of Rs. 3.2 crore . Collection efficiency for the quarter was 98%. GNPA at 2.8%.
MSME and Allied busines s AUM stands at Rs. 2,3 60 crore, ROA at 3.2, collection efficiency 97% and GNPA of 1.8% .
Our on -lending AUM stands at Rs. 805 crores with a disbursal of Rs. 47 crores during the quarter. Provisions and write -offs in the standalone entity Rs. 21 crore compared to 4.3 crore in Q4. Board declared an interim dividend of Rs. 0. 80 for the quarter . Company is well capitalized with a CRAR of 30.5 %. Net worth stands at Rs. 10,078 crore and the book value of Rs. 119.
Thank you. We can now go for the Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Mr. Abhijit Tibrewal from Motilal Oswal. Please go ahead , sir.
Abhijit Tibrewal: Sir, I had three questions . The first one is more around the yield and the cost of borrowings . So, just wanted to understand last quarter we had guided that because we kind of moved from this three month to six month tenure, we had seen a minor blip in the yields. This quarter on slide number six , you reported net yields on go

ld loans have improved to about 21.6 % during this
quarter . So, now what's the trajectory going to be like for the current quarter ?
Sir, last quarter we had shared that because there was a change in gold loan tenures from three months to six months , we have seen a minor blip in gold loan yields during last quarter . That has obviously recovered this quarter what you ha ve reported on slide number six . The net yields on gold loans have improved to about 21.6 % versus 21 % that you reported last quarter . I wanted to understand what's the trajectory going to be like on gold loans going forward. And a related

question here . While we have suggested that the cost of bor rowings have gone up by a bout 20 basis points , what's the trajectory going to be like ? Because very clearly , we didn't see any significant rise in the cost of borrowings last year, even though repo rates had moved out . So, if you could just answer these two questions first ?
V. P. Nandakumar: So, gold loan, we hope to maintain a yield between 21 % to 22 %. That is yes, our scheme s are structured like that , and we hope to maintain that . Cost of borrowing has gone up by 20 %, 20 bps, and it will be , Bindu, you can say what is the expectation ?

Bindu A L: So, this quarter we have seen an increase of 20 basis points. The reset is happening and even without repo rate hike , we are seeing a slight increase in the rate from banks. So, I think this quarter also we have to expect a similar increase .
Abhijit Tibrewal: Then the second question that I had was more on the gold loan growth . Obviously, we are seeing good gold loan growth , strong gold loan growth last quarter in 4Q, again , another quarter of strong gold loan growth , but ma'am, what I wanted to understand here is very clearly , right ? I mean, while reading your opening remarks , you suggested that we have added about 4.46 lakh new gold loan customers , but in terms of the overall gold loan customers that you report , they are not going up. The tonnage, if I look at it , it's not going up .
So, essentially , is it predominantly , I mean, higher gold prices , which will eventually lead to higher LTV s versus 64 % that you have reported as on this quarter , which will lead to gold loan growth in the coming quarters ? Or is there also reason to believe that we can also increase the customer franchise in gold loans going ahead?
V. P. Nandakumar: So, we plan to grow at around 10% to 12% annually by increasing the customer base. It is not just rallying around the gold price . So, customer acquisition is seen improving , and that is the reason for our expectation to grow at a rate of 10 % to 12% annually , which has been told earlier also.
Abhijit Tibrewal: And sir, just one last question for Bindu ma'am. Ma'am, in the consolidated statements , we are seeing about 55 crores of net gain on fair value changes . If you could just explain what is this ?
Bindu A L: So, in the case of direct assignment transactions , we can do a n upfronting of income based on the true sale concept . So, it was there in the last year financ ials also. This is coming from MFI financials . So, if you see , last year also , some quarters based on the DA number , there will be a income , but in the subsequent quarters , it will get adjusted .
Abhijit Tibrewal: Ma'am, shouldn't that come in net gain on the recognition of financial statements? Because all other companies that we track typically report this upfronting of income in net gain on the recognition of financial instruments . So, this quarter , I mean, because of assignments we are reporting this 55 crores of net gain on fair value changes ? Why I ask this is this is a bigger number , ma'am. Y -o-Y this was 10 crores . Last quarter it was about 9 crores .

Bindu A L: But if we see the last year, full -year number, because we were doing on an average 1,000 to 1,500 crores DA, for the full year it was 100 crore. So, that will get adjusted . So, based on the DA volume because this qua rter DA was high , so it was there , and we are creating the service liability also for that portfolio . So, it is normal operating income only .
Moderator: Thank you. The next question is from the line of Nikhil Agarwal from VT Capital . Go ahead .
Nikhil Agarwal: One thing on asset quality of MFI book . Stage -2 has decreased by a lot . It has come down from 1.9% to 0.8%, and Stage -3 has not increased by that much . So, if you could just explain the move in the movement there ? Also, the consol provisions that we have made , a major part of it has come from MFI book . So, if you are seeing good resolutions , what is the need to make such provisions ? And will this continue ? And lastly , if you could provide less than 12 % yield part of the work that we use to provide in the presentation ?
Bindu A L: So, yes, in the case of MFI book , there was some write -offs also. That is the reason this quarter the mo vement between Stage -2 and Stage -3, the impact on the P&L was high , but we expect the credit cost to overall remain within the guidance . So, that is the impact for this quarter . And on that 12 % etc., as the gold loan yield is settled, we thought of removing that slide , but 90 % of the book is abo ve 12 %.
V. P. Nandakumar: 2.5% only that below .
Nikhil Agarwal: Sorry, 90% is above 12 % yield ?
Bindu A L: Yes.
Nikhil Agarwal: And now this will not go beyond 90 %, I guess , as it was mentioned last quarter?
Bindu A L: It will be in this range.
V. P. Nandakumar: Overall yield of around 21 %, 22%, this will be same range.
Nikhil Agarwal: Also , this write -off, sir, if you could provide us a number , how much was the write -offs? And you said that it will remain in the same range . So, are we expecting more items this year ? And will the credit cost remain at the same level ?
Bindu A L: So, during the quarter, we are at around Rs. 57 crores .
Nikhil Agarwal: Rs. 57 crores of write -offs.
Bindu A L: So, in the coming quarters , we expect reduced credit cost.
Nikhil Agarwal: There was Rs 57 crores of write -offs in this quarter, and in coming quarters, we are not expecting such write -offs?

Bindu A L: Yes.
Nikhil Agarwal: And was this entirely from micro ? Is there any more stress in this book ? In MFI book ?
Bindu A L: Entirely from Micro Finance book .
Moderator: Thank you. The next question is from the line of Shubranshu Mishra from PhilipCapital . Please go ahead .
Shubranshu Mishra: First part is , if you can decompose this 10%, 12% growth guidance because in this 10 %, 12%, there will be a ticket size increase of 5%, 6 % which is a normal inflationary growth . There woul d be some branches which would be breaking even or the productivity would increase, which would be another maybe 2 odd percent. So, actually , the actual growth is limited to maybe less than 2% in that case . So, if you can decompose that ?
Second is, if you can split the book in to less than 50,000, 50,000 to 1 lakh, 1 lakh to 2 lakh and 2 lakh and above , that is the first data point I wanted . And the second data point is from Bindu madam for auctions , weighted average LTV both in percentage as well as rupees.
Bindu A L: What? 10% to 12% growth expected is from new customer acquisition .
Shubranshu Mishra: Sir, it has never happened , sir, from new customer acquisition in the last 10, 12 years , I have been seeing this compan y, sir. It has never happened, sir.
V. P. Nandakumar: Yes, but the conditions are improving now . It's not relying on the gold price.
Management: Yes. 50,000, up to

50,000, 26 %. 50,000 to 1 lakh is 17%. Then total 43 and above 1 lakh, it is 57%.
Shubranshu Mishra: And ma'am, the auctions ?
Bindu A L: Auctions , comparatively lesser auctions in this quarter. It was only 14 crore during the quarter .
Shubranshu Mishra: And on the LTV, ma'am?
Bindu A L: LTV 64 %.
Shubranshu Mishra: And rupees? In rupees?
Bindu A L: I will send you , Shubranshu. I can se nd you.
Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA . Please go ahead.

Piran Engineer: Just couple of things. Bindu, you mentioned the credit cost guidance you are giving unchanged. If you could just remind us what is the guidance for the year?
Bindu A L: So, on the average AUM, our expectation in the new scenario of 2% credit cost. So, that we should be able to maintain . That is 2%, 2.5% credit cost is what we are expecting .
Piran Engineer: But it was 3.8 %, right , this quarter . So, this sha rp decline is coming due to what reason ?
Bindu A L: So, this quarter , yes, we have taken some write -offs, and that is the reason it has gone up , but if you see the Stage -1, Stage -2, Stage -3, etc., we are not expecting higher .
Piran Engineer: And the secondly in terms of , you know, for the gold loan business and Shubranshu was saying I have had like 2.5 million customers for now four or five years . Just wanted to understand in this 2.5 million , let's say , how many would be new to Manappuram? And how many are just , you know, rolling over that loan ?
Bindu A L: During the quarter , we added new t o Manappuram customers of nearly 4.4 lakh . So, as it is a fast-churning business , we are adding a lot of new customers , and that is helping us to grow the business .
Piran Engineer: And if I just multiply this number by four , would that be the number of new customers you all added , you know, last year ?
Bindu A L: See, every qua rter, every day we are adding almost 5,000, 5,300 new customers . So, that trend is improving as the category of customers which we are addressing is also becoming active . So, we are seeing a n improvement in the new customer addition . So, that is helping us to grow the business .
Piran Engineer: Sorry, Bindu, I think when you say new , is it new to Manappuram or someone who took a loan three years back , he is again coming back , you are classifying this in this 4.4 lakh ?
Bindu A L: New to Manappuram.
Piran Engineer: So, that's quite a large number , right ?
Bindu A L: So, when we onboarded , then we will consider as an existing customer only . There will be campaigns on lost customer , but this 4.4 lakh is totally new to Manappuram .
Piran Engineer: So, if you could just tell us then apart from 4.4 , how many ? So, how many loans did you all disburse this quarter then ?
Bindu A L: 30,000.

Piran Engineer: I mean, not in crores. In number of people , because it would be new to Manappuram plus some

people rolling over plus some old people who are reactivated .
Bindu A L: Yes. That always used to be very high because our average life of gold loan is around 100 days only. So, to maintain a 20,000-crore book itself we have to do 1,20,000 , so almost three times of that will be the disbursement number . So, that is a larger number . So, we are adding new customers . Business is improving , but at the same time, the churning is very fast . So, during th e quarter , we did the disbursement of almost 39 ,000 crore .
Piran Engineer: And to how many customers that 39,000 crores ?
Bindu A L: 50.49 lakh accounts .
Piran Engineer: Could you repeat that , please ?
Bindu A L: 50.49 lakh accounts.
Bindu A L: Yes. Because 23 lakh customers , the number of accounts around 44 lakh . So, every quarter there will be one turning.
V. P

. Nandakumar: 90 days only the life of the loan.
Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead.
Nischint Chawathe: Sorry , this is just again a clarification on your cost of borrowing and, you know, your cost of borrowing has gone up around 70 basis points quarter -on-quarter . Is that the right way to look at it or?
Bindu A L: So, in the s tandalone entity and the subsid iary Asirvad Micro Finance , we have seen an increase in cost of borrowings. So, this 70 basis points largely on account of increase in cost of borrowing in Asirvad. Standalone , the increase is 18 basis points .
Nischint Chawathe: And, you know, during the quarter , most of your borrowing is coming from , I mean, the increase is mostly coming from bank loans , and you practically not raised any NCD s or in fact, N CDs have gone down . Is there any specific reason for it ?
Bindu A L: So, in the case of standalone entity , we did an NCD transaction . And as you know, mutual funds market , of course , there will be or the NCD investment will be less due to this last quarter ED issue etc. But again , we are getting a response . So, we are working on few transactions .
Nischint Chawathe: And just coming back to the cost of funds , the cost of funds increased significantly in the subsidiary because of any specific detail ?

Bindu A L: So, few of the banks the reset happened during the quarter . So, that is the reason for increase and nowadays for a two-year term loan etc., it is coming around the 10 % range . So, that is the reason it has gone up .
Nischint Chawathe: Have you seen any adverse reactions within bank ers or debt markets or after the news that came out?
Bindu A L: So, we are getting liquidity , but there will be some additional query or those things are happening, but so far we have enough liquidity to grow the business .
Nischint Chawathe: And finally , I think on the competitive side on gold loans , do you really , you know, believe that the worst is over ? Or would you still see there are other pockets of competition ?
V. P. Nandakumar: Yes, gold loan we are able to grow . And as I said , we are expecting a growth of 10% to 12 % through new customer acquisition . Not only through new customer acquisition , but also the higher amount of loans for our customers . Our ticket size is slowly going up compared to previous years .
Nischint Chawathe: But the competitive intensity from bank has reduced or would you kind of say it's stable ?
V. P. Nandakumar: So, you are asking about competition?
Nischint Chawathe: Yes. That's right. In gold loans, yes.
V. P. Nandakumar: See, the bank customers and the NBFC customers are di fferent profiles. NBFC customers want a quick turnaround and they foreclose and come again 80% repeat customers, etc. So, the bank's competition, we may not lose our customers. There is enough headroom for banks and non - banks because the space is very larg e.
Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Sir, just on the cost of fund side , wanted to understand what is the incremental cost of borrowing for the standalone business and for the MFI business ?
Management: Standalone , it will be on around we are expecting turnover in the range of 850 to 875 wherever this in terms of Asirvad incremental , we are expecting in the range of 9.75 to 10.
Shreepal Doshi: And have we seen any increase in the last say , on a sequential basis , on a quarter -on-quarter basis ?
Management: Yes. As he told in the earlier also, yes, you know, kind of last quarter cost of fund has gone up . So, similarly also , we are expecting the coming quarter .

Shreepal Doshi: Just while this number was said earlier in the call , wanted to understand the split of the gold loan book in terms of ticket size , so which is below 50,000, 50,000 to 100,000, above 100,000 and about 300,000 ticket size.
Management: Upto 50,000, 26%. 50,000 to 1 lakh, 17%. Total 43. And above 1 lakh, 57%. Above 2 lakh we will come back to you .
Shreepal Doshi: And what is the update for the capital ra ise plans that we had indicated for the MFI business ?
V. P. Nandakumar: So, we are exploring many ways because we may need to have to raise capital . So, yes, we are not finalized . So, various options are being considered .
Shreepal Doshi: So, will it only be limited to capital raise or we might look at other options as well ?
V. P. Nandakumar: Like?
Shreepal Doshi: Like, I mean, selling the business or something like that ?
V. P. Nandakumar: No, no. So, we don't want to sell our sta ke. Yes, so we will not be a seller at all. So, for the growth capital , we ma y raise money from outside .
Moderator: Thank you. The next question is from Aalok from MNCL . Please go ahead.
Aalok: I was just trying to understand , you know, how do you look at the improvement in the yields on the gold loan portfolio front ? I am sorry . I missed the initial conversation , but we have seen meaningful improvement in the yields there . How do we look at those numbers incrementally ?
V. P. Nandakumar: So, we hope the yield will remain at a range of 21 % to 22 %. So, we are able to get this effective growth of 10% to 12%.
Aalok: So, you are saying that to the 10 %, 12% customer and A UM growth addition , we are not seeing any kind of pressure on the yield front ?
V. P. Nandakumar: Yes. We hope we will be able to maintain th is yield.
Aalok: And some light on the yields for the MFI portfolio ?
V. P. Nandakumar: MFI portfolio , the yield is around 25%.
Aalok: Sir, is there too much to risk in that? When I look at your gold loan AUM and the gold tonnage , you know, it's kind of been kind of not going in the same thing . So, I am kind of trying to read too much into it or the tonnage contents will also improve as the new client get additions go through ?

V. P. Nandakumar: No, see, when someone talked about competition from banks , what I hold is the banks ' customers , their profile is different . They generally avail a very large ticker size loans , and they can wait for more time in the office for availing the loan, whereas our customers always look at the turn around time of around 10 to 15 minutes . They are mostly wage earners, self-employed people etc ., etc. So, these customers are not going to pawn brokers were going to pawn b rokers , and that segment is very large even though it is not estimated .
It is a general assessment that the size would be at least 3x of the organic sector . So, you know, without presence e tc., we will be able to be in a way of those customers . That is what we have been doing and there was some sluggishness because of this pandemic etc ., etc. Now things are slowly coming back and with the growth protec tion, the economy etc., etc., we hope to maintain the growth at the level what I have told you .
Moderator: Thank you. The next question is from the line of Kushan Parikh from Morgan Stanley . Please go ahead.
Kushan Parikh: I had a couple of questions . So, the first question is around Asirvad MFI. So, I mean, we have had a good Y-o-Y, 40% plus Y-o-Y growth in the AUM in Asirvad, but Q-on-Q it was still flat. So, what is the growth guidance that we are looking at for the MFI business going forward ? And also, I mean, we had a little bit of a Q-on-Q uptick in yield. So, we said that yields are currently around 25 %. So, do we expect these yields in the Asirvad MFI business to sustain going forward a

s well ? And if I could just ask one clarification question ? The write -offs that we had in Asirvad business , could you just repeat that number ?
V. P. Nandakumar: So, AUM growth expected is around 30%, 35% during the current year . So, there was some sluggishness because we had some concerns about the funding availability . So, we thought even though that has not happened , we actually resolved some cash liquidity with us . That is why it was locked down to some extent , but in the coming quarters we will be able to cover it .
The second part of the question is the yield , yes, this segment is not much concerned about the yield . The concern is the availability of service , how fast we can dis burse the loan, e tc. So, these issues are addressed with technology etc., which is on the improve also . So, the concerns about , we are able to achieve growth of around 30%, 35% with the yield of 25 %. This is what we believe .
Bindu A L: Write -offs during the quarter was Rs. 57 crore .

Kushan Parikh: If I can just squeeze in a couple of more bookkeeping questions ? What was the gold loan ticket size for this quarter , average ticket size, and the average tenure ?
Management: Average you can say 58,000 and the tenure, it is nearly 90 days only. That is still continuing , average tenure.

Kushan Parikh: Sir, just trying to understand . I mean, would our growth have been benefited from this slightly longer tenure in gold loan?
V. P. Nandakumar: The average tenure remains around 90 to 100 days . There is no change in the tenure .
Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities . Please go ahead.
Jigar Jani: So, on the non -gold businesses , we have seen a spike Q -on-Q in GNPA for almost all non -gold businesses , the vehicle finance , personal loans, MSME or housing finance . So, any guidance on where you see these numbers settling for each of these businesses ? Because these are like high growth businesses for us, the asset quality also seems to be deteriorating marginally on a Q-on-Q basis. So, any color on that ?
Bindu A L: So, in this portfolio, there is a marginal increase only and you see March, there will be some extra effort to do that. It is only because of that only . It's a marginal increase only . We are not seeing any asset quality issues . It is a marginal increase during the quarter.
Jigar Jani: So, going forward , can we expect this to be range bound or probably decline in across this quarter ?
Bindu A L: So, here and there it maybe 10, 20 basis points up and down. That is our expectation.
V. P. Nandakumar: From an average, it will be maintained and also we are making efforts to bring it down .
Jigar Jani: And the growth rates for these businesses would be sustainable at this 30 % to 50 % on an average because of their low bas es at which they are at , right ?
V. P. Nandakumar: See, we have a large customer base and we have not expanded to the base where we do gold loan. We are slowly expanding and in these sectors , the base is low . So, we hope we will be able to maintain around 35 % to 40 % growth annually .
Moderator: Thank you. We have a follow -up question from Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Sir, this question is for Rajesh sir. I wanted to understand that during the call , you highlighted that the gold loan average tenure is remaining between those 90 to 100 days . Well , I mean, don't you think that given that earlier when we used to follow this three -month gold loans, we were always on that constant treadmill where loans either had to be renewed or ruled out , and I think sometime in the last earnings call, you were highlighting that the yield compression happened because we moved to six month gold loan ten ure. Are you als

o evaluating 12 -month gold loans, right ? Because once we do that , I mean, loans will tend to stick around longer on your balance sheet rather than you having to spend so much time and energy on trying to renew or rollover those gold loans.

V. P. Nandakumar: See, tenure is not the reason for the average life . See, what we see from for the times in memorial is around 25 % of the loans are closed during the first month of pledge itself , and another 20% loans closed in the preceding month , another 40% during the three months , but it is the culture being followed by these customers for a very long time . It is not because of the shorter tenure . Even when the tenure was three months , you know, the auction takes place within six months only. So, it is not because of that . Even when we increase the life of the loan tenure to six months also, it remains like that . It is not because the tenure is shorter or longer . It is the nature of our customers because they are for this agriculture, for farming or for small businesses etc. They are conscious about redeeming the ornaments . So, as and when they get the money , they redeem , and then again come back . 80% of our customers are repeat customers . So, that is nature .
Abhijit Tibrewal: And sir, one last question from my side . I just wanted to understand how are we kind of now defining these online gold loan (OGLs)? Very clearly , if I look at the last four quarters , I mean, over the last year , right , the proportion of online gold loans that you report has moved up from 46% to 55 %. If I look at the ticket sizes that you report in OGL, while ticket sizes at the overall level has gone up by about 4% Y-o-Y, it has gone up by 12 % in OGL. So, how are we defining OGLs now? And essentially , why are we see ing such a sharp increas e in ticket sizes ? This is the blended ticket sizes .
V. P. Nandakumar: See, the ticket size , there is no much difference . See, the online gold loan actually increases the comfort level . They can operate from anywhere 24 hours . Other than that , there is no difference .
Bindu A L: But we are seeing a slightly higher ticket size for online gold loans since the beginning.

Management: There is a change in between also. Same thing only, but now the customer convenience is there. More and more online Google Pay, Paytm, everything we have a tie -up and the features we added in our app also. You can see that app rating also daily increasing. So, that's why more convenience we see the customers started using more and more o n a daily basis .
Abhijit Tibrewal: So, sir, anything whe re the disbursement happens online is classified as an online gold loan?
V. P. Nandakumar: Yes. Online , into the ir account. There is an app, etc., and they can operate from anywhere inward and outward .
Moderator: Thank you. The next question is from the line of Manan Agrawal from Value Capital Partners . Please go ahead.
Manan Agrawal: I have two , three questions . So, first question is why is Asirvad Micro Finance 's loan book flat Q-on-Q? Given the growth guidance that we have for the full year of 20 % growth on the consolidated loan book , we see that in Q1, the Asirvad Micro Finance loan book is flat Q-on-Q, and what kind of sequential Q-on-Q growth do you look at internally while setting the target to deliver a Y-o-Y growth of 20 % plus? That's question number one.

Question number two is , when are we coming up with the IPO for Asirvad Micro Finance business ? That's question number two .
And question number three is with regards to this show cause notice issued by RBI . So, what is, briefly , if you could explain , what is that ? And what kind of reply have we given to RBI ? Because I couldn't see that reply in the exchang

e filings .
And question number four is with regards to the ongoing ED investigation . So, if you could tell us where at what stage is it right now ? So, those would be the four questions .
V. P. Nandakumar: So, Asirvad growth , the last quarter, we served some liquidity for some time anticipating some liquidity problem which has not actually happened . So, around 1.5 months we slowed down on disbursals. That is the reason why , but we are making it up in the coming quarters , and our expected growth of around 25%, 30% we will be able to achieve as far as Asirvad is concerned .
The second is , yes, the ED investigation as intimated earlier , the FIR has been quashed. So, the predicate crime is gone . So, when the predicate crime is gone , as per the rules, as per the law, the secondary investigation that is ECA are also should go . There are several pronouncements by the Apex Court . So, we are in the process of getting the second part also quashed, which may happen within 10 days . That is what we believe . So, as the FIR is quashed, the major issue is gone . The other one is only a pro cedure .
Regarding the show cause notice , Bindu, yes.
Bindu A L: So, this show cause is on account of the pending option surplus . So, we reply to them giving the additional measures which we have taken to reduce this. Sometime back it was almost 53 crore , and now we reached around 37 crore now . So, we will continue our effort , and we are using technology also to identify these customers . Out of this 37 crore , a large chunk of the amount relating to the period before 2018 . So, there are some practical difficulties to find out and the average amount also very less only . So, in all cases , we will send the registered check to the customers , but in many cases , if it is a small amount , these customers are not encashing the checks. So, we are following up with these customers to encash the check . So, a lot of effort is going on . So, we believe that we should be able to reduce this . That is how we replied to RBI.
Manan Agrawal: And when are we coming up with the IPO for Asirvad Micro Finance ?
V. P. Nandakuma r: So, Asirvad definitely need capital for gro wth. From the promoter side , we don't want to sell any stake. So, we will retain our sta ke the re. At the same time for growth capital , we need to raise money . We have not finally decided whether to go for an IPO or raise money from a private equity side etc ., etc. So, discussions are going on , but yes, no decision has been taken by the Board .
Manan Agrawal: And if I could squeeze in one more question, please? So, looking at the future , we have set the target loan book at 50 -50, so basically increasing the non -gold portion . So, if I look at the future ,

the loan growth , whatever that will happen , so would we be increasing our yields in line with the increase in cost of borrowing th at will happen in the future ? So, would it be fair to assume that the net interest income growth rate would exceed the loan book growth rate , whatever you will deliver in the future ?
V. P. Nandakumar: See, the gold loan, we have the ROA and the other businesses also are improving their ROA because the growth is happening . The per employee business is increasing . So, on average , we are hopeful of maintaining an ROA of nearly 5%.
Manan Agrawal: Of the net interest income growth, would that exceed the loan book growth ?

V. P. Nandakumar: Net interest, yes.
Bindu A L: It's in line with the growth only.
V. P. Nandakumar: Yes, with growth only.
Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.
Pranay Khandelwal: I wanted to ask about your opinions about this new initiatives that the government is taking with regards to open credit enabl

eness , I mean, enablement network , and how may that affect our business going forward ?
V. P. Nandakumar: So, we have to analyze that , but see , what I can say is , see, we are doing business at the bottom of the pyramid . So, in this area , there will not be any negative impact . The technology etc., etc., financial inclusion , we are on the inclusion side . It's possible and the rural India is also growing . So, I think with the newer technology solutions etc., we are going to be benefited .
Pranay Khandelwal: So, we do not see this as a threat for the next 5, 10 years or anything like that.
V. P. Nandakumar: Yes.
Pranay Khandelwal: And I also wanted to ask about any updates on the approval of branch expansion by R BI?
V. P. Nandakumar: So, see, at a consolidated level , we have added around 520 gold loan branches . So, that takes care of our expansion needs . To your specific question of getting branch expansion in Manappuram Finance, yes, we are yet to get . But at the consolidated level, we are able to .
Pranay Khandelwal: Hasn't it been a very long time since we have gone to offering? I think we applied for it in 2020 or '21.
V. P. Nandakumar: See, the challenge here is the surplus in gold loan, yes. So, we have done a few things to ensure that the surplus is not increased . So, the surplus has gone to a level of 52 crores . Now it has come

to 36 crores. So, progress is being made , and the RB I is being informed about that . And I hope that will take care of the RB I requirement .
Moderator: Thank you. The next question is from the line of Nikhil Agarwal from VT Capital . Please go ahead.
Nikhil Agarwal: One question on cost of borrowing . One follow -up there . There is one confusion . So, 20 bps increase came from gold loan standalone work and around if I am not wrong, 60 to 70 , 50 bps, around 50 bps came from M FI book and blended cost of borrowing increased by 62 bps. So, you said that 20 bps is expected again in the standalone business this quarter . Could you give the same expectation for MFI as well ? Because since the reset calls 50 bps, will it again happen in this quarter ? And also, just relating to this question , if yields are maintained at 21 % to 22 %, and an incremental borrowing is 20 bps higher , am I wrong when I say that we will not be able to maintain such margins or it will dip a bit in the coming quarter ?
V. P. Nandakuma r: See, the coming quarters, now the increase in the CRR etc., etc., so all will depend on the government's policy . But what I can say is the sectors we are in , the small ticket gold loans that is around 50 ,000, Micro Finance or a small ticket vehicle finance which are mostly used cars or MSME where the average ticket size is around 60 ,000-odd. Passing on this 20 bps or 30 bps may not be difficult . So, what I say is the other one all depends on the external conditions , but internally we are hope ful of maintaining the NIM.
Nikhil Agarwal: And the increase in cost of borrowing from MFI book, what do we expect? Do we expect the same 50 bps increase this quarter or is it lesser ?
V. P. Nandakumar: No, because see, this quarter , it may remain at this level . There are reasons also . It is a PSL and the banks are vying with each other to grab this PSL . So, there is no reason why it should go up.
Nikhil Agarwal: And the reset entirely we have seen. Are we see ing the entire reset in borrowing in this book ?
V. P. Nandakumar: See, these are by way of direct assignment etc. So, there is a good demand , this is a half year. So, the demand for this PSL will be more .
Nikhil Agarwal: So, just on the cost of fund side, this will remain at the same level and overall book , even if there is a 20 to 30 basis increase, the p ass on will be easier given o ur target segments . Am I correct when I su

mmarize it ?
V. P. Nandakumar: Yes, see, this is not predictable because it all depends on the government's policies , inflation , etc., etc. Today also, you have seen the increase in the CR R etc. But what I said is , what is most important for us is to maintain profitability . That would be maintained .
Nikhil Agarwal: Another question about the cash credit that you mentioned . So, some while back when someone asked about the impact of such ED and everything , if it's over and if you are getting bank lends and other sanctions , so there was a liquidity crunch because of which this qu arter the MFI growth

quarter -on-quarter was not very great , and going forward we are seeing sanctions coming from banks now that everything is over . Is that correct ? Or can we see any other cash crunch?
V. P. Nandakumar: No, you will have new clarity. See, regarding ED case , the predicate crime is gone . FIR is quashed by the police . Police have referred the case . So, automatically the ED investigation will go. It has gone , and we got a full stay also . In the meantime, the quashing efforts are going on . We hope that the qu ashing will happen in another fortnight . Yes, it is coming to almost a close , but with the FIR closing and all , the bank funding has considerably improved .
Yes, last quarter Asirvad didn't face because of the , for wan t of sanctions , but we reserved some liquidity , anticipating some liquidity crunch. Actually , this has not happened . So, now it had happened in the full swing or other businesses in the standalone, these were not affected because of that. Yes, only in Asirvad this has been done as a precaution and not anything else . Now we are able to get enough sanctions from the banking system . So, liquidity would not be a concern going forward .
Nikhil Agarwal: And just one last thing. Just one clarification. Some while back you mentioned that the surplus was 52 crores. It has come dow n to 36 crores. What was that about , if you could just clarify it for me ?
Bindu A L: So, auction surplus in the case of the delinquent customers for gold loan , we will recover the money through auction , and we will adjust the receivable . Balance we will be reimbursing to the customer . Within 15 to 20 days, we have to pay back to the borrowers. So, this 36 crore is the accumulated amount over 14 years . The surplus generated may be over this 14 years , it may be some 300 crores, out of which 36 crore is pendin g. The average amount is very small , and there may be customers migrating and they may not be en cashing the check . So, this is the reason for the unpaid amount of Rs. 36 crore .
V. P. Nandakumar: This has been accumulated for years together , not in recent years . This is all in the extra account.
Nikhil Agarwal: And will we be able to increase our tonnage from here ? What is the view there ?
V. P. Nandakumar: See, when the gold price goes up , the tonnage comes down because the people will get money with their reduced quantity , but when the gold price goes down , the tonnage goes up . This is usual .
Moderator: Thank you. The next question is from the line of Dhaval Gada from DSP Mutual Fund . Please go ahead.
Dhaval Gada: Sir, couple of questions. The first is relating to OPEX growth both in the standalone entity and in Asirvad. What is your expectation in the current year on OPEX growth? And the second question is relating to what quantum of tonnage was released in the current quarter ? And if you have , you know, some sort of ballpark number for same time last year?

V. P. Nandakumar: See, the OPEX is slightly at a higher level because of the slight increase in the credit cost. But going forward, it will come down . The business is stabilizing. So, it will come down. Regarding the tonnage…
Bindu A L: What is the question ? Release of tonnage?
V. P. Nandakumar: Tonnage.
Management: Amount we already told. That is the transactions were happening in the ….
Dhaval Gada: It is more looking at the tonnage, like how much volume has gone basically in the current quarter and same time last year 1Q '23? Just to get a reference how much is th e delta change .
Management: We will come back to you soon.
V. P. Nandakumar: Yes, tonnage movement, right?
Dhaval Gada: And sir, on the first question of OPEX growth, so the full year…
V. P. Nandakumar: It will come down . It will come down going forward.
V. P. Nandakumar: As a percentage of AUM, it should come down .
Moderator: Thank you. Ladies and gentlemen , due to time constraints , that was the last question . I now hand over to the management for closing comments .
V. P. Nandakumar: So, thank you for the good participation. We hope that we have answered the queries to the satisfaction of all. And we definitely are available for offline and online meetings . Thank you so much .
Bindu A L: Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference . Thank you for joining us . You may now disconnect your lines.

Call: Nov 2023

Ref: Sec/SE/ 253/2023-24
November 17,2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 2 Results Conference Call held on November 13,2023

With reference to the above, kindly note that the transcript of Q 2 results Conference Call held on November 13,2023 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/public/uploads/editor -images/files/MOFSL - Manappuram -13Nov -2023.pdf

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary
Ph-+91 9946239999

"Manappuram Finance Limited
Q2 FY'2 4 Earnings Conference Call "
November 13, 202 3

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. RAVEE NDRA BABU – MANAGING DIRECTOR , ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL OFFICER – ASIRVAD MICROFINANCE
MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT AND HEAD IR, ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND EQUIPMENT FINANCE – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER – MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER – MANNAPURAM HOME FINANCE

Moderator: Ladies and gentlemen, good day and welcome to the Mannapuram Finance Q2 FY24 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.
Abhijit Tibrewal: Thank you, Sagar. Good evening, everyone. Welcome to the earnings call of Mannapuram Finance. We have with us today the senior management of Mana ppuram Finance, represented by Mr. V.P. Nandakumar, MD and CEO, Dr. Sumitha Nandan, Executive Director, Ms. Bindu A.L., CFO, Mr. D.N. Rav eendra Babu, MD, Asi rvad, Mr. Rajesh Namboodiripad , CFO, Mr. Kamal Parmar, Head, Vehicle and Equipment Finance, Mr. Suveen P.S., CEO, Mannapuram Home Finance, Mr. Robin Karuvel y, CFO, Mannapuram Home Finance, and Mr. Basavaraj Shetty, Senior VP and Head IR, Asirvad.
I now hand over the mic to Mr. Nandakumar and other members of the senior man agement for their opening remarks, post which we can open the floor for an attractive Q&A. Thank you and over to you, sir.
VP. Nandakumar: Thank you. Good evening, ladies, and gentlemen. Welcome to the conference call for the second quarter of F Y24 financial.
It gives me immense pleasure in presenting our results when India is continuing the growth momentum despite the global uncertainty and geopolitical tension s. While IMF has downgraded global GDP growth by a notch in its latest outlook, India’s g rowth has been revised upwards. In this backdrop of an optimistic environment, I present before you our Q2 F Y24 financial.
A balanced and prudent growth strategy, which I have been reiterating for many quarters, is now going on in full swing. In this quar ter, we have achieved good growth in both A UM and profitability with a consolidated bas is. I am happy to share that we have recorded a net profit of INR 561 crores with an improvement of 37% year -on-year, driven by profitability in gold loans and microfina nce business. Gold loan A UM was INR 20,809 crores , an improvement of 8.4% over the year -ago quarter and 1% sequentially. We have maintained the pricing discipline in a very competitive environment and improved upon the profitability. We are committed to maintain the momentum on the gold loan business.
While the standalone AUM of the entity at INR 26,696 crores grew by 20.2% year -on-year, the consolidated A UM has reached INR 38,950 crores , representing an increase of 27% over the year-ago quarter.
Asset quality in the standalone book is comparable at an NPA of 1.56%. The c ompan y’s microfinance subsidiar y, Asirvad, has posted an A UM of INR 10,950 crores , recording a growth of 43% year -on-year and a profit of INR 118 crores , which is up by 109% year -on-year. Both in the gold loan sector as well as microfinance , unmet credit needs are huge and therefore there is enough headroom to co -exist for all players, whether it be banks, NBFCs or fintechs . Continuing

with the trend in the previous quarter, we have posted a maximum growth in the vehicle finance business, recording a 66.7% increase year -on-year with an A UM of INR 3,143 crores , followed by home loans with an A UM of INR 1,305 crores , resulting in a 41.6% increase over the corresponding quarter in FY23.
For the vehicle finance business, we are increasing the penetration in rural and semi -urban locations apart from using digital lending platforms and automated approv

al processes. MSMEs
and personal loan segments are another area where we want to increase our presence by increasing the number of branches and as of now we are making a steady process.
As mentioned earlier, the strategy of diversifying into other sectors is gaining pace. The share of non -gold verticals in our total asset -under -management now stands at 47% and is in line with the objective of achieving a 50 -50 portfolio mix between gold and non -gold segments. Given the strong growth in A UM and excellent earnings, the board is happy to announce an increase

in dividends and raising payouts to INR 0.85 during this quarter. We are confident of achieving both top -line and bottom -line growth as we continue to maintain a comfortable liquidity position by keeping the cost of funds reasonable.
For a more comprehensive review of our financial performanc e, I hand the block to our CFO, Bindu A .L.
Bindu A.L: Thank you, sir. Good evening, ladies, and gentlemen, and thank you all for joining us. As you are aware of, Asirvad Microfinance filed DRHP on October 5, 2023.
We are not in a position to give more numbers for Asirvad except those which are in the public domain. We request our participants to restrict their questions on Asirvad to published numbers.
Coming to the operation al overview, our consolidated AU M was INR 38,950 crores, represen ting 5.1% sequential growth and 27% Y-o-Y growth. Consolidated profit after tax was INR 561 crores, which was up by 12.6% Q -on-Q and 37% increase Y-o-Y. ROE on a consolidated basis was 21.6% and ROA was 5.3%. Our leverage is currently at 3 times. Cash and cash equivalents on a consolidated basis was INR 4,871 crores.
Undrawn bank loan was INR 4,253 crores. Our CP exposure is 2.9% in the standalone entit y.
Standalone cost of borrowing has gone up by 21 basis points during the quarter. The Go ld Loan business constitutes 53% of the consolidated A UM, whereas the remaining 47% comprises microfinance, vehicle finance, housing and MSME finance. Gold Loan A UM at INR 20,809 crores shows an increase of Q -on-Q 1% and up by 8.4% Y-o-Y. And the number of live customers stood at 24.63 lakhs. During the quarter, we were able to add 4.03 lakh new customers.
Our average LTV is 66%. Online book accounts for 56% of the tota l Goal Loan book.
Our standalone PAT was INR 420 crores, up by 10.2% sequentially and up by 20.4% Y-o-Y.
Our standalone PAT for the half year was INR801 crores, up by 25.4% Y-o-Y. Coming t o the microfinance business, As irvad Microfinance AUM stands at INR10,950 crores, including Go ld Loan AUM of INR815 crores, up by 8 percent Q -on-Q and up by 43 percent Y -o-Y. PAT for the MFI business increased to INR118 crores in Q2 FY24 versus INR111 crores in Q1 FY24.
For the half year, the profit increased to INR230 crores versus INR48 crores last year.

NPA stands at 1.44 percentage and the CRAR at 24.47 percentage. In vehicle finance, we have reported an AUM of INR3,143 crores, which is up by 13 percentage Q -on-Q and up by 66.6 percentage Y -o-Y. ROA for the business is around 1.5 percentage for this quarter. Collection efficiency is 100 percentage. GNPA reduced to 2.5 percentage. Home loan business has a book of INR1,305 crores with Q-on-Q growth of 8.5 percent age and 41 percentage Y -o-Y growth.
This business o perat es from 65 branches and reported a profit of INR4.5 crores. ROA is at 1.4 percentage , collection efficiency is 96 percentage and GNPA 1.75 percentage. Loan to MSME and allied businesses reached INR2,639 crores. For this business, ROA is 2.2 percentage , Collection efficiency 96 percentage and GNPA 1.9 percentage. When it comes to l ending to NBFCs , AUM stands at INR920 crores while ROA is around 5 percentage during the quarter.
Provisional and write -offs for the standalone entity during the quarter stood at IN R31 crores compa

red to INR21 crores in the previous quarter.
Our capital position is strong and the company has a capital adequacy ratio of 30.7 percentage.
The consol idated net worth stands at INR10,572 crores and the book value is at INR124.90.
Thank you . Now we can go for the Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Hi, thanks for taking my question and congrats on the strong numbers. Just a few questions.
Firstly, we did an assignment this quarter. What exactly was it? Like we assigned gold loan for vehicle or other loans?
Bindu A.L: We did an assignment for MSME and vehicle finance books to banks.
Piran Engineer: And what percentage of the book did we sell down? Like what is the quantum of sell down?
Bindu A.L: We did in the earlier quarter also. Put together it is around INR700 crores. It is a normal standard book which is also a line of liquidity.
Piran Engineer: Okay, but why are we doing this when our Tier 1 is at 30%?
Bindu A.L: We have to maintain the relationship with the banks. Sometimes this will help them to meet their PSL requirements also. It is not very big. Sometimes we have to do that. We h ave to open different line of sourcing. In gold loan , to some extent , assignment is not possible. But as we are into non -gold businesses, we are opening up these lines also.
Piran Engineer: Got it. Okay, that makes sense. Secondly, I noticed in the standal one and consol idated statements, employee expense has gone down but the other expenses have gone up a lot. So have we moved some employees to off -role or something like that?
Bindu A.L: No. The reduction in the employee cost on account of it depends on the growth of asset quality.

So sometimes we will give more weightage to asset quality like that. So to some extent it is on account of reduction in incentives. Otherwise the number of employees we are adding based on the employee productivity. Admin expenses , we had to add the communication lines more to the branch etcetera. Those were the reasons.

Piran Engineer: Got it. And lastly, you can give some broad comments on the gold loan space in terms of competitiveness of the environment. Because we have seen yo u all are able to pass on 50 bps of yield like this quarter. Muth oot, on the other hand, had to shed yields by about 40 -50 bps. So just overall how is the environment in terms of competitive scenario both on growth and pricing, that would be helpful.

VP. N andakumar: As I mentioned in my opening remarks, we want to maintain the price discipline at around 22% plus. And we believe that the market also will gradually realize that. Peers also will gradually realize the need because the funding cost is going up a nd the trend is not reversed now. So that's our policy. And we expect the coming quarters to remain good as far as gold loan is concerned. That's the usual scenario.

Piran Engineer: Are banks being as aggressive as they used to be or less aggressive? Have you seen that competition taper down?

VP. Nandakumar: So, yes, when their credit growth goes up and their credit deposit growth, if they are comfortable. Naturally, their preference for small -ticket loans will come down. And that is happening now.

Moderator: Thank you so much. The next question is from the line of Shubranshu Mishra from PhilipCapital. Please go ahead.

Shubranshu Mishra: Hi, sir. Thank you for the opportunity. Just some data -keeping questions. If you can spell out what was the percen tage of AUM less than three months up to now as a percentage of the book? And if we can split the book into less than 1 lakh, 1 lakh to 3 lakh and above. And what was the auction number this quarter? And if we can get the weighted average LTV in rupees. Th anks.

Management: The auction is INR15 crores this quarter. On the LTV percentage, it's 66 percentage on INR5300.

Shubranshu Mishra: Say that again, 5300.

Management: Gold price 66% average LTV.

Shubranshu Mishra: In rupees, sir. What was that?

Management: We'll come back. On the portfolio prices, we have up to 1,00,000; 44 percentage. 1 to 5 lakh, 41 percentage and balance above 5 lakh, 15 percentage.

Shubranshu Mishra: Okay. And what was this?

Management: INR3,512 in rupees term.

Shubranshu Mishra: Unders tood, sir. And sir, what has been the accrued interest in this quarter versus last quarter, sir?

Bindu A.L: 3.7 percentage for the quarter. It was more or less similar in the last quarter.

Management: Same level.

Shubranshu Mishra: Understood. And ma'am, i f we can give out the split of the book last quarter as well, less than one lakh – less than 1 lakh, 1 to 5 lakh and 5 lakh and above.

Bindu A.L: We'll send you separately.

Moderator: Thank you so much. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Hi, good evening and thank you. So my first question on the microfinance side, I mean, our expectation was the credit cost. We did some write -offs last quarter and credit cost was expected to come down, whi ch we haven't seen. Is there anything to call out if we can highlight?

Bindu A.L: See, microfinance, as we filed the DRHP, we can talk only the numbers in the public domain. So the quality in the book has improved. So we will come back with the detailed nu mbers when we are allowed to do that.

Moderator: Thank you so much. The next question is from the line of Rati J Pandit from Nirmal Bang Institution Equities. Please go ahead.

Rati J Pandit: Yes. Thanks for taking my question. My first question is with re spect to your auction surplus, which you had mentioned in the first quarter, it was around INR36 crores. So has it reduced further? And if any update from RBI on the branch expansion with respect to gold loan branches? This is my first question.

And my sec ond question is, what is your outlook on the gold loan business growth? I mean, if we look at, I mean, for FY24, I mean, in the past one or two months, we all have seen at a macro

level, I mean, if the geopolitical tensions, they extend a bit. So do you th ink that, there could be better chances for the growth on the core business? So these are my two questions.
VP. Nandakumar: The auction surplus, as you have said, which was around INR38 crores, has come down to around 30, nearly INR30 crores now, and it is coming down. But the RBI is looking forward for a couple of quarters whether we are able to bring it down, and we have demonstrated that we are able to do that. And we hope that the RBI will be very happy with that. And there won't be a problem getting pe rmission for branches .
And regarding the gold loan opportunity, as I said, yes, we are maintaining the price discipline at around 22% plus. We have got growth of 8% Y -o-Y, and the coming quarters are generally good for gold loan, so we hope to take advanta ge of that.
Rati J Pandit: Okay. Auction surplus, I'm sorry, how much you said? You said it has come down.
VP. Nandakumar: We hope it will come down by around INR2 crores to INR3 crores every quarter. And it is in line with the plan we have shared with RBI.
Rati J Pandit: Okay, sir. That's it from my side.
Moderator: Thank you so much. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes, hi, good evening. So firstly, on the MFI book, while we have seen 8% sequential growth, if I look at the revenue from operations on slide 21, it has declined Q -on-Q. So what explains that?
Bindu A.L: If you see the DA income, it dep

ends on how much direct assignment transactions we have done during the quarter. If you compare Q1, we have done a larger amount of DA and our up trending of income was INR55 crores, which reduced to INR28 crores during the quarter. Other than that, the yield has gone up, interest income has gone up. Only the difference is on account of less DA transaction during the quarter.
Mona Khetan: Got it. Secondly, if you could just share again the breakup of loan book by ticket size up to INR1 lakh and between. I just missed that.
Management: Yes, up to INR1 lakh, 44%. INR1 lakh to INR5 lakh 41% Above INR5 lakh 15%.
Mona Khetan: Got it. And just finally, though I understand the LGDs in the gold business are near nil, if I put together the auctioning and the rise in NPA, it seems that, and also the higher credit cost, it seems that you are seeing rise in NPAs in this business. Unlike, say, an MFI and stuff. So if you could highlight what you're seeing in the ground that is resulting in higher delinquencies in the business?
Bindu A.L: So your question is on the credit cost of gold loan? You are right. LGDs are very less. And credit cost during the quarter, we had an option of only INR15 crores and we have not incurred any loss on account of that.
Mona Khetan: Right. What I wanted to understand is, if anything you can highlight on why the delinquencies are higher in this business. We've seen something like this for other NBFCs as well. So if you could just share what you're seeing on the gr ound, that will be helpful?
Bindu A.L: As per contract, in gold loan, if the customer is not redeeming, we have the option to sell the gold and recover the money before becoming NPA. But sometimes, considering the request from customers, we may give some m ore time to the borrowers. As the underlying collateral and award receivable is secured based on the request from customers, we may give some more time to the customer. That is the only reason. Otherwise, for the NPA, before becoming NPA also, we can sell as per the contract.
Mona Khetan: Sure. Thank you. I'm done. Thank you.
Moderator: Thank you so much. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Yes. Hi. Congratulations on good numbers and thank yo u for giving me the opportunity. So my first question is on gold loan growth. So we are talking about pricing discipline and we have seen our yields also improving the last two quarters. So with this kind of pricing discipline, what kind of growth we can e xpect coming through?

And for that kind of growth, what kind of actions are we taking on the ground in terms of more advertising, client outreach, old client reactivation? Can you just show more light? Because I can see that the new customer acquisition n umber has been pretty stable over the past two quarters. And, is there a plan to accelerate that number and stop the attrition?

VP. Nandakumar: So, on an average, we are acquiring around 5,000 new customers every day, which remains stable. And the Y -o-Y go ld loan growth was around 8%. And we hope that it will be maintained, as I mentioned earlier, in the coming quarters . Some quarters, it may be slightly dull, but in the coming quarters, it may improve. So we are expecting the same momentum as far as growth is concerned.
Rajiv Mehta: And sir, when you say momentum, are we looking at annual growth of 7%, 8% every year?
VP. Nandakumar: Yes.
Rajiv Mehta: Okay. And this is without any gold price benefit?
VP. Nandakumar: Yes.
Rajiv Mehta: Okay.
VP. Nandakumar: Even when the gold price was down , to some extent, the portfolio has grown.
Rajiv Mehta: Okay. And on microfinance, ma'am, if you can tell us, what is the collection efficiency?
Bindu A.L: Collections were similar to that of Q1, we can say. But as these numbers are to be certifi

ed in
future, we are not allowed to give out these numbers. So you can see from the profit number everywhere, we can see improvement.
Rajiv Mehta: Okay.
Bindu A.L: So we have to wait for that .
Rajiv Mehta: Sure, sure. And just lastly, again on Asirvad, now since we have filed a DRHP for raising money and it will take some time and we are running slightly higher on leverage. How do we plan to manage growth in the interim? Do we slow down on gro wth or do we do more assignments in the current quarter?
Bindu A.L: So Asirvad microfinance current year, at 24% and every quarter plough back is over INR100 crores profit. So this is sufficient to support growth for this year. This fundraising is more on account of the growth capital in the coming years.
Rajiv Mehta: Okay. So one should not expect any slowdown in momentum. Yes?
Bindu A.L: Yes
Rajiv Mehta: Thank you so much for answering my questions.

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.
Ketan Athavale: Hello. Thank you for the opportunity. I wanted to know the consolidated loan book growth guidance and th e credit cost guidance for FY'24 and the next two years?
VP. Nandakumar: Yes, yes. So whatever has been already spelt out, we remain by that.
Ketan Athavale: Okay. We are maintaining. Okay. Got it. Thank you.
Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.
Pratik Kothari: Yes. Hi. Thank you again. Sir, on the M FI side again, we were expecting a rundown in our credit cost. We did some write -offs last quarter and we expected that to come down. You can highlight what happened this quarter?
Bindu A.L: Yes. So the portfolio quality, all those specific numbers, we when can't share since we have filed the DRHP.
Pratik Kothari: No Ma'am. I am just asking from what you have reported. So last quarter, we h ad said that we did some INR60 crores of write -off, which should continue going forward and your credit cost should come down. But provisioning again this quarter is about INR90 INR92 crores. So if you compare last quarter…?
Bindu A.L: So if you compare la st quarter?
Pratik Kothari: I'm asking for number, so qualitatively, what is not going right?
Bindu A.L: So one element of P&L debit is on account of increase in AUM also. Because last quarter, the book was flat and standard assessed provision was not ther e in the earlier quarter. So this quarter, the growth was there. So if you compare between last quarter INR96 crores and this quarter INR91 crores, you have the difference. One is the increase in standard assessed provision, one on account of ARC provision ing and on the normal book, we are seeing improvement in asset quality.
Pratik Kothari: Okay. Fair enough. My second question is on gold loan. So in a quest to maintain this 21%, 22% yield, is it fair to assume that we have let go of growth because I mean, our peers, maybe they have let go of yielding to capture growth, but we seem to have done the reverse. I mean, we do say that the competition has come down, but this balance between growth and yield doesn't seem to play out together. Some comments there, if you can?
VP. Nandakumar: So our internal decision is, as an NBFC, we are serving a certain section of the community where the ticket size is relatively smaller, around INR50,000, and the duration is around three months. Where the offer is very high, and about the borrowing cost also, whatever uncertainty is there in

the market, yes, that is there. So we believe that as an NBFC, it will be always good to have that discipline of maintaining around 22%.

And we maintain that, we expect growth of around 8% to 10% even with this, because in the coming quarter

s, from our target audience, the demand is expected to have some momentum.
We don't want to compete in the market and bring down the interest rates at a level which is not much affordable.
Pratik Kothari: Correct, fair enough. And this gain in direct assignment that we have booked up, about INR75 crores in H1 of this year, how much was it last year or say, first half of last year?
Bindu A.L: So, last year it was INR42 crores.
Pratik Kothari: In H1 or full ye ar?
Bindu A.L: H1, full year. It is there in the reserves, net gain on deregulation of financial instruments, so half year ended 30, September 2022 was zero. Console in the first half was zero. Okay, so we will come back with the…
VP. Nandakumar: Yes. We w ill share with you.
Pratik Kothari: Sure, and my last question, in the last quarter we had highlighted that we didn't face any issue with funding per se, but there was some apprehension from borrowers, they were asking a few more questions with the ED issu e. Now that has been solved, are we back to normal in terms of credit lines, in terms of our access to liquidity, cost of capital?
Bindu A.L: Yes, so we have included in the presentation also, we are having almost INR4,800 crores liquidity at the end of cash and cash equivalents at the end of the quarter around INR5,000 crores, INR4,871 crores exactly, and undrawn lines also.
Pratik Kothari: No, correct, my question was, I mean, there were some apprehensions which we were facing, so is that all resolved o r?
Bindu A.L: Yes, completely resolved, we got the final order and even the lenders were aware this is a temporary issue, only because it is the court matter , it will take some time, so in our case, we were able to resolve everything in three months, four months' time and we are getting enough liquidity. In the pricing also, we have seen some reduction at the end of the quarter.
Pratik Kothari: Okay. Fair enoug h. Thank you and all the best.
Moderator: Thank you so much. The next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Yes, hi, thanks for allowing me a follow -up. Just two questions, one is on the cost of funds trajectory, what's our expectation both standalone and cons olidated ? And second thing, just wanted to know more about your secured PL product, like what is the security that you all take and why does that person not just take a gold loan instead of a secured PL because the rate is the same interest rate you are charging , that is 21%?
VP. Nandakumar: See, the cost of borrowing, we don't expect much increase as the CFO has said. Regarding the secured PL product, the security is a mortgage where the margin, we lend up to 60% of the

valuation of the collateral. The gold loans are meant for short term for them, the average life is around 100 days or 90 days. Average ticket size is around INR50,000. So this is our range.
Primarily, these are seen as short -term loans be cause these are from the customers from the lower end of the pyramid, where this is very precious for them and they want to wear for family festivals, family celebrations, festivals, etc. Whereas this mortgage is for 10 years. So that's why the customers g o for secured PL , even though they also avail gold loan.
Piran Engineer: Sir, but then why are we not doing it from the home loan subsidiary? There also we have a LAP product and what you said sounds very much like a LAP product. That is also INR5.5 lakh t icket size. So, parent and subsidiary both are doing the same business?
VP. Nandakumar: No, there is one reason. There are limitations for a home loan company. There are some limitations with regard to how much the LAP can be? Whereas here we have enough h eadroom.
Piran Engineer: Got it, got it. Okay, that answers my question. Thank you.
VP. Nandakumar: Portfolio is around INR2,500 crores now

over spectrum.
Piran Engineer: Got it. Okay, that is helpful. Thank you, sir.
Moderator: Thank you so much. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Sir, just one follow -up on other income, sorry, on the fee income. So, when I look at the fee income, stand -alone as well as con solidated , some stand -alone books o f fee income remain negligible. When the consol numbers of fee income goes up to INR31 crores and this number was again very marginal number in the previous quarter. So, this entire delta of fee income has come from Asirvad Microfinance. So, what is the fe e income, fee, and commission income?
Bindu A.L: Yes, so we are getting a referral fee, when we are able to sell the products to borrowers. So if they need some household equipment, we will be selling those products to borrowers.
Rajiv Mehta: And what are these kinds of products? Is this a recurring , ongoing arrangement? How should we look at this business income?
Bindu A.L: Yes. It will be like pressure cooker, gas stove or solar, small lights, etc.
Rajiv Mehta: Okay. So, these are cross -sell. And the quan tum that we got this quarter, was it pertaining to this quarter or was it a pent -up number? Because it is a sizable run rate in terms of our quarterly profitability. Can we expect this kind of income to happen every quarter or is there a seasonality? How s hould we look at this number?
Bindu A.L: So, as you are aware, Q1 MFI disbursement was slow. So, we got some pent -up demand in Q2 and it will continue. It may not be like Q2 because Q1 disbursements were low. So, Q2 is not exactly comparable but this fee i ncome will be there in the coming quarter too.
Rajiv Mehta: Got it ma'am. Thank you so much.

Moderator: Thank you so much. The next question is from the line of Utsav, who is an individual investor. Please go ahead.
Utsav: Hello. Congratulations on the great number s, sir. I just like to inquire on the growth we can see this quarter because we have the festive season and the marriage season also. So, what kind of growth can we expect this quarter?
VP. Nandakumar: Yes. We are expecting a similar growth.
Utsav: So, like around 8% in gold and non -gold and around 10%, 15%?
VP. Nandakumar: No, no. Y -on-Y growth is 8% in gold.
Utsav: More than 8%, right?
Management: Yes. Y -o-Y is 8%. Q -o-Q is around 1%.
Utsav: And non -gold business, what kind of growth can we see this coming quarter?
Management: We are expecting the same amount of growth.
Utsav: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Suraj Navandar from Sampada Investments. Please go ahead.
Suraj Navandar: Hi, sir. Good evening. I just wanted to understand, why we are doing gold loans in Asirvad Microfinance and not through our main holding company?
Management: See, MFI can do 25% of their balance sheets in lots other than MFI also. They have the option. And it is q uite natural that we thought, we will do secure lending as the other 75% of the balance sheets are unsecured. So, among secured loans, we have the preference. And we sought RBI permission whether we can do gold loans. And these branches are in such a geogr aphy that there is no competition between the parent and the subsidiary. So, that's the reason.
Suraj Navandar: Okay. In which geography Asirvad is strong where Manappuram is not present for the gold loans?
Management: See, in a country like India where on e-sixth of the world population are living and the middle - income growth is growing and even the bottom line, they are also growing. There is an opportunity to have so many branches. So, there are many unserved places in India. And Asirvad is taking that as an opportunity to do gold loans. And as I mentioned, 25% of the balance sheet has loan of secured natu

re.
Suraj Navandar: So, you are saying that conflict of interest will not come even if Asir vad is listed separately in future?
Management: Yes. There is plenty of opportunity.

Suraj Navandar: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.
Shubhranshu Mishra: Hi, sir. Two questions. When you are talking about this 8% gold loan growth, what would be split that should come from South India versus non -South geographies? And second, just to take

the question on the income at a consol level and then forward. Given the fact that we are doing household products, do we have c ertain KRAs which are assigned to the sales of these household products at the M FI branches for employees? Thanks.
Management: The opportunity is there across India. And India is annually importing around 1,000 ton nes of gold. The opportunity is there. And some quarters, we will see some geographies growing. Other quarters in other geographies. All these are dependent upon the conditions like harvest season or festival season in different geographies. About the re -income, these are sold to M FI customers who wanted to buy household articles, etcetera.
So the advantage for them is, these are delivered to them at a price much lower than the MRP. And they are happy about it. And depending upon the need in different geographies, different categories of customers, we have around 20 plus products. So from there, we are getting an income, a commission from the supplier. And of course I say, this is at a discount much lower than the market. Discount higher than the market that is the price much lower than the market.
About KRA, the employees will have some incentive. This is normally given. This is what we call as product sale. These are the sales of consumer durable. There is the MFI industry for a very long time. And most of the companies provide this service to its customers.
Shubhranshu Mishra: It's been almost close to two years that we are not giving out the regional AUM mix. Our south AUM was upwards of 60% as of March quarter, FY 2022. So we don't have a number because we have not been publishing it for the last two years for some reason. Then having said that, south should really weigh on our growth.
Even upwards of 50%. That's the specific question I am asking. What would be the south versus non-south growth? I understand that India has a large geography and w e have a large opportunity. I have a very specific question for south versus non -south? Thanks.
Management: So around 63 % of branches are in south and 37 % is in the rest of India . So what I said is the growth in these places are cyclical depending upon the festivals in various geographies. Harvest season in different geographies, climatic conditions in different geographies. It is going like that. If you want to have the data, we can share with you over the last few quarters.
Shubhranshu Mishra: I shall tak e this offline. Thank you for your time.
Moderator: Thank you so much. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Hi, thanks for taking my question. I just wanted to understand on your consolidated financial results, there are three -line items. One is net gain on fair value changes. Second is net gain on de-recognition financial instruments. And third is a other incom e line item. So I believe you are reporting the DA in the net gain on de -recognition of financial instruments. Is that correct?
Management: So this is all up -fronting of DA income that INR82 crores for the half year and INR64 crores in the -- INR82 crores for this half of the year and last year, it was INR64.55 crores.
Jigar Jani: So that is the DA incom

e, right, up -fronting?
Management: Yes.
Jigar Jani: And what is the net gain on de -recognition of financial instruments? INR42 crores?
Management: So the bifurcation we will sen t to you, based on the accounting. So I will share with you.
Jigar Jani: Sure, no worries. And this product selling that you do, so this is, you don't give any loans for it, right? This is paid sale and you just get commission, right? Or do you give loans also for buying these products?
Management: We grant loan for the purchase of this product; this is c onsumer durable s.
Jigar Jani: And what would be that quantum of the year right now? Could you share the number?
Management: INR350 crores.
Jigar Jani: INR350 crores. Okay. And ma'am, I know Asirvad , you cannot comment on specific numbers, but just directionally has stage two numbers for Asirvad gone up this quarter sequentially compared to last quarter?
Management: I will not be a ble to comment.
Jigar Jani: Okay, no worries. Thank you so much for answering my questions.
Moderator: Thank you so much. The n ext question is from the line of Mr, Abhijit Tibrewal. Please go ahead, sir.
Abhijit Tibrewal: Sir, just last two questions. One is, I mean, I think earlier some participants had asked that one of your larger peers is seeing some stress in gold loans. When do I say stress, they are seeing their stage two, stage three numbers go up for the last maybe two quarters, three quarters . Are we also seeing something similar in our gold loan portfolio? I mean, customers not being able to kind of come back, repay, and take their gold jewellery back?
Management: We don't see any stress in stage two, stage three in gold loan.
Abhijit Tibrewal: Got it. And one last question for you, sir. Sir, we've already seen gold loan yields improve to

22.1% now. We've in the past always indicated that gold loan yields will be between 22%,

22.5%. So, fair to assume that gold loan yields will now stabilize or is there some more room for increase in yields for maybe next one quarter or two quarters?

Management: We expect that to remain somewhere around this range.

Abhijit Tibrewal: Got it. That's all from my side. Over to you, sir.

Management: Yes. One data point which I was missed out to the earlier participants. So, these two-line items in consolidation, the fourth one, net gain on fair value changes that is relating to Asirvad . So, INR27 crores in Q2, FY '24 and in June, it was INR55 crores. And the next line i tem is by Manappuram Finance Limited, INR37 crores in this quarter and INR5 crores in the previous quarter.

Moderator: Thank you so much. We will take that as our last question. I would now like to hand the conference over to the management for closing com ments.

Management: So, thank you all the participants for this analyst s' meet Manappuram's earnings call. We expect your support. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Ref: Sec/SE/ 336/2023-24
February 12, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 3 Results Conference Call held on February 7,2024

With reference to the above, kindly note that the transcript of Q 3 results Conference Call held on February 7,2024 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/investor -call

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary
Ph-+91 9946239999

"Manappuram Finance Limited
Q3 FY'2 4 Earnings Conference Call "
February 07, 202 4

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. B.N RAVINDRA BABU – MANAGING DIRECTOR , ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE LIMITED
MR. RAJESH NAMBOODIRIPAD - CHIEF FINANCIAL OFFICER - ASIRVAD MICROFINANCE LIMITED
MR. BASAVARAJ SHETTY - SENIOR VICE PRESIDENT AND HEAD IR - ASIRVAD MICROFINANCE LIMITED ;
MR. KAMAL PARMAR – HEAD, VEHICLE AND EQUIPMENT FINAN CE – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. - CHIEF EXECUTIVE OFFICER - MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CHIEF FINANCIAL OFFICER - MANAPPURAM HOME FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Manappuram Finance Limited Q3 FY24 Earnings Conference Call hosted by Nirma l Bang Institutional Equities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Rati Pandit from Nirmal Bang. Thank you, and over to you, ma'am.
Rati Pandit: Yes. Thank you, Nirav. A very good evening to everyone. On behalf of Nirmal Bang Institutional Equities, we welcome you all to the Q3 FY24 earnings conference call of Manappuram Finan ce Limited. We are pleased to host the senior management of the company represented by Mr. V .P. Nandakumar, MD and CEO; Dr. Sumitha Nandan, Executive Director; Ms. Bindu A.L., CFO; Mr. B.N. Raveendra Babu, MD of Asirvad Microfinance Limited; Mr. Rajesh Nam boodiripad, CFO of Asirvad Microfinance Limited; Mr. Basavaraj Shetty, Senior VP and Head IR of Asirvad Microfinance Limited; Mr. Kamal Parmar, Head, Vehicle and Equipment Finance; Mr. Suveen P.S., CEO of Manappuram Home Finance; Mr. Robin Karuvely, CFO of Manappuram Home Finance.

I now hand over the call to MD sir, Mr. VP Nandakumar for his opening remarks. Post which, we can have the floor open for Q&A. Thank you, and over to you, sir.
V P Nandakumar: Thank you. Good evening, ladies, and gentlemen. It gives me immense pleasure to welcome you all to the conference call to discuss the third quarter FY24 financials. As you know, amidst the challenging geopolitical situation, India is continuing to be in the high-growth trajectory. The just-announced interim budget has also exuded optimism about the future prospects of the Indian economy, promising that the country is well on its way to become a developed nation by 2047. It is in this backdrop that I present our Q3 financial results.
A balanced and prudent gr owth strategy, which I have been reiterating for many quarters, is now in full swing. While the NBFC sector, as a whole, has grown at a CAGR of 12% in the past five years, our growth has been around 19%. Notably, these growth rates outpace the banking sect or, reflecting the strong traction achieved by NBFCs. This quarter, we achieved good growth in both AUM and profitability.
I'm happy to share that we have recorded a net profit of INR 575 crores, which is an improvement of 46% year -on-year, driven primaril y by the profitability in gold loans and microfinance business. Gold loan AUM is sequentially flat; however, there's still 2.6% sequential profit growth. Gold

loan AUM stood at INR 20,758 crores, an improvement of 11.5% over the year -ago quarter.

While st andalone AUM of the entity , at INR 27,407 crores, grew by 23% year -on-year, the consolidated AUM reached INR 40,385 crores , representing an increase of 27% for the year ago quarter. We posted an ROA of around 5.2% for the quarter, significantly higher than the industry average. The pace of growth in NBFC space, even outpacing banks, owes to the fact that our financial market g ives a lot of headroom for a large number of players to co -exist.

The c ompan y's microfinance subsidiary, Asirvad , has posted an AUM of INR 11,563 crores, showing a growth of 34% year-on-year and a profit of INR 127 crores in Q3, with a growth of 80% year -on-year. The share of microfinance in the overall profit pie is set to go up in the days to come. We continue to post an excellent growth in Vehicle Finance business, recording 70% increase y

ear -on-year, with an AUM of INR 3,597 crores while main taining go od credit discipline.

The home loans with an AUM of INR 1,415 crores , registering 41% increase over the corresponding quarter in FY23. I'm also pleased to share that our fee -based business is growing nicely. We reported INR 28 crores profit from our fee -based business and see excellent prospects for its growth. I am pleased to inform that the Board of directors declared a dividend of 90 pais e, another increase of INR 0.05 this quarter and we remain confident of achieving both

top line and bottom -line growth while maintaining adequate liquidity.

For a more comprehensive review of our financial performance, I hand the floor to our CFO, Ms. Bindu A.L.

A. L. Bindu: Thank you, sir. Good evening, ladies, and gentlemen. Thank you all for joining us today. A s you are aware, Asirvad Microfinance filed the DRHP on October 5, 2023. We are not in a position to give more numbers for Asirvad except those, which are in the public domain related to results. We request our participants to restrict their questions on A sirvad to published numbers. Coming to the operational overview, our consolidated AUM for Q3 FY24 was INR 40,385 crores, representing 3.7 percentage sequential growth an d 26.7 percentage Y -o-Y growth.

Consolidated profit after tax was INR 575 crores, which was up by 2.6 percentage Q -on-Q and 46 percentage Y -o-Y. ROE on a consolidated basis was 21.2 percentage and ROA was 5.2 percentage for the quarter. Our leverage is currently only 2.9x. Standalone GNPA is at 1.99% , versus 1.56% during the previous quarter. Cash and cash equivalents on hand on a consolidated basis was INR 3,076 crores and undrawn bank line was INR 7,128 crores.

CP exposure is nil and the standalone borrowing cost has gone up by 19 basis points. The Gold Loan business constitutes 51.4 percentage of consolidated AUM, while the remaining 48.6 percentage comprises Microfinance, Vehicle, Housing and MSME Finance. Gold loan AUM consolidated

INR 20,758 crores is stable Q -on-Q and up by 11.5 percentage Y -o-Y. During the quarter, we were able to ad d 4.03 lakh new customers. Average LTV is at 61 percentage. Online book at 56 percentage. Our standalone profit after tax was INR 428 crores, up by 2.1 percentage sequentially and up by 34.7 percentage Y -o-Y.
Com ing to Microfinance business, its share of AUM stands at INR 11,563 crores, including gold loan AUM of INR 828 crores, up by 6% Q -on-Q and by 34% Y -o-Y. PAT for MFI business has increased to INR 127 crores in Q3 FY24 versus INR 118 crore s in Q2 FY24. And f or nine months, the profit increased to INR 356 crores versus INR 119 crores last year. Net NPA stands at 1.34 percentage. Capital adequacy is 23.16 percentage for Asirvad.
In Vehicle Finance, we reported an AUM of INR 3,597 crores, which is up by 14.5 pe rcentage Q -on-Q and 70 percentage Y -o-Y. Collection efficiency for the quarter was 98 percentage and GNPA 2.6 percentage. Home Loan business saw total AUM at INR1,415 crores, which is up by 8.5 percentage Q -on-Q and up by 40.9 percentage Y -o-Y. And reported a profit of INR 5.1 crores during the quarter. Collection efficiency at 96 percentage and GNPA 2.67 percentage.
In MSME and Allied businesses, the total AUM stood at INR 2,857 crores, with a disbursement of INR 460 crores during the quarter. Collection efficiency was 102 percentage and GNPA 1.5 percentage, excluding digital personal loan. If

we include digital personal loan, it is around 2.3 percentage. Our on -lending AUM stands at INR 1,022 crores and ROA for on -lending business i s 5 percentage for the quarter. The recent RBI circular to raise risk weight on consumer c

redit exposure of the NBFC lending does not apply to gold loan, vehicle finance, and microfina nce; hence, it has not much impact on our balance sheet. Nonetheless, bank lending to NBFCs raised their risk weight to the extent of 25 percentage, which resulted in a sequential increase in the cost of borrowing by 19 basis points. Our capital position i s strong and the CRAR at 30.7 percent age for the standalone entity.
The consolidated net worth was at INR 11,063 crores and the book value was INR130.70. Thank you. We can now go for the Q&A session.
Moderator: Thank you very much. We'll now begin the question and answer session. T he first question is from the line of from Piran from CLSA.
Piran: Congrats on the quarter. Sorry, I dialled in a bit late, but I heard something that INR 28 crore s profit from fee -based business. Can you please elaborate?
V P Nandakumar: Okay. This is through our subsidiar y, Manappuram Insurance Broker s. So now insurance companies can pay more because of the liberali sed fees, the commission dispensation by the regulator. So , we are getting a higher

payout from them. That is th e reason for the INR 28 crores profit from insurance broking business .

Piran: Okay. And sir, what was it, say, Q -o-Q or Y -o-Y if you can
give us a sense? And this is a INR 28 crore s profit for the
quarter or for nine months?
V P Nandakumar: For the quarter .
Piran: Okay . And wha t was it, say, last quarter or one year ago?
A. L. Bindu: Last quarter was INR 15 crores.
Piran: Okay. And Bindu, the second question for you. You
mentioned the 19 bps increase in cost of bank borrowings.
So, the full effect has playe d out in Q 3 or should we expect
something in Q 4 also from this risk weight guideline?
A. L. Bindu: Yes. So , we have to expect a similar increase in Q4 also.
Because the circular came in mid-November and that entire
rollover is not complete. We are having a lot of undrawn
lines. So we hope we will be able to contain the increase.
Moderator: Next question is from the line of Abhijit Tibrewal from
Motilal Oswal.
Abhijit Tibrewal: Sir, if you look at the gold loan yields that we report, I think
in the last two quarters each, it has gone up by 50 basis
points. And just trying to understand, understandably
second, third quarter are weak quarters for gold loan growth.
But what is it that we are doing, which is leading to this kind
of an increase in yields in gold l oans?

And maybe a related question, I mean, with this gold loan
yields now going up, is it then fair to assume that what we
keep sharing in the last few calls that competitive intensity
from banks is coming down is indeed playing out?
V P Nandakumar: We ar e catering to the requirements of the small ticket
borrowers primarily because our average ticket size remains
around INR 20,000 and the average tenure around three
months. What is most important is our availability and our
quick service, turnaround time that is most important. So ,
whatever is the cost increase in borrowing , that we are
passing on to these gold loan customers.
Many companies have come in, that is expected because the
large chunk of the business still remains with unincorporated
bodies. We don't have exact data but the general impression
is that they (unorganised sector) do more than 2/3 rd of the
total business, so it will get translated into the organized
sector. So , at this rate, we hope we'll be able to maintain the
business. And even though one quarter remained flat, I hope
we will reach our target of 8% to 10%.
Abhijit Tibrewal: Got it. Got it. So essentially, 8% to 10% growth in Gold
Loan still possible essential ly implies that after two quarters
of weak gold loan growth, we are now kind of looking at a
good gold loan growth com

ing in the last quarter of the
fiscal year?
V P Nandakumar: Yes, there is a season. During that season, we used to
get growth. With that g rowth, we may be able to maintain
the rate generally.

Abhijit Tibrewal: Got it. Sir, the other thing I wanted to understand on the
Microfinance side, I mean, during the opening remarks,
Bindu ma'am said that we can restrict the questions to the
published i nformation given the ongoing process of IPO. But
just wanted to understand that during this quarter, looking at
other MFI peers who have reported, they all highlighted

impact from Tamil Nad u floods.
I think for you, Tamil Nadu is close to 14% of your AUM mix. Likewise in Punjab and Haryana, you'll have close to 100 branches and we've been hearing that there are some problems, which are brewing in Punjab. Can you share, I mean, what is it that you are seeing, I mean, in Punjab and Haryana, and what was your experience like in Tamil Nadu? And is that the reason which kind of led to elevated credit scores costs in the Microfinance business during this quarter?
V P Nandakumar: Tamil Nadu because of the cyclon e and other things , many people lost their livelihood temporarily and has affected to some extent. And in Punjab, Rajasthan, Haryana, etc, yes, there are some problems. The industry generally is affected. But in these places, our exposure is not that high. Tamil Nadu, we have 14%, yes.
Abhijit Tibrewal: Okay. And sir, just one last data -keeping question for Bindu ma'am. Can you just share, I mean, some of these data points like you typically share in each earnings call? What were the gold loan disbursements? What was the amount, which was auctioned? And lastly , the auction surplus as on December?

A. L. Bindu: Yes. So , auction during the quarter, INR 124 crores. And auction surplus...
Management: It has been reduced to the level of INR 23.5 crores.
Moderator: Next question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: Yes. So firstly, I wanted to understand this rise in NPAs across many of your portfolios, including home loans or MSME book. Could you give some colo ur on this? What has led to the sharp rise across , even Vehicle for that matter , these books are g rowing very fast and the NPAs are on the rise on a sequential basis.
A. L. Bindu: Kamal?
Kamal Parmar: Yes. Our NPA for quarter three stood at 2.6% against 2.5% last quarter. And in fact, it was higher in the first quarter, it was at 2.9 %. So , we have actually brought it down and we are holding it stable.
A. L. Bindu: Yes. so during the quarter, the gold loan NPA has gone up. But as you are aware, the credit cost is negligible from that portfolio. We were getting requests from the borrowe rs to delay the auction for a few of the customers. And that is the reason it has gone up. And the gold price is also in support, and we are honouring the request of the borrowers. So that is the reason it has gone up. But for all other portfolio s, like MSME, it's 1.5 percentage, that is also at the similar level. Where we have seen the collection issues are only in the case of digital personal loans where we, again, are restricting the

underwriting norms. Not only MSME book, the whole book , we have seen 1.5 percentage GNPA only. So overall, credit quality has improved. The rate has gone up. But w e are not expecting any credit cost out of that.
Mona Khetan: And how about the home loan book? The NPAs are higher by about 90 bps during the quart er.
A. L. Bindu: Yes.
V P Nandakumar: So, in home loans, we have around 200 properties, which are up for sale, which were taken over through

Sarfaesi route. And all the efforts are on to sell it, which will
bring

down the NPA. So , we are expecting a good
improvement during the last quarter.
Mona Khetan: Okay. And on the MFI book as well, while your NPAs declined, if I look at the credit cost, they remain extremely high. At over 4% or thereabouts. So , how were the write -offs in this quarter versus how much i t was last quarter?
A. L. Bindu: Yes. So , as discussed, we are seeing stress in some of the states and it is leading to delay in collection. So , we did ARC of INR 200 crores, and we did the write -off to that extent.
Mona Khetan: Sorry, INR 200 crores?
A. L. Bindu: INR 200 crores. Out of which, INR 100 crores, we have returned.
Mona Khetan: Okay. And how much was it last quarter?

A. L. Bindu: Last quarter, the write -off, INR 60 crores.
Mona Khetan: Okay. And just finally, when I look at the growth on a consolidated basis, the non -core portfolios are growing very fast and are about to cross 50% of the AUM at this pace. So , what is the thought process on the mix ? Could this non -gold share continue to rise or will growth in non -gold portfolio slow down after a point once it reaches 50%? Just wanted to get that perspective.
V P Nandakumar: See, in the standalone book, gold loan portfolio will not come down that easily. So , this is because of the subsidiaries. Subsidiaries are now -- if you take Asirvad, we plan to raise capital from outside for the next phase of growth. Similarly, we do in other subsidiary, Home Finance , where also we will go for borrowing. So , in the stand alone book, the gold loan will remain more than 50% for a longer time.
Mona Khetan: Got it. So basically, from a consolidated perspective, the share may continue to rise for the non -gold book even beyond the 50%?
V P Nandakumar: Right.
Moderator: Next question is from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Ma'am, a question for you. So , you did mention that even in the next quarter, we'll see a similar spike in cost of funds. But then be it standalone or control liability mix , why is our term loan borrowings rising each quarter? And you, of

course, did mention you're trying to contain that. But how do you see or perceive this liability mix changing , going forward? And if you could also highlight the high -cost borrowings, which will come for repricing going forward. And I have couple of other questions as well.
A. L. Bindu: Yes. So if you see, we had the dollar bond of around INR 2,000 crores, which we redeemed. So , to maintain the liability ten ure, we are taking the term loans. And at the same time, banks also now prefer term loans than working capital. And the CP exposure is nil, so that is the reason our term loan exposure is going up. This will help us maintain the liability ten ure. Because in our standalone book also, we are increasing the non -gold businesses, where the life of the loan is slightly higher. So that will help us maintain a mix in

a proper manner.
And on the cost, we were expecting a reversal in Q3 or at least a stable position. But by the time the new circular had some impact. But slowly, we are able to reduce the impact. But as 60 percentage of the book, there will be a rollover or reset. That is the reason we are expecting a 15 to 20 basis points increase in the next quarter.
Shweta Daptardar: Okay. Okay. Tha t's a fair point. Secondly, sir did mention that this cost price spike , we are transmitting it through higher yields, and we also saw yields rising for gold loans. But then I wanted to know, so if our gold loan yields are rising and we did admit to the fac t that competition persist s, especially on the gold loan side. And if I look at the

gold loan net rises, so our AU

M per branch has remained steady, then tonnage is slightly lower.
As for the number of borrower count, I understand because few people open t he accounts, equal number of people even close, so I'm not arguing that. But going forward, then if this is the scenario and the yields are rising, tonnage slightly lower, then how confident are we or what are the levers to this 8% to 10% growth, which is looking healthy for gold on the gold loan side?
V P Nandakumar: See, the gold tonnage is decreasing because of the price increase. In order to maintain the same AUM , the lower weight is required . That is the reason. So , in the reverse scenario of the gold price going down, the tonnage will go up. And AUM will remain at that level, while the tonnage will grow. That's the usual scenario. And regarding the confidence about 8% -10% growth, I mentioned about the seasons also. Usually, some quarters, it grows. Some quarters, it remains flat. That is usual. So , it has got some seasonal impact.
Now why we are confident is, it has been mentioned that because our average ticket size is lower at around INR 50,00 0 and average tenure is around three months. So , what is most important here is how quickly you can serve the customer, how fast he /she can the job done because the work day will be lost otherwise . Such customers who are borrowing smaller amounts, small tickets, etc, they pref er to go to places where quick service is available.

Because of our technology, online gold loan and doorstep goal loan, we are able to extend the services to the satisfaction of our customers, where they will not lose the day. So that gives us the confid ence and our new customer acquisition remain s at a steady level of 5,000 to 8,000 new customers every day.
Moderator: Next questi on is from the line of Noel Gons alves from SBI.
Noel Gonsalves: Ma'am was mentioning regarding the marginal hike in the gross NPA due to delayed auctions and also the prices of gold being higher. Is it likely to continue in the present quarter also? That's my first question. My second question is, you mention ed that a critical aspect in any gold loan company is how quickly you ca n deliver the gold loan. So , what would be your turnaround time and how quick would be the services on an average?

V P Nandakumar: So, the time we take for a new customer is around 15 to 20 minutes. For t he existing customers, it would be lower because we have the KYC and all the requirements already in the system. So , our efforts are always to reduce that time , that's why we have pioneered products like online gold loan, doorstep gold loan, etc. But our efforts will continue in digitalizing all these and i t will definitely be of help in offering better store service.
A. L. Bindu: Yes. Gold loan NPA is a temporary issue only. We have given extended time to these borrowers and we will be able to reduce before 31st March.

Noel Gonsalves: Thank you, sir. Thank you, ma'am. And all the best for the coming days.
Moderator: Thank you. Next question is from the line of Gao from Schonfeld. Please go ahead.
Gao: Yes. So firstly, on margin. So , cost of funds continue s to rise 15, 20 basis points. So , should we expect margins to hold that or it should increase from here or should we expect some margin decline because of the cost of funds? Speci fically , should we still expect loan yield to go up?
A. L. Bindu: Yes. On the cost of borrowing, we have seen an increase on account of the new circular. At the same time, if you see, we have seen a 48 basis points increase in the gold loan yield. So, the attempt is to maintain the spread as it is possible. So that is the reason why in the last two quarters, if yo u see, there is an increase in gold loan yield.
Gao: And th

e second one is on the Asirvad Microfinance. Can you at least kind of detail us in terms of the trend. Is the situation on the ground stabilizing? Getting better? Or it's still pretty difficult may be going through this quarter itself?
A. L. Bindu: So, it is not very different, but some of the cyclical impacts will be there, temporary delays, etc. Beyond which, kindly excuse us for further details.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congrats on good performance. A few questions from my side. Bindu ma'am, what was the stage two for the MFI, for the Asirvad MFI as of December? An d can you also share the stage two as of September?
A. L. Bindu: So, that we cannot.
Rajiv Mehta: It can't be?
A. L. Bindu: No.
Rajiv Mehta: Okay. And this if you can, if it's possible, any headway in terms of Asirvad IPO getting delayed? I mean what is the timeline for the IPO that we have right now?
V P Nandaku mar: So, we hope there won't be much delay. That is the indication we get through our bankers.
Rajiv Mehta: Okay. Okay. And sir, in terms of gold loan business new customer addition, can you tell us the number of new customers added in this quarter and eve n in the previous quarter?
V P Nandakumar: So, on a given day, we are getting around 5,000, 5,500 new customers.
A. L. Bindu: So this quarter, we added 400,000 new customers.
Management: 406,000.

V P Nandakumar: There is no t much difference over the last , say, over the last five years, it remains more or less the same except during the pandemic.

Rajiv Mehta: So sir, while we have been adding a steady number of new customers, we also see customers closing or going away, and which is why the net -net customer base is not growing for us, it has been pretty steady. So , in a flattish customer base trend, how do we get 18% growth , if the gold price does not increase from here?
V P Nandakumar: See, what I said is not 18% but 8% to 10%. So , year on year growth is 11% . So, there will be some quarters there is good growth. In some quarters , there may not be any growth but we remain optimistic about that. We hope last quarter would be good.
Rajiv Mehta: Okay. Just last question from my side. Have you raised gold loan pro duct rates across LTV and the ticket size in the last three , four months?
V P Nandakumar: See, the LTV is decided on the basis of the price. So we have a formula to decide, which is the formula being used by the Association of Gold Loan Companies, so withi n the regulatory guidelines. So now the gold prices are remaining steady. And regarding the interest rates, we have not increased that. So , except small increase when there is an upward movement in the borrowing cost , it remains steady.
Rajiv Mehta: Under stood. So the increase in the net EVC for the portfolio is essentially because of the shift in customer mix towards low ticket and high -yielding customers?
V P Nandakumar: Right. Right.

Moderator: Next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: So I had questions around two sets. One is yield. On the yield part, I just wanted to understand, I mean, since we've been increasing gold loan yields for a couple of quarters now and we expect the cost of fund to increase as well next quarter, will we see another increase in gold loan yields going forward? And also wanted to understand from you if that has any impact on the growth of the gold loan portfolio. My second question was on the Asirvad MFI yields. Even there, we have con sistently seen the yield increasing. Even this quarter, AUM growth was about 6 -odd percent Q -o-Q and revenue growth has been

about 11% Q -o-Q. A couple of peers have, in fact, reduced their rates in this quarter, so just wanted to understand what are the yi elds that we are charging? How are they compared to the market? And will we also have to come up with such a reduction going forward?
And thirdly, if you could take one more question was, if you could give some guidance around the credit cost of Asirvad MFI business going forward. I mean given the situation in the various states, will the elevated credit cost persist going forward?
V P Nandakumar: So about the gold loan yield, if the borrowing cost increases, that may be passed on to maintain the net inter est margin, we wish to protect that. And regarding the backdown at the growth of the portfolio, I hope there won’t

be an impact because it is short term. Even if there's a minor increase , they won’t be worried . So what they look for is the quick service, w hich we are able to give. So , we don't expect that to dampen our targeted growth.
About Microfinance, the pricing, we have a pricing model based on various parameters. So we continue with that pricing formula and we don't need th at to change. Regarding the credit cost, we have some limitations. Whatever can be saved , it has been already saved.
Kushan Parikh: Understood. So then if you could just give any indication on the MFI credit cost ? If the situation from a collections point of view in the problem sta tes has improved in the January month or it has persisted in January as well?
V P Nandakumar: So yes, in these problem states of Bihar, Rajasthan, etc, the collection has not improved much. We are also shifting to weekly collection mode and employing more people from the locality and we are trying to improve that. The efforts are on and we hope the results will come.
Moderator: Next question is from the line of Jigar from B&K Securities.
Jigar Jani: So just wanted to know the auction surplus status, which i s restricting our branch expansion in gold loans. Any headway on that? How much is the outstanding now? And second, we are seeing even in the standalone business, the non -gold business is growing very rapidly, but our PCR on the stand -alone business remain s fairly low. So , do we intend to increase PCR on the standalone business given that more

and more shift is going to happen towards the non -gold side in those business es?
V P Nandakumar: See, our surplus in auction was around INR 48 crores. Now that has been pushed down to INR 23 crores. We hope it will come down by another INR 1 crores or INR 2 crores soon . And we have been in touch with the regulators and we are submitting the application for new branches. We hope we'll be able t o get permission for that. Then your second question is about the rapid increase in non -gold verticals . In non -gold, our performance in general is improving in the standalone portfolio like vehicle finance or the MSME, etc, except digital personal loan, which we have slowed down the ticket price, etc. So all these will improve. Regarding PCR, we continue with the same old policy whatever is the requirement. We continue without any change in the policy.
A. L. Bindu: Yes. Our PCR is low because the main book is with a negligible credit cost. For other portfolios, we consider the ECL model and enough provision is carried in our financials.
Jigar Jani: Good. But as the proportion of the other businesses increased, your ECL model would require -- on a blended basis -- require higher provisioning on your standalone books...
A. L. Bindu: So, if you see the Vehicle Finance book, that is almost an 8 -year-old book. And based on our historical losses, even during COVID, all those things we factored in our ECL model. See, the GNPA itself is 2.6 percentage . On th

at, if we

apply the LTD, that will b e the ultimate credit cost. And 2.6 percentage GNPA is only INR70-80 crores. On that, we are carrying enough provision.
Jigar Jani: Okay. Would you be able to share the NCD on the real basis?
A. L. Bindu: NCD, see, this is very complicated. In the sense, e ach portfolio, we have done separately. So , this rang es between 20 percentage to 35 percentage. And for the unsecured book, it will be 65 percentage.
Moderator: Thank you. T he next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.
Moderator: Shreepal, sorry, but your voice is still breaking. I'll request you to re -join the queue or redial. The next question is from the line of Bunty Chawla from IDBI Capital. Please go ahead.
Bunty Chawla: One data point, if you can share. Sorry, I missed that part. What was the auction of the gold loan during this quarter?
A. L. Bindu: INR 124 crores.
Bunty Chawla: Okay. Secondly, if it is possible, what w ere the queries from the SEBI on the Asirvad IPO? Has it been completely resolved because of which we have got delayed some part?
V P Nandakumar: So, all the queries from SEBI have been answered, we hope, to their satisfaction. It has been answered and we are awaiting a positive response from them.

Moderator: Next question is from the l ine of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Bindu ma'am, just kind of circling back to this cost of borrowing question, which has come a couple of times in this earnings call. I think, I mean, what you suggested is that we've already seen almost 19, 20 basis points increase in cost of borrowings. But just trying to understand this cost of borrowing increase, I'm sure this will not be applicable to your HFC businesses or the HFC subsidiaries, right? So, what I mean is the risk weight circul ar alone kind of contributing to this cost of borrowing increase and maybe a similar increase as you suggested in the fourth quarter as well? Or are there some other elements or other drivers of the increase in cost of borrowings that you are envisaging in the next quarter?
V P Nandakumar: HFC, we are expecting the cost to remain flat because we are getting funding from NHB. So , we expect that to go up. So that will help us to maintain the rate without any worries.
A. L. Bindu: Yes. On the risk weight circu lar, on other financials, it will not have much impact because majority of the portfolio is exempt from that. But for the bank lending to NBFC s, irrespective of the rating, it has gone up. So , the immediate impact is increasing cost of borrowing. So that i s the reason it has gone up, but things are changing. Availability is not an issue, but costs still not reversed.

Abhijit Tibrewal: But intuitively speaking, given that risk weights have been increased by 25%, I mean, at best, cost of volume should have go ne up by 25 basis points only, right, and that, too, on your bank borrowings? So , the actual blended impact on the

cost of borrowing should have been lower than 25 basis
points. Or is there any other way to look at this?
A. L. Bindu: See, combined with the other unsecured lending or
tightening of liquidity. So , I think the lenders will make use
of the opportunity to increase the cost. And initial reaction
was, at least, I think they started 50 basis points for the
rollover. Slowly, it is coming down. And th e other thing is
we are doing term loans, ECBs and our maturity profile is
also improving. That is also a reason. But immediate
increase is on account of the circular.
Moderator: Next follow -up question is from the line of Shreepal Doshi
from Equirus Secur ities.
Shreepal Doshi: So, my que

stion pertains to gold loan disbursement. So , I
think that number was not mentioned. So , if you can just say
that for this quarter and for nine months FY24.
A. L. Bindu: So in this quarter, we did around INR 26,190 crores. And
last quarter, we did around INR25,793 crores.
Shreepal Doshi: Okay. And coming back to the earlier participant's question
on cost of fund. So , what is the overall cost of fund impact
that we are likely to see because of the circular? That is
question number one. And question number two is what is
the overall impact on the capital adequacy because we also

have vehicle loan as part of the portfoli o, so is there any
impact on the capital adequacy of the same?
A. L. Bindu: Vehicle loan is also exempted from this. So , the small
portion of our personal loan only will have impact and given
our higher capital adequacy, this is, I think, less than 50
basis points in that on the CRAR. It's very negligeable. Still
our CRAR is above 30 percentage. And on the cost of
borrowing , one is, this immediate increase on account of the
circular. And we are doing ECBs and term loans, the
proportion of term loans also increasing and these are the
reasons for increasing cost of borrowing.
Shreepal Doshi: But what will be the overall cost o f borrowing impact? Like ,
while this quarter is 19 basis points, next quarter, you said it
will be another. But have you done any calculation as to
what will be the overall impact? Like , will there be any
further or all of it will get re -priced? I understa nd 52
percentage must be linked to 3 -month MCLR or 1 -month
MCLR on the term loan side.
A. L. Bindu: See, we expected a reduction by the time this circular came,
so we are not seeing a reversal trend. So that is the reason
our expectation is, a further incr ease in this quarter, 10 to 20
basis points. In the CP market also, the pricing has not come
down.
Moderator: Next question is fr om the line of Pratik Tandel from Swan
Capital.

Pratik Tandel: So I would like to know about the branches. In the FY21,
'22, '2 3, since the number of branches were at 3,524, and we
had restrictions. I wanted to go on the visibility of net branch
expansion in the coming quarters. So , could you give some
guidance on that?
V P Nandakumar: So we have applied for more branches. In the past, one
problem we faced was a surplus in auction remaining at
around INR 48 crores. They told us to bring it down. Now

we have achieved that. It going down and we had some
discussions with the regulators and we hope we'll get
permission in the near future. So , we had applied for 300
branches and we hope we'll get permission for this.
Moderator: Next question is from the line of Aagam from Flute Aura.
Aagam: Most of my questions were answered. I just have one
question. What is our CET1 ratio current ly, standalone and
of Asirvad?
A. L. Bindu: Which ratio?
Aagam: CET1.
A. L. Bindu: Tier 1 and standalone, it is the full Tier 1 only. And in
subsidiary...
Management: 18.5, Tier 1.
A. L. Bindu: 18.5, Tier 1.
Management: And Tier 2 is 14.6.

Moderator: As th ere are no further questions, I will now hand the
conference over to Mr. VP Nandakumar for closing
comments.
V P Nandakumar: So, thank you for the support and cooperation. We
expect continued support from your side. Any more
information what can be reveale d, we are happy to share
with you. Thank you.
Moderator: Thank you very much. On behalf of Nirmal Bang, that
concludes this conference. Thank you for joining us, and you
may now disconnect your lines. Thank you.

Call: May 2024

Ref: Sec/SE/ 58/2024 -25
May 30,2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 4FY24 Results Conference Call held on May 24,2024
With reference to the above, kindly note that the transcript of Q 4 results Conference Call held on May 24 ,2024 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/investor -call

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

"Manappuram Finance Limited
Q4 FY'2 4 Earnings Conference Call "
May 24, 202 4

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. RAVEE NDRA BABU – MANAGING DIRECTOR , ASIRVAD MICRO FINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL OFFICER – ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND EQUIPMENT FINANCE – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER – MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER – MANNAPU RAM HOME FINANCE
MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT AND HEAD IR - ASIRVAD MICROFINANCE

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Manappuram Finance Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Abhijit Tibrewal with Motilal Oswal.

Abhijit Tibrewal: Yes. Thank you, Ryan . Good evening, everyone. Welcome to the conference call to discuss the Q4 FY '24 results of Manappuram Finance. We have the senior management team of Manappuram Finance with us today represented by Mr. V.P. Nandakumar, MD and CEO; Dr. Sumitha Nandan, Exec utive Director; Ms. Bindu A.L., Chief Financial Officer; Mr. B.N. Raveendra Babu, MD of Asirvad Microfinance; Mr. Rajesh Namboodiripad, CFO of Asirvad Microfinance; Mr. Basavaraj Shetty, Senior VP and Head IR, Asirvad, Microfinance; Mr. Kamal Parmar, who i s heading the Vehicle and Equipment Finance business; Mr. Suveen P.S., CEO of Manappuram Home Finance; and Mr. Robin Karuvely, CFO, Manappuram Home Finance.

With th ese opening remarks, I hand over the call to Mr. V.P. Nandakumar for his opening remarks, post which we will kind of start with the Q&A. Thank you, and over to you, sir.

V. P. Nandakumar: Thank you. Good evening, ladies and gentlemen. It gives me immense pleasure to welcome you all to the

conference call for the fourth quarter , FY '24 financials. India continues to maintain growth momentum despite global uncertainties and has just entered the USD 5 trillion market capitalization club, inclusion in global bond index will provide stability to forex and bond markets. And th is strong economic performance is a huge confidence booster for all business establishments. And it is against this backdrop that I present our Q4 financial results.

The outlook for NBFC sector looks promising. According to a 2023 report by CAFRAL, an RBI -funded think tank, NBFCs and fintechs are the primary drivers of credit demand from the younger cohort and they accounted for 70% of lending to those aged below 35. As India is poised to reap a huge demographic dividend until 2050, NBFCs have a great oppo rtunity to continue tapping this segment and expand their credit portfolio. This will be supplemented by the opportunities provided by increased formalization and urbanization. This quarter, we achieved good growth in both AUM and profit, which is symptoma tic of a strong traction achieved by us in the last mile delivery .

I'm happy to share that we recorded a net profit of INR564 crores with an improvement of 35.7% year -on-year driven by profitability in gold loans and microfinance. Gold loan AUM stands at I NR21,500 crores, an improvement of 8.9% over the year ago quarter and 3.6% sequentially. While standalone AUM at INR28,679 crores grew by 17.4% year -on-year, the consolidated AUM is INR42,070 crores recording an increase of 18.7% over the year ago quarter.

Asset quality in the standalone book has been contained below 2% while we posted an ROA of 4.9% for the quarter , which is an improvement of 60 bps year -on-year. We are also pursuing a strategy of diversifying our funding mix by reducing dependence on bank borrowings and opted for dollar bonds with this objective.
At Manappuram, we take utmost care to comply with all the RBI guidelines. Our approach is no different with respect to the INR20,000 cash limit in disbursal. It is applicable to all NBFCs. We are the pioneers in online gold loans and digital mode of disbursement is ha

ssle -free and saves a lot of time.
We have the infrastructure and knowhow and the same is implemented from 8th May 2024.
The company's microfinance subsidiary, Asirvad has posted an AUM of INR11,881 crores, showing a growth of 18% year-on-year and a profit of INR458 crores, which marks a growth of 105% f rom the previous financial year. The share of microfinance in the overall profit pie is set to go further up in the days to come.
Like in the previous quarters, we continue to post maximum growth in the vehicle finance business recording 69% increase year-on-year with an AUM of INR4,111 crores followed by home loans with an AUM of INR1,510 crores. This being , a 37.8% increase over the corresponding quarter in FY '23.
We are keeping a close watch over the affordable housing segment, where we see a lot of potential. The share of non - gold business now stands at 49% of the total assets under

management. And this is very much in line with o ur diversification strategy.
The upcoming full union budget is expected to spell out further measures to propel these sectors forward. We are confident of achieving both top line and bottomline growth as we continue to maintain comfortable liquidity.
For more comprehensive review of our financial performance, I hand over the floor to our CFO Ms. Bindu A.L.
A. L. Bindu: Good evening, ladies and gentlemen. Thank you for joining us for the discussion of our Q4 results. As you are aware, Asirvad Microfinance filed its DRHP on October 5, 2023. We request our participants to restrict their questions on Asirvad to the published numbers.
Now coming to the operational overview. Our consolidated AUM for Q4 FY '24 was INR42,070 crores, representing 4.2% sequential growth and 18.7% Y -o-Y growth.
Consolidated profit after tax was INR563 crores, which was slightly down Q -on-Q and up by 35.7% Y -o-Y. Consolidated profit after tax for the year was INR2,197 crores, up by 46.5% Y-o-Y. ROE on a con solidated basi s was 20% and ROA was 4.9 percentage. Our leverage is currently only 2.9x. GNPA is at 1.93 percentage versus 1.99 percentage during the previous quarter.
With regard to liquidity, cash and cash equivalents stand at INR3,181 crores and undrawn bank lines of INR6,000 crores as on 31st March 2024. Our CP exposure is 4 percentage in

the standalone entity. The borrowing cost has gone up by 16 basis points in Q4 FY '24.

Talking about the gold loan business, which is 51.1 percentage of consolidated AUM , the AUM stands at INR21,500 crores, up by 3.6 percentage Q -on-Q and up by 8.9 percentage Y -o-Y. During the quarter, we were able to add 4.13 lakh new customers and our average LTV is at 58 percentage, which is well below the peer group. The online book accounts for 57 percentage of the total gold loan book.

Standalone PAT was INR428 crores, which is up by 2.6 percentage. If we adjust for the dividend of INR15 crores from the subsidiary in Q3 FY '24 , our standalone PAT for th e year was INR1,658 crores, up by 30.9 percentage Y -o-Y.

Coming to Asirvad Microfinance, the AUM stands at INR11,881 crores, including the gold loan of INR890 crores, which is up by 3 percentage Q -on-Q and 18 percentage Y -o-Y. PAT for the quarter is INR10 2 crores. And for the year, INR458 crores compared to INR223 crores in FY '23. Net NPA stands at 1.71 percentage, with a CRAR of 22.79 percentage. In vehicle finance business, we have reported an AUM of INR4,111 crores, which is up by 14.3 percentage Q -on-Q and up by 69.1 percentage Y -o-Y. Our GNPA is at 2.9 percentage as on 31st March 2024.

The home loan business had a total book of INR1,510 crores, which is up by 6.7 percentage Q -on-Q and up by 37.8 percentage Y -o-Y. It operates from 65 branches and repo rted a profit of INR7.1 crores during this quar

ter. Collection

efficiency for the quarter was 98 percentage and GNPA at 2.4 percentage.

Loans to MSME and Allied was INR2,908 crores with a disbursement of INR310 crores. Collection efficiency is at 100 perc entage and GNPA of 1.7 percentage versus 1.5 percentage. On lending to NBFCs, the book stands at INR989 crores with a disbursal of INR130 crores with an ROA of 5 percentage for this business.

The Board has declared an interim dividend of INR1 for this quarter. Our capital position is strong at 30.6 percentage CRAR and the consolidated net worth at INR11,548 crores and the book value of INR136 crores.

Thank you. Now we can go for the Q&A session.

Moderator: Thank you. Ladies and gentlemen . We will now begi n the question and answer session. Our first question is from the line of Shubhranshu Mishra with PhilipCapital.

Shubhranshu Mishra: Given the fact that we have moved from the cash disbursement totally, and we are doing mostly disbursement via RTGS or NEFT , now this data becomes available to the bank as well to whom we are doing the disbursement. So , we are opening up those customer profiles to the banks as well. So could you think that there could be some attrition because of this. This is one.

Second is when we look at the non -online gold customers, the ticket size is fairly increasing so maybe online gold customers who are basically repeat customers where we are seeing the

ticket size increase. But if we split that and we look at the average ticket size of non -online gold customers, the ticket size is hovering at INR141,000 ballpark. So these are my two questions. There are a couple of data questions which I'll come back after these ones are answered.

V. P. Nandakumar: So, your questions are all about cas h disbursals stopping at INR20,000. So we are fully compliant about that from the 8th of this month and we are disbursing loans of INR20,000 and above that only into the bank account or through online gold loan mode. We don't see any business impact becaus e of that because , most of the customers have their bank accounts now, Jan -Dhan account or other accounts. And 80% of the customers who are regular, we have intimated them that for availing the loan, they should bring bank account details and they are comp lying with that. So , after that, we have seen an increase in the online gold loan. Now it stands at 63% and it is increasing daily .

Shubhranshu Mishra: And with that , will we not open up data to the banks? Can we see customer attrition because the banks will be able to see these transactions?

V. P. Nandakumar: We have been offering online gold loan for a long time and we don't see customer poaching by the banks. Becaus e there is a high degree of customer loyalty. So we see a reasonably good growth even after implementation of this.

Shubhranshu Mishra: Second question, sir, on the non -online gold average ticket sale.

V. P. Nandakumar: See the non -online gold loans are be low INR20,000. So, for such customers, we can disburse cash.

Shubhranshu Mishra: No sir, what I meant is that the ticket size is not increasing over the last couple of quarters, I think that is around INR41,000. So , what is the reason for that?

V. P. Nanda kumar: See, the customers borrow money if they are confident of repayments. The customers have in mind while taking a loan that they have to repay the loan within a period of maximum of 100 days. So , with increase in price, we can't expect growth in the ti cket size. So gradually, every year , we will see increase in ticket size by around INR10,000, INR15,000 average ticket size. So that will continue.

Shubhranshu Mishra: And towards the data point. One is what is the accrued interest as of fourth quarter and last quarter gone by and what is the AUM split of less than INR1 lakh to INR5 lakh and more than INR5 lakh?

A. L. Bindu: Interest accrued is 5.3 percentage as on 31st of March.

V.P. Nandakumar: Upto INR1 lakh 44 percentage and from INR1 lakh to INR3 lakh is 3 4 percentage , balance above INR3 lakh is 22 percentage.

Shubhranshu Mishra: What was the accrued interest last quarter?

A. L. Bindu: It was 4.5%.

Shubhranshu Mishra: And auction this quarter?

A. L. Bindu: INR76 crores.

Shubhranshu Mishra: Sure. Thank you. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Rajiv Mehta with Yes Securities. Please go ahead.

Rajiv Mehta: Hi, good evening. Congrats on good quarter. Sir, firstly on this impact on restricti ons on cash disbursements while you spoke about not seeing any long business impact, but since when the restriction has come , what has been the impact on a daily disbursement run rate? How much our daily disbursement run rate has fallen by? And in the long er term wouldn't we see any structural customer loss customers going back to informal players if some of the customers are not willing to share the bank details?

V.P. Nandakumar: So, suddenly we see the growth improving after the introduction of these chan ges. The reason could be , we assume , many other players in the NBFC industry , particularly the small ones , may not be ready with this online gold loan whereas during the last five years we have made that route very robust and around 60% of the customers even before that have become online gold loan customers.

So, maybe because of that , after the implementation, the growth has only improved. And long term, I don't see any challenge because of that because this is applicable to all the regulated entities. So, we don't lose any level playing field because of that . So, we don't expect any negative fallout because of implementation of the new regulation with regard to cash disbursement.

Rajiv Mehta: Got it. And now sir , the impact of higher gold price. So gold prices have gone up significantly. So how do you see this benefiting our growth in the next two quarters. See if you look at our LTV, the LTVs have fallen to 58%. So , if you can tell us your expectation , where would the LTV settle in the next one, two qua rters? Would it go back to 65%, 63% because of customers availing the benefit of higher gold prices. Can you comment on the positive effect of higher gold prices in your growth?

V.P. Nandakumar: So, I consider that to be more or less benign and there will be a slight growth there. Because as I mentioned earlier , the customer who pledges has always thought about this cash flow. The average life as I mentioned remains around 100 days. In spite of the gold price going up, going down , this remains like that.

So they will not simply avail because of the gold price has gone up . Normally a customer comes with multiple ornaments. If they want a smaller amount , they come with one bangle. If they want more , they bring two bangles or some other smaller ornaments.

So, when the gold price goes up, they bring lesser quantity of gold. They don’t simply avail a bigger amount simply because of that. That is why when the gold price goes up, the average LTV goes down, but only around 10% of the customers avail that full duration of one year. For them , sometimes for renewal that also for around 5%, 6% temporarily they may

take the advantage of higher LTV because of the gold price growth. So , the impact is very minimal.

Rajiv Meht a: Okay. And just one last question on the employee expenses. Sir, in the standalone financials your employee expenses has been trending

flat over the last four quarters, five quarters while we see strong growth being reported in the non -gold business side . So can you explain this ? Has there been a reduction in employee count and if yes in which business the employee count is going down. And how should we look at employee number growing from here on and the employee cost growth in FY '25?

V.P. Nandakumar: Why it is increasing in the non -gold business? See, non -gold business is co -located with the gold loan business. Various opportunities are there, but we extended non -gold business to the extent of around 20% only. So , our expansion of distribution of non -gold products through th e gold loan branches is very high, but we are taking a very careful step in expanding that, understanding the asset quality, etc in t hese places.

As I said, we are expanding the non -gold business across the gold loan branches. That is the reason why the headcount is increasing in non -gold business. In gold loan business, there had been some rationalization , wherever we have seen number of employees hire , etc. Employee rationalization is also because of more online gold loan activity . So the employee count in gold loan segment has come down while in non-gold, we are slowly expanding our footprints.

Rajiv Mehta: Got it sir. Thank you and best of luck.

Moderator: Thank you. Our next question is from the line of Shreepal Doshi with Equiru s. Please go ahead.

Shreepal Doshi: Hi, sir. Good evening and thank you for giving me the opportunity. Sir my question was pertaining to one of the key players in the landscape being impacted by the regulator 's action. But can you quantify the benefit to us in terms of customer addition and tonnage, because optically, it seems like there has not been any significant benefit on both these fronts?

V.P. Nandakumar: Yes, one of the gold loan players and their business is impacted but we haven't much benefited out of that but we are getting a reasonable growth even before they were impacted, and that continues. So , we expect a robust growth in gold loan also in the coming quarters.

Shreepal Doshi: Second question was if you could give us some color on the onlin e customer split with respect to below INR1 lakh...

V.P. Nandakumar: Online customers, the profile is the same. Profile is the same because the advantage of gold loan is that they have to visit the branch only once . Then they can transact this account , more or less like an out of branch facility. But if they have some amount, they can remit to that and whenever they require money, they can take it back from anywhere in the world, 24 hours.

So, on seeing this facility, for example, INR10,000 gold loan, some body takes INR10,000. Then after 20 days, he can remit

INR2,000. Then whenever he has the requirement, he can avail whatever is the gap there as per the LTV on that day. So this advantage is there. Because of this advantage more and more people are using t hat. It is not because the profile of the customer is changing. It is because of the advantage of the product.

We have also introduced another scheme. If some customer is unable to come to the branch because of any reason, whereas he is in need of money, we deliver that service at their doorstep. We go there, do all the KYC process, all the processes with regard to onboarding. Then the disbursals are done online. All these are done. So , it has become a very

attractive product. So , the popularity is increas ing and that is working seamless as far as we are concerned.
Shreepal Doshi: Got it sir, but my question was , like how we gave the split for below INR1 lakh, INR1 lakh to INR3 lakh and above INR3 lakh for the overall gold loan book. Could we provide the same for this online gold loan book?
V.P. Nan

dakumar: Yes. It is irrespective of the amount. Whatever is the amount , even for INR10,000. Many customers are availing online even though the cash disbursals are possible. Because it is like a credit card. Only when they avail, which can be done from anywhere, even for merchandise, it's very convenient. So , whatever amount they want, that's immaterial here.
Shreepal Doshi: Okay. I'll take that number maybe offline. So just the last question on the MFI front. what is the PAR zero for this

particular business that we are seeing over the last two, three, quarters has been trending, the PAR zero number for the MFI business? And just one more observation here, the credit cost continues to be elevated here, even the GNP As are elevated. So could you just throw some light on this?
V.P. Nandakumar: We have some problems in some states like Punjab, Rajasthan, etc. So , there we have reinforced collection machinery. And we hope the collections will improve going forward.
Shree pal Doshi: Okay. So the PAR number are elevated because of these 2 states particularly or across states for our MFI exposure?
V.P. Nandakumar: PAR number is slightly elevated, that's why there was some impact on the profitability. But we have strengthened the collection machinery and it has started working. And hopefully, going forward it will improve.
Moderator: Our next question is from the line Pratik Chheda with Guardian Capital Partners.
Pratik Chheda: I just want to continue on the asset quality point . Even if I see the MSME segment, the GNPAs have risen from around 1.5% in last year to around 2.8% despite the more than 50% AUM increase. And you've mentioned that most of it is looking like it is coming from a digital PL. First of all, could you just he lp us quantify what the GNPAs are there in the digital personal loan segment?
Secondly, is there any strategy -- is there any change in strategy that you're looking at, given that this segment is

looking fairly volatile. And with a yield of around 26% in the unsecured PL, is the segment currently profitable?
V.P. Nandakumar: See the unsecured PL or the digital pure personal loan, that the disbursals have been brought down by tightening the underwriting process there. So , the disbursals are low. So , it is coming from the old accounts. In MSME, there was some delay in collection on account of these elections happening, etc. But last quarter...
A. L. Bindu: Yes, it was 1.5%, increased to 1.7%. And if you see the digital personal loan in the overall ratio mix, it has come down to 9 percentage. Because of the higher delinquency , we have tightened the underwriting. So , the proportion also has come down in the digital PL.
Pratik Chheda: So if I just include that 9% in the base and take that 1.1%

differential GNPA y our digital personal loan GNPA is around 12%. Is the math around looks fine?
A. L. Bindu: Yes.
V.P. Nandakumar: The digital personal loan is very less
A. L. Bindu: It is very small only. In the total AUM, it is only 1 percentage of even in the stand -alone book. In the consol book, it is 0.7%.
Moderator: Our next question is from the line of Bunty Chawla with IDBI.
Bunty Chawla: My questions have been answered just fine. So you have achieved around 18.7% AUM growth on a consolidation basis. What will be the cost FY '25 basis between AUM for gold loan and for the overall?

V.P. Nandakumar: Well, what we have been talking about is a CAGR of 20% and ROE of 20%. We delivered at around nearly 19% in the recent consol ROE. So we hope it would continue. So , from what it appears now , the share of our gold loan will improve.
Bunty Chawla: So, in overall basis you are saying gold loan percentage will improve.

V. P. Nandakumar: At least that is the trend we see and talking about the standby, it's a similar, CAGR of 20 %.
Bunty Chawla: And sir, secondly, we have seen on a stand -alone basis, there has been an increase in the cost of borrowing . How is one to see now for the FY '25 and significant margins?
A. L. Bindu: Yes, after this risk weight increase , every rollover we are increasing our b orrowing. And to have diversification and better liability profile, we did the Dollar Bond, but it comes at a slightly higher cost. So , there will be an increase in the cost of it, but at the same time, it is going on gold loan at 22% yield, and that is the reason it will not impact the profitability.
Bunty Chawla: Okay. So , can we say the margins should sustain at this level for next year as well?
V. P. Nandakumar: There could be a slight dip in the net interest margin, but it will be overcome because of better growth.
Bunty Chawla: Specifically for gold loan, what is the guidance for the next year?

Moderator: I'm sorry to interrupt you. We have lost the line of the management. Please stay connected. Ladies and gentlemen, we have the management line connected with us. Bunty, if you could please ask your question once again.
Bunty Chawla: Sir, lastly, as you said there, there could be an inch up in the gold loan. So any specific guidance for the gold loan AUM growth, are we revising it?
Management : Marginal decline can be expected. But we expect that to be compensated with a better growth so our objective of reporting ROE of 20% will not be affected with this. We are hopeful of maintaining the same ROE during the current year also.
Moderator: Our next question is from the line of D haval from Mumbai DSP.
Dhaval: Sir, just one question on growth that I think I missed your combination on growth expecting for next year, did you mention that next year, you expect gold loan growth to be higher than overall loan growth and overall growth is 20% is that? I just want to confirm that.
V. P. Nandakumar: So, there’s a follow -up question of the previous

question on price. Because the audibility is a little weak. Is it
the same?
Dhaval: Is my voice clear now, sir?
V. P. Nandakumar: Yes.

Dhaval: See what I said is, there is a slight s hrinkage as far as revenue
is concerned. But that is not a cause of concern for us because
we expect that will be compensated with a better growth. So
we are expecting t o report an ROE of 20% next year also.
Dhaval: Okay. So basically, growth will be higher than 20% in gold
loan. Is that what you're trying to understand?
V. P. Nandakumar: You see judging from the current trends, we expect
robust growth in roll -on. That could be better than last year.
The other segments are also expected to grow healthy.
Dhaval: Okay. And sir, just one last thing in terms of credit cost for
the MFI business and overall on a consolidated basis, could
you give some perspective of credit cos t that you expect in the
MFI business sense for buyback?
V. P. Nandakumar: So, the collection has been strengthened and we have
see an improvement in collection, ye s, week -on-week. So , we
expect the credit cost going down in the coming quarters.
Dhaval: From four to 11. From clear basis.
V. P. Nandakumar: So, it is going down already. It is improving on a
regular basis.
Moderator: Our next question is from the line of Pratik Kothari with
Unique PMS. Please go ahead.
Pratik Kothari: First question. Given thi s change below 20,000 , no more cash
disbursement. Any change in behavio ur from customers? I
mean, they were talking between that they may go back to
money lenders? Anything that you can highlight?

V. P. Nandakumar: So see, please see the gr

owth is not affe cted. In fact, the
growth has only improved , we believe that it will pass and the
NBFC space is not being impacted . We don't see the new
customers or total disburs als coming down. It has only
improved.
Pratik Kothari: Correct. And sir, how much was the turnaround time changed
now from earlier?
V. P. Nandakumar: See even before this, 60% of loan dis bursals were
through online gold loan. So , it is improving regularly. And
we don't see much of a change .
Pratik Kothari: Correct. So the auction surplus which we wanted to bring
down and expansion of branch network ?
V. P. Nandakumar: So, the Rs 48 crore was the accrual over the last 15
years. So we have employed many other measures including
different agencies etc., for repayment and that is the end
result. It h as been brought down now to around INR14 crores
from INR48 crores and we have in formed RBI about that and
we hope that we'll get permission to open more branch es with
this. We continue our efforts and we are able to reduce by
around INR2 crores every quart er.
Pratik Kothari: And my last question on MFI. Can you highlight what are the
issues that we are seeing in Punjab and Rajasthan is affecting
our profitability. And I believe this is also affecting our
growth because at the beginning of the year, we had e xpected
much faster growth, which is not coming. So is it specific to
Punjab and Rajasthan Or is this something else?

V. P. Nandakumar: And so now you'll see a considerable improvement in the business in the coming quarters as well as improvement in the co llection efficiency. We are seeing that now.
Moderator: Thank you. Our next question is from the line of Rohit Shah with Ladderup Wealth Management. Please go ahead.
Rohit Shah: Hi, Thank you for the opportunity. I think all my questions have been answered . Thank you.
Moderator: Thank you. Our next question comes from the line of Gaurav from Capital Farming Consultants. Please go ahead.
Gaurav: I have 2 questions. First is in terms of our capital allocation strategy. Manappuram Finance is a parent entity. Now since we are in a way, bringing the IPO of Ashirvad Microfinance. So capital department of Ashirvad Microfinance will be funded so the money that you raise by the IPO and whatever way in that Ashirvad will require? So now c onsidering in Manappuram Finance on a quarterly basis, earnings were around on the back, INR400 crores to INR425 crores , which has been the trend for the last 3, 4 quarters.
That translates into somewhere around INR1,600 crores to INR1,700 crores annually right? And our capital adequacy is currently approximately 30%, 31%. So to improve our return on equity, what would be the capital allocation strategy of management? Is it in terms of giving more money back to shareholders, doing buybacks because growth I don't think so we are targeting around 20% to 25% annual growth in the

stand -alone Manappuram Finance. That is the first question on the capital allocation strategy.
Second thing, Looking at the shareholding pattern of Asirvad Microfinance, which has bee n disclosed via the papers, which have been filed with CD, it has been noticed that the promoters of Manappuram Finance got an opportunity to get shares in Asirvad Microfinance in their own names, with the names of the Manappuram Finance. So in terms of co rporate governance practices that retail shareholders or the institutional shareholders haven't got any opportunity to participate in having shares of Ashirvad Microfinance, whereas the existing promoter of Manappuram Finance got an opportunity to get shar e at a dirt cheap price in Asirvad Microfinance, which will get valued at a much higher price than the company at least. These are my 2 questions for which I would expect an answer from

the management.
V. P. Nandakumar: So, the capital allocation strategy policy is designed in favour of secured lending. So for us, the only unsecured lending is microfinance. So for unsecured lending, our total capital allocation plan is around 10%. So , we have done that. And the company has a capital adequacy of around 24% now. See, then we are preparing ourselves for the IPO and with that IPO the company will be able to carry out its operations. The second thing is the promoters of Manappuram Finance are not participating in any pre -IPO capit al investment. Regarding institutional investors, the decisions will be taken at appropriate time.

Gaurav: Sorry, sir, but I think the shareholding pattern, which has been disclosed as part of the DRHP . In that, it is clearly seen that at the time when the Manappuram Finance acquired the shares of Asirvad Microfinance in various rounds. At that point of time, the promoters of Manappuram Finance also acquired the shares of Asirvad Microfinance. I'm not saying right now in the pre -IPO round, but in erstwhile rounds.
Manappuram Finance was acquiring the shares of Asirvad family, promoters of Manappuram also acquired shares of Asirvad that was the question. And in terms of the capital allocation, I was talking about at the parent level because at parent level, you will be getting a lot of positive cash flow, I would say, in terms of profitability at the Manappuram level. At that point of time, how you are planning to invest that money judicially so that the return on equity is improved, which is hovering at 15% to 16% now. Any plan to take it to 20% or more than 20% kind of levels? Those ones were specifically the questions.
V. P. Nandakumar: See, the promoters of Manappuram Finance parent company acquired out of the shares abdicated by the original shareholders. So whatever is the shortfall at the time of this rights issue has been a cquired by Manappuram promoters. The second thing, it's a higher capital adequacy. And as you see, as a shortage of effectively using the capital, so we would leverage the success etc. So , what is most important for the shareholder is good ROE, 20% ROE on a sustainable basis, is it not a good ROE ? Then how to use the capital? We are

expanding to non -gold secured lending also, MSME, vehicle etc. As I said, these businesses are alloca ted where we have around 40,000 customers visiting our office, 40,000 to 50,000 customers visiting our office.
So, distributing these l oan products also is an advantage for us as our branches are visited by a large number of customers. And because of thei r needs only, we have expanded this business laterally. So , as of now, our 20% of the gold loan branches are only utilized for the distribution of these non - gold secured products. So , we are expanding our footprint to other branches also slowly. So , we hop e we will be able to improve upon the capital utilizers. Going forward at the same time, as you said, we are giving back also by improving the dividend quarter -on-quarter.
Moderator: Thank you. Ladies and gentlemen, we take our next question from the line of Jigar Jani with B&K Securities. Please go ahead.
Jigar Jani: One data -based question. In the Vehicle Finance, what would be your collection efficiency?
V. P. Nandakumar: The GNPA there is around 2.9% and we will be able to maintain that below 3% going f orward also. The collection efficiency is 100 percentage in certain regions . And for us, we have given a lot of emphasis for CRM. And around 77% of these are collected through the NACH . And balance 23% only we need to employ the field staff for collection. We have strengthened that also now. So , we hope we can improve upon

the asset quality. That is what we are trying to do. Even now if we look at our asset quality is better than the peers.

Jigar Jani: The other income in the quarter was sig nificantly lower, almost 24 million, if you look at Q3 it was about 176 million and even last year it was 130 million. The one -offs captured in this other line on the consolidated numbers?

A. L. Bindu: So, the bad debt recovered is what we have included in that. So, depending on the write -off, immediate quarters we will get a higher amount of collection. That is what we are saying.

Jigar Jani: Okay. And lastly, just circling on the credit consolidated basis. Any guidance on that one?

A. L. Bindu: Not for th is quarter, like all of higher credit cost , micro - finance business it is almost 1.8 million but once we improve the collections because the majority of the credit cost is coming from microfinance only in the standalone it is only INR28 crores. So once we i mprove the microfinance collection, this will come down where we were talking about in 1.5% is credit cost once we im prove the collection efficiency , this will be in similar range.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question -and-answer session. I now hand the conference over to the management for the closing remarks. Please go ahead.

V. P. Nandakumar: Thank you all the participants. If there are further queries or any clarification of our statements, so we are

always available . We welcome you for any queries on this result. Thank you.

Moderator: Thank you. The conference of Manappuram Finance has now concluded. Thank you for your participation. You may now disconnect your lines.

Call: Aug 2024

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20.08.2024

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Dear Madam/Sir

Sub: Concall Transcript of the Q 1FY25 Results Conference Call held on August 13 ,2024
With reference to the above, kindly note that the transcript of Q 1 results Conference Call held on August 13,2024 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/investor -call

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

"Manappuram Finance Limited
Q1 FY '25 Earnings Conference Call "
August 13, 202 4

MANAGEMENT : MR. V P NANDAKUMAR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE
LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAVEE NDRA BABU – MANAGING DIRECTOR ,
ASIRVAD MICRO FINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL
OFFICER – ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND
EQUIPMENT FINANCE – MANAPPURAM FINANCE
LIMITED
MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER –
MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER –
MANNAPURAM HOME FINANCE
MR. BASAVARAJ SHETTY – SENIOR VICE PRESIDENT
AND HEAD IR - ASIRVAD MICROFINANCE

MODERATOR : MR. SANKET CHHEDA -- DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Earnings Conference Call of Manappuram Finance hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for yo u to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the co nference over to Mr. Sanket Chheda from DAM Capital. Thank you, and over to you.

Sanket Chheda : A very warm welcome to all of you to Manappuram's Q1 FY '25 Conference Call . We have with us the entire management team today, starting with V.P. Nandakumar, wh o is MD and CEO; Sumitha Nandan, who is ED; Bindu A. L ., who is CFO; Mr. Raveendra Babu, who is MD of Asirvad Microfinance; Rajesh Namboodiripad, CFO of Asirvad MFI, Basavaraj Shetty, Senior VP and Head IR; Kamal Parmar, Head of Vehicle and Equipment Finan ce; Suveen, who is CEO of Manappuram Home Finance; and Robin Karuvely, who is a CFO of Manappuram Home Finance.

Without further ado, I'll hand the call over to Mr. V.P. Nandakumar for his opening remarks. We will follow that with question and answers. Over to you, sir.

V.P. Nandakumar : Thank you. Good evening, ladies and gentlemen. It is my pleasure to welcome you all to this conference to discuss the first quarter FY '25 financials. Amid global uncertainties and geopolitical conflicts, our c ountry remains a standout poised to achieve a sustained real GDP growth rate of 7%. Against this backdrop, I present our Q1 financial results.

At a macro level, forward -looking economic agenda and political stability create a conducive environment for building Viksit Bharat by 2047. Several initiatives outlined in the union budget are expected to have a multiplier effect on the economy. The affordable housing scheme , incentives for first -time employees , measures to enhance s kills and student' s internships in the top companies will all boost employment and income, leading to increase d job creation and sustained aggregate demand.

Despite a slowdown in economic activity due to general elections during the quarter, our company achieved a substantial growth in both AUM and profit. I'm pleased to report a net profit of INR557 crores, an improvement of 11.7% year -on-year, driven mainly by the profitability in our gold loan. The stand -alone AUM stands at INR31,035 crores, gr owing by 20.6% year -on-year. With a consolidated AUM of INR44,932 crores , it is an increase of 21% over the same quarter last year. Our gold AUM reached INR23,647 crores, an improvement of 14.8% over the same quarter last year and 10% sequentially.

You may recall that I have been promising just this kind of a growth in our gold loan for full year. Our gold holdings increased during the quarter, despite heightened competition. As you know, the union budget slashed the import duty on gold from 15% to 6 %. As a result, there is an expectation that domestic gold prices may see a moderation leading to higher retail sales . Though this does not have any direct correlation with our business, an increase in volume of gold with households would be positive for our business since gold loans are the go -to sources for people to meet their emergency financial requirements.

Coming to the non -gold segments, our microfinance subsidiary, Asirvad, posted an AUM of INR12,310 crores growth, showing a growth of 21% year -on-year, and a profit of 100 crore . As in previous quarters, our vehicle finance business continues to show the highest grow th, recording 63.4% increase year -on-year with an AUM of INR4,541 cr

ores, followed by home loans with an AUM of INR1,587 crores, recording 32% increase over the corresponding quarter of FY '24.

We are closely monitoring the affordable housing segment. It has significant potential. Our non -gold business es now account for 47% of the total portfolio. It is true that there is an industry -wide trend of collection challenges in these sectors. We have not been immune to such challenges. But in our case, these are restricted to certain regions .

A close examination has shown that climate challenges, such as floods and heat waves affected the optimum function of establishments. And this in turn c aused delay in repayments. We are taking all possible steps to identify the bottlenecks and increase collection efficiences. Going forward, we also plan to focus on secured lending in the non-gold verticals. Overall, we are well capitalized as per the industry norms with an asset quality in the stand -alone book contained below 2% and consolidated ROA of 4.5% for the quarter. For a more comprehensive review of

our financial performance, I now hand the floor to CFO, which is Bindu A. L.
Bindu A. L : Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us for the discussion on the financial s for the quarter ended June '24. Restrictions on disclosing Asirvad financial numbers continue as the IPO is in progress. Coming to the performance, our consolidated AUM for Q1 FY 2025 was INR44,932 crores, representing 6.8% sequential growth and 21.2% Y -o-Y growth. This is with a strong growth in gold loan book. Consolidated profit a fter tax was INR556 crores, which was down by 1.2% sequentially and up by 11.7% Y -o-Y. ROE on a consolidated basis was 19 percentage and ROA 4.5%. Standalone GNPA was at 1.96% versus 1.93% during the previous quarter.
With regard to liquidity, cash and cas h equivalents was at INR5,383 crores on a consolidated basis and undrawn bank line was INR3,530 crores as on 30th September. Our CP exposure is only 3% in the stand -alone entity. Borrowing cost has gone up by 18 basis points. As you may be aware, we have r aised US $300 million from dollar bonds in May '24 for business growth.
The gold loan AUM stands at INR23,647 crores, up by 9.11% Q -on-Q and 14.8% Y -o-Y. During the quarter, we were able to add 4.21 lakh new customers and the number of outstanding customers has gone up to 24.5 lakhs from 23.76 lakhs. Online gold loan book stands at 70% of total AUM. And standalone profit after tax is INR440 crores, up by 2.9% sequentially and up by 15.7% Y -o-Y.
For Asirvad , our Microfi nance subsidiary, the AUM stands at INR12,310 crores, including gold loan AUM of INR1,016 crores ; Q-on-Q growth up by 3.6% and 21.4% Y -o-Y. PAT was INR100 crores versus INR102 crores in Q4 FY '24, which is marginally down 1.8% and Y -o-Y 10%. Net NPA stands at 1.36%, and the CRAR currently stands at 21.81%. Coming to Vehicle Finance, we have reported an AUM of INR4,541 crores, which is up by 10.5% Q -on-Q and 63.4% Y -o-Y. The GNPA stands at 3.6% and the AUM comprises of commercial vehicles at 56%, passenger

vehicles at 28% and 2 -wheel ers 16% of total vehicle finance. The home loan business comprises INR1,587 crores, which is up by 5.2% Q -on-Q and up by 32% Y -o-Y. This s ubsidiary reported a profit of INR 6 crores during the quarter, and the GNPA at 2.88%. Home f inance AUM comprises of home loan of 72% and la nd book of 28%.
Loans to MSME and Allied at INR2,946 crores with a disbursement of INR311 crores during Q1; GNPA 2.7%, excluding digital personal loan. And this portfolio is largely secured. On lending AUM sta nds at INR916 crores with a dis bursal of INR95 crores and the ROA on this book is around 3.6%. Considering the consistent earnings, Board has declared an interim dividend of INR 1 for this quarter. Our capital position is strong at a CRAR of 29.6%. Ne

t wort h
was at INR12,020 crores and the book value is INR142.02. Thanks. Now we can go for the Q&A session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Adarsh from Enam Holdings. Pleas e go ahead, sir.
Adarsh: Congrats on the good numbers. I have two questions. The first is on the gold book. After a very long time in the last few quarters, we are seeing some decent customer additions. So just wanted to understand , what have you done for this trend to change the customer growth after many years. So that and have you benefited from the ban on a competitor? And the second question is, many MFIs have reported their first quarter numbers, things seem quite tough for the sector now. Our Asirvad numbers seem okay. So I just wanted to understand what are you seeing on the ground on the MFI business?
V.P. Nandakumar: Okay. Adarsh, about gold loan, what has happened is that demand from our target audience went down. And after that, it started coming, that's why the number of customers also ha s increased. So we have not done anything different from whatever we have been doing. But the demand ha s gone up. Our average ticket size remains around INR70,000 to INR75,000. From that class of customers, the demand started coming in. The ban on competition, I don't think the effect is significant . Because even if it is there, it is getting distributed to so many players. And many of these are going to banks . Basically, the customer requirement has gone up. The demand for working capital, etcetera has gone up. About Asirvad, we are in the IPO and DRHP sta ge, but in the sector, yes, what you have said this right. There are some challenges in collections because of farmer agitation in Punjab , general election , etc. And connected with that, there were some rumors spread about non -waivers. More than these two, because of the climatic conditions such as heat wav es, that has led to some of the establishments to close for so many hours of our business, that has lead to the decrease in collection. As you know, the sector also has some cyclical challenges.
Moderator Ladies and gentlemen, please hold while we reconne ct the management line.
Bindu A. L : Sir, you got the answer?

Adarsh: Yes, ma'am. Just a follow -up, sir. On our customer growth, what is your expectation now? Do you expect that, unlike the last three to five years when we didn't have customer growth, we would get back to having some 5%, 7% customer growth?

V.P. Nandakumar: It is slowly growing. So before COVID, we were growing at around 10%, 15%. Demonetization had some impact. Then after that, we have come back. So I have been maintaining that this year, we may grow 12% -15%. Judging from the current trend, we hope we may grow around 15% this year. The re will be growth in the number of customers also.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead Sir .

Piran Engineer: Congrats on the quarter. A few questions. Firstly, this INR20 crores exceptional item. Why have we added it to our profits instead of deducting ? I didn't get that logic in the stand -alone financials?

Bindu A. L: This fraud is on account of unauth orized access by our subsidiary employee. And as it is an outsourced vendor, we are in the process of recovering from the subsidiary as it is committed by the subsidiary . So, the loss is already factored in our financials over the years. And now this is coming as an income to the quarter financials.

Piran Engineer: This is like some insurance income?

V.P. Nandakumar: Consolidated, there is no difference.

Piran Engineer: So in the consol numbers, this INR20 crores is part of the opex?

Bindu A. L : So this IN R20 crores, in consol, this will be a group adjustment because in a subsidiary, this i

s

booked as an expense, claims payable. And in the main entity, it is booked as a receivable. So in group adjustment and in the consol, only the tax impact. Because in Ma nappuram Finance the tax liability is there, but in the subsidiary, there's no tax. So in consol, no tax impact . In Standalone, it will be of INR 4 crores. .

Piran Engineer: Sorry, Bindu, I'm confused. The employee has done a fraud of INR20 crores, but there is no impact on the financials?

Bindu A. L : Yes. Because this person has done the adjustment from the interest income and it is already factored in the financials over these years.

V.P. Nandakumar: With regard to collection challenges, places like P unjab, Gujara t, Rajasthan, Madhya Pradesh, these are the main states. While saying so, I wish to add one more thing. In these places also , there are branches which are showing good collection. So all the branches in these states are not affect ed. Some places where heat wave conditions were more, or farmer agitation was more, there were issues . And spread of false news like farm loan waiver , loan waiver etc also had its impact . Now having seen that the rest of loan waiver and good monsoon etc, hopefully, as we have witnessed in the past, these may slowly come back.

Piran Engineer: Okay. And what is our portfolio in these states, sir?

V.P. Nandakumar: Whatever is disclosed in to the public domain only can be discussed because of our constraints of DR HP.

Bindu A. L : Sir, these a re not our main concentration. But the states where we face the se issues are not where we have big presence.

Piran Engineer: Okay. Okay. Fair enough. And lastly, on slide 18, you mentioned that you've taken some cost rationalization measures for the gold loan business. So can you just elaborate on that, please?

Bindu A. L : It is for cost rationalization. What we were discussing as the gold loan brand set up or those costs are fixed. Additional business will help us to reduce the opex.

Moderator: The next q uestion is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: Congrats on good numbers. I've got a few questions on the gold loan business. So we are talking about demand having increased for gold loans. But when I look at the customer acquisition number or volume, it is 4.2 lakh customer acquired in Q1. And it it is pretty similar to Q4. Q4 was 4.1 lakh customers that we had acquired. So it doesn't show up in volume. And the math behind the gold customers growing by 4% Q -on-Q. Because when we had a similar addition in the previous quarter, the customer base did not grow as much. So was it that auctions were zero? Or was it that releases of the gold pledged were much, much less in the quarter?

Bindu A. L : So the life...

Managemen t: Partly from the new customer s, what we feel that 4.2 lakh is new customer s number only. But apart from that existing customers have also started coming back. And on the auction side, last quarter only the auction is there. But that is not the exact reas on for this. Existing customers also

come back for some...
Rajiv Mehta: Can you share that number? Can you share that number of old customers reactivating in this quarter? And what was it in the previous quarter?
V.P. Nandakumar: We will let you know becau se these details are not there. The new customer acquisition remains the same, but the customer base has gone up.
Rajiv Mehta: Understood. Understood. And this increase in ticket size, average ticket size by 6% Q -on-Q. Can you explain this? I mean, is it more driven by the LTV headroom being availed by some of the existing customers basis their incremental need for money. Because I also see LTV going up. Or is it also driven by the fact that the customer mix has changed that you acquired slightly more higher value customers. What has kind of driven this increase in tic

ket size on Q -on-Q basis?
V.P. Nandakumar: The details we have.. .
Management: It is a mix of both. One is that in LTV, some percentage increases and also the offerings also. About two lakh customers, percentage has increased from 33% to 35% during this period. So it's a mix of both.
Rajiv Mehta: Okay. So which is why your net yields on the gold loan portfolio has also come down from 22.5% to 22.2%?
Bindu A. L : Yes, marginal.

Management: Marginal decrease...
V.P. Nandakumar: In gold loan, the customers are coming, they are pledging gold – with the intention of redeem ing within a month to three months. The average life of the loan is around 100 days. They don't simply pl edge because the LTV is high, because they have a bunch of requirements. They come with the necessary quantity of gold just to have the loan of their requ irement . They are very clear that this should be redeemed. They are getting more money on the same amount of gold but it's not a big attraction for them to for an increased borrowing. Why? Because they are sure that they would redeem it.
Rajiv Mehta: And lastly, sir, what can be the likely impact of one of your competitors coming back or restarting their operations?
V.P. Nandakumar: Yes, yes. Let them come back. See, earlier, the old players didn't have a level playing field. Sill more than 65% of our loan s fall in the informal sector. This informal sector transition will happen. It is the natural process of transition which is happening now. Then again, as I mentioned earlier, India is importing 1,000 tonnes of gold every year. That means people have more gold with them to avail loans at the time of their emergency requirements.
Rajiv Mehta: And sir, this customer acquisition trend and this existing customer reactivation trends, which were very good in Q1, are they continuing in July and August as well?
V.P. Nandakumar: Yes. See, there will be some seasonal changes, some seasons will this happen . For instance the harvest season or school reopening reason will see increased demand. But compared to the same period last year, we see the demand is better.
Modera tor: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: The first question is more of a data question. What was the gold loan disbursements in this quarter? And what proportion of those gold loan d isbursements were top up loans?
V.P. Nandakumar: We don't have the details right now. So if you want, we can share it later.
Abhijit Tibrewal: Sure, sir. The second question, again, on gold loans was, sir, in the last question itself, you kind of referred to seasonality, which is typically there. So from what we understand, typically 4Q, 1Q -- 4Q and 1Q tend to be seasonally stronger quarters because of reasons that you yourself have explained multiple times on these earnings calls. Now 2Q, 3Q, I mean, just trying to understand, are we kind of heading into slower growth for the next two quarters before it kind of picks up again in 4Q?
V.P. Nandakumar: Yes, we feel like it will be slightly lower than the peak period which is over now. But still, the growth wi ll be there.
Abhijit Tibrewal: Got it. Got it. And then just one last question on micro finance. So while we touched upon some states where problems are there and we kind of attributed it to a lot of things, Punjab farmer agitation, general elections, rumo r about loan waivers, heat waves as well. So I mean there are MFIs who started acknowledging the problem of customer over leveraging that has happened.

So what is our view on this problem of customer over leveraging, which could lead to more stress in the coming quarters? And two related questions on microfinance only.

I mean in terms of the asset quality stress credit

cost in micro finance, are we kind of done taking
the hit? Or you think there are a couple of more quarters ahead? Because in this quarter a lso, we did an ERP transaction of almost INR200 crores in the microfinance business. So are we kind of going to be seeing that stress pan out over the next couple of quarters? Or do you think things will start improving from second quarter itself? And sir, lastly, if you can share that data on microfinance or you have started sharing about customers.

V.P. Nandakumar: We are in the DRHP stage. We have constraints in giving you all the numbers other than the published numbers. So the MFI industry has challeng es and I am talking something generally, as we cannot disclose more in our case because of obvious reasons. So some states, the heat conditions, farm loss, etcetera , was high. And thereafter, the rumo urs of loan waiver, also contributed . Because of the h eat wave also I am told the productivity loss happened . That is the challenge. And that is what is seen in the industry. As I said, these factors do not encompass the entire state s like Punjab, Rajasthan, Madhya Pradesh, Gujarat, where some parts of the st ates are doing pretty well.

So these are where these issues have impacted. And these issues the industry has seen in the past. And after realizing that the rumours were false and also because of the monsoon coming , people will come and repay because this m icrofinance is helping them to manage their cash flow to meet some requirements. History shows that when the problems were there, the challenges were there, their repayments are affected, but still situation gets back to normal .

Then coming to our leverag e, SROs guided us to ensure that our leverage is not promoted. They have said, yes, the maximum income per family to be kept at this thing and maximum lenders to be kept at this. And do you see that if you take our growth compared to some of the peers wher e the reports were already published, our growth was a little lower during the last quarter.

Abhijit Tibrewal: Got it, sir. And sir, just one last question for Bindu ma'am. But before that, sir, earlier during the call, you kind of guided for 15% go ld loan growth this year and the same number for growth in customer acquisitions as well?

V.P. Nandakumar: Yes, somewhere around 15 -plus percentage growth this year.

Abhijit Tibrewal: Okay. And sir, Bindu ma'am, now looking at where we are and the expectations that rate cuts might also start happening in the near future. How should we look at your borrowing costs going ahead?

Bindu A. L : Borrowing cost, at this stage, it is continuing at a similar level only. So , I think we are also expecting rate reduction, let us see, I think in September.

Moderator: The next question is from the line of Gaurav from Capital Farming. Please go ahead.

Gaurav : I just have a question on Asirvad Microfinance. It has been observed that the provisioning for bad assets has been increasing consistently, right? And similarly, it has been observed with the

other microfinance listed entities as well. There has been a significant increase in the spread assets across the category. So what's your opinion as management on how far it can go? Is it the peak of the provisioning? Or there is still some room, which we can see in the coming quarters that this provision can increase from there onwards?

V.P. Nandaku mar: Again I repeat because of the DR HP, we can not disclose beyond whatever is disclosed. But I'll tell you a few things, where Asirvad is better managed. We have an exposure of 10% of the total AUM. And then non -district, we have an exposure of more than 1% of AUM. The second thing, the gold loan also is coming to around 10% of the portfolio where you cannot expect, because that's why the regulation also has facilitated the non -gold lending that has been enhan

ced from
15% to 25%. So, we have 520 branches a s disclosed earlier.

And that's doing pretty well, along with the gold loan s egment. We hope because of the d e-risking like this, the company will be able to perform better compared to the peers . It is spread across the country in terms of geographical concentration . Second, gold loan will definitely support. Asirvad is unique as well as risk management is concerned.

Gaurav: Yes. And my second question is on the other segments other than the gold loan, like we are into the affordable housing finance, commercial vehicle finance. Now we are also talking about lending to the MSME, which I think in the last couple of annual report s also we have been mentioning, right? But lending to these segments require different skill set in terms of the underwriting team, recovery team, right, and the entire infrastructure.

So how Manappuram management is bringing in the expertise on the board right from the ground level to the mid - and senior management level? How you are ramping up those teams so that what you are talking in the annual reports as well as the quarterly goals is actually getting implemented on the ground also. So your views on t hat, please?

V.P. Nandakumar: Whether it is micro finance, or MSME, these are especially people who are exclusive for that from top to bottom. Their underwriti ng requirement, these are all Secured loan, if you take the MSME, the average ticket size is around INR 5 lakhs, INR 6 lakhs. So these are used by small businesses -- is around 7% only. That means 92%, 93% is collected by nearly presenting the NASH or check. The balance 7% we are collecting. So around 5%, we have unsecured lending to MSMEs. These are all small ticket lending up to INR 3 lakhs, INR 4 lakhs. Now we have reduced that further. And we gradually we will reach 97%, 98% . So we have a team for each of these. Our business model is slightly different.

These businesses are colocated along with the gold loan business, even though done by separate teams. So when there is so much of footfall by simply presenting some banners, etcetera . And we are acquiring a majority of our customers direct from them or through them in their communities, etcetera , etcetera . Thi s is a larger channelizing of customers. So that's why these customers have been with us for some time in gold loan. Now these are being done by a separate team who are really skilled in this regard.

Gaurav: Last question, if you allow me to ask. With resp ect to -- if it is not violating any guideline of Asirvad Microfinance listing. But there was some news that you have appointed a new CEO for

Asirvad Microfinance. And within a very short span of time, I think, CEO resigned. So isn't the IPO still getting delayed just because we do not have a CEO in place or is it something else?

V.P. Nandakumar: See, we have the MD in place. Yes. Just to support him, we appointed a CEO, who is a Mumbai based person. He has his family connections in Kerala. He thought of co ming over here just to support his aging parents. Then he has health problems. His family is in Mumbai, they have challenges. So this plan didn't work out as the family challenges were there. That's the reason why he thought of going back to Mumbai. The co mpany has MD, who is also the CEO.

Gaurav: Okay. Okay. But not having a regular CEO is not the reason of not going with the IPO listing. Because I think SEBI has given an approval, but there has been a significant delay in getting the company listed, right ?

V.P. Nandakumar: It is not because of that. There were other issues like the General election. Then the outcome of the election just after that, there were some uncertainty. So then everything has come back. Then we have started the road show. So this is how it is moving.

Moderator: The next question is from the line of Bunty Chawla from IDBI.

Bunty Chawla: First one on clarity. Sorry, I missed that. Gold loan group guidance, have you revised to 15% for the year -- for full year FY '25?

V.P. Nandakumar: Yes. So from the current, we expect the gold will grow, beyond...

Bunty Chawla: Okay. So for overall consolidated AUM growth guidance will be now?

V.P. Nandakumar: 15%. The others will grow in a similar way, other non -gold like vehicles affordable housing, etcetera -- during the first quarter...

Bindu A. L : Okay. Okay. And a few data points. One auction during this quarter and as well as it seems to be higher write -offs we have taken in the MFI portfolio. So can you share both the data, auctions and write -offs in MFI?

V.P. Nandakumar: MFI, whatever it is, can not be disclosed. Gold loan auction amount INR12 crores.

Bunty Chawla: And one more, what we have observed during this quarter, non -gold portfolio, vehicle financing, MSME and standalone, there has been an in crease in the gross NPA levels. Though I agree it's a seasonality, but if we compare on a Y -o-Y basis, there has been a huge rise in NPA. For example, MSME and personal loan, there has been almost doubling of the gross NPA numbers. Vehicle financing also on a Y-o-Y basis increased by 70, 80 bps. So any specific reason behind that? And how one should see next three quarters for these NPAs?

V.P. Nandakumar: The climatic conditions like heat wave affected the productivity of the people, the loss of working days has affected across all the sectors, particularly in the lower end of the pyramid. It doesn’t mean that they will not pay ; just that there is delay in some payments. So as I mentioned, in MSME etcetera , we have around 5%, 6% unsecured loans.

Bunty Chawla: So, can we say there should be a decline in NPA from Q2 onwards as these factors have been out of the picture now?

V.P. Nandakumar: Yes, yes, yes. Gradually, gradually. There will be some delay because the regular instalments plus old instalment need to p aid. So these are all genuine customers who have been paying promptly . The situation has change d -- they will come back slowly.

Bunty Chawla: And lastly, on the cost of borrowing, if we see it on a consolidated basis remains stable. But on a stand -alone basi s, there has been an increase in the cost of borrowings. So how one should see the cost of borrowing? Can we say that this 9% should move to 9.3% for stand -alone as well? And ultimately, what will be the margin impact then for us?
Bindu A. L : See the cost of run depends on the source of borrowing. During the quarter, we have done -- the maturity is 3.3 years. And that money, we -- as a diversification process and the also helping us to grow the business. So that is the reason it came at a slightly higher co st. So that is the main reason for the increase in cost of borrowing during the quarter. So we are now expecting it to go to 9.3% on the stand -alone level, and we are hearing about possible rate cuts should help us, but we are not seeing much change. It is currently running at a similar level.
Bunty Chawla: Okay. So we can say that margins at least should remain stable now?
Bindu A. L : Yes.
Moderator: The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.
Mohit Jain: I just wanted to know if you are looking at the different segments in which we are operating, the overall NPA has increased in all the segments apart from the MFI. Is it purely because of the fact that we have written o ff the portfolio?
V.P. Nandakumar: Yes. MFI, I cannot give you more details then saying that there were some challenges in some places, but we are spread across the country, North states have 10% -- more than 10% of AUM. No, district 1% of AUM. So this way we are spread across. But the other sector because of the heat waves and so many other con

ditions like farmer loan waiver, false messages such as farmer loan waiver -- general election, etcetera , has affected a loss in this. About rather MSME etc etera , it is because of the delay on account of the same reason. As I told you, yes, it is going to come down only because -- earlier, we have around 5% of unsecured portfolio in MSME. that is being reduced...
Mohit Jain: Is it principally like, obviously not asking for the figures, but principally, had we not written the portfolios in MFI? The NPA would have been slightly higher than what we have reported?
V.P. Nandakumar: MFI, w hatever is there, it is shown. It is a lready there. It is write -off.
Management: INR71 crores of write -off.
Bindu A. L : INR71 crores write -off.
V.P. Nandakumar: Whatever can be disclosed, INR71 crores write -off. It is already disclosed.

Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: A lot of my questions have already been answered. So I just had like one question, like on a broad basis, like I think we're seeing good loan growth and maybe stable cost of borrowing. So what kind of like ROA will we target like for the full year, sir?
V.P. Nandakuma r: So we are at ROA of 4.5 %. So we are bringing down the opex premium gradually because of the growth in AUM. It could come down. In the next one year, we hope that it will go down further, so that there will be an improvement in ROA. We are targeting 5% ROA. It takes a few quarters to reach that level.
Darshil Jhaveri: So it's a 5% ROA by end of the year, right?
V.P. Nandakumar: It could take another one year -- four, five quarters.
Darshil Jhaveri: Okay. Okay. Fair enough, sir. And at this point -- yes, yes. Fair enough, sir. And sir, just wanted to know like at least I think on the consol level, there has been an increase in provisioning. So I just wanted to like pick your brain like so you're saying the GNPA will decrease , but then -- are you seeing structure? This might be more sticky than you might be more provisioning or something like how would you see the credit cost going forward?
V.P. Nandakumar: The stand -alone book, it will gradually come down because as I mention ed, because of the climatic situations and other situations, whatever has been told after the bans, losses, etcetera , etcetera . So we believe that it has picked up with and it should come down eventually.
Moderator: The next question is from the line of Sh ubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: The first question is on the auctions that we have done in gold loan, what is the quantum of that? And what is the gold price per gram that we had in the quarter? And when we look at the AUM split, what percentage of AUM is less than INR 1 lakh, INR 1 lakh to INR 3 lakh and more than INR3 lakhs in first quarter? And when we look at the growth, sir, you mentioned that this really has come from one of the competitors going on so not competing. So what is the organic growth that we have had in this particular quarter from our own sources? And if we have the split of South versus non -South, sir?
V.P. Nandakumar: See these micro details would be sent to you. But I can tell you one thing. This competition, one of the compet itors among larger players have been banned for some time. They may come back. But as I told earlier also, when they come back, they will come with whatever guidelines have been issued by the regulator. Then we all will have level playing fie ld.

So when somebody does something beyond that, we are losing level playing field. Even when they come back, we welcome that. We will all have the same level playing field. We don't have much to worry. But this is mainly due to the demand from our target audience is slowly showing improvement. It is slowly getting back to the pre -COVID level

now gradually. That is actually
driving growth. . The other details, Mr. Mishra , we will share with you.

Shubhranshu Mishra: Sir, if you can give me the auctions and th e AUM split on the call, I'll come back for the rest, sir?
Bindu A. L : INR12 crores auction.
Management: Is up to INR 1 lakh is 42%; INR 1 lakh to INR 2 lakh, 23%; above INR 2 lakh, 35 %.
Shubhranshu Mishra: You are not audible, sir. Say that again?
Management: Up to INR 1 lakh, 42%; INR 1 lakh to INR 2 lakh, 23%; above INR 2 lakh, 35 %.
Bindu A. L : The price between two quarters has gone up by 5%. It was INR6,275 as of 31st March. And as on June, it was INR6,625.
Shubhranshu Mishra: So from last quarter, the average has gone up by 5%?
Bindu A. L : Yes.
Moderator As there are no further questions, I would now like to hand the conference over to the management for the closing comments.
V.P. Nandakumar: So thank you so much for the active participation in our investor ca ll. And anybody want that details about whatever can be disclosed, meaning Asirvad probably has limitation, other places, whatever can be disclosed, please feel free to ask, we are happy to share. Thank you.
Bindu A. L : Thank you.
Moderator: On behalf of D am Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Ref: Sec/SE/ 213/2024 -25
11.11.2024

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Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of India
Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM

Dear Madam/Sir

Sub: Concall Transcript of the Q 2FY25 Results Conference Call held on November 5 , 2024
With reference to the above, kindly note that the transcript of Q 2 results Conference Call held on November 5, 2024 has been uploaded on the website of the Company in the below Link .

https://www.manappuram.com/investor -call

We request you to take the same on record.
Thanking You.

For Manappuram Finance Limited

Manoj Kumar V R
Company Secretary

"Manappuram Finance Limited
Q2 FY'2 5 Earnings Conference Call "
November 05, 202 4

MANAGEMENT : MR. VP NANDAKUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. B.N RAVEE NDRA BABU – MANAGING DIRECTOR , ASIRVAD MICRO FINANCE – MANAPPURAM FINANCE LIMITED
MR. RAJESH NAMBOODIRIPAD - CHIEF FINANCIAL OFFICER - ASIRVAD MICROFINANCE LIMITED
MR. KAMAL PARMAR – HEAD, VEHICLE AND EQUIPMENT FINANCE – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. - CHIEF EXECUTIVE OFFICER - MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CHIEF FINANCIAL OFFICER - MANAPPURAM HOME FINANCE

Moderator: Ladies and gentlemen, good day and welcome to Manappuram Finance Q2 FY2 5 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal. Thank you and over to you, sir.
Abhijit Tibrewal: Thanks, Siddhant. Good evening, everyone. Tha nk you for joining the Q2 and H1 FY25 earnings conference call of Manappuram Finance. We have with us today the senior management team of Manappuram Finance and some of its subsidiaries represented by ; Mr. V .P. Nandakumar , MD and CEO ; Dr. Sumitha Nandan , ED; Ms. Bindu A.L , CFO ; Mr. B .N Rav eendra Babu, MD, Asirvad Microfinance, Mr. Rajesh Namboodiripad , CFO, Asirvad Microfinance '; Mr. Kamal Parmar, Head of Vehicle and Equipment Finance ; Mr. Suveen P .S., CEO, Manappuram Home Finance and Mr. Robin Karuvely , CFO, Manappuram Home Finance.
Now I hand over the call to Mr. Nand akumar and other members of the senior management for their opening remarks, post which we will open the floor for an interactive Q&A. Thank you and over to you, sir.
V P Nandakumar: Thank you. Good evening, ladies and gentlemen. It is a pleasure to be with you as we present the financial results for the second quarter of FY25. I thank you all for joining us today and I trust you have had a bright and joyful Diwali.
This year, the geopoli tical tensions have impacted the international markets, disrupted supply chains and increased the cost of essential goods worldwide .However, India shines through as a stable and growth -focused economy with projections for 7.2% real GDP growth in the curre nt fiscal. Against this backdrop, our company has demonstrated resilience and adaptability.
I am pleased to report a net profit of INR572 crores in this quarter. Our consolidated assets under management was INR45,716 crores at the end of the quarter, achieving a growth of 17.4% year - on-year and 1.7% quarter -on-quarter.
I would like to touch on the recent RBI circular on 30th September 2024 to further stre amline the practices on gold loan . Lenders have been instructed to review their policies and practices in this regard to identify gaps and implement corrective measures. We see these as good measures from the perspective of systemic stability and operational efficiency. The company is in the process of strengthening th e loan -to-value monitoring, renewal of loans after due dates and monitoring e nd use of gold loans. We are working with industry associations to adopt uniform practices across the sector and accept full implementat ion within the timeline of three months as per the circular Asirvad recorded an A UM of INR12,149 crores, representing 11 year -over-year growth as guided earlier, and as in the case of other players as well, Asirvad 's profitability has been affected by the decline in collections from certain geograph ies, resulting in higher credit

costs. To address climate -related disruptions affecting certain regions where we have observed collection challenges, we have increased our collection efforts and are implementing advanced tracking systems to improve the rec overy rates. These targeted efforts have already shown positive signs of increasing collection efficiency
.
As reported earlier, RBI has directed our major subsidiary, Asirvad Microfinance to desist from disbursement from 22 October '24, pointing out deficiencies in pricing policy, assessment of income and debt of microfinance borrowers, t

he purity differences at the time of disbursement
and auction, etc etera . While our interest rate was comparable, we have proactively decided to reduce the interest rate for the microfinance, which would be one of the lowest in the industry. We have also rectified all the deficiencies in our system to ensure correctly assessing the income of the borrowers, capturing and reporting of income and indebtedness of the borr owers from CICs etc. Asirvad has submitted the plan for compliance to RBI on 29th October 2024 .We are hopeful of lifting the ban on disbursement at the earliest. These changes may create additional opportunities for prudent growth . Our vehicle finance b usiness has an A UM of INR4,848 crores,

recording a 6.8% increase quarter over quarter, followed by home loans with A UM of INR1,691 crores, which is a 29.6% increase year over year.
Factors like above normal rates in many states such as ; Gujarat, Maharashtr a, Kerala, Telangana, AP, West Bengal and the MP, rising price of essential necessities migrates having to send higher amounts to home from their workplaces, stagnant price trips and fewer trips due to reduced demand coupled with highly leveraged farmers a nd self -employed have resulted in even prompt paying customers defaulting for the first time. The impact is seen higher in rural areas, which accounts for a sizable portion of our portfolio. We expect the repayments to improve from Q4 onwards as green shoo ts of improvement are starting to show up in Q3
We recognise the crucial role of micro, small and medium enterprises play in driving economic growth and innovation. We aspire to offer secured credit lines to MSMEs to enhance their business. Also, in Q2 our AUM of secured MSME sectors is INR2,443 crores.
Thank you all for your continued support and interest. Our focus will be on fortifying our core goal on business continued growth on all our secured lending business as we see the opportunities created by India's economic resilience and the positive reforms. We remain dedicated to our vision of empowering customers and stakeholders alike through good and sustainable growth and innovation.
For a more comprehensive review of our financial performance, I now h and the floor to our CFO, Ms. Bindu A .L.
A. L. Bindu: Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us today. Our consolidated A UM for the quarter stood at INR45,716 crores representing 1.7% sequential growth and 17.4 percenta ge Y -o-Y growth. And the consolidated profit after tax was INR572.1 crores, which was an increase of 2.8 percentage Q -on-Q and 2 percentage Y -o-Y increase. ROE

on a consolidated basis was 18.6% and ROA was 4.4 percentage. Stand -alone GNPA as on 30th Septem ber at 2.42 percentage versus 1.96 percentage. Cash and cash equivalents at the end of the quarter, INR4,939 crores, and undrawn bank line was INR3,432 crores.
Our CP exposure is 2.2 percentage and the standalone borrowing cost has gone up by 8 basis points during the quarter. On gold loan business, which constitutes 53 percentage of consolidated AUM. The AUM stood at INR24,365 crores, up by 3% Q -on-Q and 17.1 pe rcentage Y -o-Y. During the quarter, we were able to add 4.03 lakh new customers and the outstanding number of customers gone to 26.55 lakhs from 26 lakhs. The online gold loan book, 74% of the total gold loan book as on 30th September. And the standalone p rofit was INR475 crores, which is up by 7.8 percentage Q -on-Q and 13.1 percentage Y -o-Y.
Coming to microfinance business, the AUM stands at INR12,149 crores, including gold loan AUM of INR1,117 crores, down by 1.3 percentage Q -on-Q and up by 11 percentage Y-o-Y. PAT was INR75 crores versus INR100 crores in Q1 FY '25, this is down by 25 percentage sequentially and down by 36 percentage Y -o-Y, mainly due to higher credit cost. Net NPA at 1.9

9%, CRAR at 21.48 percentage.
Vehicle finance, the book at INR4,848 crores, which is 6.8 percentage Q -on-Q growth and 54 percentage Y -o-Y growth. Collection efficiency, 95% and GNPA slightly gone up during the quarter at 4.2%. And vehicle finance AUM comprises CV 49% and passenger vehicles 29 percentage , 2-wheeler 16 per centage and farm equipment is around 6 percentage of the total vehicle finance book.
Home loan, the book INR1,692 crores, Q -on-Q growth of 6.6 percentage and 29.6 percentage Y-o-Y growth. And the company reported a profit of INR6 crores during the quarter . GNPA at 3.28 percentage and the collection efficiency of 96 percentage.
` Loan to MSME and allied activities stood at INR2,963 crores, and with the disbursement of INR373 crores during the quarter. GNPA at 3.8 percentage and the mix of secured book is increasing considering the higher collections secured book. Our on-lending AUM at INR816 crores. And during the quarter, the disbursement is INR78 crores.
. The Board has declared an interim dividend o f INR1 for the quarter. Capital position remained strong with a CRAR of 29.22 percentage and the consol net worth at INR12,529 crores and the book value of INR148.
Thanks. We can now go for the Q&A session.
Moder ator: Thank you very much ma'am . Our first question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer : Congrats on the quarter. A few questions. Firstly, on Asirvad, what is the interest rate we are offering now? So you mentioned you have reduced it. So from what to what?
V P Nandakumar: So Asirvad is stopped from lending from 22nd of this month. But we have decided to reduce the rate. As we are not lending, we can't say that we are le ndng at this rate. But we have given the

assurance to RBI that our rate woul d be one of the lowest in the industry. And all of the requirements what was highlighted by the RBI has been fully complied. And we have submitted the report to RBI and we are expecting their inspection.

Piran Engineer : Okay. Okay. Fair enough. So also thi s sharp jump in the number of loan officers, Q -o-Q, you've added about 5,000. All that is essentially for collections, is it?

V P Nandakumar: Yes, yes. As you are aware, the sector faces challenges in particularly in certain geographies. So the collections -- the industry see a greater degree of the need of collection at the individual borrower's end, that is the industry scenario. So in this scenario, we need to increase. And we believe that all the companies, the sector itself is now very keenly organizin g group level meetings which has been disbanded over the period -- after this COVID etcetera, etcetera. So anyway, everybody is encouraging. Yes. So for the time being, we need more people for collection.

Piran Engineer : Okay. So then when we put this toge ther, NIMs will go down a bit, opex goes up, what sort of ROA are you planning for -- or in your business model, what sort of ROA do you have for Asirvad?

V P Nandakumar: See this -- when business was running at a net interest margin of 10% and making an R OA of over 4%. So then the recovery was over 99%, 99.5%. Now there is a change in the outlook of the lenders that has happened. And as the report said, for some lenders, there were as many as 15, 20 lenders. Now the SROs have taken the lead role in containing the total number of lenders, etcetera.

We'll go back to what was the scenario before liberalization that will bring down the credit cost, etcetera, to the previous level. At that level, we'll be able to reduce our opex because then the group le vel meetings, the -- collections at the group level meetings are re -established, that is what the industry is trying to do.

The opex will come down because the loan officers -- the accounts load will increase. So this will bring down the opex to a level

w hich was there before the liberalization, etcetera, etcetera, bringing a lot of credit discipline. So with this, we hope that the ROA reported for those days was around over 4%. We'll be able to go to that level in a few quarters.

Piran Engineer : Understoo d. And sir, just lastly, on -- you briefly touched upon the RBI guidelines regarding streamlining gold loan processes. So any sort of -- maybe you can just highlight what sort of an impact it has on your business in terms of maybe lower competitive intensi ty from fintechs? Or how should we think about that?

V P Nandakumar: Now the fintechs have many restrictions. So the fintechs which was earlier enjoying, some benefits will go. And all the lenders will have to follow the same guidelines, whether you're a bank or a nonbank. So this will definitely create a level playing field for the players. So we believe -- that will turn out to be an advantage for us and we'll be able to grow at the rate what we used to project at 12% to 15% annually.

So earlier the case of some of the b anks were lending at 90% LTV et c. Some nonbanks also were lending indiscriminately. So when the uniformity comes, the opportunities will be available -- almost fairly distributed.

Piran Engineer: Understood. Okay. Thank you sir and wish yo u all the best.

Moderator: Thank you. Our next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh : Hi, sir. Thanks for taking my question. I just had two data-keeping questions. One was if you could share the stand alone as well as Asirvad total ECL numbers for 1Q as well as 2Q. And second question was on the write -offs i f you could share the write -off in stand alone as well as for Asirvad for this quarter a s well as Q -o-Q and Y -o-Y numbers. That's all.

A. L. Bindu : Yes. So this is given in the presentation in the P&L breakup. You are talking about the impairment total for t he quarter, consolidated is INR260 crores these are in Page number 10. Q1 is INR 228 c rores

Kushan Parikh : Ma'am, I was asking for the stock of provisions, Stage 1, Stage 2 and Stage 3 stock of provisions for standalone as well as Asirvad for 2Q as well as 1Q?

A. L. Bindu : Okay. I will come back to you later.

Kushan Parikh : Sure.

Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from Yes Securities. Please

go ahead.
Rajiv Mehta : Hi, good evening. Congrats on a good quarter. Sir, I have a few questions. Sir, you spoke about the September 30 circular of RBI. Now post t hat have you changed any practice on the ground with regard to our operations in gold loans, say in particular in the practice of rolling o ver loans at the end of the tenure with only part payment or even valuing you in the overdue loans or issuing a fresh loan to overdue clients? Has there been any change in any factors on the ground since that circular?
V P Nandakumar: See, if you're asking me about gold loan we have in Q1 time line up to December for ensuring compliance of whatever has been asked by the r egulator for compliance. So we are fully geared of the matter and we have set our machinery right in implementing all these well on time. So whatever the practices the regulator wanted -- the regulatory entities want to follow, we'll be fully complying wit h that well before the deadline.
Rajiv Mehta : Okay. And incrementally for fresh g old loans or even in case of renewals, are we offering o r going up to 75% LTVs o r are we calibrating LTVs because gold has run up pretty sharply. So are we trying to build in more margin of safety in the new LTVs in case of fres h loans or in case of renewals o r we are still comfortable going up to 75% LTV on the current price?
V P Nandakumar: The industry association is taking up the matter with the regulator. And they have sou ght the appointment with the

deputy governor and the senior supervisory officials at the RBI. And we'll

hear and imp lement an understanding. We will try to embrace upon them wit h some practical challenges, et c. We hope they will appreciate -- whatever is t he practical challenges. Then upon hearing them, the industry will take a call based on the comfort of the regulator to implement this. So it will be unified.
Rajiv Mehta : Yes. Just one last question on customer base growth. Sir, the customer base growth h as been pretty healthy in recent quarters. The customer acquisition has also been running at a good pace. And now with IIFL coming back since September end, now in October have you seen any change in the customer acquisition run rate or in the customer bas e growth because of IIFL's return?
V P Nandakumar: So IIFL's return is only a welcome feature because as the industry should have a sufficient number of players to replace the unorganized lenders who control around 65% of the gold loan AUM. So what is most important is uniform fair practices. So that is what we look forward. As they have come with the policies as mandated by the regulation, we don't see much challenge with regard to - as far as competition is concerned. -- Even when there is a level playing field, there are opportunities for growth.
Rajiv Mehta: Okay. Thank you and best of luck.
A. L. Bindu : So before moving to the next question, to answer the earlier participant's question on the provision. In MAFIL provision at INR 91 crores and Asirvad IN R270 crores is the outstanding provision as on 30th September.
Moderator : Thank you ma'am. Our next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.
Bhaskar Basu : I had a couple of questions. So firstly, what is the Tier 1 capital at Asirvad ?
A. L. Bindu : INR2,250 crores.
Bhaskar Basu : And just what would this be in terms of percentage of risk -weighted assets?
V P Nandakumar: That is 17%.
A. L. Bindu : 17%.
Bhaskar Basu : So what levels of capital Tier 1 would you think of a capital call from the parent in case you have -- you continue to see stress?
V P Nandakumar: We'll be maintaining Tier 1 somewhere around this level, 15% to 18%.
Bhaskar Basu : And what has been th e response of lenders to this whole ban? Are they asking you to put capital?
V P Nandakumar: So yes -- the lenders have not shown any discomfort because they understand what is sort of et c and they are hopeful about we meeting th eir regulatory expectations , etc. And they understand the compa ny has sufficient liquidity, et c and as and when required, they know it is backed by its parent which has got su fficient liquidity strength, et c. So lenders don't show any discomfort.

Bhaskar Basu : Especially given that the MFI book will continue to run down and these are unsecured loans.
V P Nandakumar: Yes, we'll be able to meet all the repayment obligations on time.
Bhaskar Basu : Okay. The second question was on the RBI circular. So basically, what are the key areas wh ere you think changes may be needed? And specifically on the issue of rollover of gold loans before

maturity, is that something which you think RBI is concerned about? Obviously, they've kind of...
V P Nandakumar: Yes, yes. They have issued a few guidelines, etcetera. So the association is taking up with the regulators. Next week, we are meeting deputy governor, etcetera. In some of the areas, there are some practical challenges which we will bring to the attention of the authorities of the RBI. An d whatever they want after the discussion, they insist upon, the entire sector will comply with. And that will make the sector only healthy. It's not going to destroy the sector. Confidence of our stakeholders will increase. And I firmly believe that it wi ll turn out to be good

for the industry.
Bhaskar Basu: Understood. Sir, just a clarification. I mean, I've seen the circular. So while the rollover issue seems to be more at maturity. But are you also kind of seeing that rollover before maturity, which is generally done is also an issue which RBI is kind of looking at?
V P Nandakumar: Yes, yes. These are the areas we see clarity from the RBI. We will bring to their attention about the challenges faced by the poor customers at the field level, customers diff iculty, etcetera. These are mostly from the lower end of the pyramid to the bottom of the pyramid. So the difficulties and how emotionally they are connected, etcetera. This will be brought to the notice of the regulator. And the association is hopeful tha t some of the practical challenges seen in the directions will be addressed.
Bhaskar Basu: And just a clarification on the proposed MFI yield or the reduction. I missed that number. I mean what was it earlier and what...
V P Nandakumar: Yes. it was 24%. So we are meeting RBI -- and we have met RBI and given assurance because we are not lending as we are asked to stop lending on 22nd of October onwards. And we have told them a number which is very comfortable as we feel it before the RBI. And we believe that it will be comfortable to the regulator. It will be one of the lowest in the industry,
Bhaskar Basu: Okay. And did you quantify the number? I mean, I just wanted to clarify, I mean, in the initial comments, you mentioned something or...
V P Nandakumar: Yes, yes. What I told this, it will be one of the lowest in the industry.
Moderator: Our next question is from the line of Sanket Chheda from DAM Capital. Please go ahead.
Sanket Chheda : My question was to Bindu ma'am regarding one earlier question. So the data point that I wanted to know is that in case of MFI, what was the overall provisioning, that is Stage 1, 2, 3 put together? And at the consolidated level, what was the overall ECL provisioning this quarter versus last quarter?

A. L. Bindu : So our LGD is around 50 percentage. So on the Stage 3, which is given, it is 50 percentage of the provision. So as on date, it is INR270 crores. This is only -- this is the total provision outstanding in the books. This includes all 3, Stage 1, 2...
Sanket Chheda : Stage 1, 2 and 3 is?
A. L. Bindu : INR270 crores is Stage 3.
(34.20) : INR39 0 crores, yes. Total provision is INR39 0 crores.
Sanket Chheda : And this was last quarter?
I'll just come back.
Sanket Chheda : This is MFI business , right?
: Yes, yes. That is for the whole of Asirvad.
Sanket Chheda : Okay. And just wanted to know on the consol basis also whenever you can fetch that number that will be helpful. And the second is -- how is MFI Stage 2 moved in this quarter ?
: It was not clear.
Moderator: Hello, Mr. Sanke t, your voice is not audible.
Sanket Chheda : So, I'll just try one last time. So I just wanted to know MFI Stage 2 in percentage terms this quarter versus last quarter?
: It was 2.6% this quarter. Earlier, it was 1.7%.
Sanket Chheda : Okay. Sure, sir. And t he overall ECL provisioning number would be helpful, whenever you can provide that.
: It is INR39 0 crores.
Moderator: Our next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi : So my first question was on microfinance. So, could you please share the par 0 number and also a data point wherein Asirvad plus co -lenders sort of a number for us in the book?
A. L. Bindu : So, in Page 23, Stage 1 is 93.3% and Stage 2 is 2.6% and Stage 3 4 .5% as on 30th of September.
Shreepal Doshi : Sorry, ma'am, I didn't get it.
A. L. Bindu : So, in Page 23 of the slide, we have given the Stage 1 at 93.3% and Stage 2 - 2.6%.
Shreepal Doshi : But PAR zero would be like what?
A. L. Bindu : PAR zero will be 92 %.

Shreepal Doshi : I will take this -- I'll take up this question later on ma'am -- the other question was on the LTV. So, this quarter, you've seen that the gold LTV has come off to 58%. And in one of the diversified lenders who is also in the gold finance h ad highlighted that the regulator has asked them to maintain 75% throughout the lo an tenure. So is 58% decline from 62% is in that direction? Are you also trying to require the same strategy?

V P Nandakumar: No, no. It is not because of that the gold price has gone up and many customers have not taken only LTV of 75%, regarding the other thing, as I told earlier, the association is meeting the RBI at the top level, Deputy Governor and others to discuss some of the practical issues, etcetera, etcetera and we want to seek clarity and bring to their attention the difficulties that would be faced by the poor customers when we implement some of these directions, etcetera. We hope that they would understand that and made it a little more practical and whatever the regulatory requirements, we are committed for full compliance of that to the industry itself.

Moderator: Our next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Sir, in the gold loan business, this quarter, the growth was a bit soft, given that the gold price has been pretty strong. What is the reason for a softer growth in this quarter on a Q -on-Q basis in gold loan? And what is the guidance for gold loan growth for the full year?

V P Nandakumar: It's a seasonal effect. There were even many festival. And the requirement during this period used to be a little dull compared to the other peak seasons. So we have already given the guidance of 10% to 18% growth in gold loan and we are hopeful of achieving that.

Nidhes h Jain : Okay. And sir, second is on the microfinance side, how are the collection trends in the month of October versus quarter 2? And how -- what is the guidance on credit costs for the full year?

V P Nandakumar: So it's similar to the industry. So there is some stress in some geographies and added to that, some festivals then in some natur al disasters in some states, et c. This has its impact. Yes, this is the industry scenario. And yes, we are not different with regard to the collection with the industry. So it would be going as per the industry.

Nidhesh Jain : Sir, if you can quantify the number, what is the collection efficiency let's say, on ex bucket in Q2? And w hat was that number for October that would be useful?

V P Nandakumar: So that has to be work ed out.

Nidhesh Jain : Okay. And the guidance for the credit cost for the full year in microfinance?

V P Nandakumar: Yes, it should be on the higher side , because now we are not able to fully estimate because many of these things, the industry has come out of that natural disasters like heatwaves, then abnorma l monsoon and the festivals, et c. These are all cooled down. We hope things will improve going forward.

Nidhesh Jain : Okay, that's it from my side. Thank you.

Moderator: Thank you. Our next question is from the line of Raghav Garg from Ambit Capital . Please go ahead.

Raghav Garg: Hi, good evening and tha nks for the opportunity. I just have a few questions on your digital personal loans. I was reading through the presentation, it's ma inly given to the existing gold loan customers. So I wanted to understand what is the overlap between the digital PL customers and the gold loan customers?

V P Nandakumar: See, we have decided not to grant any digital personal loan to gold loan customers u ntil they close the loan. So there is enough system control.

Raghav Garg: And this is -- or this was applicable since when? Or it has been the policy since the start of investment initiated businesses.

V P Nandakumar:

This was raised by the regulator in th eir inspection and immediately thereafter, we have stopped it.

Raghav Garg: Sir, when was that?

V P Nandakumar: So this is -- during the last inspection, which was concluded in September.

Raghav Garg: Understood. That's also my side. Thank you.

Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities . Please go ahead.

Nischint Chawathe : Thanks for taking my question. It was actually on RBI observations. If you could just kind of clarify and help us understand what were the observations made by RBI in the microfinance business as well as what was the commentary for the gold business?

V P Nandakumar: See, I have already mentioned about that in my opening remarks, one was the pricing policy. The second was assessment of income and debt of microfinance borrowers. Third, the purity

difference of gold at the time of disbursement and auction. These were -- for now these are fully controlled in the system. This will not recur for pricing also, we understand t he requirements. So we understand we cannot be an outlier in the net interest margin. We have committed that we address that in all future disbursals if all those system controls put in place, etc. We have submitted our reply to RBI and we are awaiting for their inspection.
Nischint Chawathe : And for the parent gold loan company?
V P Nandakumar: For the parent gold loan company, gold loan also -- they h ave issued certain guidance, et c.-- guidelin es, et c. As I mentioned, this to the -- as I told the earlier speakers. So the industry has some concerns about some practical challenges in implementation which are affecting the customers at the bottom line very much. So we have sought and got that appointment with the Deputy Governor and others. The association is meeting them next week. Based on that, association will take a call on all these points and the association and particularly, we are committed in implementing that.
Nischint Chawathe : And this is essentially all the microfinan ce -- sorry, all the gold loa ns?

V P Nandakumar: This is to all the players, including banks. Yes, certainly gold loan, anybody is doing gold loan whether it is a bank or nonbank.
Nischint Chawathe: Okay. And any specific observations relating to Manappuram on gold in the audit?
V P Nandakumar: No, other than the guidelines given on the other point, whatever they have observed in the past, all those issues are addressed.
Nischint Chawathe : Got it. And just one small one. You raised some ECB during the quarter , any color in terms of the rate of interest or terms on that?
A. L. Bindu: So, it is all-inclusive below 9%.
Nischint Chawathe : And how long is this?
A. L. Bindu: It's 3 years.
Nischint Chawathe : Sure. And just one small one. On the bank loans, these are all linked to Repo, MCLR , what are these linked to?
A. L. Bindu: MCLR.
Nischint Chawathe : All are MCLR?
A. L. Bindu: ECB is also linked , the bank borrowing is MCLR linked .
Nischint Chawathe : Got it, thank you very much.
Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra : Hi, thank you for the opportunity. First one is data keeping question on what were the auction levels in this quarter? The gold price per gram and the accrued in terest. And what would be the proportion of the book below INR1 lakh, INR1 to INR5 lakh and more than INR5 lakh?
Raju Narayanan : Auction numbers is INR360 crore s and gold price is INR7,080 , average LTV 58 %.
Shubhranshu Mishra : Accrued interest?
A. L. Bindu : INR1,095 crores.
Raju Narayanan : Up to INR1 lakh, 42.3 %. INR1 lakh to INR3 lakh, 34 %, balance and above INR3 lakh is 24% .
Shubhranshu Mishra : Thank you.
Moderator: Our next question is from the line of Mohit Ja

in from Tara Capital.
Mohit Jain : Sir, I just wanted to have your views further on the question that was asked regarding the credit cost. I think in Q2, we have already touched somewhere around 7% for Asirvad . And now the disbursement has been stopped by RBI, and it may continue for some p eriod of time. And in

case of MFI once the disbursement stops, the credit cost deteriorates further because the collection also becomes difficult going by the nature of the business. So, is it fair to say that the credit cost may touch double digit in the next couple of quarters for Asirvad ?
V P Nandakumar: See, one advantage is now that the entire focus is in collection. We are implementing many, many things like , to motivate the customers to make online payments, etcetera and for the employees also collec tion incentive and meetings, etcetera. So, post to this issue, we have not seen any impact so far, whatever is there before that, so that continues. And we are hopeful that with all these things, employees motivating as well as incentives plus wherever the people are available, wherever weekly collections are needed, that also is being facilitated. So this way, we hope that our collections will not be worse than other players. And the regulatory action will not impact us as far as collection is concerned.
Mohit Jain : Okay. And sir, one more question. Has there been any communication from any of the lenders

so far as regards to the early repayment of the loans? And then talking from the viewpoint of the borrowings, were there any banks or any other financial institutions have asked for the repayment of the borrowings from Asirvad post this plan?
V P Nandakumar: No, we don't expect that way because Manappuram has very good connection with the lenders for a long time. And Asirvad also has sufficient liquidity to meet the obligations. We have called the important lenders meet, etcetera. And shown them what will be our ALM, etcetera. And nobody has raised any serious concerns about that and nobody else recalled any loan, and we don't expect that.
Mohit Jain : Thank you, Sir.
Moderator: Our next question is from the line of Rishabh Gang from Sancheti Family Office.
Rishabh Gang: Thank you for the opportunity. So, in addition to microfinance, I read that Asirvad housed 515 gold loan branches, which will be impacted bec ause of this ban. So, if you can just tell about how Asirvad and gold loan is related and any impact on the gold loan operations?
V P Nandakumar: So in Asirvad, the -- all the lending operations are put into a halt around 22nd of October. So all the concer ns raised by the regulator, we have addressed that. So we have given our reply, etcetera, and we have requested the regulator to commence their -- to remove the ban etcetera , etcetera . We hope that they will follow their usual practice of conducting inspec tion very soon. And if the issues are not too many, we hope within a reasonable time, the ban will be lifted. Until then all the lending, including gold loans are -- new disbursals are stopped there .
Rishabh Gang : Sir, what kind of disbursement of gold loan was happening from these Asirvad branches?
V P Nandakumar: So it was -- the AUM was INR1,100 crores.
Rishabh Gang : Of gold loan in Asirvad, correct?
V P Nandakumar: Yes.

Rishabh Gang : Okay. AUM was INR700 crores and 5 months disbursal...
V P Nandakumar: INR1,100 crores, which was around 9% of the book --.
Rishabh Gang : All right. Sir, do we have risk -based pricing right now? Like have we started it? For the MFI?
A. L. Bindu : MFI, it is only uniform pricing.
Rishabh Gang : So like any rationale like why don't we have risk -based pricing? And what do we think about it here?
V P Nandakumar: We had a discussion at the Board level. We felt like tha

t is not a good idea because in some areas, some customers are bad and that their load should not be push ed to the other good customers in that region. So ultimately, we thought, we'll have a uniform pricing policy.
Rishabh Gang : All right. So -- but do we want to go to a risk -based pricing later on or we will continue with the...
V P Nandakumar: No, no. See, our logic is simple. So some customers are bad, in particular group or a geography, why should other customers take the load of that bad customer. So now in these areas, what we will do, we will have our risk management plans there by restricting lenders to a very low level and also higher bureau score, etcetera, etcetera, rather than pricing high in these geographies.
Rishabh Gang : Also just the last question. Like the actions which we have thought about for rectifying this violations, by when will this r ectification happen? In case you have already mentioned, can you just repeat that? Like how many...
V P Nandakumar: Our entire machinery is ready with full compliance of whatever has been sought for. And this has been informed to the regulator and we praye d too for the removal of the ban. And we hope we will speed up their procedures like whatever inspection or whatever they wanted to do they will do. And we hope it will not get too much delayed.
Rishabh Gang : So as per your management estimate and industry knowledge, how many months it should get resolved? Like the ban will be taken off?
V P Nandakumar: See, usually, they take some time. You can say minimum they take 3 to 4 months. And that is our expectation also and we are fully geared up.
Rishabh Gang : Also, your housing finance portfolio yields are, I think, also on a little higher side. So what do you think about that? Like can RBI also take action for that?
V P Nandakumar: So in all these areas, we have made changes to ensure further concerns raised b y the regulator from time to time are fully addressed.
Rishabh Gang : Sorry, pardon?
V P Nandakumar: All these are whatever concerns raised by the regulators in the past are fully addressed, whatever in the NHB inspection whatever was raised, all these are addressed now.

Moderator: Our next question comes from the line of Tanuj from DSP . Please go ahead.
Tanuj: Sir, so even on the non -MFI businesses, like for the past 2 quarters, we have seen some increase in NPAs, so what's driving this? And given that thes e are higher growth businesses, should one expect lower growth even in these businesses going ahead, given the NPA increase?
V P Nandakumar: See, the industry faced -- the economy faced many challenges, right? So heatwaves then natural calamities, etcetera , etcetera. So this has a general impact is the credit cost for the le nding industry as a whole. And that is what has impacted us also. So it is similar to the other players in the industry where we are in.
Tanuj: Okay. And any growth slowdown you envisage in these segments?
V P Nandakumar: No, we feel like the growth will continue. There will be some seasonal impact. Other than that, we don't expect any slowdown as far as growth is concerned.
Moderator: Our next question is from the line of Luv Sharma from JPMorgan. Please go ahead.
Luv Sharma : Just a couple of questions. I think first one, if you could just highlight what would be the monthly collections for Asirvad for the next quarter if you could highlight, like in the next 3 months and the repayments w hich we have there on a monthly basis? And second would be I think Asirvad's number statements highlighted some covenant breaches. If you could just indicate what kind of covenant breaches are these and what was the amount of loans under those breaches?
Representative: In Asirvad, so we have a steady collection I mean, based on the collection efficiency that we have, all the ALMs are positi

ve across the buckets. So there is no ALM mismatch in any of those. So our collections are adequate to meet our opera tions as well as our repayments of the loans.
A. L. Bindu : Sir, we hav e included the details in Page Number 26.
Luv Sharma : Yes. On the covenant breaches, could you just indicate what is the quantum of loans?
A. L. Bindu : Covenant breach.
Representative: Covenant breach, there is only one covenant breach on NCD, which is a very small amount. So that is only GNPA, other than that, there are term loans, which we are in discussions, but we don't think any serious impact on that.
Luv Sharma : Sorry, just to repe at myself again, what is the amount NCD s.
A. L. Bindu : For NCD, it is very small amount only. I think it's less than INR50 crores.
Representative: Less than INR50 crores.
A. L. Bindu : For the bank covenant breach, we are discussing with them.
Luv Sharma : Would it possible to quantify, just even if a rough estimate.

Representative : We can share that.
A. L. Bindu : Yes. We will share it separately.
Luv Sharma : Okay. Sure. And so both of these have the same GNPA -related covenant breach?
A. L. Bindu : Yes.
Repr esentative : Yes, yes.
Moderator: Thank you. Our next question is from the line of Bunty Chawla from IDBI. Please go ahead.
Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity. As you said, there has been changes in the MFI portfolio, whic h you are expecting to be in the next 3 to 4 months. So, my question is, if we put the changes in the gold loan and now MFI portfolio all done in well by March, so on a long term basis or from FY '26 onwards, how these changes will impact our growth trajectory on an overall basis? And ROA, if you can share that on a longer term basis, how one should see the AU M growth as well as the ROA?
V P Nandakumar: Yes, it will do better only,. On Gold loan, if you take. Yes. All the players will come into the same pla ce with regard to compliance. So, there will be, there is definitely a level playing field , which will help the leading industry players. Regarding the other segments of the se cured MSME loans, veh icle loans, et c., the challenges like the natural calamities, etc.
Now, the geographies, we h ave problems, the elections, et c. So, these are getting somewhat moderated with a few elections going to come. So, regarding MFI, we are expecting a mod erate grow th thereafter, some 13% - 20%, but our focus will be more on the credit quality, credit discipline, et c. So, the more prudence, et c. So, what I hope is, is that secured segment in our consolidated book will outgrow.
Bunty Chawla: So, on an overall basis, can we say 12 %, 15% growth on an overall basis, can we consider?
V P Nandakumar: Yes. We are targeting around 15 % 18% growth. So 15%-18% growth with more focus on the growth of secured loan portfolio, including gold loan.
Bunty Chawla: Okay. Thank you very much.
Moderator: Thank you. Our next question is from the line of Gaurav from Capital Farming Consultants . Please go ahead.

Gaurav: So my first, just a clarification, that are we still looking for IP O replacement of Asirvad or it has been completely taken off from the shelf?
V P Nandakumar: It is too early to tell anything about that. We have time up to April. We have not taken a call on anything now. We have the time, we'll see the market, how the mar ket, et c. How fast the ban is going to be removed, et c. So based on market conditions, we'll take a call on that.

Gaurav: Okay. So a question to the Asirvad team specifically that like in stand -alone books of Manappuram, we quantify our overall AUM in vari ous products like gold loan, vehi cle finance, SME on lending, et c. So I hope there will be different product segments. So can we quanti

fy that
which product segment is up to what percentage in overa ll book of Asirvad Microfinance? I think our overall AUM i s approximately INR11,880 crores. So if you can quantify it in product segments. I know that to one of the earlier participants, you have mentioned that overall 9% is gold loan. So remaining what...
V P Nandakumar: There are only 3 segments there. So micro finance is over 90% and 9% gold loan in the AUM. And a small amount of some of INR 40 crores -is secured MSME.
Gaurav: What is the minimum and maximum tenure of the loans that we extend in the MFI?
V P Nandakumar: In MFI, we extend up to 24 months, but the average tenure remains around 18 months.
Gaurav: Sure. So, Bindu was highlighting Slide 26 of the presentation that we uploaded on the website.
Moderator: Sorry, Gaurav, I request you to join the question queue for any follow -up questions. Our next question is from line of Rishikesh from RoboCapital . Please go ahead.
Rishikesh: Hi, thank you for the opportunity. Sir, our gold loan AUM has grown 17% year -on-year.
Moderator: Sorry to interrupt, Mr. Rishikesh. Can you please switch to a handset mode?
Rishikesh: Is it better now?
Moderator: Yes.
Rishikesh: Thank you for the opportunity. Sir, our gold loan AUM has grown 17% year -on-year, while if I see the tonnage, it is flat in a year -on-year basis. So, is it all led by price increase? And we would also like to know what tonnage growth do we see going ahead?
V P Nandakumar: Not worried about tonnage growth. We are concerned only about two things – how the AUM is growing, what is the accretion in the number of customers. In both these cases , we have grown.
The other thing is, if the price has gone up, the customer will not borrow more other than his requirements. As I used to tell in my earlier occasions also, when the customer bo rrows, he intends to redeem that within the shortest time. That's why the average life of gold loan is around 100 days.
When the gold price has gone up, the average LTV has come down to 58%. So, if the price goes, he takes the advantage by bringing smalle r quantity. If the price goes down, the reverse is happening.
Rishikesh: So, what steady -state gold loan growth do you foresee?
V P Nandakumar: So, as I told, we expect the gold loan to grow at 10 %, 15% annually. Now, we see the opportunities for a sustained growth with the changes and bringing level playing field to all the players by the regulatory changes.

Rishikesh: Okay, thank you.
Moderator: Thank you. Next question is from the line of Vatsal Parag Shah from Knightstone Capital . Please go ahead .
Vatsal Parag Shah: Yes, thank you for taking my question. So, just one clarification. So, in the earlier quarter, we gave a consolidated credit cost guidance of 2%. So, does it still stand or we are changing it?
A. L. Bindu: It's not very clear.
Vatsal Parag Shah: Hello, am I audible now?
Moderator: Yes, Mr. Vatsal. Please go ahead with your question.
Vatsal Parag Shah: Yes. So, I was saying that in the earlier quarter, we gave a credit cost guidance of 2% on a consolidated level. So, does it still stand or we are changing it?
A. L. Bindu: We have not changed it. So, we will see the progress in collection because whatever climatic conditions, etc., the team is confident of improving that. So, as such, we have not changed the estimates.
Vatsal Parag Shah: So, it is still 2%, right?
A. L. Bindu: Yes.
Vatsal Parag Shah: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, that was our last question for the day. I would now like to hand the conference over to the management for closing comments.
V P Nandakumar: Thank you for your good questions. We hope that we have answered all the information at hand. Thank you.
Moderator: On behalf of Motilal Oswal, that concludes this conferenc

e. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

“Manappuram Finance Limited Q3 FY25 Earnings
Conference Call”

February 13, 2025

MANAGEMENT : MR. V. P. NANDAKUMAR – MD & CEO
DR. SUMITHA NANDAN – EXECUTIVE DIRECTOR
MS. BINDU A. L. – CFO
MR. RAJU NARAYANAN – BUSINESS HEAD
MR. B. N. RAVEENDRA BABU – MD, ASIRVAD
MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CFO, ASIRVAD
MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE &
EQUIPMENT FINANCE
MR. SUVEEN P.S. – CEO, MANAPPURAM HOME
FINANCE
MR. ROBIN KARUVELY – CFO, MANAPPURAM HOME
FINANACE
MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL
FINANCIAL SERVICES

Moderator : Ladies and gentlemen, good day and welcome to the Manap puram Finance Q3 FY25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this call, please signal th e operator by pressing * and then 0 on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services.

Thank you a nd over to you, sir.

Abhijit Tibrewal : Thank you. We have with us today the Senior Management Team of Manappuram Finance to discuss the Q3 FY25 Results .

I will briefly introduce the management team. We have with us today, Mr. V . P. Nandak umar - MD & CEO; Dr. Sumit ha Nandan - Executive Director ; Ms. Bindu A. L. – CFO ; Mr. Raju Narayanan – Business H ead; Mr. B .N. Raveendra Babu - MD, As irvad M icrofinance ; Mr. Rajesh Namboodiripad – CFO , Asirvad Microfinance ; Mr. Kamal Parma r – Head, Vehicle and Equipment Finance ; Mr. Su veen P.S. – CEO, Manappuram Home F inance ; Mr. Robin Karuvely - CFO, Manap puram Home Finance .

With that b rief introduction , I think I will hand it over to Mr. Nand akumar and the senior management team of Man appuram F inance for their opening remarks, post which we will open the floor for Q&A . Thank you and over to you , sir.

V. P. Nandakumar : Thank you. Good evening, ladies and gentlemen. It is always a pleasure to join with this group to share our Company's Periodical Financial Results for the 3rd Quarter of FY25. I wish and my heartfelt t hanks to all of you . Before presenting , I wish you the upcoming Holi Festival .

Despite global uncertainties and continu ous strengthening of the dollar, the Indian economy remains strong and resilient. In the w ords of Finance minister , it is on “speedy rebound” .

It is also noteworthy that the NBFC sector has remained stable despite challenges. NBFCs are also actively diversifying their funding sources, including increased issuance of listed n on-convertible debentures and foreign currency borrowings. This indicates the resilience of the sector and its ability to stand macroeconomic headwinds .

Quarterly result.

It also gives me great satisfaction to mention that 2025 has started on a positive note for our company with RBI listing the superv isory restrictions on our major subsidiary, Asirvad Microfinance Limited . The remedial actions undertaken by Asirvad h ave satisfied the RB I. The company has fully revamped its processes and system and is fully committed to adhering to the guidelines.

I am pleased to report that the company has posted a profit after tax, excluding Asirvad of Rs. 467 crores . The company 's AUM excluding Asirvad has risen to Rs. 34,204 crores reflecting 18.7% year-on-year growth and 1.9% quarter -on-quarter increase.

For Q3, Asirvad's AUM stood at Rs. 10,013 crores which includes gold loan AUM of Rs. 818 crores and net NPA at 2.48%. Asirvad's p rofitability has been affected by the collection challenges in the MFI sector due to several factors including climatic disruption, dil ution of Joint Liability Group, JLG model, weekend borrow er discipline and external influences on microfinance borrowers. Asirvad has undertaken c omprehensive remedial measures to rationalize the cost and the disbursement with strict underwriting.

Asirvad suffered a loss of Rs. 188 crores during t his quarter .The consolidated profit after tax for the quarter declined to Rs. 278 crores which is down by 51.3% quarter -on-quarter and 51.6% year-on-year.

It is also pertinent to note that with RBI in a circular dated 30th

September 24 issue d certain
directions regarding gold loan practices. We view th ese regulat ory measures as beneficial for the sector stability. Through i ndustry association, we are actively participating in the development of standard practices. We have executed the mandated review polic ies and implemented necessary enhancements to operations.

The Vehicle Finance business has an AUM of Rs. 5 ,085 crores recording a 4.9% quarter -on-quarter increase while our Home Loan portfolio has incre ased an AUM of Rs. 1,778 crores, reflecting 5.1% quarter -on-quarter increase.

A Final Note on Gold Loans

The organiz ed gold loan markets comprising both banks and NBFCs , has experienced significant growth . According to the rating agency graph , the market i s projected to reach Rs. 15 trillion by March 202 7. Companies have also been steadily increasing their online lending presence and a sustained scale - up to improve their operating leverage and expand their customer base.

Thank you all for your continued support and interests . Our focus will be on fortifying our gold loan business and ensuring continued growth across all the secured lending business. Yes, we capitalize on opportunities created by India's economic resilience and positive reforms. We remain dedicated to our vision of empowering customers and stake holder's like through put and sustainable growth and innovation. For a more comprehensive review of our financial performance , I now hand the floor to our CFO , Ms. Bindu A. L.

Bindu A. L.: Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us for the discussion on our financial results for the last quarter and 9 months ended December 2024 . Our consolidated AUM w as Rs. 44,217 cr ores down by 3.3 % sequentially and up 9.5% Y-o-Y. The decline is as explained by sir, is on account of the challenges in our subsidiary Asir vad Microfinance. If we

excluded the A sirvad portfolio, the growth is 1.9 % sequentially and 18.7 % Y-o-Y growth that also with the help of the growth in the gold loan portfolio.

Profitability Rs. 278 crore s for the quarter, which was down by 51 %, b ut if we exclude the Asirvad losses , the Q-on-Q de cline is only 2.4 %, ROE 8.9% and ROA was 2.2 % and our leverage is currently 2.9 times. Our standalone NPA was 2.46 % versus 2.42 % during the previous quarter . Cash and cash equivalents Rs. 4,592 crore s and an undrawn bank line was Rs. 2,524 crores .

CP exposure is 1% in the standalone entity and our subsidiaries do not have CP exposure. Standalone borrowing cost has gone up by 6 basis points during the quarter. We have raised fresh term loans during the quarter and the liquidity position is comfortable.

Gold loan business, the proportion improved to 55.4 % of consolidated AUM compared to 53.3%, an improvement of 2% compared to the earlier quarter. Consolidat ed gold loan AUM Rs. 24,504 crore s, 0.6% Q-on-Q, but the standalone entity could achieve a 1.9 % Q-on-Q growth and 18.8 % Y-o-Y growth. We were able to a dd 3.3 lakh new customers, and the outst anding number of customers stood at 24 .66 lakhs . LTV at 60 %, online book 79 % of the total book and the standalone PAT was Rs. 453 crore, which is down sequentially by 4.5% and up by 5.8 % Y-o-Y. The decline was on ac count of a higher provision arising from one of the corporate borrower

and a lower DA income compared to the earlier quarter.
Coming to Microfinance business :
AUM at Rs. 10,013 cores including gold loan of Rs. 818 crore s down by 17.6 % Q -on-Q and 13.4% Y-o-Y. Loss, Rs. 188 crore s versus profit of Rs. 75 crores, CRA R at 23 %.
Vehicle Finance AUM of Rs. 5,085 crore s which is up by 4.9 % Q -on-Q and 41.4 % Y-o-Y growth and the GNPA increased to 5.2 %.The Vehicle Finance AUM comprises of commercial vehicle whi ch is 48 % and passenger vehicle is 31% and

two-wheeler 15 % and farm equipment
of 6%.
Home Loan business , Rs. 1,778 crore s AUM as on 31st December, which is up by 5.1 % Q-on-Q and 25.7 % Y-o-Y growth. The number of branches 89 and they reported a profit of Rs. 7 crores during the quarter. GNPA is 3.86% and the Home Finance AUM comprises of Home Loan 71% and LAP of 29 %.
Loan to MSME and allied activities at Rs. 3,001 crore s with the disbursement of Rs. 356 crores .
On-lending AUM at Rs. 653 crore. The disbursement only Rs. 5 crores during the quarter.
Capital position is strong with the CRAR of 29.88 % and the company's net worth Rs. 12,776 crore. The book value as on 31st December is Rs. 150.94. Thank you. Now , we can go for the Q&A sessi on.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on the touchtone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2' . Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will now wait for a moment while the question queue assembles. We have the first question from the line of Shreya Shi vani from CLSA. Please g o ahead.
Shre ya Shivani : Hi, Thank you for the opportunity. I have two questions. First is on the growth front , on the gold loan business. So while I understand that the Asirvad bit of gold loan business may have seen some challenges , on our standalone book, our gold l oan has slightly slowed this quarter versus the last couple of quarters. How much does it have to do with competition coming back into the space because s ome of the peers have re ported whether in banks or NBFCs have reported much stronger numbers? And wha t is that outlook on the standalone gold book for the coming quarter or for F Y26 as well? That is my first question and on the second question, I wanted to understand what has been the provision coverage on Stage-3, I know you have taken about Rs. 400 crores of technical write -off, but if you can help us with provision coverage on Stage-3 that would be useful ? Thank you.
V. P. Nandakumar : The gold loan, the quarter used to be little slow b ecause the festivals , etc. We expect the gold loan to grow at a rate of 15 %-20%. That is the expectation for the future. Earlier, we were telling at about 10%-12%, now w e believe that around 15 %-20% is possible because more and more customer s are coming in and we see some increase in the ticket size etc. , going forward . So we see the o pportunity for gold loan growth. Quarter to quarter, there may be some differen ce.
Regarding the second part, Bindu can answer.
Bindu A. L. : Yes. So the question on the A sirvad provision coverage , Stage -3 will be 59 %.
Shreya Shivani : And ma'am, what was it last quarter, this Stage -3?
Bindu A. L. : 55%.
Shreya Shivani : So we have taken about 4% increase over there. And what about the standard asset provision, how much has that moved on Asirvad book ?
Bindu A. L. : Standard ass et provision Stage-2 will be having 14 % and Stage-1 will have 1.2 %.
Shreya Shivani : And how much was 14% and 1.2 % last quarter?
Bindu A. L. : Similar.
Management : That is similar .
Shreya Shivani : Got it. T his answers my question. Thank y ou so much.

Moderator : Thank you. The next question is from the line of Shweta from Elara. Please go ahead.
Shweta : Thank you, sir for the opportunity. I have couple of questions. So if I look at gold tonnage, both sequentially and year-on-year, it has declined. So clearly that is the outcome of also gold price increase and festival season in the quarter gone by , but then what gives you confidence going forward to resume growth at 15 %-20% because b oth the branches as well as customer s

are
lurching , so the productivity ga ins are g oing to be lower in the interim periods at least, right?

That is the first question and just the allied question to that. S ir, what is the RBI communication now in terms of opening of gold branches , so I am not talking about MFI led gold or MFI branches , the standalone gold branch es? That is the question . And second, just coming back to the bit of first participant question, so you have technical write -off for Rs. 400 odd crores, right this particular quarter , so just the data keeping question, what was this number, previous quarter and c orresponding quarter year ago ? Thank you.
V. P. Nandakumar : Regarding tonnage growth or decline , all depend on the gold price. See , when the higher amount is available with lower quantity, people will bring only lower quantity. They borrow for meeting their requirement and not because gold value is high or LTV is high, they don't borrow like this. See, one thing which you should appreciate is gold loans without any compulsion, even without sending any S MS or anything , around within 3 -4 months , almost 70%-80% of the loans are getting redeemed . When somebody just say their gold, t hey have some clear anti cipation of their upcoming cash flow . Only on the basis of that they borrow. So you will see when the gold price goes down also, y ou can see growth. Then at that point of time , you can see the tonnage growth is higher. So this is simply because of the function of the LTV gold value. And regarding RBI permission of opening the branches , today , we had a meet ing with the regulato r RBI in mumbai , larger NBFCs were invited W all had the opportunity to raise this question to the RBI official in the forum , we all had a discuss ion with the RBI officials . They also wonder ed why only for gold loan companies this restriction is. And the official told they will examine the branch opening restriction I had the opportunity to discuss it with senior officials and they were positive and they asked us to resubmit application. I hope we will get permission for opening branches without much delay. Then the other part , Bindu can answer.
Management : Yes. For this Q2, it was 40 and previous Q3 it was nil. We did not do any write -off in the previous Q3.
Shweta : And sir, corresponding quarter last year ?
Managemen t: Yes, that was nil.
Shweta : And as well, in Q2 FY25?
Bindu A. L. : 40.
Shweta : Sir, coming back, sorry, I am just harping on the same thing . So coming back to the first question, the first point which you made, so it is understandable that in a price rise scenario , tonnage would

look lower and like you rightly pointed out you have been communicating with RBI for acquiring the branch opening approval which is very positive, but in the per iod as we move ahead say in Q4 and Q1, what brings the confidence to p ut up our 15 %-20% growth? Thank you.
V. P. Nandakumar : See, the annual growth in some quarters because of the demand from the target audience, it grows because, for example , sowing season or school , college admission, etc., then harvest season, etc., it m oves down etc., but we b elieve that 15 %-20% is possible and this year also , we expect to get around 15%. So that is the expectation . It is all dependent on the demand only, not because of the gold price as it is mistakenly the impression of the market.
Shwe ta: Understood, sir, fair point. Thank you so much and best of luck.
V. P. Nandakumar : Thank you.
Moderator : Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please g o ahead.
Rajiv Mehta : Hi, good evening. Sir, f irstly, you spoke about RBI directions on gold loan practices and then you said that we have also responded and you have done some enhancements in process, in operations, can you elaborate on any

specific changes that we would have implemented on the ground from say, December or January ?
V. P. Nandakumar : See, th ere was a discussion point by the major companies in the gold loan sector today with the regulator ..
Bindu A. L. : Sir, this is the question on the 30th September circular , can I answer , sir that or?
V. P. Nandakumar : Yes.
Bindu A. L. : So on the 30th September circular two important points , one is the L TV monitoring and the other thing on rolling over of the pledges, the reple dge, etc. So on the LTV monitoring at specific LTV ratios , we are sending SMS, lett ers, etc., and there will be an accelerated auction . That is the one change we have implemented. And during the tenure of gold loan, the r ollovers with partial servicing of interest that is also we have introduced. And beyond maturity , repledges only with the full repayment of interest. So these are the changes we have implemented . The n, we are capturing in the communicate more clearly acknowledged by the borrower. These a re the three points applicable to NBFCs which we have implemented .
V. P. Nandakumar : On the top o f that I want to add few more things . So some of the practical challenges in the proposal ha ve been discussed with the regulatory body and the team today , he said we are consulting with the industry . Then on the basis of this understanding, the practical challenges

and the customers face, etc ., we will come out with a top guideline.. It appeared that the regulator is very positive .

Rajiv Mehta : Got that. In the standalone company, the other off-takes have increased Q-on-Q. Any particular reason why the non -employee expenses have gone up by 7%-8%?

V. P. Nandakumar : We have some unsecured loans whi ch we have stopped in the past like digital personal loan, which we have stopped already and some MSME lending, which we have already stopped. So that p assed buying up and we have completely moved to secure d lending in the standalone entity . About the numbers, Bindu can add .

Bindu A. L. : So the OPEX has gone up around Rs. 7- 8 crore because of the employee cost and the other one in the admin expenditure, it is on account of the increased IT costs , the cloud usage , etc., there is some over usage, and we paid some extra amount and lot of automation is also happening. So power change request that expense has also gon e up.

Rajiv Mehta : Sure. Just one follow up. Bindu ma'am, you spoke about a couple of changes that is implemented in the process for gold loans with regards to LTV monitoring and rollover of loans. Reviewing that it would have quite implemented from December or January , incrementally in January and February , are we seeing any negative impact on growth because of that or are we seeing AUM growing may be in terms of customer volumes because I think the customer base had decline d in Q3 t hat can be attributable to pledges being re leased , but in January, February post the implementation of the new discipline, a re we seeing that customer base is further going out?

Bindu A. L. : Like for any changes there will be resistance . So in the first few days , we have seen some impact. Now , customers also adjusted to that and I think the quarter we expect similar to our last year quarter like.

Rajiv Mehta : Thank you. I have more questions. I will come back in the queue.

Moderator : Thank you. The next question is from the line of Kusha n Parik h from Morgan Stanley. Please go ahead.

Kushan Parikh : Hi, sir. Thanks for taking my question. My question was on Asirvad Microfinance. So given that we have restarted disbursements after the RBI clearance, this would be at a lower interest rate as well as we had alluded to previously. So wanted to get your take on what will be the refresh ed strategy for the subsidiary in terms of the growth that you

w ill be pushing for as well as from our margins and ROA perceptive for these entities ? That is one question. My second question is data keeping question , if you could give us the auction n umber for the quarter for gold loan?

V. P. Nandakumar : So the microfinance industry was reporting a reasonable profit even when there was a cap on the net interest margin, i t was 10 %. It was a little bit earlier removed, etc. What h as happened is with removal, almost all the companies raised the price and thinking that some additional rules can be taken in the pricing , some 2%-3%, etc., so according every company has interest r ate and what actually that has led to the indiscriminate lending from all the lenders, so multiple which are earlier the number of lenders were restricted that has gone up and that has led to a situation because of the regulatory ch ange s. Now, all the comp anies understand that and it will gradually

come. But this transition is definitely little painful because many of the loans are with these changes , the loans was prepaid by using another loan, etc. , that source has come down. But now the discipline will come and things will go back to the cost-liberalized environment . Even with that, cost everything contained, etc. I hope the microfinance industry will go to that level where even A sirvad was reporting around nearly 3-4% ROA. So with that discipline and mo re and more encouragement will be for group meetings etc. So this transition phase for every microfinance company will be little difficult. So I feel like in 2-3 quarters things will come back.

Kushan Parikh : Your auction number Rs 120 cr is the auction am ount during this quarter? Sir, if y ou could just guide on the growth for the M FI business as well going forward?

V. P. Nandakumar : So what we plan to have is to contain the growth a nd gradually we plan to increase our secured lending business in the overal l consolidated book for g old and other non -gold secured business. So in a phased manne r, we plan to bring it down to within 18% now or even go down gradually. So other businesses, we will prioritize. We have the opportunities. And we hope we can open branches also that will be greater emphasis in growing gold.

Kushan Parikh : Understood. That is from my side. Thank you.

Moderator : Thank you. The next question is from the line of Love Sharma from JP Morgan. Please go ahead.

Love Sharma : Hi, thanks for taking the question. Just a couple of questions from me. I think more as a follow up on the previous question first on Asirvad , if you could highlight what is the growth you are looking at on AUM side for Asirvad in the next 1 -2 years and any sense of how the asset quality

is likely to evolve over the next few quarters as well in Asirvad ? Another question related to Asirvad again would be given some of the commentary around the Covenant Br eaches there, could you just highlight what is the discussions with l enders as of now and any sense in terms of fresh lending or borrowi ng rates which have gone up within Asirvad especially?
V. P. Nandakumar : So in Asirvad, we have tightened the underwriting process, we have capped maximum number of lenders that we have reduced the loan size also , cycles also at a l onger period from one cycle to the next cycle , the increase also is reduced . So this way we have tightened the processes. We are giving loan only to our good customers now , who have a good track record all thes e years, etc., through branches which are seen safer , etc. So this way we expect the growth segment of Asirvad, the MFI will come down to around 10 %-12% annually. I d on't expect that to be more and we expect the collection efficiency to go up to around 99% because of the tighter underwriting and we will bring down the employee costs and the other costs by the year .

We
clearly planned a post-production plan, which is being worked out . Employee productivity has to be improved and the brand size also , brand number also will have to be evaluated , etc. We are working out a strategy and as I said in the next 2 years , we expect a growth of around 10 %-12% for MFI with a collection efficiency of 99%.
Love Sharma : And could you just comment on the Covenant si de for the Asirvad ? Any impact on borrowing costs or fresh lending?

V. P. Nandakumar : Rajesh.
Rajesh Namboodiripad : Right now , we had some disbursements against which we could not give the asset . So we are on discussion with them . Because of this current situation , which season does this impact as well as the overall microfinance sector issues , we are in discussion with the banks and we are very hopefu l that we wi ll get some solution for th ose.
Love Sharma : And do you mean t that is essentially more about higher borrowing cost w hich banks could lead to for Asirvad or any other impact you see ?
Bindu A. L. : Not much.
Love Sharma : Thanks. That is it for me.
Moderator : Thank you. The next question is from the line of Shr eeal Doshi from Equirus . Please go ahead.
Shreepal Doshi : Hi, sir. Good evening and thank you for giving me the opportunity. Sir, my question was on something that Bindu ma'am alluded to her answer to one of the participants when she highlighted that there has been some pr ocess policy changes in line with the RB I circular, so ma'am, just like, I just couldn't understand, d o you need to say that we will be maintaining 75% LTV throughout the loan tenure or will be closely monitoring it for each of the customers in the gold segment? And also you highlighted something on the auto renewal of the l oan. So if you could just explain both these aspect again , please ?
Bindu A. L. : So on LTV monitoring, we are strictly e nsuring that at the time of disbursement , this is within 75% as permitted and then the interest a ccrual will also be added and we will monitor the LT V position a nd if it is a small variation, mayb e up to 5 %, we will not act on those cases , above 5 % we will start sending SMS, then we will do at 85% later, 90% auction not ice, etc. Like that there will be a continuous monitoring and activities which will ensure a better discipline from the borro wers. T hat is one point on the LTV monitoring . And second on the rollover of loans , during the tenure within the permissible LTV, borrowers may need additional working capital. So they used to avail the loan, so during the tenure, no w, it should be with the cash flow coming in. So the 50 % interest should be serviced during the tenure if they are rollover the loan. Then after maturity, they should service 100% of the interest. So these are the few changes we made.
Shreepal Doshi : Got it. And just one more point here. So, sir, as you highlighted, you met the regulator recently . So was there any discussion on th is regulatory framework front, s ir wherein they are highlighting these aspects to be covered in the processes and policies incrementally ?
V. P. Nandakumar : For the first time , we are getting such a meeting from the regulator , the initiative was taken from the regulator 's office. The regulation will be successful only when t hey understand the regulated NBFC challenges also. So how to do the business , piece of business is really important, and the challenges in each of the busi ness regulatory environment maybe look at it . We are expecting regulators will hold such meetings periodically at national level as well as regional level and

sectoral level and banks also . We believe regulators will understand the stakeholders in ensurin g an effective regulation. This was very positive . We were given enough time

to raise industry
concerns. This is something very positive. regulator .

Shreepal Doshi : Got it, sir. Thank y ou, sir. Sir, just one last question. S o with this like what Bindu ma'a m highlighted on the process policy front, so do you see that while we want to implement that and ramp it up, so do you think that can hamper or have some impact on our business momentum, at least from the medium -term perspective ?

V. P. Nandakumar : This is what we see We have shared our concern with the regulator, if there is too much of regulation , this is going to benefit the unorganized sector where the major portion of the gold loan is still ruled by them, etc. So the customer 's convenience and comfort in this regard has to be taken into consideration , etc., s o then he said yes, our p eople had a discussion with you people and we are claiming a draft. So you can respond to each of these points. Then only we come out with the final. So some of the things which we were asked to implement , if these are found difficult as far as the customer service is concerned , I hope there may be some changes.

Shreepal Doshi : Got it, sir. Thank you, sir, and good luck for the next quarter to the team.

Moderator : Thank you. The next question is from the line of Pran uj from JP Morgan. Please go ahead.

Pranuj : Hello. Thank you for taking my question. So a couple of questions . One is when the cost of funds that continues to inch up for you , so what segment is actually driving the rise over there? And also I think 18% is ECB borrowing , so a re these 100% hedged from your end ?

Bindu A. L. : Yes, ECB is 100% hedged and on the cost of borrowing , there is a small change in the bank cost of borrowing. It is 6 basis points durin g the quarter , overall cost of borrowing increase.

Pranuj : Because this is essentially MC LR repri cing that led to it ?

Bindu A. L. : Yes.

Pranuj : God it. And second is, if I look at your housing finance and Vehicle Finance GNPA , they have risen quite substantially despite the loan book also displaying a healthy growth. So what segments are actually seeing higher stress in these two particular sub verticals?

Kamal Parmar : Yes. Thank you for the question. We are basically catering to the bottom of the py ramid profile and the recent issues that we have seen in the market at the micro level and also in terms of the weather conditions plus the other challenges that the retail profile has faced, they generally tend to get impacted the earliest, so that is one reason why we have seen this GNPA going up. But from this month , we have started seeing a positive collection , so we are definitely hopeful that things would look better from this quarter onwards.

Pranuj : Sir, one follow up. In Vehicle Finance in parti cular has been a very sharp rise, so w ithin your sub segments of PV series, what is actually driving the higher stress over here?

Kamal Parmar : We have faced with higher increase in delinquencies in the two-wheeler a nd the farm equipment segment s. But now the re is improvement seen from January onwards .

Pranuj : So it is mainly two-wheelers and tractors that have driven the ra ise?

Kamal Parmar : Majorly , yes.

Pranuj : Got it. Thank you. That is it from my end.

Moderator : Thank you. The next question is from the line of S hubhranshu Mishra from Phillip Capital. Please g o ahead.

Shubhranshu Mishra : Hi, first a few data keeping questions. What are the auctions i n this quarter ? What was the LTV in rupees and even percentage and what is the interest accrue d? Those are the data keeping questions. I wi ll come with the second question after this is answer ed. Thanks.

Management : Rs. 120 crores is the auction number.

Shubhranshu Mishra : Not audible, sir. Say that again.

Management : Rs. 120 crore.

Shubhranshu Mishra : Rs. 1 20 crores ?

Management : Yes. The price

is taken for LT V of 60% , price is Rs. 7,110 crores .

Shubhranshu Mishra : Well, it is not clear. Say again.

Bindu A. L. : Rs. 7 ,110 crores on which 50% is the LTV as on 31st December and Rs. 120 crore auction , interest receivable Rs. 1,094 crores .

Shubhranshu Mishra : My next q uestion is on Asirvad . We have seen mu ltiple cycles and there has been management change. There has been some degree of attrition at the branch levels. Do we really intend to build this business for the long term or we want to sell it out after some point in time because clearly we have had multiple issues running this . At a point in time, there was no convergence of gold loans there , I think 4 -5 years ago , we were doing barely 2% of the book was gold loans. Then we had management change and we started doing more of gold loans versus MFI. So what do we think of this business ? Do we really want to run this in the long term or we want to just do some bit of restru cturing and sell it off ? Will t hat make more sense ?

V. P. Nandakumar : See, we are doing busines s for planning it long term. So we will do that business with prudent practices and manage s cost also very prudently and whatever is the policy with regard to risk based secure d and unsecured lending , all these are going by our policies which will evolve from time to time. Now , it is too premature to talk about that.
Shubhranshu Mishra : Right. Because we have been speaking about this non -gold loan book when gold loan was not in flavor , now we are talking more of gold loan when it is in flavor , so strategy gets some haywire in an investor's mind, s o just wanted to understand what is the clarity there?
V. P. Nandakumar : See, gold loan, we have not said a t any point of time the g old loan is today our flavor, no we have not told that. W hat we told is, we also wanted to grow non -gold business. So the non -gold also we have repeatedly said our priority would be secur ed lending like mortgage based MSME, then Vehicle Finan ce, etc. So this will be the two segment and earlier also I also told capital allocation will be limited to 10% of the networ th, so we plan to contain the MFI book within around 10 %-15% of our total AUM going forward , we expect the MFI to grow at around 10 %-12% as I mentioned earlier, with our first very strict underwriting, e tc. So that is a scenario we expect.
Shubhranshu Mishra : Just one last question. Given the fact that in my previous answer it was said that we generally cater to the bottom of the pyra mid in vehicle financing, so we are not getting to choose a custome r, hence we are always doing a higher risk segment, which could be beneficial when the rates are c oming down, but when the rates are hardening, again we will say these kind of issues, right ? If we a re not able to choose a customer segment or is it a strategy to cater to the bottom of the pyramid all the time?
V. P. Nandakumar : See, we are serving the masses through our products like affordable housing , gold loan, commercial vehicle where the ticket size is around 10 lakh, etc. So the se are the products used by the common man.
Shubhranshu Mishra : Understood. Thanks. I will take the rest of the questions offline. Best of luck for ensuing quarter. Thanks.
Moderator : Thank you. The next question is from the line of Mona K hetan from Dola t Capital. Please go ahead.
Mona Khetan : Hi. Good evening and thanks for the opportunity. Sir, firstly on the Asirvad book, could I know over the last 9 months, how much of loans have been added to Stage -3? That is the gross additions to Stage-3 over 9 months ?
Bindu A. L. : We will take up the question offline.
Mona Khetan : And do we have PAR -0 in the Asirvad book ?
Bindu A. L. : PAR -0 is there . It is there in the presentation, slide 25. Stage -1 is 88.3.

Mona Khetan : But that will include up to 30 days, right?
Bindu A. L. : Yes.
Mona Khetan : So are we looking for 1+ DPD or PAR -0 whatever ?
Management : 16.96%.
Mona Khetan : Got it. And on the gold book, can you share the loan mix by ticket size?
Management : Yes. Up to 1 lakh 41.7%; 1-2 lakh 22.1 %; 2-3 lakh 11.5 %; above 3 lakh 24.7 %.
Mona Khetan : And just finally , sir mentioned at some point about doing some of the unsecured lending, so is it fair to say that apart from MFI incrementally , we are not taking up any of the unsecured lending?
V. P. Nandakumar : Absolutely, y ou are right.
Mona Khetan : Got it. Thank you so much.
Moderator : Thank you. The next question is from the line of Kusha n Parikh from Morgan Stanley. Please go ahead.
Kushan Parikh : Thank you for taking my follow up question. My question was around the standalone asset quality. Just trying to understand the Stage -3 provision coverage , we have seen that moving from 15% in 1Q to now less than 10%, while the GNPA numbers have been increasin g over the last 2-3 quarters, so just trying to understand why that is the case and also if you could help us with the provisioning policy for the gold loans as well as the non -gold portfolio in the stand alone business?
Bindu A. L. : So the main business go ld loan the credit cost is negligible, and we are following Ind AS a nd the provisions based on the historical data. So on the gold loan business, the overall provision on the total book is around 0.4%. On the vehicle, MSME, etc. , this a lso again based on t he Ind AS w orking based on historical record. And we are doing based on the segment device , so t his is for Vehicle Finance , it is ranging between 15%-25% and for the MSME i t is around 27% or put together , secured and unsecured put together it is 27% .
Kusha n Parikh : This is helpful . If you could just also give some guidance around the stand alone credit cost going

forward, given that you are seeing improvement in the non -gold asset quality in Jan -Feb?
Bindu A. L. : We had the one corporate borrower default. That is the reason it has gone up. Otherwise it would have been in the range of 0.6 %.
Kushan Parikh : Understood. Thanks for taking my question.

Moderator : Thank you. Ladies and gentlemen, to ask a question , you m ay please press '*' and '1' . We have the next question from the line of Gaurav from Capital Farming Consultants. Please g o ahead.
Gaurav : Good evening and thanks for the opportunity. I hope my voice is audible.
V. P. Nandakumar : Yes.
Gaurav : So my first question is on Asirvad M icrofinance, since that seems to be one vertical which has given the maximum pain in this particular quarter , right. So in that I think as per the last concall, the data set was given like almost 10% is in gold loan AUM and rest majority is in the microfinance only , right within the Asirvad book. So if you can just give the updated number that as per Q3 FY25 , what is the AUM split between M FI, gold loan and MSME within the Asirvad microfinance book and correspondingly the GNPA and net NPA number for these 3 segment s within the Asirvad Microfinance. That i s my first question ?
Bindu A. L. : In the slide 9, we have given the microfinance AUM split up, so the MFI book is Rs. 9,133 crores and gold loan Rs. 818 crore s and MSME is Rs. 61.8 crore of which the maximum NPA coming from microfinance book is around 5.8%. Gold loan is below 2 only.
Gaurav : Second question is like there w ere some media articles, some talks in the online platforms also that some private equity investor is willing to take some stake in the listed entity, right , Manappuram, so a re there any serious discussions where promoters are looking to exit or they want to on board some strateg ic investors within the listed e

ntity , Manappuram Finance?
V. P. Nandakumar : It is quite common to have discussion, but the discussion doesn't mean that we have reached anywhere.
Gaurav : No, sir. Question or intent behind asking that question was because when we look your nearest peer within the gold finance industry quarter -on-quarter , they are ju st growing like anything, right and t hey are establishing yes , we are the market leader and that is what they are doing as a leader vis-a-vis the performance of Mana ppuram doesn't seem that good, to be very honest, right . Even you will appreciate tha t fact the performance is not at par what the second largest player must display vis-a-vis the number one player is displaying. So either there is not much interest from the management to grow the business or things are not working in line, or they need some fresh blood , right? Some new generation leaders within the business that they want to operate the business and take it to the height where Manappura m deserve it, right . So that was the intent . Maybe your thoughts on that line if you would like to share will be a great help to the investor community ?
V. P. Nandakumar : The pricing there is an advantage as far as the customer is concerned. So there is a pricing difference. We are trying to gradually match that . We can't do that all of a sudden. So gradually it takes some time. So the difference in pricing between them and us, it is getting it actually rolled down. You can see that narrowing down going forward. Even now, you will see gradually .

So that will help us definitely to grow at their rate. It is only a question of time , so whatever is the difference it will narrow down grad ually.
Gaurav : Sure. Last question, if you may allow me , considering the intensity of competition like one of the player s was again debar red by the RBI has now revised their gold loan lending operations and some of the other NBFC s like Bajaj Finance Group , Aditya Birla Capital , right and recently L&T Finance also acquiring some of the gold loan portfolio from one of the another NBFCs , right. So how do you see the intensity going forward in couple of next quarters, right , specifically, if you look our position at the second largest gold loan provider in the Indian NBFC space ?
V. P. Nandakumar : See, w hichever sector is seen a ttractive, there are many players wou ld like to enter. In the past also, there had been many attempts, but only very few who could succeed in that because we have a challenge is , see how to manage the rules , which are entirely different from the other NBFCs . So we need to have the branches, w e need to have very skilled, highly skilled people to appraise bond , etc., these a re all done physically without any technology support. So it is a highly skilled job. So aggregating everything is the challenge . How much time it will take that was the challenge for the players who intended to start this business even 10 years back.
Gaurav : Thanks a lot. Thank you.
Moderator : Thank you. Ladies and gentlemen , we h ave no further questions. I would now like to hand the

conference over to the management for closing comments. Over to you.
V. P. Nandakumar : Thank you so much for your very good question. We expect that we have answered to your satisfaction. We tried to do that and we look forward for your cooperation and support. Thank you.
Moderator : Thank you. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

"Manappuram Finance Limited Q4 FY'25 Earnings
Conference Call "

May 09. 2025

MANAGEMENT : MR. V. P. NANDAKUMAR - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , MANAPPURAM FINANCE LIMITED
DR. SUMITHA NANDAN - EXECUTIVE DIRECTOR , MANAPPURAM FINANCE LIMITED
MS. BINDU A. L. - CHIEF FINANCIAL OFFICER , MANAPPURAM FINANCE LIMITED
MR. RAJU NARAYANAN - BUSINESS HEAD, MANAPPURAM FINANCE LIMITED
MR. B. N. RAVEENDRA BABU - MANAGING DIRECTOR , ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD - CHIEF FINANCIAL OFFICER , ASIRVAD MICROFINANCE
MR. KAMAL PARMAR - HEAD (VEHICLE & EQUIPMENT FINANCE), MANAPPURAM FINANCE LIMITED
MR. SUVEEN P. S. - CHIEF EXECUTIVE OFFICER , MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CHIEF FINANCIAL OFFICER , MANAPPURAM HOME FINANCE
MODERATOR : MR. ABHIJIT TIBREWAL - MOTILAL OSWAL FINANCIAL SERVICES LTD.

Moderator : Ladies and gentlemen, good day and welcome to the Man appuram Finance Q4 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the c onference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Abhijit Tibrewal. Thank you and over to you, sir.

Abhijit Tibrewal: Yes. Thank you, Sasha. Good evening, everyone. I am Abhiji t Tibrewal from Motilal Oswal, and it is our pleasure to welcome you all to this Earnings Call . Thank you very much for joining us for the Mana ppuram Finance call to discuss Q4 FY '25 earnings.

To discuss the Company's Earnings , I am pleased to welcome Mr. V. P. Nand akumar – MD & CEO ; Dr. Sumitha Nandan – Executive Director ; Ms. Bindu A. L. – CFO ; Mr. Raju Narayanan – Business Head ; Mr. B . N. Raveendra Babu – MD, Asirvad Microfinance ; Mr. Rajesh Namb oodiripad – CFO, Asirvad Microfinance ; Mr. Kamal Parmar – Head (Vehicle & Equipment Finance); Mr. Su veen P. S. – CEO, Mana ppuram Home Finance and Mr. Robin Karuv ely – CFO, Mana ppuram Home Finance.

On behalf of Motilal Oswal, we thank the Senior Management and the Investor Relations Team of Mana ppuram Finance for giving us this opportunity to host you today. I now invite Mr. Nand akumar for his opening remarks.

With that, over to you, sir.

V.P. Nandakumar: Thank you. Good evening, ladies and gentlemen. It's a distinct privilege to address you today at this Earni ngs Conference Call.

I am pleased to present a detailed account of our Financial and Operational Performance for the 4th Quarter and the Financial Year '24-'25. I appreciate your continued interest and support as we review our progress and strategic direction.

Let me begin by discussing our Financial Highlights :

For the FY '24-'25, Man appuram Finance reported a consolidated revenue of Rs. 10,041 crore representing a 12.51 % year-on-year growth. For the quarter -ended March '25, our consolidated profit af ter tax, before OCI and minority interest, stood at a loss of Rs. 203 crore. And for the financial year, we recorded a profit of Rs. 1,204 crore s. While excluding the microfinance subsidiary , Asirvad, the consolidated PAT for the quarter and the financial year stood at a profit of Rs. 423 crore and Rs. 1,843 crore s respectively. The yearly performance had a growth of 5.9% .

In response to increased regulatory scrutiny, we are actively participating for the RBI's draft gold loan framework issued on 9th April 2025 and submitted a representation on the same. I have confidence that the RBI's draft guidelines on Gold Loans will not disrupt gold loan interest rate . They are largely aligned with the practices already in place across NBFCs. It will ensure a level playing field for all the entities. It may introduce additional procedures in the area such as customer verification and gold appraisals. But these are unlikely to present any significant operational level .

Moving to our Microfinance business :

The business reported an A UM of Rs. 7,207 crore. Although the microfinance sector is currently navigating challenges, that may take time to resolve. I believe it is a phase of recovery.

■ We also implemented stringent rules over and above SRO guidelines resulted in a lower sourcing to sanction the rate of 34 .0% in February '25 and 64 .0% in September ‘25 from 64 % in September '24.

■ Disbursement enabled only in centers having a PAR lesser than 2%. Disbursement fully-enabled at branch level based on portfolio quality .

■ Improving case load per F DA branch team to handle regula

r bucket collection and disbursement s.

■ Focus collection strategy by having separate team for hard bucket.

■ 100% biometric verification of customers, ensuring a robust onboarding process and unique enhanced income scorecard.

Our vehicle and equipment finance A UM rose by 16.1 % to Rs. 4,773 crores with an RO A of 1.2 % year-on-year. MSME and Allied businesses booked a growth of 5. 9% to Rs. 3,079 crores.

Looking ahead to FY'26, we remain optimistic. We expect our gold AUM to grow strong, supporting digital onboarding and rural demand. In the backdrop of recent Indo -Pak tensions, the reminder of the critical role of national security plays in fostering a stable economic enviro nment. Geopolitical developments of this nature remind us of broader environment in which we operate and the importance of national security. We express our deep respect and gratitude to the armed forces for their unwavering commitment to safeguard our sov ereignty . I would like to express my heartfelt gratitude to all our stakeholders for their unwavering trust and continued support. As a company rooted in tradition, yet driven by innovation , we remain committed to empowering lives through responsible lendi ng and customer -centric solutions. With a clear vision, strong governance and shared purpose, we will continue to move forward, creating impact, building trust and driving inclusive growth.

Now, I invite our President & CFO, Mrs. Bindu A. L. , for more comprehensive review of our financial performance. Thank you.

Bindu A. L. : Thank you, sir. Good evening, ladies and gentlemen. Thank you all for joining us today.

Coming to the key highlights :

The gold loan portfolio remains our core strength, accounting for 59.5 % of consolidated A UM compared to 55.4 % in Q3 FY'25. Consolidated gold loan A UM stood at Rs. 25,586 crores up by 4.4% quarter -on-quarter and 18.7 % year-on-year in spite of heightened competition.

We added 3.1 lakh new gold loan customers during the quarter bringing the total active customer base to 25.8 lakhs. Our average loan to value for gold loan is 57 % compared to 60%.

Notably 82 % of the gold loan book is now sourced through our online gold loan platform.

Standalone profit after tax for the quarter was Rs. 414 crore vs. Rs. 453 crore in Q3 on account of lower yield in gold loan business which supported a better growth for the quarter. For the standalone full financial year profit was Rs. 1,783 cro re reflecting a 7.6 % YOY growth.

AUM for Asir vad including gold loan of Rs. 928 crore, stood at Rs. 8,189 crore which is down by 18.2 % sequentially and 31.1 % year-on-year. The Indian microfinance sector experienced considerable stress in Q4 FY '25 primarily due to increased borrower default from over leverage .

Interventions by SRO and operational disruptions led to higher credit cost and negatively impacted the profitability. Asirvad posted a loss of Rs. 626 crore in Q4 FY '25 compared to Rs. 188 crore in Q3 FY'25. Net NPA at 2.46 % which is Rs. 177 crore compared to Rs. 224 crore in Q3. CR AR at 21 % for Asirvad entity.
Our vehicle finance A UM stood at Rs. 4,773 crore. During the quarter, business has declined by 6% but with a growth of 16.1 % year-on-year. Considering the asset quality challenges especially from the two -wheeler and farm equipment business, we tightened the underwriting norms during the quarter. GNPA stood at 6.7%. The composition of vehicle finance reflected a well -diversified portfoli o with commercial vehicles, larger share at 48%, followed by cars at 31%, two -wheeler at 15 % and farm equipment 6%.
The home loan portfolio reached Rs. 1,824 crore , a growth of 2.6 % Q-on-Q and 20.8 % YOY growth. The business reported a profit of Rs. 23 crores during the year.
Loan to MSME at Rs. 3 ,079 crore with a disbursement of Rs. 366 crore. The lending to other NBF

Cs at Rs. 511 crore. The board has declared an interim dividend of 50 paisa per share for this quarter. A capital position strong with a CRAR of 30.9 % and the net worth at Rs. 12,432 crore .
Return on assets for the quarter 4.8 % and our leverage remains conservative. Standalone GNPA 2.77% and compared to 2.46 % in the previous quarter.

Liquidity or cash and cash equivalents Rs. 3,808 crores w ith an undrawn bank line of Rs. 2,306 crores. CP exposure low at 1 % and during the quarter we have successfully raised Rs. 2,547 crore in term loans from banks.
Thank you once again for your continued support and confidence. We are now open ed the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Yes, thank you for the opportunity. I have two questions. First is on the quarterly standalone performance. If you can help us understand with the movement in the net yield, it has declined sequentially. That is on the gold loan standalone book. That would be my first question. And my second question i s, congratulations on your deal with Bain. So if you can help us understand your strategy around the subsidiary, we have seen documents on the exchanges which talk about how much of the proceeds from the funds will be directed towards subsidiaries. It's ab out 60%. So if you can help us understand what is the initial plan or how are we looking at the three different segments that we have and how will that scale up? Thank you.
V.P. Nandakumar: So, Ms. Shreya , I will take up the second part of the question first. The Bain capital, it is under the process of approval. We have submitted application to various regulatory authorities for approval and we are waiting for the approval. So, the capital 18%, 9% in the form of equity and 9% as the convertible warrants , totally 18 % is coming into the parent company, Manappuram Finance. So, the capital requirement of the subsidiaries will be met from the parent company depending upon the need . So there is no specific amount. So whatever is required, as per our projected growth plan, so even when required, the capital will be infused from the parent . The second part of your question is quarterly standalone ? That Bindu can update.
Bindu A. L.: On the gold loan if you compare it with the previous quarter , we have seen a drop of almost 55 basis points in the income. That is the reason for the drop in profitability during the quarter.
Shreya Shivani: Sorry I didn't get that we have seen a drop in ...?
Bindu A. L.: 55 basis points re duction in gold loan yield.
Shreya Shivani: So have we offered new product , new plans after our entire branch revision that we had done in last quarter , is that one of the reasons for the yields declining?
Bindu A. L.: So two reasons we are analyzing the i nterest sensitivity and in few branches we are making the adjustments in the yield by offering new products. The a im is to attract the slightly higher ticket borrowers also with comparable pricing. So we want to match with the market so that the growth rate will be better.

Shreya Shivani: Got it. So this has selectively happened over a few branches or widely happened across our entire system?
Bindu A. L.: Selective branches.
Shreya Shivani: And would the selective branches be in some particular geographi es or any color on that?
V.P. Nandakumar: So we analyze the sensitivity. Accordingly, these are being done. It is not restricted to a particular geography. So wherever we see across India, wherever we see the interest sensitivity, there we

implement the schemes to attract customers particularly targeting slightly higher ticket.

Shreya Shivani: Got it, sir. That is very useful. Thank you so much and all the best.
Moderator: Thank you very much. The next question is from the line of S hweta from Elara. Please go ahead.
Shweta: Thank you, sir, for the opportunity. Sir, a couple of questions. So you mentioned last quarter that you had resubmitted the application for branch openings and you had a very positive response from the senior officials of the RBI. So any progress there for gold loan branches?
V.P. Nandakumar: So we have submitted the application and as the Bain transaction is under process with RBI, RBI has told us to wait un til the Bain transaction is over. In the meantime, what I want to highlight is there is a draft guideline in the public domain for comments from the RBI. In that, the draft guideline indicates that the branch opening prior permission will be taken away.
Shweta: Understood, sir. Ma'am, the second question is for you. So just taking cue from the previous question, so did I hear it right that the focus has been on higher ticket loans on the gold loan side, wherein the adjustment on yields happens. So if there was a focus on higher ticket gold loans, then what percentage share of gold AUMs have tenure of over 12 months and how are we fairing or any rejig in systems in line with the new norms which are put in the draft mode ?
Bindu A. L.: So the higher ticket what we meant is around 5 lakh and above because where we felt that our pricing is not a competitive , so that is the reason we are adjusting the price in the geography where we felt it is not competitive and the new guidelines talk about 1 kg gold etc. which we don't have many customers . So we are not talking about the new guidelines . It is mostly between 5 lakh and above but majority of the customers below 50 lakh only.
Shweta: Ma'am, how about the tenure? What percentage of our book is beyond 12 months tenure?
Bindu A. L.: We don't have any loan contracts about 12 months. Gold loan, we have one year tenure .
Shweta: Okay. And ma'am, one last question. So in the MFI business, I mean, I definitely understand that a lot of work is going on from our en d there. But two observations. One, so is Stage -3 now peaking out at around 8 % odd that we have seen for this particular quarter? Also, why the OPEX to AUM had to increase over 400 bps sequentially when the fact that the book has de -grown on

MFI side, also the loan officer count is down. And I mean, I am sure collection efforts would have sort of staggered, I mean, would have stacked up more now. But that has also not reflected in the asset quality. So what is leading to continued spike and this meaningful spike now in Q4?
Bindu A. L.: We can say that the Q4 is the worst quarter and we are seeing some improvement and if you see the net NPA is Rs. 177 crore. So the coming quarters, in absolute number this will be less. Your question on OPEX , what we did is we had the cease -and-desist order, and we were recovering from that . We want our employees to focus more on collection otherwise our Rs. 8,000 crore money is with the borrowers . We need a lot of people for collection and we want to maintain the employee strength and that is the reason to compensate them for the drop in disbursement incentive. We increased the collection incentive that helped us at least to maintain the collection efficiency at this level. So the reason for OPEX is a slightly higher incentive to retain employees to improve the collection. I agree that OPEX has gone up and all these ratios are a function of AUM as the AUM drops these percentages the GNPA or the OPEX to AUM has gone up , but in absolute number it is not very high compared to previous net NP A of Rs. 2 24 crores this is Rs. 177 crores . So the provision coverage also increased.
Shweta: Fair point , ma'am and j

ust a request to the whole team . We would greatly appreciate if there is a reasonable interval between announcement of results and conference calls which will allow us some time to review the financials. Thank you and all the best for your future endeavors.
Bindu A. L.: Yes. Sorry for that. We faced some technical issues in the last minute. Otherwise, we us ed to upload in our back. So sorry for that.
Moderator: Thank you very much. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hi sir, thank you for viewing the opportunity. My question was, you made a comm ent in your early commentary that we have submitted some representation to the RBI. So could you please give some more detail as to what sort of representations have been made by us?
V.P. Nandakumar: The representations are made through our association. Primarily, on a level playing with the banks and that is to maintain the LTV at the 75 % level. Then what is proposed in the draft that 75% shall include the interest component till the date of maturity. The major part of the representation is that, ye s, maintain the LTV at the present level.
Shreepal Doshi: Got it. In our current book, what percent of our customers would be taking bullet repayment as an option in our gold book?
V.P. Nandakumar: In our case, 100% of the customers are taking bullet repayment.
Shreepal Doshi: Alright, I mean, and so during the quarter, the LTV has gone down for the gold business. So

what explains that? Have we started, know, while it was just a draft circular, but have we started

taking some proactive actions or something like that? And therefore the reduction or what explains the reduction?

V.P. Nandakumar: It is not because of that. See, when the gold price goes up, the customer takes the money what he wants only. Just because the gold price has gone up, he will not avail more money. Why? Because people when they pledge have a clear visibility about the cash flow, the average life of the loan s still remains around 4 to 5 months, and many customers redeem within 1 or 2 months ' time. So they have the visibility and unless they have the visibility they will not borrow. So this is their family jewellery which is so close to their heart. So that's why even when the gold price goes up they borrow within their capacity. They feel like when the gold price goes up if they borrow more t hey will not be able to meet their commitment because one thing what should be understood here is , if he wants more , enjoy that and has no intention to repay better he can sell in the market and get more money , why should he come for pledge . So that's the reason why when the gold price goes up this is a huge phenomenon , it comes down and when the gold price goes down it goes up , LTV goes up.

Shreepal Doshi: Just one more question here, in link with the draft circular. So if it gets implemented in the curren t form, then what would be the disbursement LTV that we will have to maintain, or we will have to sort of start with because as you highlighted that 100 % of our portfolio is a bullet repayment. So in that case, what would the LTV be at the time of disburse ment that we will have to maintain?

V.P. Nandakumar: The interest component, whatever it is, still the maturity date , that also will have to be factored while computing our LTV and the cap is still maintain ed at 75%.

Shreepal Doshi: Got it .

V.P. Nandakumar : Including in.

Shreepal Doshi: Yes. Given that our go ld yield closer to 22%, so if we do back calculation, would it be closer to 60% of an LTV?

V.P. Nandakumar: Right. Ye s. That would be. We will design schemes which is convenient to the borrowers and we don't expect much disruption with the introduction of these and we believe that it will make the industry more robust

etc. and there will be level playing field for the NBFCs and banks also will be more in line with this because most of the loans, even in the case of banks, are availed as bullet loans.

Shreepal Doshi: Got it . Just o ne more question on the microfinance side. So in that we do have recent exposure in states like Karnataka and Tamil Nadu where we have seen in the recent time the state governmen t have taken some actions from bringing in different ordinance angles. So h ow are we seeing at ground level the collections being impacted in these 2 states, especially in Tamil Nadu which is very very recent?

V.P. Nandakumar: So, in both cases , ordinance made it amply clear that these are applicable to unregulated institutions. As we are regulated institutions, initially there are some hiccups. Other than t hat we are getting support even from the police as we are regulate once they understand we are a regulated entity working within the guidelines of RBI. So it's just that there are initially some challenges but gradually the market understands this, our target audience understands that and they cooperate with that.

Shreepal Doshi: Got it. Okay. Thank you s o much for answering my question s. Good luck for the next quarter, sir.

Moderator: Thank you so much. The next question is from the line of Kushan Parikh from Morgan Stanley . Please go ahead.

Kushan Parikh: Thanks for taking my questions. So I have mainly two questions. So the first question is around the loan growth. Basically this quarter we have seen loan growth sequentially decline for most of the non-gold sectors. MFI is understandable, it gives the ongoing stress over there, but if you could just help us understand the sequential slowdown in the vehicle segment or the on lending segment or even the slowdown in growth in the HFCs. So some color around the slowdown and what the future outlook for the segments will look like and what direction the overall loan mix will take in the near to medium term as we transition to the main capital management ? And the second question is around the Asirvad credit cost. If you could just help add some color to the credit cost in this quarter, I mean, how much of it was pertaining to write -offs and also if you could give some direction around incremental stress recognition that is left in the Asirvad loan book and also any additional provisioning requirements ? So I mean, what direction should we

think about credit costs g oing forward? So those are my two questions and a third data keeping question if you could just give the number of gold auction with this quarter?
V.P. Nandakumar: So loan growth in gold loan is good. It is going strong. The other sectors like vehicle finance, some of the areas like tractors and equipment, we slowdown that. And we thought of tightening our operating norms, etc. So consciously we took a call to slow down during the last quarter and this quarter everything is reinstated with new underwrit ing norms. HFC also it is like that. So these segments will grow going forward. It will be , the growth should be more healthy. That's why we took a pause. But those will be compensated with a growth in gold loan. That is what you see. As irvad credit cost, you can share that.
Bindu A. L.: Yes. So when the guardrails implemented from August onwards, we have seen a higher delinquency. And those cases lifted to NPA in Q4. So these are the flows that happened during Q3 and slipped to Q4 as NPA. But now we have seen stability in the flows, and we expect these numbers to come down in the coming quarters. The write -off number for the quarter Rs. 565 crores and the auction during the quarter Rs. 108 crores.
Kushan Parikh: Thanks, that was helpful. If you could just give some guidance around the credit costs at Asirvad going forward as well.

I mean should we expect that what else, I mean the 4Q credit costs are

sufficient and incrementally we should see significantly lower credit costs or there is st ill some still stress recognition left that would come into spillover into Q1 as well ?
Bindu A. L.: The credit cost number at the disbursement is very slow . The credit cost number will be , the percentage will be high but in absolute number this will be much less.
Kushan Parikh: Understood. Okay . That's all from my side. Thank you.
Moderator : Thank you very much. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Hi, good evening. Sir, when was this pricing moderation done in gold loans, which was done selectively in certain locations? Which month? And post that, have you experienced any increas e in growth in terms of AUM? Because when I look at the customer base in Q4, your customer base is actually flat to negative growth. So if you can tell us when was it done and whether is there any improvement in terms of new customer addition? It's not because you are chasing high value customer, so maybe not exactly in the customer count, but actually in terms of disbursement number on a monthly basis, is that picking up and how much it is picking up? And are you also further thinking of taking it further ahead in terms of red uction of portfolio yield or lending rates to spur growth ?
V.P. Nandakumar: So we are targeting slightly higher tickets also it is with our interest rate reduction in that segment definitely , that segment is growing . So this leads to a growth in AUM, and w e expect good growth in gold A UM in the coming month.
Bindu A. L.: We started the pilot in Q3 very few branches. Seeing the result from those branches we extended mainly in February. So the high-ticket customers we are able to acquire that is the reason the number of customers we could in therefore, but the average ticket size has gone up.
Raju Narayanan : for 5 lakhs also from 14% level it went up to 16% and above.
Bindu A. L.: Above 5 lakhs we increased to 16% from the earlier level of 14%.
Rajiv Mehta: Okay. And so when you are talking about, expecting growth in gold loan portfolio, you are obviously factoring in whatever impact has to come from the implementation of draft guideline. And so what is the, I mean, any range in the growth number, if we put any range for the growth number for the current year and if you can also comment simultaneously on the composition intensity from banks and from peers, because I think one year back you w ere calling out at the competition from the banks is kind of stabilizing or receding, but what is it now? If you could quantify the growth number for the gold portfolio?
V.P. Nandakumar: We expect a growth of over 20 % during the current year.
Rajiv Mehta: And sir, any comment in competitive intensity?

V.P. Nandakumar: Yes, see the competition is always there but still we expect a good growth of over 20 % during the current Financial Year.
Rajiv Mehta: Okay . And just one last thing I want to check. Sir, if the draft guidelines were to get implemented and you said that it will not have any significant impact on on-the-ground practices and maybe even on growth. But you know, it talks about certain things which the industry was not doing in the past in terms of LTV monitoring on a more concurrent basis which may kind of mean that you will have to collect interest from the borrower more regularly so that the LTV is not breached. And hence, it may also mean that you will have to change your product structure in

that case, maybe charge a lesser yield since the accrued interest portion will be lesser now. So why do you say that the guideline is implemented in the current form an

d shape will not be significantly disruptive when there are lot of things which may need t o change on the ground ?
V.P. Nandakumar: Many of the things are already implemented by the industry, particularly by major players. This LTV, the monitoring on a continual basis and this policy around how to do that is already framed by the board and it is already in practice now. See the gold industry is also growing as is seen from the growth in gold from the banking industry. So it is growing very fast, and we hope we will also enjoy the benefit of that growth of gold on portfolio as a whole. So there is a lot of migration taking place from the unorganized sector and we are seeing that.
Rajiv Mehta: Okay . Thank you so much for answering my questions and best of luck.
V.P. Nandakumar: Thank you.
Moderator: Thank you very much. The next question is from the line of Pradeep Agarwal from B &K Securities. Please go ahead.
Pradeep Agarwal: Yes, hi sir. My question pertains to the dr aft guidelines. So, while the industry and you have been offering around 12 months tenure products and if that is implemented in th e current form, I believe the impact on LTV is the highest. So are we evaluating to reduce the tenure for newer products so that the impact on LTV remains less? And if we do not do so, do you see that the industry might do that and can impact business for us?
V.P. Nandakumar: We had short tenure schemes in the past and have successfully implemented that. So, we are waiting for the guidelines to come. Accordingly, we will act. We will not have much problem in offering loans of different tenure s.
Pradeep Aga rwal: So in the past, if you can share the experience when we reduced the tenure, does that give some challenge to customers in terms of convenience what it has versus a 12 -month product? Or is it indifferent?
V.P. Nandakumar: So those who wanted one year will offer a one -year loa n. That is the lower LTV. So from 2013 onwards, till 2023, we were offering loans of tenure of 3 months.

Pradeep Agarwal: So will that have an impact on our yields?
V.P. Nandakumar: I don't expect.
Pradeep Agarwal: Okay. That's it from my side . Thank you so much.
Moderator: Thank you very much. The next question is from the line of Bhaskar Basu from Jeff eries. Please go ahead.
Bhasker Basu: Thank you. I just have a couple of questions. I think a few of them were answered. So firstly, on the gold loan, while we have seen some dip this quarter , what is the outlook in terms of how much further di p we expect next year? And given that in the context of additional growth, how should we think ab out the NI I growth with a lower margin and better growth? That's my question number one.
V.P. Nandakumar: So we expect the yield to come down because more and more competition yield to come down , we expect the borrowing cost also will go down gradually along with the yield and by targeting growth to cover whatever is the loss in the yield, we expect to maintain the ROE.
Bhasker Basu: When y our yield comes down, your margin comes down , your ROE gets impacted, right?
V.P. Nandakumar: We will leverage our capital. Leverage our capital more to maintain ROE.
Bhasker Basu: Okay. Secondly, on the new draft circular and I think there was some discussion around it. So are you looking at products which kind of have more interest payment upfront, more regular interest payment versus the bullet payments? Secondly, and also from an operational standpoint, some of the things like end-use monitoring, customer verification, are these things already being implemented or are waiting for the guideline to come in? And how do you see that impacting costs?
V.P. Nandakumar: So these are already in place. Customer verification and all the L TV monitoring these are already in place .
Bhasker Ba

su: End use monitoring as well which is now also part of the .
V.P. Nandakumar: End use also we have policy around that, I don’t think it will affect the business . The customer is pledging loan for a purpose only and that is the end use. See, we are offering mainly consumption loans. Then regarding the products , we let the guidelines come , in order to ensure the results . We have the steady business . We will offer the products to customers accordingly to meet their requirements.
Bhasker Basu: And on the liability side , how should we think about cost of fund, going forward? What is the piece of utilizing? How much of it is linked to MCLR? And if you assume the 50 bps rate cut, when can we start to see some benefits?

Bindu A. L.: See the cost of borrowing , one is the mix of bo rrowing . So in our case with the bond and the larger amount of term loans , the tenure has gone up That is that is what happened during this year. And the other thing with the repo reduction is slowly banks started reducing the MCLR . So we have some benefit coming in the beginning of the '25-'26 year. So April we have seen some benefit coming in. CPs also started getting. So we are seeing a reduction in cost of borrowings. So the Q1 FY'26, we will see some benefit.
Bhasker Basu: Is it possible to quantify in the context of correction we have seen so far and any broad guidance around it?
Bindu A. L.: I will not be able to quantify.
V.P. Nandakumar: Current , there is some fluidity with regard to the environment in the country now. So any prediction at this mome nt may not be right.
Bhasker Basu: Understood. And the last question is on the vehicle finance, we have seen a meaningful increase in NP Ls. So what's really happening there and what is the thought process going forward?
V.P. Nandakumar: So we have taken so me strategic steps in this regard. So which segment we should go, which segment we should not be there, et c. And also , we have strengthened our underwriting machinery as well as our collection methods . So with these, hope the situation will improve very fast.
Bhasker Basu: But just to understand where is the stretch, which segment ? Is there any specific product there?
V.P. Nandakumar: One is tractors and f arm equipment . Then some of them is, we have seen a high er delinquency level which we will avoid now.
Bhasker Basu: Okay, thanks . That's all from my side.
Moderator: Thank you very much. The next question is from the line of Heli from Pi Square Investment s. Please go ahead.
Hailey: Hi, good evening sir. I just wanted to understand the status on the open offer that Bain Capital has and certain regulations or certain set of new regulations that we need to comply with and its effect on our current ongoing business , gold and non -gold?
V.P. Nandakumar: That process is underway. So, many regu lators from CCI, then RBI, SEBI then IRDA, there are multiple regulators here. That process is fully on. Our lawyers and bankers are taking care of it. And we don't expect any hassle with regard to that other than the natural time it takes , usual time it takes. So, we will expect that to close everything before the end of this year, well before that.
Hailey: Sorry, what is the timeline expected?
V.P. Nandakumar: Yes, that's what , well before the end of this year.

Hailey: Alright . Okay, thank you.
Moderator : Thank you very much. The next question is from the line of B unty Chawla from IDBI. Please go ahead.
Bunty Chawla: Thank you for giving me the opportunity. Most of my questions have been answered. One thing, now how one should see the MFI portfolio going forward in an overall pie? And as you said, AUM growth for the gold l oan portfolio for FY26 will be 20 % growth. So on an overall A UM growth on a consol

idated basis, how one should see that number?
V.P. Nandakumar: So I expect the MFI portfolio to go down t o somewhere around 10 % towards the end of this year in the consolidated book.
Bunty Chawla: And overall A UM growth on a consolidated basis?
V.P. Nandakumar: I expect that to be around 20%.
Bunty Chawla: Okay. And lastly, how one should see the ROA on a con sol basis as we have, so this quarter will be one of in terms of losses, but on a F Y'26 basis, ROA number for the full year on a consol basis?
V.P. Nandakumar: So we are more than ROA, we are focusing on ROE. It has slightly gone down because of the microfinance portfolio. The share of that is coming down and the new lending we are using the guard rails . So the disbursals in MFI is down . So our target is to reach around 18 % and we hope in a few quarters from now we will reach a level of 18 % ROE.
Bunty Chawla: Thank you very much for that.
Moderator: Thank you very much. The next question is from the line of Shubham from ISEC . Please go ahead.
Shubham: Hello. Thanks for the opportunity. I have mainly two questions. First is on Bain 's capital infusion. So it is going to be in gold loan business or it's also going to be allocated to other subsid aries business also ? So that is my first question. And the second one is regarding Asir vad. So this year, this quarter's losses are mainly b ecause of the high provisioning. So this is all factored in this quarter or going forward also there is going to be provisioning also happening in Asirvad?

V.P. Nandakumar: So, the Bain Capital infusion is into the parent company Mana ppuram Finance. It is not specifically for gold loan but our target is more to grow gold loan and secured loans particularly gold loan and secured MSME including affordable housing. This is our priority and we don't ignore vehicle finance. The idea is we want to run the company in the longer term with almost 90% in secure lending. That's the idea. So regarding the provisioning in Asirvad the indication is this will come down in the coming quarters.

Shubham: So capital infusion is mostly for the secured business, right?
V.P. Nandakumar: That is our joint decision. Let us focus more on secured business.
Shubham: Okay . Thank you very much.
Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.
Vivek Gautam: This quarter , is the worst over for our microfinance and gold loan business ? Was it sort of a kitchen sink quarter and the future would improve from here? But numbers should also improve from here?
V.P. Nandakumar: Yes, so microfinance what signals is the worst time is over. The gold loan business is seeing a robust growth. Last quarter also we have grown and this quarter also we expect a robust growth and we hope that to continue to have the robust growth throughout this year.
Vivek Gautam: The same stands too for other loan businesses also, vehicle housing and other things also ?
V.P. Nandakumar: Yes, housing also. All the secured business we expect reasonable growth .
Vivek Gautam: The second thing was about this bank capital experience in managing the non-banking finance companies, loan companies in India and abroad. If you can some highlight their specialization and how would they add value to our business?
V.P. Nandakumar: They were investors in Axis Bank in the past. Then L&T finance. Now they run T yger Finance, formerly Adani Finance. Then 36 0 One Wealth As sets they managed. They have the experience both in India as well as global. So, with that experience and our knowledge about gold loan, we see some blend that we expect that to be good for the co mpany.
Vivek Gautam: Yes, sir. Thanks a lot. And sir, I saw a machine in China, ATM software machine, wherein the gold loans they were disbursing on the

basis of jewellery also and everything in one go. So it's some sort of risk of the technological disruption to our gold loan business ? So that manual intervention is required or something ?
V.P. Nandakumar: We don't expect that in the immediate future. Because I don't know in five years or ten years time what will come. Because , these involve multiple technologies like metallurgy, many other technologies to be blended here. Many have tried in the past. See, in a jewellery this can be done because whenever they purchase something, they have the time to verify each pieces etc . etc. and whatever is availab le even in the jewellery that the testing can be only very superficial . So thickly coated ornaments , it is very difficult . It has to be actually broken for verification testing etc. In a long industry long industry this cannot be broken often . So I don't t hink in the present situation anybody has that. So it is very difficult and that is a disadvantage as far as NBFCs are concerned. They have people across all the branches who have the capability to assess the purity

to a higher degree of accuracy by the mere feel and touch of the ornament. That is our strength. And I believe that that will continue to be your strength. It will happen.
Vivek Gautam: Last quer y is on the gold loan prices. Due to this, the gold loan prices are expected to remain high only as most of the countries like China, Russia have started investing in gold on ly instead of the treasuries of US government and Western government post Ukraine war. And because of that, because the Ukraine and the Western government sees those treasury bond , investment made by Russia , as such the prices of gold are expected to remain high only?
V.P. Nandakumar: I don't take a call while lending. there is a prescribed LTV fixing model. Even t he regulation has mandated that. We go by that. We don't take any prospective view about gold prices. But personally I believe that the chances of the gold price are only for going up. That's my personal thought . That's all.
Vivek Gautam: Okay, thank you, sir.
V.P. Nandakumar: Welcome.
Moderator: Thank you so much. The n ext question is from the line of Mona K hetan from Dol at Capital. Please go ahead.
Mona Khetan: Yes, hi sir. Good evening. Firstly on growth, you mentioned that you are looking for a consol AUM growth of about 20%. So do we expect vehicle SME , housing portfolios to pick up materially and given the underwriting changes you have undergone or there could be some more,

you know, consolidation in these books before growth picks up ?
V.P. Nandakumar: That consolidation phase is already achieved. Now w e are targeting growth. Gold we are expecting growth. The other segments also we expect that to grow around 20%.
Mona Khetan: Sure. And could I know the Stage -3 PCR in vehicle and MSME book in your case? Provision coverage?
Bindu A. L.: Provision coverage for the secured book is around 10 %. For the unsecured , we are writing -off beyond 90 bps.
Mona Khetan: So 10 % is for the entire standalone book if I am correct, right?
Bindu A. L.: No. See, go ld loan provision will be very less because we are following the LGD , the historical data shows a low LGD for gold loan that is around 3 %-4% only for gold loan business . For the MSME and vehicle finance also based on the historical data we are creating LGD .
Mona Khetan: And w e have not really increased our coverage during this quarter to that extent. It remains in the same line as last quarter or so in MSME, vehicle etc .?

Bindu A. L.: March ‘25 numbers recalculated . The LGD model we will compute annually . So March ‘24 numbers and March ‘25 numbers there is some chang e but in vehicle finance as soon as the vehicle is repossessed and sol

d , actual loss will be written off only the NPAs we are creating the provision but all write -off also factored in LGD computation.
Mona Khetan: Sure. So if you could just share the Stage -3 PCR for vehicle and MSME if it is handy at your end?
Bindu A. L.: So it's around 20 % for vehicle finance. No, no, I will come back to you.
Mona Khetan: Sure. And just finally, on the Asirvad book, 1 plus DPD, where does it stand?
Bindu A. L.: It is given in the presentation, 1 plus DPD . That is 30 plus I think.
V.P. Nandakumar: 30 plus.
Rajesh : 30 plus is 17.22%.
Mona Khetan: Right, what will be 1 plus ?
V.P. Nandakumar: 1 plus .
Rajesh : 1 plus is 20%.
Mona Khetan: Thank you. If you could just share the P CR on MSME , vehicles? Thanks so much. That's all from my side.
Moderator: Thank you very much. The last question is from the line of Deepak Sharma, an Individual Investor. Please go ahead.
Deepak Sharma: Alright . Thank you for the opportunit y. That's my question from the impairment. Can you give some hint about the age bracket of persons or demographic where th is impairment has been done?
V.P. Nandakumar: You are asking about?
Deepak Sharma: The impairment part.
V.P. Nandakumar: Which segment, the MFI or some vehicle or which portfolio?
Deepak Sharma: Customer, mainly the average ticket size. The average ticket size, average age bracket and the demography.
V.P. Nandakumar: Impairment , right?

Deepak Sharma: The impairment from its geography. Rajesh can answer.
V.P. Nandakumar: That is the MFI?
Management: We will share the data.
V.P. Nandakumar: Basically i t is mainly West Bengal , Bihar, then Karnataka we had some recent issue in Tamil Nadu, these are Tamil Nadu and Karnataka are slowly improving. So, these are the places where we see maximum impairment.
Deepak Sharma: Okay, thank you.
Moderator: As there are no further questions from the participants , I now hand the conference ove r to Management for closing comments.
V.P. Nandakumar: Thank you for the active participation and we look forward for your support. Thank you.
Moderator: On behalf of Motilal Oswal Financial Services Limited that concludes this conference. Thank you for jo ining us and you may now disconnect your lines.

Call: Aug 2025

Reference No.: SEC/SE/ 86/2025 -26
Date: August 13, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip Code: 531213 National Stock Exchange of
India Limited
5th Floor, Exchange Plaza
Bandra (East)
Mumbai – 400 051
Scrip Code: MANAPPURAM India International Exchange (IFSC)
Ltd
1st Floor, Unit No. 101, The Signature,
Building no. 13B, Road 1C, Zone 1,
GIFT SEZ, GIFT City, Gandhinagar,
Gujarat – 382355

Dear Madam/ Sir,

Subj: Concall Transcript of Q 1 FY 202 6 Results Conference Call held on August 8, 2025

With reference to the above, kindly note that the transcript of Q 1 FY 202 6 Results Conference Call held on August 8, 2025 , has been uploaded on the website of the company: www.manappuram.com and is made available at the below link: -

https://www.manappuram.com/investor -call

You are requested to kindly note the same.

This is for your information.

Yours faithfully ,
For Manappuram Finance Limited

Manoj Kumar VR
Company Secretary

Enclosure: as above

"Manappuram Finance Limited
Q1 FY '26 Earnings Conference Call "
August 08, 202 5

MANAGEMENT : MR. V. P. NANDAKUMAR – MANAGING DIRECTOR –
MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR –
MANAPPURAM FINANCE LIMITED
MR. DEEPAK REDDY – CHIEF EXECUTIVE OFFICER –
MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER –
MANAPPURAM FINANCE LIMITED
MR. RAJU NARAYANAN – BUSINESS HEAD –
MANAPPURAM FINANCE LIMITED

DR. ROY VARGHESE – CHIEF EXECUTIVE OFFICER – ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL OFFICER – ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD, VEHICLE AND EQUIPMENT FINANCE – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P. S. – CHIEF EXECUTIVE OFFICER – MANNAPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER – MANNAPURAM HOME FINANCE
DR. SHAILESH J. MEHTA – CHAIRMAN , INDEPENDENT DIRECTOR – MANNAPURAM HOME FINANCE

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Manappuram Finance Q1 FY '26 Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is bei ng recorded.
I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited. Thank you, and over to you, sir.
Sanket Chheda: Yes. Hello, and very good evening to all of you. We have with us the entire management team of Manappuram F inance to discuss their Q1 FY '2 6 results. Starting with Mr. V. P. Nandakumar, MD; Sumitha Nandan, ED; Mr. Deepak Red dy sir who has joined as CEO; Ms . Bindu A.L., who is the CFO; Raju Narayanan, Business Head; Dr. Roy Varghese, who is CEO of Asirvad Microf inance; Mr. Rajesh, who is CFO; Mr. Kamal Parmar, who is Head of Vehicle and Equipment Finance; Mr. Suveen P. S., who is the CEO , Manappuram Home Finance; Robin Karuvely, CFO, Manappuram Home Finance.
Without further ado, I will hand the call over to Mr. V. P. Nandakumar and then Mr. Deepak Reddy sir for their opening remarks. We'll follow that up with Q&A. Over to you, sir.
V. P. Nandakumar: Thank you. Good evening, ladies and gentlemen, and thank you for joining us on this earnings call. It is an honor to connect with you as we share a comprehensive overview of our financial and operational results for the first quarter of fiscal 2026. We value your ongoing engagement and support as we reflect our perf ormance and outline our strategic priorities moving forward .
Today, we would also like to share a snapshot of the gold loan and microfinance industries in India and the Manappuram Finance standing in that. We will also address the effect of recent regulat ory changes and macroeconomic headwinds on the industry.
At the outset, I would welcome Mr. Deepak Reddy as the new CEO of Manappuram Finance. He brings with him over 3 decades of extensive experience in leading diverse business verticals and managing hum an capital across prominent financial institutions.
As CEO, he will be responsible for steering Manappuram Finance through the next phase of growth and innovation. This includes strengthening the company's core businesses of gold loans, vehicle loans, hou sing finance and digital lending, while enhancing organization culture, leadership governance and customer centricity.
Let me provide an overview of the macroeconomic scenario. Global growth is expected to remain steady at 3% in 2025, supported by easing inflation, a weaker U.S. dollar and fiscal support in major economies. However, macroeconomic risk persist in terms of unresolved trade tensions, geopolitical tensions, region conflict which would undermine the growth projection.
In India, economic activi ty in India is showing a trend , driven by a prudent recovery, urban spending and stronger credit transmission and is on track to meet the projected GDP growth of

2.5%. Inflation is to a 6 year low, until earlier RBI cut the rate and CRR in the last 2 months to boost liquidity and support consumption.
The recent U.S. tariff announcements on Indian imports is expected to pose limited GDP impact,

but add to external uncertainty keeping INR under pressure until trade clarity come out. Gi ven this backdrop, credit growth is expected to improve further as lower interest rates and better system liquidity for lending across retail, MSME and microfinance segment and we remain optimistic on the evolving macroeconomic scenario.
Let me start with an overview of our financial performance. M

anappuram Finance on a
standalone basis, recorded a revenue of INR1,744.5 crores marking a quarter -on-quarter growth of 0.2%. And standalone earned a PAT INR392.1 crores against a PAT of INR 414.4 crores in Q4 FY '25.
The consolidated company revenue in Q1 stood at INR2,265 crores compared to INR2,329 crores of the previous quarter. Our consolidated profit after tax before other comprehensive income and minority interests for the quarter stood at INR132.5 crores, compared to the loss of INR203.2 crores of the previous quarter.
For Q1 FY '25,'26, the Board has declared an interim dividend of INR0.50. Profitability of the consolidated company impacted mainly on account of stress in the microfinance sector. Our gold loan business remains a core strength of our portfolio, delivering consistent margins and stability. We proposed to increase the gold loan portfolio at a consolidated level of 75% of total loan portfolio in a phased manner.
To attract more borrowers, we have introduced various go ld loan schemes at comprehensive prices to drive our gold loan strategy. We also in the augment additional gold loan consolidated through Asirvad leveraging the relaxations in the qualifying asset criteria of MFI. The proportion of gold lending will increase further the share of our gold loan on the consolidated AUM as well as our interest income.
We continue to strengthen our governance structure to ensure compliances with the regulations and provide better customer sa tisfaction. Along with increasing the share of gold loan in the portfolio, we plan to grow our housing loans, secure the MSME lending business and commercial vehicle and auto loan portfolios in a prudent manner within an overall ceiling of 90%.
Gradual de cline of microfinance portfolio in the consolidated company will be reduced to 10%. Our statutory and regulatory guidelines are favorable for the sustenance and growth of NBFCs in general. The recent regulatory guidelines on gold loan is expected to provid e a level playing field for all regulated entities. The latest harmonized RBI guidelines on co -lending will bring in harmony between the banks and the NBFCs who are operating at a grassroot level.
Moreover, Manappuram Finance now has started leveraging Bain Capital's extensive expertise in financial services within India. Alongside our impressive platform, the Bain Capital Investment will be aimed at facilitating the growth of all our non -banking financial se rvices business. Dr. Shailesh J . Mehta, Chairman, Independent Director, will be completing 2 terms as

per the provisions of the Company's Act 2013 and SEBI Listing Regulat ions effective of 27 August, 202 5. Accordingly, Board at today's meeting decided to appoint Mr. V. P. Nandakumar, MD, as the Chairman with effect from August 28, 2025.
Now I invite Mr. Deepak Reddy, CEO, to s ay a few words and thereafter M s. Bindu A. L., President and CFO, to provide a more comprehensive review of our financial performance, including detailed segment analysis of the quality metrics and key financial pursuits.
Thank you for your attention, and we look forward to addressing your que stions during Q&A session. Thank you.
Deepak Reddy: Thank you, Chairman, and good evening to all of you. It's indeed a privilege to be speaking to you all and thank you for joining this call. It's been only a few days since I joined the Company and hence i t will be premature for me to comment on company ’s performance, current or go forward strategy or to give any sort of guidance. You can expect that from me in the quarters to come.
Having said that, I must state that I feel privileged to lead the company into its next phase of evolution and growth. This feeling has only grown stronger since I formally joined the company last Friday. I'm very excited and confident of future performance and possibilities

of the
company.
At this stage, I can only state that you can expect me to run a transparent and forward -looking company that is growth -oriented and with a strong culture of risk prudence, operating rigor and managed by strong and enthusiastic teams.
Thank you all very much, and I look forward to interacting with all of you going forward and also looki ng forward to all your support. Thank you. And once again, thank you for joining this

call.
Bindu A. L .: Thank you, sir. Good evening, ladies and gentlemen. Coming to the key highlights of our operational perfor mance across the businesses. Gold loan portfolio remains our core strength, accounting for 65% of consolidated AUM compared to 59.5% in Q4 FY '25. Consolidated AUM stood at INR2,802 crores, Q -on-Q growth of 12.6% and 21.8% Y -o-Y in spite of heightened comp etition.
We added 3.58 lakh new customers during the quarter, bringing the total active customer base to 25.9 lakhs. Average LTV at 57% and 85% of the loan book now sourced through online gold loan platform. Our standalone PAT for the quarter was INR392 c rores versus INR414 crores on account of lower income mainly from the non -gold businesses. AUM for Asirvad including gold loans of INR1,111 crores stood at INR6,705 crores, which is down by 18% sequentially and 45% Y -o-Y.
As you are a ware, the microfinance sector experienced a considerable stress primarily due to the increased borrower defaults from over leverage and led to higher credit costs. This negatively impacted the profitability. Asirvad posted a loss of INR267 crores in Q1 com pared to a loss of

INR624 crores in Q4 FY '25. The net NPA at 1.4% that is INR84 crores compared to INR177 crores in Q4 and the CRAR at 23.6%.
Our vehicle finance AUM at INR4,492 crores, which represents a decline of 5.9% Q -on-Q and up by 1.1 percentage Y -o-Y. Considering the asset quality challenges, especially from the 2 - wheeler and farm segment, we tightened the underwriting with low disbursement, the GNPA increa sed to 9.2% as on 30 June 2025.
The home loan portfolio reached INR1,901 crores, reflecting a growth of 4.3% Q -on-Q and 19.8% Y -o-Y increase. This business operates from 89 branches and reported a profit of INR7 crores during the quarter with a GNPA of 2.87%.
Loans to MSME and allied sectors stood at INR3,105 crores with a disbursement of INR346 crores. For Q1 FY 2026, our consolidated AUM stood at INR44,304 crores, reflecting a sequential growth of 3% and 1.4% decline on a Y -o-Y basis. Consolidated PAT INR132 crores, an increase of 165% over the previous quarter and a decline of 76% Y -o-Y. Capital position remains strong at CRAR of 28.7% and the net worth at INR12,504 crores.
Book value per share stood at INR147.7 , ROA of 3.8% on the standalone AUM and the leverage remains conservative at 2.5x. Standalone GNPA at 3%. And the liquidity position as on 30th June, INR4,047 crores with undrawn bank lines of INR3,220 crores. During the quarter, we have seen a minor decline in the cost of borrowings by 2 basis points.
Thank y ou. Thank you once again for your continued support and confidence.
Moderator: Thank you very much. We will now begin the question and answer session . We have first question from the line of Digant Haria from GreenEdge Wealth.
Digant Haria: The first quest ion is that in the gold loan space, we have seen good growth Q -o-Q. But I see that our yields have dropped from, say, 22% to, say, 20.5%. So is this like a conscious strategy? Or is it because of competition? Or if you can just give some idea on what's hap pened here?
V. P. Nandakumar: It's a conscious strategy to bring it on par with leading players in the NBFC industry slowly. So that is yielding results. And that is not as per our assessment that is not going to impact our gold loan income during the curr ent year because of the depression yield

. Depression yield will be compensated by the growth. So in the coming quarters, it will be reflected in the results.
Digant Haria: Got it. And just like we are at 20.5%, maybe 200 bps more versus competition, we are higher. So you're saying that we'll eventually reach that 18%, 19%, which the general market, right?
V. P. Nandakumar: Definitely, with the growth slowly, we are bringing down we are trying to protect our budgeted income from gold loan also parallel ly.
Digant Haria: Right, okay . Sir, and second is on the microfinance. Have we seen the worst or maybe 1 or 2 more quarters of pain because some states are doing okay, some states are still not doing okay.

V. P. Nandakumar: In the last con call, last quarter also, I told you the worst is over. Now things are coming back. And we are hoping things will improve towards the last quarter, should turn green that is our expectation.
Digant Haria: Okay. So losses would be dropped in Asirvad, right, from next quart er or like losses in microfinance, sir, losses in microfinance.
V. P. Nandakumar: It will come down, definitely. It is coming down.

Moderator: The next question is from the line of Shreya Shivani from CLSA.
Shreya Shivani: I have 3 ques tions. My first question is on the gold loan book. So we had indicated in the last quarter itself that we are cutting rates so that we can acquire more customers, particularly in the high ticket size. Now the customer count growth has been fairly limited.
Majority of the AUM growth has come from higher ticket size. So have we just cut lending rates in the higher ticket size or is it across bucket cutting rates, is it not helping us acquire more customers? Because one would have expected the volume growth also to be contributing to the overall AUM growth. That's my first question.
My second question is on the MFI book, Asirvad book. So I understand we've been -- we want to make this book 10% of our overall mix and all that. But somehow your customer count for the past 2 quarters has been revised downwards. Can you help us understand that what has been the reason for that?
And my third question is obviously on what -- on the deal, what all approvals are left? Any update that you can give us on that would be useful?
V. P. Nandakumar: First question about gold loan, the customer growth because we have started reducing the rates. We plan to reduce across the board gradually in a very calibrated manner. So gradually, you will see the volume growth also, customer count also , because communication in the community takes little time. So the first response comes from the existing custom ers and some high holding customers. So slowly, you will see this action resulting in better loan growth in the coming quarters.
Regarding MFI book, yes, we are strictly following the guardrail set by SROs. Initially, we have improved our systems and syst ems completely in place, computer systems, it took some time. So gradually, the business is increasing and we are very tight in underwriting as I have mentioned.
Regarding the Bain deal , it is progressing smoothly as expected. CCI approval is already we g ot and next, we are expecting the NSE /BSE approval, we expect maybe through in fortnight. So also the most important approval from the principal regulator RBI that is expected within another one month. Everything is going smoothly.

Shreya Shivani: Got it, sir. This is very useful. Just a follow -up, the MFI customer count you said because you have upgraded your computer system, that's why there has been an update to the earlier count. Is that the reason -- is that what you… ?
V. P. Nandakumar: Yes.
Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: So just to ha rp on the previous participa

nt's question. We have -- in the past, we have not seen for ourselves or for the industry that cutting prices -- cutting lending rates has helped gold loan growth. Just wanted to understand why are we more confident of getting gr owth by cutting yields this time around?
And secondly, if you could just share the gold loan yields for 1Q and the gold loan auctions as well. And lastly, if you could provide some guidance towards the trajectory of credit cost moderation and accrual, tha t would be helpful ? Yes. Those are the questions from my side.
V. P. Nandakumar: So gold loan cutting price, we have been doing consistently. So we want to map that to the market along with the leading players in the NBFC industry. So we are doing it gradu ally, as I said, in a calibrated manner ensuring that the projected income from gold loan is also achieved with even though the yield reduction is there.
So it is done in a phased manner, piloting at various places and seeing success, it is slowly getting expanded. To give wider publicity, we are using s ocial media and better CRMs, et cetera. So the results will be available in the coming quarters. The NPAs are showing reduction as you see in that. The tempo is getting slowly improved. So also quality disbursals with stringent under writin g using the SRO guidelines, et cetera, that is already implemented.
So the collections are improving slowly. So you will see the better results in the coming quarters and we hope towards the end of th is year, the last quarter, we'll be able to turn around. And to share some…
Bindu A. L .: Auctions during the quarter, INR51 crore s.
Kushan Parikh: And the goal loan yield for the quarter?
Bindu A. L .: 20.7%. Average yield of 20.7%.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Bindu ma'am, you just said gold loan yields of 20.7% in 1Q. If you could also remind us what was the yield in the fourth quarter? And the related question here, so while Nandakumar sir said that the idea is to bring down the gold lending rates to be on par with the leading gold NBFC players, right?

So I think today, the leading gold NBFC players are all at around 17.5%, 18%. So are we saying that over a period of t ime, our gold loan yields will also gravitate towards 18%? If the answer

is, yes, over what period, over how many quarters can we expect this gold loan yield to gravitate towards that 18%?
V. P. Nandakumar: So we are planning to bring similar to the market in a phased manner. So in around 6 quarters we are planning and we are expecting the yield reduction matching the growth will not impact our budgeted income from the gold loan with the current year. So that's why I repeatedly telling this is done in a ver y calibrated manner.
What is the impact on the projected income and actual income realized income, what is it going to be? On the basis of that, the reduction is happening slowly. So I hope in 4 to 6 quarters, we'll bring that more or less on par with the leading player.
Abhijit Tibrewal: Got it. And sir, just a related question -- yes, ma'am, please go ahead.
Bindu A. L .: Last quarter, the yield was 22.2% this quarter, 20.7%.
Abhijit Tibrewal: Got it. So, ma'am, almos t 2.5% have been shaved off in one quarter. And then why should it take 4 to 6 more quarters for us to get towards 18%? 150 basis points have been shaved off.
Deepak Reddy: That's what I told. On the one side, we have some projections for the year with regard to gold loan income. So we are able to assess whether we are in the right direction to achieve that budgeted income, accordingly we reduce. And compared to that, we expect the reduction in borrowing cost. So that also will be passed on to the customers. So that even before the expected period, we'll be able to match our rates with the yielding price

.
Abhijit Tibrewal: Got it, sir. Got it. And then sir, I mean, given that we've already seen a very strong first quarter, now internally, what are we targeting for the full year gold loan gro wth?
V. P. Nandakumar: We feel like this year will be better than the previous year.
Abhijit Tibrewal: Got it, sir. And then I had one question for Deepak sir. Sir, you already spelled out in your opening remarks that you don't want to be speaking about th e strategy going forward given that it's early. But sir, given that whenever leaders like you join the company, I'm sure they have something in mind with regards to how they want to shape the company. So one thing very clearly, right, what we have articula ted as a strategy already is over a period of time, we want to bring our gold lending rates on par with the leading gold NBFC players.
And to that end, what I assume is even if that would mean the margins and the ROEs are lower, we want to bring higher le verage on the balance sheet so that we can maybe deliver the same ROEs. So just trying to understand, sir, from you, what is it that you have in mind? Are there people that you'll be looking to onboard in your leadership team, people who will be reporting into you? And just at an overall level, right, I mean, how are you thinking about the company going forward?
Deepak Reddy: Okay. Thanks for your question. I'm going to duck the question, and I'll tell you why. Do I have some thoughts of what we need to do? Do I have some thinking around it? Is there a plan that's

shaping in my mind? The answer is yes. But it's definitely premature for me . This is 5 days experience in the company to state at this August forum what exact strategy going forward.
You can be rest assured that once I get a better feel of the company, I go further down, I travel, I meet people and validate some of my hypothesis and what I want to do, we will share a strategy at the appropriate time. Very strong thoughts and exciting t houghts, but I'm sorry, very, very premature for me to comment on that at this stage.
Abhijit Tibrewal: Sure, sir. I understand that. And lastly, one question for Bindu ma'am. Ma'am, you said that this quarter, the cost of borrowings declined by 2 basis po ints Q -o-Q. Just trying to understand how is our liability mix positioned, particularly on the bank borrowing side. So do you expect that in the coming quarters, right, second quarter, third quarter, when banks start passing on MCLR cuts, that's where our cost of borrowings will start benefiting? Or how should we think about it?
And also a related question, while the portfolio cost of borrowings are down 2 basis points Q -o-Q, where are we stacking up on the incremental cost of borrow?
Bindu A. L .: So on the cost of borrowing, what you said is exactly what we have seen in the banking system. So we are seeing slowly banks are reducing the MCLR, which is beneficial. But at the same time, the mix of borrowing, we are trying to have -- or the banks al so want to have long -term facilities.
So the short -term mix is coming down. It is only 26% you see. Working capita l demand on CP

is around 4%, et cetera. So in the coming quarters, we can see the reduction in the MCLR rates, which will give us benefit. And I think with the capital coming in, all those things, we can see a better negotiation with the banks.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Welcome to Mr. Deepak Reddy in the company. So my first question on MFI. I mean we have gone through this cycle multiple times in the past. So has anything changed structurally or on ground that we intend to now cap this at 10 -odd percent? I mean we have seen the ebbs and flows multiple times. So why this chang e now?

V. P. Nandakumar: So the change in the underwriting policy. So with the change in regula

tion, we have been following the assessment policy and other regulatory guidelines. Now, - post this scenario of bad performance of MFI, the SROs have come forward and are doing some guardrail. So we are strictly following that. Then other than that, we have not done anything. So we see a lot of opportunity there because MFI with the new underwriting standards, we feel like the asset quality will remain high . It may go to somewhere near to pre -COVID asset quality.

And secondly, where we see opportunity there is gold loan. We are in discussion with banks for the opportunity for co -lending and a few of the banks have come forward with a lot of enthusiasm. And now the revised guidelines, as I mentioned earlier, has come, which are very positive with regard to lending. So that gives the company a wonderful opportunity to grow gold loan. And so this will definitely reshape the company in the coming quarters.

Prati k Kothari: Correct. And sir, second clarification on the gold. What you are saying is it's to attract the high ticket 5 lakh plus customers to whom we have to give lower yields. It's not for those 50,000 ticket size where we have lower yields.

V. P. Nandak umar: We are gradually introducing across the board all tickets. Our idea is to be customer friendly with regard to pricing in comparison with the market.

Pratik Kothari: Right. So this 5 lakh plus share, which I think last quarter, we had said was 15%, 16 %. So where is it now? And I mean, where are we benchmarking this to, say, 4, 6 quarters out?

V. P. Nandakumar: We are benchmarking with other players. So as I have been telling this is done in a phased manner, in a calibrated manner. And on the one side, we want to ensure that the budgeted income is achieved and we are able to achieve leverage our capital better. So the pricing depends on the market conditions. So we see some stability there amongst the top 3, 4 players. So gradually, as I mentioned earlier, we plan to reach that level.

Pratik Kothari: So where have we reached and what is the plan for 6 quarters? I mean this INR5 lakh plus ticket size, what is the mix in our portfolio right now? And what does it have to be? What does this 2, 3 other players have it at?

Raju Narayanan: Now it is 19%, as I mentioned, 1 5% in the last quarter.

Pratik Kothari: Yes. And the peers that we want to achieve, this is what, 25%, 30% ?

Raju Narayanan: Yes. From the market, we came to know that they are at 30% level.

V. P. Nandakumar : These are not publicly listed .

Pratik Kothari: Fair. And sir, you said we -- our plan is to match the budgeted numbers for this year. So on the gold loan side, this was on the revenue or on the profit?

V. P. Nandakumar: On the revenue as well as profit.

Pratik Kothari: Fair enough. Sure. And sir, last, if you can comment on our vehicle and MSME. I mean the NPAs there have shot up through the roof. I mean we have kind of curtailed lending also ther e at least the quarter -on-quarter, the growth is not coming or there's a degrowth. So if you can some comments there, I mean, what kind of pain we are seeing where in the cycle are we?

V. P. Nandakumar: In MSME, we had around 5% portfolio, which was unsecu red. So the major challenge has come from that in MSME. And another thing, this quarter, we did some ARC that also has been bearing on the profitability. But now we have consolidated many things and we are hopeful of bringing down the opex also by 2% t owards the end of this year gradually.

So the more focus is on asset quality. And so we are refocusing our business to take the average ticket size, which is currently around INR5 lakhs to around INR8 lakhs, INR9 lakhs towards the end of this year. We have revised strategy for that and we hope that this will improve, this strategy will improve performance.

With regard to vehicle portfolio, we had challenges in some of the segments we were in, like farm equipment 's, which we thought it is not our cup of tea, so we exited. Similarly, in 2 wheeler also, we have remodeled to an automated underwriting system so that the people cost is reduced. So this has brought down our disbursal, but it will gradually p ick up.
Now our renewed strategy is focus on the slightly larger tickets, both on the used commercial vehicles as well as used car segment . So this is our strategy, and there also the average ticket size remains around INR6 lakhs, INR7 lakhs, and we i ntend that to be taken to around INR10 lakhs plus and attract customers of a relatively higher profile.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Sir, my first question is on the gold loan industry itsel f. So sir, are we seeing that the competition here again, is going up in the market now post the RBI guideline and the clarity from the regulator about the regulations? Are we seeing that more players coming into the market, the existing players inten sifying their strategy and game?
And on the other side, are we also seeing that the demand for gold loan is suddenly rising across ticket sizes because the other avenues of loans are not freely available, so much available as before. So how do you assess the demand and supply side of the gold loan market playing out?
And whether lowering the yield then in that case should get us the desired volume growth because I think value growth is right now, but if the gold price were to stabilize in the future, does lowering the yield will give us the desired volume growth? And what will be that desired volume growth that we would want to be at?
V. P. Nandakumar: So the smaller ticket size that is below INR1 lakhs, there because of the regulatory changes like transfe rring money into bank, etcetera, etcetera , is showing some negativity there and these small borrowers borrowing up to INR10,000, INR20,000, INR50,000, there is a tendency for going to the unorganized s ector borrowers, money lenders.
But more and more customers are coming from the higher ticket size. So now with the new regulation concerning gold loan, it has definitely created a level playing field. There are opportunities there.
And of course, there's opportunities for borrowing the un secured loans. That is coming down, which has actually is positive for gold loan. Regarding competition, any business which is attractive will have the competition. But the thing is for any new player to create any infra l ike us or some leading players.
There's so many employees very well trained who can assess the purity by the near feel and touch and also the security infrastructure, creation of large security infrastructure across India would take time. I'm not saying that it is impossible, it is possible, but it takes time. And that's where we stand to gain with our pricing strategy and other strategy in the gold loan market.
Rajiv Mehta: So, sir, if, say for example, if the gold prices stabilize s and with this pricing strategy that we are executing, what kind of growth we can maintain?

V. P. Nandakumar: So, it will be on par with the markets. On par with the markets, yes, when we grow with the larger ticket size, we need to understand the attitude of such custo mers who are of a better profile.
So we need to reset our infrastructure, everything. So, parallelly we are doing all these. So the momentum, which we will be seeing in the large players with regards to the gold loan growth, we have are confident of achiev ing that level.
Rajiv Mehta: Okay. And just a few data points on Asirvad.
Moderator: Sorry to interrupt. May I request you to please follow up the queue, as there are several participants waiting. The next question

is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: First thing is Raju sir, every earnings call, you share the split of gold loans by ticket size. If you could just help us with that?
Raju Narayanan: Up to INR1 lakh 36.5%. INR1 lakh to INR2 lakh, 21.3%. INR2 lakh to INR5 lakh, 23.1%. Above INR5 lakh, 19.1%.
Abhijit Tibrewal: Above INR5 lakh, what did you say?
Raju Narayanan: 19.1%.
Abhijit Tibrewal: 19.1%. Right. The second question that I had was for Bindu, ma'am. Last quarter also, you had guided that the peak is now b ehind. And in this quarter also, we saw credit costs coming down in microfinance. So while a couple of participants have already asked this, but for the benefit of all of us, if you could just guide on maybe the full year credit cost in microfinance in thi s year that you are expecting?
Bindu A. L .: So what we have seen Q4, that was the highest credit cost, and it is almost half in this quarter. I think as already mentioned by sir, last quarter, we are expecting a profit from the microfinance business. So in the coming quarters, we will see at least 30% reduction from the credit cost to what we reported in Q1.

Abhijit Tibrewal: Got it. This is useful. And lastly, ma'am, in the standalone notes to accounts, I was seeing that we have done a assignment transacti on and ARC transaction in the quarter. So if you could just help us understand this assignment transaction was in which product and likewise, the ARC transaction, which pool of NPAs have been sold?
Bindu A. L .: So the ARC and the DA, we are done in MSME se cured book. So the DA transaction, which is coming at a better pricing. So the net income is only INR5 crores from that. So we did INR150 crores, INR160 crores DA and ARC is INR50 crores again from the secured book. As these are small ticket loans, NBFCs c an get this RCC proceedings started with the ARC sale. So the idea is to have a more rigorous follow -up with the borrowers to collect the money through surface fee proceeding.
Abhijit Tibrewal: Got it. And last question for Nand akumar, sir. Sir, earlier du ring this call, you said that we are in discussion with banks for opportunities in co -lending. I just wanted to clarify the opportunities that you're talking about, you're talking about co -lending opportunities in gold loans, right?

V. P. Nandakumar: Yes, yes. In Asirvad has around 1,600 branches, out of that 500 branches are exclusively gold loan branches. Then that 1,100 branches are offering microfinance. This infrastructure also can be upgraded and utilized for gold lending al so through co -lending. So that is a relaxed -- this qualifying asset criteria, we'll be able to mobilize a good amount of gold loans there also. Asirvad has a large network or expanded network and very large customer base and community connect. That situat ion can be taken advantage.
Moderator: The next question is from the line of Gaurav from Capital Farming Consultants.
Gaurav: Yes. So my first question is on gold loan AUM on our standalone entity, parent level, Manappuram Finance, yes. So on quarter -on-quarter basis versus Q4 of FY '25, our AUM has increased by almost double -digit, that is 12%. Whereas in tonnage, growth is hardly there, just 1%. Number of customers also almost flat, just 0.4%. So, if you can give some colors on that, what exactly were the factors which helped the company to grow this AUM by 12%?
V. P. Nandakumar: See, our LTV remains around 57%. So, when the gold price goes up, so that people simply won't borrow because the gold price has gone up. Because while borrowing, they have the clarity about the inflow of cash, cash flow, thereby they can redeem within 4, 5 months' time. So if it fits into their cash flow, only they borrow. So what actually happens is when the gold price goes up, the security they bring the collater al,

that quantity they reduce.
And when the price goes down, just the opposite happens . Actually, price has somewhat bearing with regard to the AUM growth. AUM growth is driven by the demand. The opportunity is because the unsecured borrowing, the opportunities have come down. So there is an op portunity for gold lending too.
And also now with more players coming in and the banks also like another advantage is the popularity of this gold loan is also increasing. That's why the customers from the middle class and upper middle class also use -- started using that to meet their business requirements and other requirements.
Gaurav: Sorry, but within this, just a follow -up because I'm unable to digest that, just because the price of the gold has moved up and that has helped the AUM growth by just 12 percentage, whereas the number of customer has remained flat. So, CFO, ma'am, can help me understand if the number of customers, gold cust omers has remained almost flat, somewhere around INR26 lakhs, right?
So, within that, what percentage of customers were new to Manappuram in Q1 of FY '26, in terms of percentage, right? And what were our existing customers to whom the loan was renewed because if I recollected correctly that we have a short term tenure goal loan, which we extend maybe 3 months or 6 months, right? So, what percentage of our customers within this was new customer to Manappuram?
V. P. Nandakumar: Before that, I told you one thing is a smaller ticket size because of regulatory challenges these customers have, there is a tendency to move to pawnbroker that's up to INR1 lakh. So the growth is coming mainly from INR1 lakh plus. So this segment is growing and it will grow that's why

the number of customers, even though the number of customers remain at that level, we are able to get growth because of that, not because of the price has gone up.
Bindu A. L .: So during the quarter, we added 3.5 lakh new customers. And the reason for less number of customer addition in the outstanding because the customers mostly we were able to attract in the

high-ticket segment. So the small ticket customers, we have seen a reduction. So that is the reason net outstanding number of customers has not changed much, but we were able to add 3.5 lakh new customers. Any other data points we can take offline, if that is fine.
Gaurav: My second question is our gold loan branches are stagnant at 4,044, whether it is Q -o-Q basis or Y-o-Y basi s. So is there any regulatory restriction in opening the gold loan branches or we are not keen in expanding the gold loan branches across the length and depth of the country?
V. P. Nandakumar: For gold loan companies, there is a restriction in opening bran ches beyond 1,000. The restriction is we need to seek prior approval from RBI for every branch. We have submitted application for opening branches, and we hope to get it soon. But now the BAIN transaction is under the processing by the RBI. So until this transition is over, they don't take up these things. So we are expecting the RBI approval to be received probably by the next month. And without much delay, we expect the new branch applications also to be san ctioned.
Moderator: The next question is from the line of Aagam from Aagam Investments.
Aagam: Question. I mean -- can you give color again, I mean, on the non -gold portfolio, especially on the MSME side and the vehicle finance, I mean for last few quarters, we have been not growing much and the asset quality has also been worsening. So what is the thought process here going ahead? How are we shaping our book AUM here ? And when can we see, let's say, growth firing across all our consol level book going ahead? So if you can throw color on all of it.
V. P. Nandakumar: So we are re -strategizing our business plans. Now Bain Capital also have joined . Their knowl

edge in the industry also would help. So the growth strategy is to use the opportunities to grow gold loan. As I mentioned, we are matching the pricing gradually with the market and attracting high ticket customers like others. The second, using co -lending models. We gradually plan to expand the gold loan business in our subsidiaries also.
First, we are trying to do it in Asirvad in non -gold. Asirvad non -gold branches. There are 1,100 branches. Later after testing the success, we may extend the gold loan business to other subsidiaries also gradually. So this way, we expect our branches to grow our gold loan branches to grow to around 5,000 plus towards the end of this year.
So that opportunity for growth, as I said, pricing matching the market plus geographical expansion of this business through our non -gold branches through quality. These are the opportunities we see. The other businesses are in a consolidation phase. One in affordable housing, etcetera , the average ticket size is around INR5 lakhs. So we are moving to around average ticket size of around INR8 lakh to INR15 lakhs with improved underwriting.
So that when the business is refocused, we believe the asset qualit y will improve also the employee productivity. So we have developed a definite plan to improve the productivity month -

on-month. And we are confident that it will improve the profitability of this housing finance as well as MSME .
Vehicles, we have -- we ar e again consolidating in the sense that we are moving out of the risky segments like we have already moved out of farm equipment and bringing down the opex in 2-wheeler by automated underwriting systems, etcetera . So that reduced number of people and also the asset quality is improved because the underwriting is automated.
So this way, the non -gold businesses are on a consolidated phase. And we are confident that these are going to be the opportunities on both the infrastructure as well as business. These a re going to be the opportunities going forward.
Aagam: Okay. So broadly going ahead, the more focus will be on the gold loan side?
V. P. Nandakumar: That's what's planned. That doesn't mean that we are ignoring the other sectors, but we are re -strategizing . As I told you ticket size to move up from INR5 lakhs to INR10 lakhs because then the employee productivity will improve. So the opex can be brought down. Then the asset quality will be naturally better because the underwriting standards are better.
Then another thing, one challenge we face is even with the takeover, the small houses where they borrowed around INR4 lakhs, INR5 lakhs, the sal eability is very low. There the sal eability as well as the people fear of losing that price that also will be better.
So this way, by improving the ticket size, improving the asset quality, bringing more -- improving our automated underwriting systems using various technologies, dedicated various technologies. These are in place.
Aagam: Share in mainly the 35% AUM non -gold is there, should this number go down below 20%, how should 1 look at this?
V. P. Nandakumar: Is expected to go down. And gold expected to overtake.
Aagam: So currently 80 -20 is sh are?
Bindu A. L .: Now it is 65 -35, gradually will reach to 75 -25.
Aagam: 25% will be the rest. So that would be majorly microfinance and housing or… ?

V. P. Nandakumar: In my opening remarks, already I mentioned we intend to increase our secured book to 90% and bring down the unsecured microfinance to below 10% of consol AUM.
Aagam: Okay. And in terms of the Asirvad, in terms of write -off and impairment are we done with this quarter or there is yet some loss to be provided for?
Bindu A. L .: So the provisions are based on the slippages during the quarter. So based on the slippage, 70% is the provision coverage ratio. Continuously, we are monitoring th

e collections and based on the slippages, we have to create a provision. But the maximu m effort is going for collection.

Aagam: So are we there in terms of meeting the previous levels in terms of collection efficiency and credit cost?
Bindu A. L .: I couldn't get that.
Aagam: So when things were good. So are we there? Are we reaching those ti mes and trying to that?
Bindu A. L .: So we started disbursements with the tightened underwriting norms. But as the disbursement is lesser than the rundown, the book is running down. And wherever collections are showing better, we are focusing more on the d isbursement in those states. In difficult places, we are focusing more on the senders where the collection is better.
Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: Just a data keeping question. You shared the mix by ticket size for this quarter. Could you share the same for 4Q FY '25?
Raju Narayanan: Up to INR1 lakh 14.2%. INR1 lakh to INR2 lakh, 21.75%. Up to INR5 lakh, 22%. Above INR5 lakh, 16%.
Moderator: That was the last question for the day. I now hand the conference over to the management for closing comments.
V. P. Nandakumar: So thank you for the active participation and questions, which were all very relevant. And we look forward for interacting with you. Whoever wants to have the data, we are ready to share with you. Thank you so much.
Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Nov 2025

“Manappuram Finance Limited Q2 & FY'26 Earnings Conference Call”
October 30, 2025

MANAGEMENT:MR. V. P. NANDAKUMAR - CHAIRMAN AND MANAGING DIRECTOR, MANAPPURAM FINANCE LIMITED
DR. SUMITHA NANDAN - EXECUTIVE DIRECTOR, MANAPPURAM FINANCE LIMITED
MR. DEEPAK REDDY - CEO, MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. - CFO, MANAPPURAM FINANCE LIMITED
MR. RAJU NARAYANAN - BUSINESS HEAD, MANAPPURAM FINANCE LIMITED
MR. MANOJ PASANGHA - CO-CEO, ASIRVAD MICROFINANCE
DR. ROY VARGHESE - CO-CEO, ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD - CFO, ASIRVAD MICROFINANCE
MR. KAMAL PARMAR - HEAD OF VEHICLE AND EQUIPMENT FINANCE, MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. - CEO, MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY - CFO, MANAPPURAM HOME FINANCE
MODERATOR: MR. ABHIJIT TIBREWAL - MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator:Ladies and gentlemen, good day and welcome to the Manappuram Finance Q2 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now would like to hand over the call to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.

Abhijit Tibrewal:Good evening, everyone. I am Abhijit Tibrewal from Motilal Oswal and it is our pleasure to welcome you all to this Conference Call. Thank you very much for joining us for the Manappuram Finance call to discuss the Q2 FY'26 Earnings.

To discuss the Company's Earnings, I am pleased to welcome Mr. V. P. Nandakumar – CMD, Dr. Sumitha Nandan – Executive Director, Mr. Deepak Reddy – CEO, Ms. Bindu A.L. – CFO, Mr. Raju Narayanan – Business Head, Mr. Manoj Pasangha – Co-CEO, Asirvad Microfinance, Dr. Roy Varghese – Co-CEO, Asirvad Microfinance, Mr. Rajesh Namboodiripad – CFO, Asirvad Microfinance, Mr. Kamal Parmar – Head of Vehicle and Equipment Finance, Mr. Suveen P.S. – CEO, Manappuram Home Finance and Mr. Robin Karuvely – CFO, Manappuram Home Finance.

We will start the call with Mr. Nandakumar, who will share his view on the macroeconomic environment and the financial highlights for the Company, followed by Mr. Deepak Reddy, CEO, who will share his thoughts and priorities for the Company, followed by Ms. Bindu, who will cover the financial performance of the Company in greater detail. Post that, we will open the floor for a Q&A with the participants on this call.

With that introduction, I now hand the call over to Mr. Nandakumar. Thank you and over to you, sir.

V.P. Nandakumar:Thank you, Abhijit. Good evening, ladies and gentlemen. It is a privilege to be with you this evening for our Q2 FY'25-'26 Earnings Conference Call. Your continued engagement and insightful observation help us assess our progress, sharpen our strategic focus, and reinforce our shared vision for sustainable growth. As Chairman and Managing Director of Manappuram Finance Limited, I am pleased to present an overview of our performance for the second quarter, along with perspectives on our strategic direction.

India's macroeconomic outlook remains robust, driven by strong domestic demand, steady policy support and ongoing structural reforms. GDP growth is projected at 6.5% to 6.6% in FY'26, supported by resilient consumption, infrastructure investment, and a broad-based revival in manufacturing. The recent GST reforms, including rate specialization and improved credit flow, are further boosting consumption and will pave room for capital investments. Headline investor inflation has moderated to 1.5%, rising gold prices overall post-monitoring. Despite external headwinds from global tariffs and global volatility, India's domestic growth momentum, robust FOREX reserves, strong banking balance sheets, underpinned economic resilience and investor confidence. Within the BFSI sector, there is an increasing recognition of the role of NBFCs in enhancing penetration of the financial landscape. For consolidated net profit for Q2 FY'26 increased to Rs. 217 crore from Rs.132 crore for Q1 FY'26. The reduction in the losses of our microfinance subsidies helped us report a higher consolidated profit. Consolidated assets and management stands at Rs. 45,789.42 crores as on 30th September 2025 representing quarter-on-quarter growth of 3.4%. Consolidated gold loan AUM stands at Rs. 31,505 crores as on 30th September 2025, up by 29.3% year-on-year. Share of gold loan in our consolidated AUM increased to 69% in Q2 FY'26, as aga

inst 53% in Q2 FY'25.

The gold loan business continues to be primary driver for our growth. AUM per branch has increased, reported by strong collateral base and improved customer retention. We continue to strengthen our loan-to-value management framework and uphold rigorous gold appraisal standards, ensuring prudence in lending and stability in asset quality. Our microfinance subsidiary, Asirvad Microfinance, reported an AUM of Rs. 6,165 crores, including gold loan portfolio of Rs. 1,269 crores. Microfinance portfolio listed a year-on-year decline of 56%.

The board declared an interim dividend of Rs. 0.50 for this quarter.

Now, I will speak about regulatory landscape and industry outlook. Reserve Bank of India's recent initiative to strengthen supervision and standardize gold loan practices are steps we wholeheartedly welcome. We consider the new direction of co-lending as an opportunity to partner with banks and other NBFCs. This direction will help our subsidiaries to originate a higher volume of gold loans in partnership with banks and others, including holding companies.

Looking ahead, we remain optimistic about the trajectory of our gold loan business with our responsible lending tools, technology-driven efficiency and customer-centric approach, we are well-positioned to capitalize the next phase of our industry expansion.

Now, I will request Mr. Deepak Reddy – CEO, to share his thoughts on his priorities.

Deepak Reddy:Thank you, Chairman. Thank you very much. A warm good evening to all of you and thank you for participating in this call. I joined Manappuram Finance three months ago, and it's been a very intense period of learning, connecting with our employees, and understanding the Company better. It has been a very interesting period for me, and it has further propelled my excitement with the opportunities and possibilities of the Company in the coming years. I must however state that I still have a lot to learn. While you can expect me to give you a full strategic roadmap for the Company and firm guidances around Quarter 4 FY26 onwards.

Let me today give you some highlights on what I call my immediate priorities:

•Number one, as Chairman said, accelerating gold is a very key initiative. Even as we continue our path to being a truly diversified NBFC, a path which was started out

many years ago, and it's a fantastic strategy. Even as we do that, we have great opportunity to further accelerate our gold loan business and gold loan growth. We are implementing a lot of quick actions here, including strengthening our branch infrastructure, building on our digital journeys and to go paperless, introducing new best-in-class AI-based security systems at our branches, building on our digital acquisition channels and infrastructure, and leveraging co-lending opportunities.

•Priority two for me at this point of time is to follow a consolidate to grow strategy for our non-gold businesses within MAFL. As you will see in our results, we have to improve on our credit performance and profitability in a few of our non-gold businesses within MAFL. I am not talking about the subsidiaries here, within MAFL. Towards this, we are working on firstly strengthening our collection infrastructure and support systems. A high-impact task force is being put behind the same. Two, we are introducing industry benchmark practices, policies, and controls for each individual product class. Infusing specialized talent where required, improving our operational controls and rationalize our geographic spread for individual product lines and bring in better cost optimization and efficiency.

•Priority three is on organizational effectiveness. The Company today has a very strong and successful career that has been built up over the years. While building on the strengths of being simple, hardworking and forward-focused, I hope to build on by making the Company more agi

le and operating rigor-focused. Towards this, I am

working on A, delayering operational hierarchies and process matrices. This I believe will result in quicker execution ability and teams working with more empowerment while also being held more accountable for outcomes. B, transforming our HR practices to infuse the organization about our ongoing transformation. C, bring in a stronger grounds up orientation in building our practices, processes and planning exercises.

•Priority four, infuse talent is a key priority. We are in the process of onboarding a new group leadership team. This top quality team should start coming in from next month onwards and largely be in place by February-March 2026. While we will continue our focus of building on internal talent, which has been a key priority of the Company over the years, we will also be bringing in external talent where required and in levels in the organization.

•Priority five, is to get ready for the medium to long term, even as my long-term strategy evolves. And as I said, the long-term strategy, I will present by around Quarter 4. But even as we get to them, two priorities we are kicking off which are towards that is one, reviewing our technology, architecture, and platforms. And B, study new products that can be launched, taking advantage of the fantastic branch network that the Company has.

•Priority six, is to further build on our subsidiaries. I am very excited about the possibilities for our subsidiaries, including the housing finance company and microfinance company. We have strong plans for both and we will work with respective companies to build on them and on executing. Asirvad is making good progress in stabilizing the business and putting in building blocks for future growth

and with industry benchmark practices. Emerging opportunities like co-lending will be further accelerated. Accelerating growth in our HFC is also a very key priority and you may expect to hear more from us in the coming quarters.

Lastly, before I end, I commit to transparent and metric-driven communication, risk prudence as our Chairman said, and on leveraging emerging opportunities with agility. You will hear more from me on our performances and strategy in the ensuing quarters.

Thank you all very much and I must say I am very excited and looking forward to interacting with as many of you as I can, getting your guidances and working with you. I am very, very excited about the future of the Company. Thank you very much.

Bindu A.L.:Thank you, sir. Good evening, ladies and gentlemen. Thank you for joining us. For Q2 FY'26, we continue to deliver steady financial performance, reflecting our focus on strengthening the goal on business while calibrating the growth in non-gold segments to address the collection challenges. The consolidated profit after tax excluding Asirvad was Rs. 385 crore, which was down by 4.1%, mainly on account of increased provision for the vehicle finance business. Asset quality remains more or less the same, 2.97% GNPA versus 2.96%. Our borrowing mix remains well diversified during the quarter. We were able to raise $200 million through syndicated ECB routes from Taiwan and Sri Lankan banks. We continue to have a strong liquidity pipeline. Standalone borrowing cost has gone down by 12 basis points during the quarter. The main goal on business, we have seen a customer addition of 3.09 lakh and average LTV remains at 56%, OGL at 87% of total gold loan book. Standalone PAT was Rs. 376 crore and the interest accrued as on 30th September stands at 2.8%.

Coming to vehicle finance:

Because of the higher delinquency, the business disbursement was slow during the quarter. The focus is more on collection and we have increased the provision coverage on vehicle finance to 24%. Strong efforts are underway to enhance the controls across the business. Loan to MSME at Rs. 3,159 crore with a quart

erly disbursement of Rs. 354 crore. GNPA at 5% which is less than the previous quarter. Home loan total AUM of Rs. 1,900 crore which is stable Q-on-Q and up by 12.3% YOY. Capital position strong at 28% CRAR and the net worth at Rs. 12,712 crore. We have supported the subsidiary with an infusion of Rs. 500 crore in Q1 to improve the resilience of the balance sheet.

For the remainder of FY26, our approach will remain quality focused through increased growth in goal loan, secured non-gold products and goal loan call ending with other NBFCs including our subsidiaries and to improve the performance of non-gold on vertical on a sustained basis. Thank you. We can now go for the Q&A session.

Moderator:Thank you. We will now begin the question-and-answer session. The first question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta:Hi, good evening. Thank you for taking my question. So my first question is, what is the management assessment of this strategy of lowering rates in goal loans and how is that kind of improving your growth? Because when I look at the metrics of number of customers, even tonnage, tonnage actually should have improved because you are offering lower rates to high-digit customers. So tonnage should have improved better than customer growth, but that is not happening. And even the new customer addition remains lower Q-on-Q. So while we have reduced the rates so much, but there is no revival in terms of customer growth or the overall tonnage growth. So what is our assessment of this strategy, because we've already kind of reduced the rate by about 250 basis points as the yield of the portfolio?

V.P. Nandakumar: So policy is to align the interest rate with the top players in the NBFC sector. So this ensures sustenance of the business. So our rate is more or less similar to the top players now. Regarding tonnage growth, see if the tonnage growth was there, our growth would have been even better. Now, as already told, the average LGV remains around 56%. And new customer addition is happening, but mostly on higher tickets. The good part is now with the rates down, new higher ticket customers are also getting attracted. So we hope with the strategy of reducing interest rates, improving the branch infrastructure, technology, etc. we will be able to have a per branch growth similar to years in the times to come.

Rajiv Mehta:So sir, as per the prevailing rates being offered to customer segments and the likely mix towards higher tonnage and higher ticket customers that we would see, where does our Gold Loan portfolio settle finally? I think it's already come down to 19.7%. What is the destination? I mean, should it come down to 18%-18.5%? That's where the larger peers are operating?

V.P. Nandakumar:What we target is whether we are able to achieve the net profit the same or more as we have budgeted, and we have achieved that. We will continue to go ahead on our budget with regard to Gold Loan profitability. So we hope for good growth this year. So even though the rate has been reduced similar and made similar to the markets, we expect our profitability on Gold Loan will not go down, it will only go up. Please note that this ensures business sustainability in the era of competition.

Rajiv Mehta:And sir, on Vehicle Finance and MSME, I mean, there's again a steep drop in terms of number of customers on QOQ basis, it will be a combination of some write-offs and maybe you're not adding clients, you're not doing much business, new business here. But then what is the overall thought process about these two products? I mean, how long would it take for these products to also come back to growth? Maybe 2 quarters, 4 quarters, what is the thought process here?

V.P. Nandakumar:So we were re-strategizing. So we have seen some segments creating problems, challenges in collection like this farm equipment. Then in

some areas, in two wheelers, in some states, the commercial vehicles and cars also have faced challenges in collection. So we have re-strategized

everything. We have focused more on collection. So it is stabilizing. As Mr. Deepak has said, we are setting up a strong team for collection also. Along with that, we are strengthening our underwriting team also, and also field team also. So we hope in a few quarters from now, it will show there is a decent growth. So similar is the case with Vehicle Finance. The challenge there is, our average ticket size was hovering around 5 lakhs, where the collateral, even in the event of repossession through SARFEASI, found very difficult to be sold. So we have exited from that area and focusing more around 8 lakhs to 15 lakhs ticket size. So this way we have re-strategized our business. So that's slowly yielding result. So it is improving. So in 1 or 2 quarters, we are sure that the momentum will be picked up.

Rajiv Mehta:Thank you, sir. That's is it.

Moderator:Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer:Hi. Thanks for taking my questions and congratulations, Mr. Reddy, on this new role. I just wanted to understand when we are cutting our gold loan yields, is it done like across all slabs and across all products? Or are we cutting in, let's say, just the higher ticket product by a larger amount to attract more customers while keeping some slabs unchanged?

V.P. Nandakumar:So we have looked at the rates offered by the top players and we have rationalized the progression in the rate of interest from the third month to the fourth month etc. So we made all these very customer-friendly. So with this, we are able to attract large ticket customers, as I have already told. So the results will be seen during the next quarter, also the third quarter. So you will see a very good impact of that. So the interest rate changes have been done. Changes have been done across all classes to match with the markets. So, of course, higher tickets, the reduction in the rate is higher.

Piran Engineer:Okay. And so now the matching with the competitors like Muthoot and all is done, or do we have still some more room to go in terms of matching the rates?

V.P. Nandakumar:Now, we feel like currently our rate is one of the lowest in the NBFC industry as far as gold loan is concerned, and I can assure you, we will definitely meet up with the profitability with a volume term.

Piran Engineer:Understood, sir. And so secondly on gold loans, how have we changed our incremental LTVs in the last three months?

V.P. Nandakumar:So we have a policy, especially all the large gold loan NBFCs follow a rate which is within the regulatory guidelines. So the LTV, we take based on a trailing 30-day average price. And we follow the guidelines to assess the market rate, to get the market rate as per the regulatory guidelines. So we do everything within the regulatory guidelines.

Piran Engineer:No, of course, I am sure you will do it within the regulations, but I meant now for lower ticket loans, LTV can go up to 85. Earlier it was 75. So where have we gone to? Have we gone to 80, 82 or 78? That's what I meant.
V.P. Nandakumar:No, we have not made any changes so far. We have time till 1st of April 2026. So we will go with our leading marketplace. So the strategy is yet to be worked out.
Piran Engineer:Understood. And just last question for Bindu, just how should we think about incremental cost of funds or just the trajectory in cost of funds over the next 2-3 quarters?
Bindu A.L.:This quarter, we have seen a 12 basis points reduction, and we expect the momentum to continue at least for the next two quarters. As we are seeing a higher growth for gold loan business, of course, I think the borrowings will be more on the recent pricing, which I

think will help us to
reduce the cost of borrowing.
Piran Engineer:So similar 12 bps per quarter run rate, we can expect?
Bindu A.L.:Yes.
Piran Engineer:Understood. Okay, that answers my question. Thank you and wish you all the best.
Moderator:Thank you. The next question is from the line of Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani:Hi, thank you for the opportunity. I have three questions. First one is on the MFI Asirvad book. If you can help us understand the trend on stage three, which had sort of gone down and then has slightly started inching up on the GNPA that you can see, if you can give some more color around how has the trend been over there. My second book is on the vehicle book. Can you help us understand which sub segments or geographies or areas are the places where we are seeing some stress or has there been some turnaround in the past two months, September and October? Those are my two questions. My third question is for Mr. Reddy. You've highlighted a lot of strategies on how you plan to move things around as you go ahead. One of the things that we wanted to understand was what do you think would be the first and most critical thing that you'd be moving along with and that you feel could really trigger every other change to follow in your transformation that you're planning to carry out? Thank you.
V.P. Nandakumar:The third point, I will answer first, then the rest I will leave to Bindu. So the third point, our strategy, we have already highlighted in opening remarks. We are planning to grow Gold Loan aggressively. We plan to do that through co-lending in our subsidiaries also, so that the branch network can be effectively utilized. So that is going to be very important for us, co-lending, growing the Gold Loan portfolio. So we see good opportunity for Gold Loan growth because now for the unsecured loans, availability has been very much reduced. So this gives a lot of opportunity and also the awareness we created by in Gold Loan that is increasing, even though more players are coming in, this definitely increases awareness that India has a great opportunity. As per the recent observation from some policy makers, India has around 34,000 tons of gold,

which is valued around 2.5 trillion US dollars. So the culture of availing gold loan is slowly increasing and also the shift from the unorganized sector is also happening more rapidly than in the past. So the first focus, immediate focus, will be to grow Gold Loan Portfolio direct as well as through co-lending. So we will start this without much delay, most probably during the first week of next month. The other priority is already, the CEO Deepak Reddy has already mentioned what is going to be the strategy of other non-gold portfolios going forward. He already told that he will bring to that about his plan in another couple of months' time, especially in the next investor call, he will be able to tell that more. But I can definitely tell this non-gold also, we want to grow in a healthy manner.
Shreya Shivani:Sure, sir.
Bindu A.L.:The MFI business, we have given the details, page number 25, were out of on-book AUM of 4,501 crores, 4,097 crores, almost 4,100 crores in the stage 1 bucket. And if you see the other buckets also, the volume has come down substantially. So the further slippage, because most of these borrowers serviced the EMI for last one year and the probability of default will be very less from this category of customers, because the recent disbursements when we have that. So that way, we expected the losses to come down further and Q4 at least, I think we should see the financials as green. On vehicle finance business as we have seen, some of the segments like two-wheeler and farm equipment, which alone not able to show profits, and we have done consolidation and in that process, I think the disturbances were slightly higher in this quarter

. So
once it is settled down and we will have more stronger collection team, so that I think that business will also see an improvement in the collection.
Shreya Shivani:Got it. So on the vehicle bit, you are saying, which other segments are coming in, which will stabilize the two-wheeler and farm? Sorry, I didn't understand that.
Bindu A.L.:So the farm equipment and two-wheeler, we have seen a higher delinquency, which we merged with the commercial vehicle finance business. Of course, I think if we do a merger, immediate disturbance will be there. That is the reason we have seen a higher impact in this quarter.
Shreya Shivani:Got it, understood. And just to follow up on the MFI piece also, what I was trying to understand was, there were certain media commentary which sort of mentioned that while the asset quality trends on ground has been improving, but the liquidity crunch that probably the industry faces right now would stall the improvement that is happening on ground or maybe even worse in it. So I just wanted some color from you. Are we seeing any reversal in the, I mean, are we seeing improvement has sort of plateaued or in fact the improvement has stopped? Has something like that started happening on the ground? Just wanted some color around this media commentary that came.
Bindu A.L.:See, on the ground, the old book, which is mostly run down and the customers, whoever serviced, I think last one year, etc., we are not expecting further slippage for those customers. And for the new book, we have ensured all guardrail is strictly implemented and we put a lot of controls in

the underwriting. Though the disbursement is low, whatever book we disbursed in the last 5-6 months are showing very good asset quality. So that is our comfort. And the last one year, our disbursement is only around thousand crore, which we are closely monitoring and individual, I think the branches or the senders, based on that only we have done the disbursement. Wherever we have seen stress, we stopped the disbursement in those senders also. So I think with this, we are able to see a better, we will be able to see a better outcome in the coming quarters. Liquidity, see, of course, I think the sector is going through a difficult phase. That is the reason from the parent, we have given Rs. 500 crore equity. But see, as it is almost 100% a subsidiary of Manappuram, they are able to get the sanctions. And so far, they are mostly managed by themselves only.
V.P. Nandakumar:And they have a large amount of gold on, where getting funding is not difficult. This what we are planning. We are planning for colending also, where Asirvad participation would be 10% to 20%.
Shreya Shivani:All right. Understood, sir. Thank you so much. This was very useful and all the best.
Moderator:Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead, sir.
Shreepal Doshi:Hi, sir. Thank you for giving me the opportunity. My question was pertaining to MFI business again. So as a thought process, do we plan to invest more in this franchise and support the overall capital structure and also for the growth of the franchise?
V.P. Nandakumar:So we want to grow that business healthy. So we have enforced strict guardrails without any compromise. So what we have seen is post our recent business order, after our restarting from February onwards, we see the collection as high as 99.83%. So that will be continued. And as I said, we will have more focus on Gold Loan or whatever can be carried in its books will be carried in its books. And whenever we see strain in maintaining qualifying assets, that portion will be done through co-lending. That is going to be the policy. So we are not very aggressive as far as the MFI business is concerned. We will definitely show conservatism with regard to our lending so that in future, we feel like our asset quality will be mai

ntained at a very high level.
Shreepal Doshi:Got it, sir. Second question was pertaining to gold business, since you highlighted that that is our focus area also at standalone entity level as well as at, I think, Asirvad level. So, but there are lots of players entering this landscape with a larger network than ours, as well as better cost of fund as well. So with that, what sort of challenges do we see, especially on the let's say, employee attrition side, as well as on the operational side? So what sort of strategies are we building to contain such issues on attrition, especially employee attrition headcount?
V.P. Nandakumar:In gold loan, you asked about gold loan?
Shreepal Doshi:Yes, sir.

V.P. Nandakumar:Whether in Asirvad or in Manappuram Finance, the attrition level is more or less the same at a comfortable level. And we have adequate human resource to take care of whatever is the attrition. So regarding the borrowing rate, in gold loan, we will be able to bring down, we are already able to bring down the cost of borrowing there, because one major reason is the parent has a good banking relation with almost all banks. So that comfort is there of the creditors. So the pricing in the borrowing is not as high as the borrowing for the other MFIs. So it is much lower than that, particularly for gold loan. So about competition, you asked, you can see the Asirvad also has grown almost at the same rate. We had a cease and desist order, which led to the book shrinking by one third. In spite of that, we have covered that. In the coming quarters, we expect good growth in gold loan with high asset quality. So that portfolio will be built through co-lending also.

Moderator:Thank you. The next question is from the line of Shweta Daptardar. Please go ahead.

Shweta Daptardar:Thank you, sir, for the opportunity. Two questions. So because you emphatically mentioned that gold loan business will consider profitability as its key factor going forward. But if you look at the current scheme of things, so today gold price is largely supportive of volume growth. So you can have the liberty of tweaking the rates. But if I look at the whole modus operandi, the customers have not moved much. Number of customer additions have not moved much. Our branch count has remained static. So what gives you confidence that when the gold price is not supportive, on a sustainable basis what gives you confidence that this business will continue to look higher both on growth and profitability? That's my first question.

V.P. Nandakumar:So you will see the growth rate similar to the leading players in the industry. Yes, this quarter also I believe that we are able to grow at the same rates similar to the leading gold loan NBFCs in gold loan. So the rate has been brought down. Larger ticket size are increasing with the reduction in interest rate. The interest from larger tickets that is increasing. There is some slowdown in small tickets up to 1 lakh etc. But that is the reason for the reduction in the number of customers. But that could be fully met from large tickets. So your question on the gold price and growth, yes, higher gold price is definitely an advantage. But at the same time, I can say that even at lower price, much lower than the current level, the leading gold loan companies have shown a growth of around 25%-30%. So we were also growing at around 15%-18%. So even at a lower price, we hope that we are targeting a CAGR of 20%-25%. Even if the gold price pulls down in the next quarter.

Shweta Daptardar:That is well understood, sir. Sir, second question is on shift of ticket sizes only. Sir, correct me if I am wrong. I thought that with dilution of RBI norms, which are slightly more supportive of smaller ticket size where LTVs have been now raised to 85% odd levels. So I thought that it will become much easier to incrementally grab customers in the smaller ticket se

gment especially given the kind of brand value and history we carry. So why the need to shift to higher ticket size and then take a hit on yields in the first place?

V.P. Nandakumar: The new LTV regime is inclusive of interest for the period for which the loan has been granted. So we can definitely bring down the loan payment. In the past, we were lending for 3 months or 6 months etc. But at the same time, we have to be risk conscious about the price fluctuation. So we will remain conservative in that. So at the same time, from our level with the changes in the interest rate etc., we are confident that whatever I have said, 25% CAGR can be maintained in gold loan in the coming years also.

Shweta Daptardar:That's very helpful, sir. Thank you so much.

Moderator:Thank you. The next question is from the line of Riddhesh Gandhi from Discovery Capital. Please go ahead.

Riddhesh Gandhi:Hi, sir. Just wanted to understand internally, given the introduction of the new CEO in the Company, how the equation will work between the MD and the CEO?

V.P. Nandakumar:So we have the plan to induct him as the MD and CEO once the Bain transaction approval is received. So we hope that will be through in another one month. So then as the MD and CEO, he will have the full right to control over the Company.

Deepak Reddy:Mr. Gandhi, if I can add to that on your question of working together, we already work extremely well and it's going to continue. I don't think there's anything we have to read between the lines there.

Riddhesh Gandhi:I understood. That's helpful. And the only other question I had for you, Mr. Reddy, is in terms of just as you come in, if you could just highlight some of the things that have kind of maybe positively surprised you and some of the things which do potentially have negativities surprised you as you sort of entered the Company.

Deepak Reddy:So, Mr. Gandhi, when I shared with you the six priorities that we have, I think I covered areas of opportunity and areas where we have to improve. I must say, I am extremely happy with the orientation of people in the Company, the sincerity of people in the Company, the branch network we have, a lot of our capabilities that we have built in here. It's refreshing and I am extremely pleased on that. There are some areas like which we have to improve and that will always be, let me say, even after three years, there will be areas to improve, even after 10 years, there will be areas to improve. But then we do have areas to improve and some of my key focus areas I told you are relating to elements of operating rigor, elements of HR practices and culture and making it more agile. Those are things which we are working on and I laid out what I call priorities. I am not calling them strategies at this point of time. The strategic roadmap will be laid out in the time to come. The Company's infrastructures that have been created are wonderful to be a part of and as I said, it is a great opportunity. The platform is set. It is for the management team to deliver exponentially on the platform.

Riddhesh Gandhi:All right. Thank you. That's all for me right now.

Moderator:Thank you. The next question is from the line of Ritika Dua from Bandhan. Please go ahead.

Ritika Dua:Thank you. Some of my questions might be repetitive because I just, I lined up in between. Sir, one is on the Bain that you were just answering in the previous question. So you will get some clarity in the next, I mean, you are expecting the approval in the next one month. Further to that, could you also highlight that obviously on the eventual stake where is the status also on the open offer? So that's one. Secondly, on the standalone ROE, obviously you had shared that the view that you have taken on reducing the yield. So where is the ROE on the standalone expected to really settle? So are

we largely done with our yield correction? That's question two. And question three is actually on the vehicle GNPA. So if you could even highlight like what's the reason for the consistent rise there on the vehicle book? So these are my three and I will come back in between.

V.P. Nandakumar:So Bain transaction, whatever queries raised, we have satisfactorily answered. Bain people also have satisfactorily answered. So it is in the final lap. So the about open offer, so the price has gone up. So the issue price to them was around, it was Rs. 236. Now it is over Rs. 270. So whatever is coming up in the open offer may be limited. So the primary, they are getting 9% this year and 9% as fully convertible warrants, which can be converted in another 18 months' time. So when that also is getting converted, they will get around 18% to open offer. Whatever they can get is anybody's guess. Is the price of ruling much higher than the, there are the offer price. So regarding the ROE with GNPA, these questions Bindu can answer.

Bindu A.L.:So the standalone ROE, the reduction in name dropped to around 12% level. But the yield mostly done, if you see the other players in the market, we are almost, our price will be the lowest in the industry. So the price correction mostly done. But at the same time, gold loan profitability has not impacted. During this quarter also, if you see the gold loan profitability has gone up, it is higher than that only because of the stress in vehicle finance, the ROE dropped. Otherwise the gold loan ROA, all those numbers remains the level where it was. Vehicle finance, one reason is at least ...

Ritika Dua:I am sorry to interrupt here. If at all I am looking at slide number 15, would that be the gold loan numbers only on the ROA, ROE or this is in inclusive of others also?

Bindu A.L.:Slide 15, it is the standalone.

Ritika Dua:Okay. So you are saying that X of the vehicle issue, the standalone ROE, I mean just the gold loan, where is the gold loan ROA/ROE today, after the price correction?

Bindu A.L.:Yes. So the gold loan ROA is 6%.

Ritika Dua:Okay. And this number may be before the price correction?

Bindu A.L.:Yes, it was 6 to 6.5 after the reduction in yield. In the past when we were getting 24% yield, it was the range of 8 percentage. Because almost 100 basis points reduction we got in the OpEx to

AUM. Our branch AUM which used to be around 5.5 crore, now it is over 8 crore now. So we were able to get, that is what we are trying to achieve. So the operational efficiency will be better through high per branch AUM. So that will protect the gold loan profitability. And is it clear, Ritika?

Ritika Dua:Yes, ma'am.

Bindu A.L.:On the vehicle finance, the NPA numbers looks high. One reason is the last six months the disbursement is slow. Then it will be more reflecting on the residual book. And on top of that, the inefficient like the vehicle, the farm equipment, two wheeler, etc., we merged with other verticals. So that also resulted into a higher NPA. And the vehicle reposition in large number will take time. And we are giving some time for the borrowers because we are seeing stress because of increased cost and all these climatic conditions, etc. resulted into a delinquency. So we are also giving some time to the borrowers to service the EMI. But if it is not coming up, every right to repossess sell and we can clear the NPA. But the priority is to give time to the borrowers to service the EMI even with the delay.

Ritika Dua:Ma'am, just on the vehicle bit, are we largely done on the provisioning? That's one. And what have we guided on the MFI piece in terms of credit cost, because I can see the stage 3 at about, it's a reasonable absolute number too. So what have we guided on credit cost for vehicle and also on the MFI piece? Thank you.

Bindu A.L.:So credit cost, see mostly the provisions done, that is the reason we have create

d a higher
provision coverage during the quarter. So vehicle finance, at the same time, I think we have to closely monitor because the changes in collection, etc. we have to closely monitor. But in the case of MFI, if you see in page 25, the stage 3 is only Rs. 235 crore, of which almost 73% is provided. And the current book is almost Rs. 4,100 crore, which was servicing for the last one year. The probability of default is less. So we will see less slipages in the coming months.

Ritika Dua:Thank you, ma'am. I am done.

Moderator:Thank you. The next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu:I just had two questions. One, clarificatory. So if you look at the standalone net yields, it's still at around 19.5. Just wanted a sense, what is the gold loan yield here?

Bindu A.L.:So it is 19.7.

Bhaskar Basu:So if you compare with the industry players, most of them are in the 18.5, 17-18.5 kind of range. So you're still above the industry level. So do we really see some stabilization here or do we see more cuts here?

V.P. Nandakumar:We expect that to be somewhere around 18.5 similar to the industry. But we will be able to protect our margin because our margin and borrowing cost is coming down, so marginal number.

So we are expecting good growth, better growth in this quarter and coming quarter. And also OpEx to AUM, also the consequent to per-branch AUM growth, the reduction in OpEx is also expected. So even if it is 18.5%, we don't expect a reduction in NIM as the banks are resetting their rates when it is renewed, etc. So we don't have a discomfort of the reduction in NIM, even though the rate may go down by another 50 to 100 basis points. That will be covered with the borrowing cost reduction and also the OpEx to AUM reduction.

Bhaskar Basu:So just to kind of clarify this, so essentially you're saying that yields may go down by about 100 bps and you will offset that by lower cost of fund and lower OpEx. Is that understanding right?

V.P. Nandakumar:Yes. We are closely monitoring our NIM.

Bhaskar Basu:Okay. So you kind of manage and maintain NIMs even though yields kind of go down from here. That's what you're trying to say.

V.P. Nandakumar:Yes.

Bhaskar Basu:The second question is how many gold loan branches do you have right now in Asirvad at this point?

V.P. Nandakumar:520 now. So gradually the number of gold loan branches will go up. So when we start co-lending with the banks and NBFCs including the parent --

Bhaskar Basu:Right. And so once you hit that thousand branch mark, do you really have any advantage of growing branches in Asirvad or there will still be some advantage because, I mean, if you need approvals for your...

V.P. Nandakumar:So this approval is needed only if the company is classified as gold loan NBFC. See, this gold loan growth is through co-lending. So even though if we co-lend with the banks, our profitability will improve in comparison with the volume in our books. But AUM will go up, including bank AUM.

Bhaskar Basu:No, I understand the co-lending bit, but basically just on the distribution part, what I wanted to understand is like beyond thousand branches in MFI, you don't need to get an approval for further expansion.

V.P. Nandakumar:We will have a need-based increase in the network of branches, but the restriction of thousand branches, if that is in your mind, that restriction is not available for the non-gold companies.

Bhaskar Basu:Understood. So basically there's no approvals needed if you kind of go beyond thousand in the MFI business?

V.P. Nandakumar:Yes.

Bhaskar Basu:Okay, thanks. That answers my questions.

Moderator:Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari:Yes, good afternoon. Just one, given our commentary around asset quality slippage on the M

FI
and vehicle both, the kind of provisions we have done, the incremental stress that we see, is it fair to assume that, I mean, we will be ramping up disbursements going forward? I am sure slowly and carefully, but is it fair to assume that, I mean, the kind of degrowth that we were seeing is now passed as in first in disbursement and eventually in book, we should start seeing growth?

V.P. Nandakumar:So we are not in a hurry. It will be done in a calibrated manner, with an intent to maintain high quality. So better underwriting rules will be maintained. In the MFI, we are strictly following the guardrails set by both the SROs. So from February onwards, we are seeing very good asset quality. So we are not in a hurry to grow the book just for the sake of growing, but maintain

highest asset quality. That will be the priority.
Pratik Kothari:Correct. So in terms of incremental, we still don't find that comfort enough to kind of accelerate. I mean, we being careful, I think was always assumed and we have always done that.
V.P. Nandakumar:So yes, we are tightening our underwriting and ramping up our collection efficiency. So as Mr. Deepak Reddy has said, we are reworking on the incentive programs or dispersal collection etc, to improve upon the growth of these businesses also. And technology, etc. can also help. It may not be immediate, but we are looking forward for improving the asset quality using various better technology platforms also, which will support us in improving our auto underwriting.
Pratik Kothari:Sure. Thank you in all the best.
Moderator:Thank you. The next question is from the participant Prithviraj Patil from Investec. Please go ahead.
Prithviraj Patil:Thanks for the opportunity. So my first question was, what is the gold auction figure for the second quarter?
Bindu A.L.:Rs. 229 crores.
Prithviraj Patil:Okay. And the second question is, are we looking at simplifying the corporate structure that we have? Because I see that there is a cost of funds difference between the Asirvad entity and the holding company, Manappuram Finance. So there's a cost of funds difference and there's also one notch rating difference there. So are we looking at simplifying the corporate structure going ahead? Because there's also overlap of products here.
Bindu A.L.:At this point in time that is not the priority.

V.P. Nandakumar:So already Deepak has laid out the program ahead. So we will definitely plan.
Prithviraj Patil:Thank you. And if you could just give a sense of what's the difference between a gold loan customer at Asirvad and at Manappuram Finance?
V.P. Nandakumar:Similar profile.
Prithviraj Patil:Okay, thank you.
Moderator:Thank you. The next question is from the participant, Gaurav from Capital Farming Consultants. Please go ahead.
Gaurav:Thank you for the opportunity. So my question is to Mr. Reddy. Like he said that he's quite excited. We as an analyst as well as shareholder, we are equally excited to see the transformation that is expected in Manappuram. So my question is, like considering all the activities that we are planning to do, right from the HR to the operation, right? And many other things, where do we see our consolidated AUM, let's say by December 2028, that is three years from now, or by December 2030, that is five years from now, and how that AUM is going to be funded, right? We are expecting fresh additional capital from Bain, maybe 1 quarter or 2 quarter down the line and then they convert their warrant and then they convert. And assuming our capital adequacy ratio is somewhere around 30%, some basis points here and there, but more or less, near about 30%, right? So how this growth is going to be funded, further equity dilution, or it is going to be by further leverage? Thanks.
Deepak Reddy:Mr. Gaurav, thank you for your question. As I stated earlier, I'd request your time and patience for another quarter or two befor

e I lay out the strategic roadmap. I mean, that is work in plan right now, and then work in progress with the management team. I, of course, will have to take it to my board before I come and share it at an investor call. And also that's one. Two, we are very highly capitalized as a Company, already close to 30%. Once the new promoters money come in we will be much higher, close to 39%, 40%. And also we are well capitalized. And as we go forward, that's the opportunity we will create. But you want a specific answer, exact answer on this, and on our plan, let's say, where would I be, I can give you off the cuff remark, but I don't want to do that right now. You will have a very rounded strategic plan for me, which will cover all aspects rather than just giving you one top line number. Request your patience, please, for another couple of quarters.
Gaurav:Thank you very much. That's all from my side. Thank you.
Moderator:Thank you. The next question is from the participant Subranshu Mishra from PhillipCapital. Please go ahead
Subranshu Mishra:Right. So I just want to check what is the accrued interest in this particular quarter, and what is the AUM split, less than 1 lakh, 1, 2, 3, and more than 3. And just one observation on Asirvad, the MFI, in the last four quarters, which is including the second quarter, the amount of losses is

more than the accumulated profit that we have earned in the previous 38 quarters. So are we serious about running MFI business or we want to sell it off to a decent investor? So these are the two questions. Thanks.
V.P. Nandakumar:No, we don't have any plan to sell off Asirvad. So we are very confident of running the business

with good asset quality within the MFI as well as Gold loan. So that will definitely help to improve the consolidated profitability. Our long-range plan as I said is diversification. So there is no intention to sell it off.

Bindu A.L.: 2.8% is the interest accrued. And …?

Raju Naraynan:So up to 1 lakh 33%, 1 lakh to 2 lakh 21%, 2 lakhs to 3 lakhs 12% and above 3 lakhs 34%.

Subranshu Mishra:Okay. Sure. If you can also give me the weighted average LTV in rupees?

Bindu A.L.:56% of current rate.

Raju Naraynan:9,792 is the gold rate. 5400 is basic.

Subranshu Mishra :Right. Thank you so much.

Moderator:Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand over the conference over to the management for closing remarks.

V.P. Nandakumar:So thank you so much. I hope we have answered your questions to your satisfaction. And more information, you can contact CFO, Bindu if anybody needs more analytical data. Thank you.

Moderator:On behalf of Motilal Oswal Financial Services Limited and Manappuram Finance that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

"Manappuram Finance Limited
Q3 FY '26 Earnings Conference Call "
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MANAGEMENT : MR. VP NANDAKUMAR – CHAIRMAN AND MANAGING DIRECTOR – MANAPPURAM FINANCE LIMITED
DR. SUMIT HA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MR. DEEPAK REDDY – CHIEF EXECUTIVE OFFICER – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. SUVEEN P.S. – CHIEF EXECUTIVE OFFICER – MANA PPURAM HOME FINANCE
MR. ROBIN KARUVEL Y – CHIEF FINANCIAL OFFICER – MANA PPURAM HOME FINANCE
MR. MANOJ PASANGHA – CO- CHIEF EXECUTIVE OFFICER – ASIRVAD MICROFINANCE LTD

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Manappuram Finance Limited Q3 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited. Thank you, and over to you, sir.
Sanket Chheda: Yes. Hi, very good evening to all of you. We have with us the entire management team of Manappuram today to discuss their Q3 results. S o with us, we have V.P. Nandakumar, who is the Chairman and MD; Dr. Sumitha Nandan, who is an ED; Mr. Deepak Reddy, who is the CEO; Ms. Bindu AL, who is the CFO;

Moderator: Sorry to interrupt Sanket sir, your voice is not audible, s lightly breaking.
Sanket Chheda: And Suveen P S CEO, Manappuram Home Finance and Mr. Robin Karuvely, CFO, Manappuram Home Finance , Mr. Manoj Pasangha – Co- CEO of Asirvad Microfinance Ltd . Without further ado, I'll hand the call over to Mr. V.P. Nandakumar for their opening remarks, after which we'll follow up with question and answers, which would be, say conveyed by Deepak Reddy sir and Sumitha Nandan ma'am also. So over to you, Nandakumar, sir, for your opening remarks.
V.P. Nandakumar : Thank you. Good evening, ladies and gentlemen. It's a pleasure to welcome you to Manappuram Finance Q3 FY '26 Earnings Conference Call. Firstly, I would like to thank our investors and analysts for their continued interest, engagement and valuab le insights, which remain integral to our journey of building a resilient and sustainable financial institution.
Economic scenario, the Indian economy underpinned by strong domestic consumption has remained resilient amid global geopolitical uncertainties and imposition of tariff. Historically, high GST collection, PMI showing an expansion to you, strong vehicle sale s, etcetera, reiterates the resilience of Indian economy.
Our economy is projected to grow at 7.2%, making it among the fastest -growing economies in the world. With government policies favourable for growth, NBFCs play a significant role in the growth story by ensuring financial inclusion and easy accessibility to funds. Manappuram is well positioned to ride the growth curve to its flagship product, gold loans and offering in MSMEs, Microfinance and Home Loans, mainly to cater to small businesses and individuals at the bottom

of the pyramid operating environment.
The third quarter of FY '26 unfolded against a mixed operating backdrop of the NBFC sector. While macroeconomic indicators, particularly consumption demand and rural activity slowed gradually -- showed gradual improvement, the lending environment remains c ompe titive and tightly regulated with heightened emphasis on asset quality, pricing discipline and regulatory compliance.

From a sectoral perspective, gold loans continue to demonstrate resilience, supported by favourable gold prices and steady demand for short tenure secured credit. At the same time, certain unsecured and semi -secured segments across the industry, notably microfinance continued to face challenges with borrower cash flows and collection efficiencies under close monitor.
Financial performance overview. For Q3 FY '26, Manappuram Finance delivered a stable and measured performance anchored by the strength of gold loan franchise and disciplined risk management across portfolios. On a consolidated basis, we have reported a con sole AUM of INR52,125 crores, up by 13.8% Q -o-Q and 17.9% Y -o-Y, driven primar

ily by expansion in gold
loan AUM.
Our consolidated gold loan AUM for the quarter was INR38,754 crores, up by 23% Q -on-Q and by 58.2% Y -o-Y, supported by gold price and strong customer demand. Consolidated gold tonnage was 58.9 up by 3.2% Q -o-Q and up by 2.8% Y -o-Y. Consol e PAT for the quarter was INR239 crores, up by 9.8% Q -o-Q and down by 14.3% Y -o-Y. And 9 months ended consol e PAT standing at INR588 crores.
Importantly, when assessed through the lens of our core business, the underlying earnings profile remains healthy. Our liquidity buffers and provisioning coverage continue to provide both comfort and flexibility as we navigate near -term uncertainty standalone business performance. Our standalone AUM stands at INR44,209 crores, up by 16.9% Q -o-Q and up by 36.3% Y -o-Y driven by gold loan business. Our stand alone PAT was INR 381 crores up by 1.3 % Q-o-Q and down by 15.9% Y -o-Y. Our 9 months ended standalone PAT was standing at INR 1,149 crores.
Microfinance.
The Asirvad Microfinance continued to operate in a challenging environment during Q3 FY '26. While broader sector is showing early signs of stabilization, credit costs remained elevated, reflecting our cautious provisioning stance and conservative recognition of stress Asirvad AUM stands at INR6,091 crores, including gold loan AUM of INR1 ,610 crores, so it was down by 1.2% Q -on-Q and down by 39.2% year -on-year.
Loss was INR156 crores in Q3 FY '26 versus INR168 crores in Q2 FY '26, which was improved by 6.9% sequentially and improved by 16.9% Y -o-Y. Net NPA stands at 1.8%. Our diversified lending business including vehicle finance and affordable housing finance moderated with a clear focus on asset quality and risk -adjusted returns rather than aggressive expansion.
Our liquidity -- our balance sheet remains robust with the capital adequacy comfortably above regulatory thresholds and ample liquidity on hand. Funding diversification remains a priority and our access to bank funding, market instruments and DCBs, providi ng stability in managing our cost of funds. Strategic priorities and outlook. Gold loan business continues to be a core growth engine for Manappuram Finance Limited, supported by favourable structural and regulatory tailwinds.
Industry -wide gold loan AUM is expected to scale sharply over the next two financial years, driven by elevated gold prices, a rising prevalence of secured c redit and regulatory streamline.

Against this backdrop, we remain well positioned to capitalize on the next phase of sectorial growth. The Board has declared an interim dividend of INR0.50 for this quarter. With that, I now invite Mr. Deepak Reddy, CEO to provide business insights, follow ing which we'll be pleased to take your questions. Thank you.
Deepak Reddy: Thank you, sir. Ladies and gentlemen, good evening and thank you all for joining this call. Last quarter, I laid out to you a set of what I call six priorities as we transform the business. As Mr. Nandakumar has shared our performances in the quarter, I thought I would give you an update of how we are progressing on our priorities and how confident we feel on things at this stage. I'm happy to state that we are progressing well on all of them and I continue to remain very enthused about the possibilities. Also to reiterate what I had mentioned last quarter, you can

expect me to give you a full strategic road map for the company and firm guidances from next financial onwards and as we close next year's operating plan.

On my priorities, I laid out my first priority was on accelerating gold, which our Chairman also talked about. We are making good progress. And you would have seen from our results, our AUM growth momentum has rebounded strongly. We continue to run multipl e price sensitivity tests to determine the ideal scheme mix as we move into next financial year.

On gold,

I talked about four sub-priorities. One was on improving our branch infrastructure. We are -- our new branch design is ready. We are in the final stages of negotiation with our vendor partners and we are getting ready to next year completely transform our branches, the exper ience for our customers and the controls we have in the way we work at our gold loan branches.

We talked about last quarter about building on our digital journeys and going paperless. We are making good progress here again and targeting to go paperless for most of our customer acquisition processes in the next one to two quarters. This will not just ensure better customer experience, but will help us improve our portfolio quality and controls also. I talked about introducing a new best -in-class AI security systems in our branches.

I'm happy to say that we have closed on our model and partners and we are now getting into the implementation phase from this month onwards. Co-lending is a big priority for the group, and I'm happy to say that just this week, we have gone live with co -lending, which will give significant return profile to our subsidiaries also.

My second priority was on our consolidate to grow strategy for our non -gold businesses. As seen from our results, we have to significantly improve on our credit performance and profitability here. Towards this, we have as of now significantly scaled down a ll these businesses and the geographies in which they operate, including for MSME and vehicle loans. We have additionally paused car loans, new and used and farm equipment loans.

Underwriting norms have been tightened and our collection infrastructure is gaining momentum. We are also working on stepping up our LOS platforms for MSME and vehicle loans to ensure our processes are more streamlined and controlled. We hope to go back to a growth mode from quarter 1 FY '27 onwards after strengthening our systems, processes, contr ols and teams.

My third priority was around organizational effectiveness. Our new organization structure is beginning to show effectiveness in terms of operating rigor and ownership, which was -- and ownership by the teams is something which is very dear to me. I must say I'm very enthused the teams are adapting very positively to this change, and this gives me great confidence in delivering our growth aspirations.

We are also shortly rolling out a very comprehensive set of changes to our people and HR practices, which I'm confident will further infuse and bring better business momentum and ownership to the organization. Simultaneously, we are mapping out all our pro cesses currently towards making them simpler and more efficient.

Priority 4, I talked about infusing top talent. I had mentioned that we are onboarding a top - quality leadership team, a new group CFO, a Group Compliance Officer and a Group General Counsel have already joined us and actively leading the transformation eff orts and that they are already making their presence felt in a very positive way.

We are in the process of also onboarding new group heads of technology, risk, internal audit, operations, HR and two group business heads. Some positions in levels below are also being actively staffed where required.

Priority 5 was getting ready for the medium to long -term, even as the long -term evolves. Towards this, we have kicked off an engagement with a very large firm towards determining our go-forward technology stack. This is expected to take a 2 to 3 years migration to fully evolve into a new age digital technol ogy stack. We are also simultaneously working in determining various solutions that can be quickly plugged into even as a new stack goes live.

Our go -forward product strategy is also being worked on, and when we talk to you about our new strategic plan in quarter 1 of next year, we will share the same with you. On our subsid

iaries,

which is my next priority, building our subsidiaries, I must say that Asirvad is showing very encouraging signs, and I'm confident that we are at the tail end of the negative credit cycle. Business volumes are showing good growth. Collections are improving and our new book performance is performing very well. Our new book today is approximately one-third of our portfolio. And as we get into, let's say, quarter 2 of next year, it will be approximately 57% to 60% of our portfolio, which will add to the overall performance.

We used to have a lot of negative growth, which means our degrowth -- we used to have higher

degrowth than AUM buildup. I'm happy to say that we have largely taken care of that and the degrowth as we end December is only 1% and will go into positive territ ory as we speak.
A lot of credit parameters, including the number of customers of ours who have more than three loans, customers of ours with more than 2 lakhs, etcetera, are showing extremely good and encouraging signs -- and business growth coming back even as we tighten our credit parameters is something that envisages me.
The organization is clearly being galvanized for strong growth and performance and portfolio performance in FY '27. Our housing finance company, as I had mentioned last quarter, is a

strategic priority for us, and we have very strong plans for a housing finance company. A top - quality team is being put together for the same and should be in place by quarter 1 FY '27. Till then, you can expect low to moderate growth in the housing finance company.
I'm aware that these are fairly simple priorities that I have laid out for now. But I believe these will be the foundation of what is to come in the coming years. Thank you all for your continued support and for being a part of this transformation journey along with all of us.
Bindu A.L: Okay, now we can go for the Q&A session.
V.P. Nandakumar : Yes.
Moderator: The first question is from the line of Gao zhixuan , Schonfeld Please go ahead.
Zhixuan : Yes. thank you so much for the opportunity. The first question is on the gold AUM growth . I just want to understand, if we look at the gold customers, that's about 1% increase quarter -on-quarter. So the AUM growth is very good at 23%. So how should we think about how much of that is gold price driven? And how should we think about the gold AU M growth when the gold price starts moving up going forward?
Bindu A.L: The ticket size during the quarter, we have seen an increase, especially our strategy with a lower yield for a high -ticket customers. So the AUM growth is almost 22%, but the growth in number of customers is not that much because of our strategy by shiftin g to higher ticket borrowers.
Deepak Reddy: And if I would just add to what Bindu has stated, I mean, I think we must take into cognizance 2, 3 other facts also which come into play in the gold loan business. There is something called customer prudence also which comes into play because these are th e jewels of the family and which are very auspicious in our country, right?
If you look at the LTVs, both weighted average and simple average LTVs of our portfolio, they remain the same prior to gold price increase and now. They all hover between 57% and 60%. So it's not that because the gold price is going up, our LTVs are going up.
But to your question, do you see significant risk? Now let's say, the price of gold falls significantly, then we have got a short temporary period of time, yes, there could be a small correction that we had, but that is always temporary. It has never been beyond at the most 3, 4 months and 2, 3 months at the most. So we are not -- we don't get too concerned about that.
I must say also, let me say, worst -case scenario, gold price comes down also. I would say that our company is very strongly poised to be able

to manage the situation because we have an
advantage in our online gold loan portfolio.
The online gold loan app, which most of our customers transact on, it's very easy for them to repay and make sure that LTV, regulatory LTVs are met. And they don't have to -- and our customers don't have to keep rushing to branches, which a lot of our comp etitors will have to do. So I think we are fairly strongly poised.

You know, even if there is a correction, it seems unlikely today, but you never know because the price has gone up, it shouldn't really be too much of a worry to us other than, as I said, 1, 2 months. We should be fine. Another thing I must state is gold loan as an asset class has got fully established in India today. Over the last 1 -year, it is the largest retail asset lending class in India.
So gold loan is today a great product, not just for negative times in the economy, where normally in negative times in the economy is when the price of gold goes up. It's a great product for negative economic times. It's a great product even for normal eco nomic times because customers are saying it's a fabulous product for them to take. It's easy to avail.
The repayment obligations are in their control how the product is structured. So -- and that's how we've already established as the largest retail lending class over the last 1 -year. So largely on gold, I think we have a good story in the country.
Zhixuan : Yes. That's very clear. Thanks so much. And just on the yield perspective, how you think about

the gold yield going forward? Should it go down further to 18% as we talked about earlier? Or how should we think about that?

V.P. Nandakumar : Yes. The yield will be similar to whatever is the yield in the market, which is being judged by leading gold loan players, we will be with that. We are already in that range. So we continue to be with the market. We were, I mean, to answer -- Yes, please go ahead.

Zhixuan : So it's 18.3% in terms of gold yield already in line with the market or your segment or because we are also on a shift to larger ticket size customer, right? So I just want to understand 1, 2 quarters down the road, how should we think about the gold yield?

Deepak Reddy: This is similar to the other leading players in the market. So we'll be maintaining, as I told, we'll be maintaining more or less the same rate as other leading players. So they also have these larger tickets. So the average will be like that. So we don't expect much change.

Zhixuan : Got it. Sorry, just one last question on the borrowings. If I'm not wrong, it seems that the borrowing has went up a lot this quarter much more than the loan growth. I just wonder, given that the Bain is expected to inject capital, why do we need to take so much borrowing this quarter?

Deepak Reddy: So, Bain approval is in the final stages with RB I. So we got some interim approval, but -- we have -- Bain has sought some clarifications in that regard, etcetera, etcetera. So -- and they have made some submissions also. That's why the final approval is yet to come through. So we expect the final approval to come through without much delay. Maybe we expect that to happen within another 1 month.

Zhixuan : Got it. Thank you so much . I will join back in the queue. Thank you.

Moderator: Thank you. T he next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Yes, hi, team. Congrats on the quarter. Just a couple of things on the opening comments. So Mr. Reddy, when you said that you all are conducting like price sensitivity tests to improve the scheme mix, can you just elaborate on what you mean by that?

Deepak Reddy: Yes. So in the past, we used to be -- we have taken a strategy of pricing at the upper end of the market. Now over this year,

we realized that we had to, as our Chairman said, we benchmark with competition, which is what we have done. And we are running va rious tests and that's a constant process, but we run it very closely here.

In terms of geographies, customers, locations, tiers and to check what the sensitivity levels are and which is what we have been doing to fine -tune it because we move from a position of being priced higher than market to a strategic call to be priced at ma rket.

Piran Engineer : And so does this mean that in geography one, let's say, Tamil Nadu, hypothetically, you're offering a INR50,000 loan at 19%. And in Maharashtra, you'll offer it at 18% because the crowd in Maharashtra is different. That’s the difference.

Deepak Reddy: Yes. I mean, competition is definitely there . Competitive factors, density of branches, how evolved the market is in the state, all of these go into pricing decisions. Typically, the early stage was South Indian states of, let's say, Kerala and Tamil Nadu, where density of competition about branches is very high, competition levels is very high. And then you'll take different pricing strategies for different locations. right?

And as I said, we are getting ready for -- we are already showing very strong growth. We are getting ready for much more significant growth. And there's a lot of tests that we're doing. But I think -- but the takeaway you can take back is from being priced above market, Manappuram, you can be expect to price at market going forward. We have shown that in the last quarter. And the results will come through. I mean you'll see leverage benefits to come through very strongly in the quarters to come.

Piran Engineer : Got it. So on a scale of 1 to 10, where are we in the journey of getting priced in line with peers? We are already at 10, is it?

Deepak Reddy: I mean that's a tough question to put a number. So I don't want to put a number. But you ask me, I would say around 8 or 8.5, I would say we are almost there.

Piran Engineer : Got it. And then secondly, you also mentioned a number of initiatives like transforming the branches next year to improve the customer experience. You're working with a consultancy firm to develop the tech stack. How should we like these are obviously very good initiatives for the long term and they're important. How do we think about how opex trends in that regard in FY '27 and maybe beyond?

Deepak Reddy: There will be some investments, a lot more capital investments that we are going to put in. But I don't think -- and we are in the process of making our budget for next year. I don't think you should be overly worried about that. I mean, of course, there w ill be some investments . But the initiatives will also result in cutting of opex where required, in optimizing of opex where required .

And also leverage benefits coming in as opex as a percentage, you should see all those leverages coming in. So I don't think you need to be overly worried about that. Let's say, the new structures we're putting in, new people putting in will have to pay for themselves in much higher productivity.

Piran Engineer : Understood. And just lastly, just repeating the same question of this one earlier, and this is probably to Bindu, but like borrowing growth being higher than loan growth, is it just simply back -ended because borrowings have grown like at 28%, 29%. I'm just talking stand -alone balance sheet. So is it just like an end of perio d phenomenon? Or was it like just throughout the quarter? And if it was throughout the quarter, then why was it so high?

Bindu A.L: It is end of the quarter only. And if you see our liquidity position, we have almost from INR1,500 crores to INR2,000 crores to INR4,000 crores as we were getting a lot of limits at the end of the quarter.

Piran Engineer : Okay. So just the end of period phenomenon?

Bindu A.L: Yes.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal.

Abhijit Tibrewal: Congratulations on a strong gold loan growth. Again, kind of circling back on the yields, our yields have actually declined from 19.7% last quarter to 18.3% this quarter. So I mean, while these are portfolio yields, what I'm trying to understand is what th at essentially means is the gold loans that you would have done in this quarter would have been even lower yields, right ? Basically somewhere around 17%, 17.5%. And earlier when CEO sir said that maybe on a scale of 1 to 10, we are at 8%, 8.5%. So eventually, you expect these yields to stabilize around that 17.5% mark is it?

Deepak Reddy: No, we would expect the yields and the way the market is operating today, our expectation is in the range of 18%. But I mean that's wh ere we expect it to be. Right, I mean the question is, let's say, I must say because we have a very unique and a very strong customer proposition in our online digital gold loan app, OGL app.

And so that -- as a result of that, our pricing transmission between onboarding and book yield is much faster than that of competition. So I view that as a positive thing both for customers and us. So our expectation is in the range of 18 up to maybe 18.15%, depending on how things go is my expectation as such.

Abhijit Tibrewal: Got it. So essentially, that also, I'm guessing would be done by the end of this year. And then from next year onwards, we should look at stable yields there ?

Deepak Reddy: That's correct.

Abhijit Tibrewal: Got it. The other question I had was on this Bain transaction. I'm sure earlier in the call, Nandakumar sir commented on it saying that we received some kind of an interim approval and

the final approval is expected to come through in the next 1 month. But sir, I'm just trying to understand, you remember also a media article that came out .

And then we also refuted it or we clarified on that on the stock exchanges. But at least -- I mean, that problem which was highlighted in that article of RBI not being okay with Bain having a majority stake in 2 NBFCs, has that part at least been addressed with the regulator?

Deepak Reddy: Yes, it is not majority stake, controlling interest. Controlling interest...

Abhijit Tibrewal: Right. I'm sorry Controlling interest in both the NBFCs.

Deepak Reddy: Controlling interest. But that part of Bain is working out, something whereby this is addressed. So we are in discussion with RBI. And whatever RBI has told Bain is ready to go by that. So that will not create any problem with regard to promised investment in Manappuram as well as the joint control in Manappuram.

Abhijit Tibrewal: Got it, sir. So essentially, sir, I mean, if I understand this right, whatever the RBI suggested, Bain is happy to go ahead with that so that you can get a control in control in Manappuram ?

Bindu A.L: Yes, whenever we get the information …

Deepak Reddy: So one thing is very clear, Bain is interested in Manappuram.

Abhijit Tibrewal: Got it, sir. And sir, last 2questions. One is we discussed about this customer -- number of customers earlier. But today, all I'm trying to understand is when we look at gold loan NBFCs, right, this thing around number of customers not growing lot tonnage, we understand, like you've explained to all of us in the past that when gold prices go up .

It is not important that the tonnage also goes up because customers are prudent and they borrow only as much as they want. So the fact that the gold loan customers are also not increasing at the

industry level.
And despite that, if we are seeing gold loan growth, how should we read that? Is it like more number of gold loan players coming and which is where no one is seeing a gold loan customer growth? Or is it like these are the same set of customer

s who are taking gold loans, just that they're taking higher ticket sizes now, which is what is driving the gold loan industry growth?
Deepak Reddy: So if I can take this question. It's an interesting question. And I think I request you to view it from a perspective of growth cycle. So as I mentioned, in the past our pricing was slightly higher than that of competition. And at that time, we thought it was prudent and right thing to do. And as a result, there were some of our customers who for years were very loyal to us, some of them may have moved out of us.
Now the price loan growth -- the gold loan price has been going on for almost 1 year right now. This quarter, you would have seen a significant take -up rate and catch up with our growth rates, a big uptick in happening. That's the first part of the cycle. right? Now the second part of the cycle is once the business growth comes, branches being infused, right pricing that we have in the market .

Then the second cycle will now lead to much higher new customers also being acquired because the whole teams are getting galvanized. So I think what you're seeing last quarter growth of significant growth compared to our previous quarters is Step 1. Step 2, you will move into this. But we are fairly enthused at this stage.
Abhijit Tibrewal: Got it, sir. And then I just want to squeeze in one last question. While we have shared that our yields are now comparable to other prominent gold loan players and likewise, the margins and spreads are also comparable to the other gold loan players. But si r, this opex bit, right, I mean, if I look at our ROA thing right, versus the ROA thing of our peers. I think it is that opex , right, which is significantly lower for some of our peers, right?
So what is it that we are doing on the opex side? Is it just scale you think which will help you bring down the opex and then translate into better ROAs going forward and better ROEs as leverage comes? Or are there also other things that you are doing -- steps that you're taking for opex rationalization?
Deepak Reddy: I think the answer is in your question. It is all of it. It is both scale, which is very important, of course, but also a significant process improvement, which as a result, brings down our costs also are things that we are working on. So I mean, the answe r was in your question, sir.
Moderator: The next question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta : Congrats on stable numbers. My first question is on the non -gold portfolios. So how deep can this asset quality NPA recognition phase go in vehicle and equipment finance, in MSME, personal loan, housing finance because we are seeing spikes in the NPAs. So when do you -- at what levels can they peak out and by when they can peak -out?
And just to understand the credit cost impact incremental because of that, what is the current PCR that we are holding on the existing NPAs on each of these books? And would it be right to presume that you would want to address this in terms of provisions or recognition largely in Q4 itself? So that you can start FY '27 on a lighter note?
Bindu A.L: So on vehicle finance, if you see as the disbursement has slowdown, it is more on account of the residual impact. So the quarterly increase is only some INR40 crores in the vehicle finance book on which the provision currently we are doing ECL around 27%. So that is the provisions we are doing.
But at the same time, we are doing a current valuation of the assets and any kind of shortfall we are providing and about 730 days also, we are taking 100% write -off. Similarly, for MSME, all unsecured loans, the net NPA is 0, digital personal loan or the small portion of un secured, we took 100 write -off.
And on the secured portfolio as the average LTV is very low and the ECL with a 5 -year realization pe

riod is around 5%, 6%. But the asset in case of vehicle finance, comparatively easy to repossess and sell, we will see improvement. But of course, MSME will take more time and the customers are servicing the EMI with delay.

Rajiv Mehta : Okay. And in Asirvad, can you share the bucket collection trends? And if I were to look at your

Stage 2 and the net NPL figures, would it be right to assume that the credit cost in Q4 itself will come meaningfully down from what it was in Q3?
Bindu A.L: Yes. So we have shared the details in Page 25 of IR PPT on Asirvad bucket -wise details. And if you see the Stage 2 as on 31st December is only 106. So the trend shows a drastic improvement in decline in NPA in Q4.
Rajiv Mehta : No, no, I was asking about ma'am the ex -bucket collection efficiency in Asirvad in recent months, how much that is? I know that we have a lesser amount of new portfolio, but how much is the leakage still happening?
Manoj Pasangha: Yes, Manoj here. So I'll just answer the ex -bucket efficiency. I would rather answer that question to address both the new book and the old book. In our collection efficiency in our new book is at 99.78%, which is about -- which is roughly translating to one-third of my book.
And how the CEO had mentioned earlier, in the next 2 quarters, we expect this to reverse in the sense that we should be looking at two-third of our book, our entire book running at similar collection efficiencies. So that is how robust it is currently. So that's on the ex -bucket.
Having said that, even the balance of the one-third , which is the old book, we are seeing a collection efficiency increase about 2% quarter -on-quarter, which establishes the fact that we have not let the old book slip away. So we have put together a collection team from within the loan officers spread acro ss our branches where they're dedicated to focus on this so -called old book and the hard book. That should take care of our collection efficiencies.
Rajiv Mehta: Okay. Clear. Just one last one on cost of borrowing. Your standalone cost of borrowing has declined by 30 basis points Q -on-Q, but the consol only declined by 10 basis points. And when I look at Asirvad also, the cost of borrowing is actually flat. If you can just reconcile this?
Bindu A.L: Yes. So almost 85% of the borrowings standalone at INR880 crores. And the balance Asirvad is around 12% of consol borrowing at INR1020 crores and home finance at INR950 crores. So the weighted average is coming to INR898 crores.
Rajiv Mehta: But ma'am, that has actually declined only by 10 basis points because the stand -alone cost of borrowing has actually come down by 30 basis points and Asirvad is flat. So I was thinking that the delta improvement in consol level sh ould have been higher than that?
Bindu A.L: So one reason is towards quarter end, we have done a lot of borrowing. So we will reconcile and get back to you.
Moderator: The next question is from the line of Gao zhixuan , Schonfeld Zhixuan : Just some follow -up questions. Number one is on the consolidated statements. Under the revenue, the others line, which was INR27 crores last quarter. In the December quarter, it jumped to INR79 crores, almost INR80 crores. Just wondering what's that about? Is there any one -off in there?
Bindu A.L: Can you repeat the question?

Deepak Reddy : Could you repeat your question, please? We just missed you in between.
Zhixuan : Yes. In the other revenue, if I look at the financial statements consolidated under the others under revenue from operations, there's a INR79 crores revenue over there, which was INR27 crores in the September quarter. Just want to understand why the large jump and any one -off in there?
Deepak Reddy : INR27 crores.
Bindu A.L: We will share offline if that

is okay.
Korn : Okay. Sure. And lastly, on the stand alone ROA, which is something about 3% right now. It's 1 years to 2 years, how should we think about this ROA going forward since our yield is just continue to stay here. How should we think ab out our trajectory on the stand alone business?
Bindu A.L: ROA going forward?
V.P. Nandakumar: Yes. We hope to maintain and improve upon ROA because per branch business is growing. So this year also, we have seen growth, and we expect that momentum to continue. So there will be a huge volume push in the branches. So the opex ,i.e, the HR cost, et c., will not have much impact. We don't expect much increase in the borrowing cost. So the ROA there will be …
Deepak Reddy : I would say, yes, we should definit ely be looking at 4.25% to 4.5%.
Bindu A.L: Yes.
Zhixuan : 4.25% to 4.5% stand alone ROA.
Bindu A.L: Yes.
Deepak Reddy : Yes.
Bindu A.L: The credit cost...
Zhixuan : So that means...
Bindu A.L: Credit cost issues in the non -gold books will also come down. So that will...
Manoj Pasangha: I mean, is it where we want to be? I mean the specific answer is no. But as I said, we have a non - gold book of vehicle loan MSME, which is, of course, there will be some amount of impairment that we will see for 1, 2 quarters. So that's why we are factorin g this when you talk to 4.25% to

4.5%.
Moderator: The next question is from the line of Gaurav from Capital Farming Consultants .
Gaurav: So a couple of questions. First question is to Mr. Deepak, you mentioned that you are also working on co -lending, right? And this week only you had made it live. So just a clarification on that. Is it the co -lending agreement with the Asirvad that has been done? Because I think on the website of Asirvad, something like that has been displayed that co -lending agreement …

Deepak Reddy : We are working with multiple partners right now, and Asirvad is one of them. And all 3 partners that we are working on, hopefully, the minimum of 3 partners should go live over the next 2 weeks, I would say, or 3 weeks at the most.
Gaurav: That's great. Second, I was referring this Slide number 9 of our presentation, right? So gold loan, everyone in India who is taking financial sector now is aware that gold loan is booming, right, as an industry. But for us as a company, right, every other segment where we are operating, whether it is vehicle fi nance, right, equipment finance, MSME lending or even housing finance, our NPA level, GNPA level, right, in housing finance, we are approximately 5%. vehicle finance, we are approximately 14%. MSME now we are touching around 6%, right?
Where things are going wrong because such an elevated level of GNPA, right, coming from a lender like who is focused on gold loan, right, who knows that asset quality must be pristine. So where things have went wrong, have we analyzed that part while we ha ve done the old the course correction in the last 2 quarters, 3 quarters or something -- some kind of accountability has been set up? Or how you would like to assure that whatever the balance assets we have, they are now remain in the pristine quality and not some other surprises which we might expect in a quarter or 2 down the line? Yes, t hat was my second question.
Deepak Reddy: So you could see our -- the importance and seriousness of our thinking. In the fact, when I laid out my priorities, my first priority was accelerate gold. And my second priority was to follow up consolidate gold -- consolidate and growth strategy for non -gold, right? That's the order of the priorities to tell you how seriously we are taking it. I don't think we don't have to dwell on a post-mortem of what went right, what went wrong. It's a learning.
We have obviously studied our entire model from acquisition to underwriting, to risk, to systems. We are taking that all into

cognizance, and that's what we are strengthening -- till that's fully in place. That's why I told you MSME and vehicle loans, you will not see much growth even in the current quarter. It's only as we get into next year, you will start seeing growth , and we will correct it.
And have we taken specific questions that you asked, have we seen why, what went wrong? Obviously, yes, because the starting point was if it is high, why is it high? What do we have to do to control it? What are the controls we have to put in place, what are the systems we have to put in place what are the different processes and credit polic ies, underwriting policies, risk policies, all of these have been taken into consideration , that's what we're working on. And that's why I said it will be a slow take -up.
It is not -- these businesses are not something that we are going to overnight accelerate. We will get our process in place. We'll be comfortable with it. And of course, then we will grow them. These are -- we intend to grow these businesses. But when we are confident that we have learned from the past and our go forward is strong.
Gaurav: That's great. If you allow me one question. Within this, just a follow -up on this. Can you give some clarity what percentage of within this GNPA segment across the products that we have,

what would be the percentage of customers, those who are defaulting in e ach of these categories, right?
One customer who is defaulting in HFC housing finance also and to whom we have given the vehicle finance also to whom we have given the MSME loan for their business purpose also, right, or microfinance loan also. So are there any certain set of customers in percentage terms who are defaulting in more than 2, 3 categories? Or these are exclusively a different set of customers, no correlation over there?
Deepak Reddy: No. So you're talking about customer level NPAs of customers across the group. I mean they're very, very miniscule. Oh sorry, I don't have the exact number with me offhand, but that's something that we look into very closely. And those are things which are monitored also very closely by us. It's very miniscule. I mean the -- and our customer level NPA policy takes that

into consideration.
Gaurav: Yes. Great. My last question. I have asked in my couple of interactions also in last con calls on branch expansion, right, specifically on the gold loan side. So is it like there is something which is stopping RBI to give us branch expansion approval? Or is it related to Bain transaction once that is done by RBI , then only the RBI will give us approval for branch expansion? Or we are not going to the RBI for seeking approval for branch as of now. So what exactly is the road block or short stopper, w hich is not giving us an opportunity to expand the branches, specifically for the gold?
Deepak Reddy: I think I explained that the point in our previous earnings calls also. This is, of course -- I mean, I can't speak on behalf of the RBI why they're giving or not giving , that's not what I can speak about. But I believe this also because there's a very significant transaction with a new co - promoter coming on. And I think that's the first priority, which probably the regulator is also looking at.
We don't see any reason why we will not get approval shortly. We hope to. We have put up our proposals to RBI, which we hope will be favourably decided upon. And any specific reason that you think that we have, why we are not getting anything ? The answer is absolutely not, nothing like that .
Moderator: The next question is from the line of Shubhranshu Mishra from Phillip Capital.
Shubhranshu Mishra : Hi Deepak. Good to hear your voice here at Manappuram. Given the fact that you're pretty much outlining to change the organization at various levels, one, if we can maybe in the medium term, 2 to

3 years from now? Second is you also spoke about LOS, LMS transformatio n. So which are the tech partners we are looking at to have this changed? Would this have different kind of LOS LMS for various kinds of asset classes that we would be working on? The third part is, are we rationalizing the manpower or having a different orientation for the manpower if that would be the concern .
Deepak Reddy: Good to hear your voice too . Two, 3 questions. One on -- I mean a lot of your questions, I must say, came a little gabbled to us. I hope I'm answering the questions right. One was, of course, on

the strategy, which you told us and Shubhranshu, my request is please bear with us for -- as we move into FY '27 when we'll share our well thought through strategy.
I request you to bear with us. On our tech architecture, what it is going to be will be premature at this stage because that's the journey we have just started with multiple tech partners. The whole study is going on because we have to take into consideration multiple factors. O ne is what is the market today.
Two, what is the market expected to be in 3 years, 4 years. And so we have to build a tech platform, not just for today, we have to build a tech platform that is going to last us for the next 10 years. And with the advancements which are happening out here, the solutions are quite complicated to make. It's not just plain cookie cutter, but we are working toward s that -- to put that in place.
We're working with multiple partners. It's not one partner. Specific to your question on LOS, LMS, will different products have different LOSs, LMSs. I think that's an output of our entire exercise, then we will know. But all I can assure you is whatever it is, each individual product will have individual workf lows customized for themselves.
It will not be one standard workflow that we will use for all -- I mean, for all products. We will have strong LOSs for different asset classes, which are also figurative of how our competitors also use it with a forward -looking lens also. And manpower was your next question. I thin k that's a constant one, right?
You will always have options to optimize technology will come in. Can you optimize manpower? All that is, yes. But will the absolute manpower come down? Obviously, no. Because if you're going to talk abo ut our AUM continuing to be INR 50,000 and then we are putting in technology and then people will come down. I don' t think we are looking at that.
We are looking at a very, very strong future for the company where our AUM and our growth is going to be multiples of what we are today. So I don't think there's too much to read into this at this stage. It will be steady state, well thought through, well calibrated. And we'll take the long - term approach. It will not be a short -term approach. It will be a medium - to long -term approach that we take.
Shubhranshu Mishra : One last question, . Bain Capital also holds a controlling stake in Tyger Capital , which was erstwhile Adani Capital Okay, do Manappuram F inance to have that controlling…
Moderator: Sorry to interrupt, your voice is not audible properly.
Shubhranshu Mishra : So Bain Capital holds a controlling stake in Tyger Capital, which was erstwhile Adani Capital. Is it possible to have that company merged into Manappuram so that they continue to hold a

controlling stake in that entity as such?
Deepak Reddy: They are working out -- already working out some strategy whereby their interest and what assurance as far as Manappuram is protected.

Shubhranshu Mishra : So are we are open to that merger.
Deepak Reddy: Shubranshu will be -- and our Chairman rightly said, will -- what are the options that they're looking at? Will it be taken? I think that is completely not. That's a q

uestion you should -- you should probably ask to Bain Capital. I don't think it is premat ure. And you've seen us holding statements on this whole transaction. There are certain questions asked, which we have given responses to and we are awaiting clarification.
Moderator: The next question is from the line of Prithviraj Patil from Investec.
Prithviraj Patil : So I had 2 questions. One, I wanted the option number for the quarter, the gold option number. And the second was what is the incremental yield on the gold loan?
Bindu A.L: Actually is around INR32 crores during the quarter. The yield currently stands around 18%.
Shubhranshu Mishra : Hello?
Bindu A.L: Auction is around INR 32 crores during the quarter. Our current yield stands at 18%.
Shubhranshu Mishra : Hello?
Bindu A.L: Can you hear us?
Shubhranshu Mishra : Yes. So I just wanted the auction number and the incremental yield on gold?
Bindu A.L: So auction is around INR 32 crores during the quarter and our current yield at 18% on gold loan book.
Moderator: The next question is from the line of Pratik Kothari from Unique PMS.
Pratik Kothari : Sir, one on opex again. So if we go back 3 years, 4 years at similar branch productivity of about INR10 crores, INR 11 crores where we are right now, the larger peer, Muthoot used to be materially lower than where we are. So if you can just highlight where is this mismatch ? We are in the 5s, they were in the 3s at similar productivity, and I'm going back 4 years now. So if you can just highlight where is that mismatch? What can we do to improve between us?
Deepak Reddy: So Mr. Pratik, I think I've laid out the various actions we are taking towards this. And as we roll out our strategy, as we roll out our operating plan for next year also . I think you'll have visibility going back 4 years, 5 years and comparing with competitors who did what, who did well, I don't think we want to do this on a call.
Pratik Kothari : No because do we agree there's a mismatch and we want to work on that, but this is how our business is structured and this stays as it is?
Deepak Reddy: No, we have answered that question, right? We have very strong aspirations of growth of the company. And when we lay out a strategy, you will see it for us. I mean, obviously, we are obviously not happy and we will never be happy with where we are.

Our whole orientation will be always that we have to do better than what we are wherever we are at whatever stage we are, and that's our orientation. There is a lot of work to do, which we are working on, and the results will follow and we'll share with you the plan. As we get into next quarter, we'll share the plan with you.
Bindu A.L: Almost of the per branch AUM .
Deepak Reddy: And you would have seen, I mean, even already you would have seen our per branch AUM from the beginning of the year to this year, we were a little behind. We know why we're behind. We have also explained to the reasons because we also followed a different pricing strategy as one of them, one of important things. We have taken those actions, and you will see that we are here to be a dominant player in the market in which we will be.
Prithviraj Patil : Correct. And this 4.25%, 4.5% stand -alone ROE, I mean, what time line did we give for that?
Deepak Reddy: As we go into the second half of next year.
Moderator: The next question is from the line of Bharat Singh , an Individual Investor.
Bharat Singh : I have one question. This -- like in Asirvad Finance, there is some impairment losses. We are booking like each quarter, we see the losses. So these losses is complete losses or in the later quarter, they will be cover up?
Bindu A.L: Yes. So the collection efforts are going on for the NPA book also. But you have seen that in MFI, once it is 90 DPD, the collection is very difficult. But a lot of effort

is going on. We are
taking the collection agencies also to improve the collection. But as the quality of book is improving, we will see a reduced credit cost in the coming quarters.

Deepak Reddy: Yes, we should see reduced credit costs. And we have taken some impairment this time even on ASC book as a prudent measure, even though we did have to some small amounts. But -- and as I mentioned, the outlook is looking strong, sir.

Bharat Singh : Okay. My next question one is, like now Bain Capital, they are acquiring controlling stake in the company. So it will be from the promoter will be shifted to the Bain Capital. And also when this transaction will happen, there will be open offer. But as I r ead that this open offer will be -- was priced at INR236. But now price for the stock has already increased way higher. So when this open offer will come, there is a chance that Bain Capital will get more stake in the company?

Bindu A.L: These details are already given.

Deepak Reddy: See promoters are not selling the stake. This is …

Bharat Singh : Okay.

Deepak Reddy: Yes. This is entirely primary, right? So this is already -- it is told to the market about the plan of 9% equity now once the approval is received, then 9% through convertible warrants , which will be converted into equity in another 18 months. So they will have 18% stake. And the present

promoters will have more than 28% stake, it will continue. So it will be -- the Bain is -- it will be a case of joint promoters, existing promoters along with Bain as a joint promoter.

Moderator: As that was the last question for the day. I would now hand the conference over to Mr. V.P. Nandakumar for closing comments. Over to you, sir.

V.P. Nandakumar : So thank you so much for your active participation as usual. Now this time, I hope you could hear more about the new CEO strategy also. I hope that will definitely help you to understand what the company will be in the coming 1 or 2 years' time. So thank y ou so much for the questions.

Bindu A.L: Thank you.

Deepak Reddy: Thank you. Thank you all. Thank you very much, and thank you for your continued support.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

"Manappuram Finance Limited
Q4 FY '2 6 Earnings Conference Call "
May 04, 202 6

MANAGEMENT : MR. V.P. NANDAKUMAR – CHAIRMAN AND MANAGING DIRECTOR – MANAPPURAM FINANCE LIMITED
DR. SUMITHA NANDAN – EXECUTIVE DIRECTOR – MANAPPURAM FINANCE LIMITED
MR. BUVANESH THARASHANKAR – GROUP CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MS. BINDU A.L. – CHIEF FINANCIAL OFFICER – MANAPPURAM FINANCE LIMITED
MR. MANOJ PASANGHA – CO-CHIEF EXECUTIVE OFFICER – ASIRVAD MICROFINANCE
DR. ROY VARGHESE – CO-CHIEF EXECUTIVE OFFICER – ASIRVAD MICROFINANCE
MR. RAJESH NAMBOODIRIPAD – CHIEF FINANCIAL OFFICER – ASIRVAD MICROFINANCE
MR. KAMAL PARMAR – HEAD VEHICLE AND EQUIPMENT FINANCE – MANAPPURAM FINANCE LIMITED
MR. RAKESH SHARMA – CO-CHIEF EXECUTIVE OFFICER – MANAPPURAM HOME FINANCE
MR. SUVEEN P.S. – CO-CHIEF EXECUTIVE OFFICER – MANAPPURAM HOME FINANCE
MR. ROBIN KARUVELY – CHIEF FINANCIAL OFFICER – MANAPPURAM HOME FINANCE

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Manappuram Finance Q4 FY '2 6 Earnings Conference Call , hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services. Thank you, and over to you, sir.

Abhijit Tibrewal: Yes, thank you, Yousuf. Good evening, everyone. I am Abhijit Tibrewal from Motilal Oswal, and it is our pleasure to welcome you all to this earnings call. Thank you very much for joining us for the Manappuram Finance call to discuss their Q4 FY '2 6 earnings.

To discuss the company's earnings, I am pleased to welcome Mr. V.P. Nandakumar , Managing Director; Dr. Sumitha Nandan, Executive Director; Mr. Buvanesh Tharashankar, Group CFO; Ms. Bindu A.L., CFO; Mr. Manoj Pasangha, Co -CEO, Asirvad Microfinance; Dr. Roy Varghese, Co -CEO, Asirvad Microfinance; Mr. Rajesh Namboodiripad, CFO, Asirvad Microfinance; Mr. Kamal Parmar, Head , Vehicle and Equipment Finance; Mr. Rakesh Sharma, Co-CEO, Manappuram Home Finance; Mr. Suveen P.S., Co -CEO, Manappuram Home Finance; and Mr . Robin Karuvely, CFO, Manappuram Home Finance.

On behalf of Motilal Oswal, we thank the senior management and the Investor Relations team of Manappuram Finance for giving us this opportunity to host you today. I now invite Mr. Nandakumar for his opening remarks. With that, over to you, sir.

V.P. Nandakumar: Thank you, Abhijit. Good evening, everyone, and thank you for joining us for Manappuram Finance Q4 and Full Year FY '2 6 Earnings Call. I sincerely appreciate your continued engagement and support. Today, I'll briefly share our perspective on the operating environment, key highlights for the quarter and the year and our strategic direction as we enter FY '2 7.

Amidst geopolitical tensions, the fourth quarter of FY '2 6 marked a relatively stable operating environment for the NBFC sector. Though the macroeconomic indicators continue to show resilience, supported by speedy consumption trends, improving rural demand and stable credit growth, it is tempered by the headwind s arising from the geopolitical tensions, such as inflationary tendencies, lately firming up of interest rates, weakening of rupee, etcetera.
The lending landscape remained competitive with sustained focus on improvements in asset quality and prudent underwriting standards. The sector also continued to witness challenges in certain unsecured segments, particularly microfinance, albeit early sign s of recovery. Gold prices remained supportive during the quarter, reinforcing demand for secured lending products such as gold loans, which continue to offer liquidity, flexibility and lower risk.
Against this backdrop, our approach remained consistent, protecting asset quality and ensuring sustainable growth. During the quarter, we also observed sustainable growth in our gold loan portfolio with AUM improving sequentially after a softer phase earlier in the year, while

competition remained elevated. Higher growth, higher economic activities, rural demand, shift in the consumer spending pattern has supported our gold loan disbursements.
Across segments, trends remain divergent. While gold loans is largely instrumental to our growth, microfinance is still in a recovery phase with a modest AUM expansion and improvements in asset quality. The housing finance business remains stable. The port folio growth is muted. We remain focused on asset quality, operating efficiency an

d risk -adjusted
growth.
We are taking a cautious stance in microfinance, aligning expansion with improvements in collections and borrower leverage, while continuing to scale other segments prudently. Looking ahead, we expect steady momentum in gold loans fueled by consumer demand . Along with this, our diversified portfolio will enable a balanced and resilient growth.
For Q4 FY '2 6, Manappuram Finance delivered a strong performance. Its growth anchored by our core gold loan business and supported by disciplined risk management across portfolios. Consolidated revenue for the quarter stood at INR2,614 crores reflecting y -o-y Q-o-Q growth of 10.7% and 11%, respectively. Profit after tax stood at INR405 crores.
For the full year FY '2 6, we reported revenue of INR9,509 crores, PAT of INR993 crores. Our capital position, liquidity buffers and provisioning coverage remains strong, providing resilience and flexibility as we move into the next financial year. Gold loan business, the core strength for gold loan segment continued to demonstr ate strong momentum in Q4, reaffirming its role as the cornerstone of our business.
Gold loan AUM stood at INR50,953 crores, registering 99.1% year -on-year and 31.5% quarter -on-quarter. The segment continued to contribute the majority of our consolidated AUM and earnings. Asset quality in this portfolio remains robust, supported by conservative LTV norms, frequent monitoring and strong operational controls. Introduction of the new lending against gold collateral guidelines of the regulator has enabled us to broaden our product offering in a structured manner.
We have introduced consumption loans, catering to the household and personal financing needs and income generating loans designed for small business and livelihood purpose, allowing us to serve the differing needs of our borrower base more effectively. Eac h of these products operate within defined guardrails on LTV, tenure and customer eligibility.
These are new regulations requiring credit assessment of the borrowers will improve our customer due diligence, resulting in lower delinquencies, cross -selling of other products to our customers, thereby improving their wallet share. Co -lending partnership s have added a further origination channel, extending our reach to geographies where we have limited presence.
We also continue to invest in digital capability, analytics and process efficiencies, which are enhancing customer experience, improving turnaround time and driving productivity gains across our branch network. Asirvad Microfinance continue to operate in a cautious environment during Q4 FY '2 6. The strategic actions we initiated over the past few quarters, including tighter

underwriting, calibrated disbursements, strengthened collections and geographical optimization are beginning to yield gradual improvements.
We expect the business to stabilize progressively with a sharper focus on sustainable growth and improved risk -adjusted returns. Across vehicle finance, the MSME and the allied lending and

affordable housing finance, we are pursuing a calibrated growth str ategy that prioritizes risk -adjusted returns over volumes. Underwriting standards have been tightened, exposure in select segments have been moderated, and the collection infrastructure have been strengthened.
These segments witnessed a moderation in portfolio levels, reflecting a calibrated approach that prioritizes portfolio quality and profitability over aggressive expansion. Asset quality continues to remain the key focus area. Consolidated GNPA stood at 2.1 4%. Provision coverage ratio remained at 27.34%. While stress persists in certain portfolios, our secured book continues to perform strongly.
Our balance sheet remains healthy. Capital adequacy at 21.3%, well above the regulatory requirements. Strong equity position with diversified funding

sources across banks, capital
markets and securitization. We continue to maintain a conservative positioni ng stance and closely monitor early warning indications across businesses.
As we enter FY '2 7, our strategic priorities remain clear. Strengthened leadership in gold loans through scale, technology and customer -centric innovation. Accelerate stabilization of microfinance and other micro -lending segments with a strong focus on asset quality. We maintain balance sheet strength with a disciplined capital and liquidity management. Enhance operational efficiency through digital adoption and analytics. Continue proactive regulatory engagement and uphold best -in-class governance standard s.
While near -term challenges persist in certain segments, we remain confident in the long -term structural opportunity in secured lending, particularly gold loans. With our strong brand, extensive distribution network and disciplined execution, we are well po sitioned to deliver sustainable growth. I would like to thank our employees for their dedication, our customers for their continued trust and our investors for their unwavering support.
We remain focused on building a resilient, future -ready franchise while delivering long -term value to all stakeholders. With that, I will now hand over the call to our Group CFO; Mr. Buvanesh Tharashankar, for detailed financial performance statement. Afte r we will be happy to take your questions. Thank you.
Buvanesh Tharashankar: Thank you, Nandakumar. Good evening, everyone. Thank you for joining us for the discussion on our financial results for the last quarter and year ended March 31, 2026.
Our consolidated AUM for Q4 '26 was INR63,798 crores, up 22.4% sequentially and higher by 48.3% year -on-year. Gold continued to be our key growth driver with an AUM of INR50,953 crores up 31.5% quarter -on-quarter and higher by 99.1% year -on-year, supported by the gold price and strong customer demand.

Gold loan business constitutes 80% of the consolidated AUM versus 59% in the prior year.
Consolidated PAT before OCI and minority interests was INR405 crores for quarter 4, which was up by almost 70% quarter -on-quarter. For FY '2 6, our consolidated PAT before OCI and minority interest was at INR993 crores, down 17.5% year -on-year.
Coming to the standalone business.
Our stand -alone AUM, MAFIL, for Q4 FY '2 6 was at INR55,952 crores, up 26.6% sequentially and 69.4% year -on-year. Gold loan AUM in stand -alone business was INR48,814 crores, up 31.4% quarter -on-quarter and higher by 98% year -on-year. Gold constitutes 87.2% of our stand -alone AUM versus 75% in the prior year.
For the quarter, our stand -alone PAT before OC I and minority interest was at INR376 crores, marginally down 1.5% sequentially and were 9.4% year-on-year. Stand -alone PAT included impact of a onetime write -off on vehicle loans amounting to INR84 crores.
For the year, our stand -alone PAT before OCI was INR1,525 crores, down 14.5% year -on-year.
Stand -alone GNPA as on 31st March 2026 was at 1.81% versus 2.61% during the previous quarter and the credit cost in the stand -alone entity for the quarter was 1.2%.
Stand -alone borrowing cost has gone down by 17 bps in Q4 FY '2 6.
Coming to the gold loan business.
During the quarter, we were able to add 3.16 lakh new customers and outstanding number of customers stood at 25.2 lakhs. Tonnage grew by 3.82 tons in Q4. Our average gold loan LTV was at 57% in Q4 FY '2 6, and the online gold loan book accounts for 92% of our total gold loan book.
Coming to the microfinance business
Some positive trends emerging in Q4. There was a growth in the MFI AUM of INR176 crores during the quarter. Disbursements closed at INR1,086 crores versus INR680 crores in the prior quarter. And the new book constitutes approximately 55% of the MFI portfolio as of March end.
Asirvad

AUMs stands at INR6,794 crores, which includes gold loan AUM of INR2,139 crores,
up 11.9% quarter -on-quarter and down by about 17% year -on-year. PAT before OCI was at
INR13 crores in Q4 FY '2 6 versus loss of INR156 crores in Q3 FY '2 6. Adjusted for one -offs,
losses were flat quarter -on-quarter. GNPA is at 4.85% with net NPA at 1.6%, down sequentially
versus the prior quarter. Asirvad CRAR currently stands at 20.2%.
Coming to the vehicle finance business.
In vehicle finance business, we have reported an AUM of INR2,991 crores, it's down 16.8%
quarter -on-quarter and 37.3% year -on-year. The focus is to strengthen collections through
several actions including having separate collections teams handling soft and hard buckets,
focus on digital reminders, improve match clearance and focus on match bounce collections to
improve current bucket resolutions.

Total GNPA showed a slight improvement sequentially. GNPA percentage AUM was at 10.4%
versus 13.7% in the prior quarter.
Loans to MSME and allied businesses stood at INR3,351 crores with a disbursement of INR254
crores in Q4, and GNPA was at 7.1% versus 6.1% in the earlier quarter.
The home loan business with a total book of INR1,852 crores was down 2.6% quarter -on-quarter
but higher year -on-year by about 1.5%.
The Board has declared an interim dividend of INR0.50 for this quarter. The company is well
capitalized with a capital adequacy ratio of 21.32%, and consolidated net worth stood at
INR16,051 crores as at March 31, 2026. Book value per share stood at INR170.9. We can now
go for the Q&A session. Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. First question
is from the line of Piran Engineer from CLSA.
Piran Engineer: My first question is for Bindu. Out of the INR215 crore s stand -alone provision, how much of
gold versus non -gold? Can you break that up, please?
Bindu A.L.: Okay. So I'll share the exact details separately, but majority of it is from non -gold only. In that,
if you see the notes to accounts almost INR136 crores is the write -off of the vehicle finance
book. So that has elevated the bad debts in this quarter.
Piran Engineer: Okay. You said INR136 crore s write -off?
Bindu A.L.: INR136 crore s.
Piran Engineer: Okay , because I think in the opening comments, I heard INR84 crore s one-time write -off or was
it INR84 crores is one -time and INR50 crores is busin ess as usual? Is that the interpretation?
Bindu A.L.: Out of INR136 crores , INR84 crores is net of provision.
Piran Engineer: Okay, okay. Net of provision. Okay, understood. Secondly, when you all disclose your gold loan
average ticket size of INR1.27 lakhs, that's on disbursements or on AUMs?
Bindu A.L.: AUMs.
Piran Engineer: AUM. Okay. Fair enough. And just thirdly, I wanted to understand this LTV thing. Now gold
prices are up 8 %- 9% Q-o-Q . Your tonnage growth is 6% - 7% Q -o-Q. So if my LTV is stable,
AUM growth should be 14% - 15% Q -o-Q, not 30%. So what am I missing here? Has the LTV
gone up? Or what's wrong in the calculation here.
Bindu A.L.: So the gold price increase is around 20% during the quarter and 8% -- 7% tonnage growth and
the total growth is 31%.
Piran Engineer: Sorry, I think from , 31st December to 31st March, you are saying 20% gold loan growth .
Bindu A.L.: Gold price.

Piran Engineer: Gold price, yes. Are you taking an average of some periods?
Bindu A.L.: This is on an actual basis. Average, the actual gold loan price has gone up by 20%.
Moderator: Next question is from the line on Zhixuan Gao from Schonfeld.
Zhixuan Gao : I just wanted to understand how should we look at profitability versus growth? Because if I look
at either Q -on-Q or year -on-year, our AUM on a stand -alone basis have grown mat

erially and
then the profit is down Q -on-Q and year -on-year. So despite a 70% year -on-year AUM growth,
our profit is down year -over-year. How should we think about, the trade -off between growth and
profitability going forward?
Bindu A.L.: If you see the P&L, the NIM improved during the quarter. But the main impact is on account of
higher provisions, especially from the non -gold portfolio. That impacts profitability. Otherwise,
if we adjust this one -time write -off, our profit would have been INR430 crores.
Zhixuan Gao: And on the Asirvad , this quarter our credit cost is almost a minimum. How should we think

about the credit cost for FY '2 7?
Management : Yes. So the credit cost has improved primarily on account of enhanced collection efficiencies, and it's also been complemented with an increase in our book. As in the opening remarks, you would have heard that the rundown is reduced from how it was going in the previous 3 quarters, last quarter will increase our book and simultaneously increase d our collection efficiencies. That way we've had our credit cost in control.
Bindu A.L.: And to add...
Zhixuan Gao: How should we think about FY '2 7? Because I don't know whether the fourth quarter credit cost is your sustainable level because it's almost close to...
Management : Yes, completely sustainable.
Zhixuan Gao: Okay. And I just want to understand, why there are positive ECL revision change in the fourth quarter for Asirvad, given that generally in the industry, we see negative ECL revision model change because of the tough enviro nment in the trailing 12 months?
Buvanesh Tharashankar: So I'll take that. So Asirvad Q4 profit of INR 13 crore I mean the provision was about , INR9 crores was largely on account of certain MTM credits that we got on the security receipts. And the change in terms of the ECL provisioning that we took on the new pool. Because the new pool is performing significantly better then our best performing cohorts that we had in our portfolio. And basically, therefore, we took a write -back on the provisions, especially on the new pool. So the impact of the MTM change and the ECL contributed to a much lower provisioning in the fourth quarter.
Zhixuan Gao: How much is the MTM change plus ECL provision altogether?
Buvanesh Tharashankar: So MTM plus the ECL change on a pretax basis is about INR128 crores. Post -tax, it would be about INR96 crores. So sequentially, if you look at quarter 3 versus quarter 4, and given that

there was some noise in Q3 as well, adjusted PAT for Asirvad Q3 versus Q4 was approximately around INR100 crores loss sequentially Q -on-Q.
Zhixuan Gao: That's very clear. And sir, just one last question on that. On the previous quarter, third quarter slide, your impairment of financial instruments or the provision cost on Asirvad was INR214 crores, sorry INR217 crores. It seems to become INR249 crores on the slide for the fourth quarter. Just want to understand the difference ?
Bindu A.L.: Yes, we will get back to you.
Zhixuan Gao: Thank you so much.
Moderator: Next question is from the line of Shreepal Doshi from Equirus Securities. Please proceed.
Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity and congrats on a good quarter. My question firstly was on the MFI portfolio. So, in that segment, what is the current bucket collection efficiency and also wanted to understand what is the ECL 1, 2, and 3? While we do give gross stage 1, 2, 3 for that franchise, but also wanted to know the ECL 1, 2, 3 percentages ?
Management: For the Stage 1, the ECL is at 1.47%. For Stage 2, it is 19.24 %. And for Stage 3, it is 68.50 %.
Shreepal Doshi: Okay, got it. And what is the current bucket collection efficiency for the franchise or for the microfinance portfolio?
Management: So, overall, for both the new book and the old book put to

gether, it stands at 95%. That's for the old and the new book put together. If you look at the new book collection efficiency alone, which in the opening remarks, it was said it was at 59%, which is the current old book, we have an astounding percentage of 99.41%, which is the collection efficiency in the new book.
Shreepal Doshi: In new book, you said it's closer to 59% of the portfolio.
Buvanesh Tharashankar: That is right. Yes, new book is 59% and old book is 41%.
Shreepal Doshi: Got it. Got it, sir. The other question, sir, was on the gold portfolio. So in that now we have this LTV monitoring as a new regulation, as a requirement of the new regulation. So what are the changes have been made to either to that guideline?
Bindu A.L.: The new regulation applicable from April 1, 2026, and we are adhering to the regulation, based on ticket size interest accrued for the contracted period will also be added. That will be the loan amount, and there are two types of loans, consumption loans and income generating. And there will be a credit assessment in case of high -value borrowers. So we have implemented this since April 1, 2026.
Shreepal Doshi: And for the customer who is highlighting that he will be making a bullet repayment. In that case, what is the LTV that we are sort of giving at the time of disbursement?

Bindu A.L.: There has been a reduction in the LTV because under the new regulation, we have to factor the interest accrued. And it is option to choose the tenure, if his preference is a better LTV, he can choose shorter tenure products also.
Shreepal Doshi: Sorry, he can choose, the last point?
Bindu A.L.: Sir, 3 -month scheme or 6 -month scheme is also available.
Shreepal Doshi: Okay. Got it. And what is the incremental yield for the gold business? Because we continue to see that the net yield for the portfolio or for the stand -alone business has been coming off. So have we further taken change in price strategy downward?
Bindu A.L.: The last quarter, there was a dip, almost 100 basis points. But with that, I think it is the bottom. And this quarter, it will be similar or slightly better.
Shreepal Doshi: All right. So incrementally, we have not taken any policy, any price strategy change, but at a book level that is where we are in terms of reductio n?
Bindu A.L.: Yes.
Shreepal Doshi: Got it. Thank you, ma'am. Thank you so much for answering my question and good luck for the next quarter.
Moderator: Thank you. Next question is from the line of Rohit Ahuja from Lotuslion Venture. Please go ahead.
Rohit Ahuja: Hi, sir. Thanks for the opportunity. Sir, could you clarify what's the quarterly profit or loss number for Asirvad?
Bindu A.L.: In Q3, Asirvad reported INR156 crore s loss and Q4 it is INR13 crore s profit. I think the onetime adjustments or bonus are already explained. The new portfolio behavior is much better and the ECL is adjusted accordingly. And there was a write -back from the ARC evaluation. So, against INR249 crores Q3 impairment of financial instruments this quarter stands at INR9 crores. So that helped us to report a profit of INR13 crores for Asirvad in Q4.
Rohit Ahuja: Okay. And if you could help us understand how much of this improvement is driven by structural factors like new book mix and collection efficiency versus any one -off reversals? How confident you are in sustaining profitability on this over the next few qu arters?
Bindu A.L.: Yes. As I explained, I'll just once again, give you a brief, I think this question will come up again. Our new book stands at 59% of our overall book and our old book is at 41%. The overall collection efficiency for the total book stands at 95%. And if I w ere to look at the old book separately and the new book separately in my ex -bucket for the old book, which is 41%. In the old book itself in ex -bucket is 98.65% . An

d in the new book, which is 59%, my ex -bucket collection efficiency stands at 99.83%.
If I were to take the overall collection efficiency from a new book, and the reason I want to talk about this new book again is because as I'm talking to you at every quarter, my increase in the

new book is going to go, such that by the beginning of the third quarter, I would have got rid of almost the entire set of old book, say, for about 10%, which might be remaining.
So from the third quarter, you're looking at an entire pristine book governed and timing with the MFIN guardrails and the collection efficiencies standing about 99.4% in the overall new book, this will reflect something similar in the entire book first 2 quarters as well.
So these are things which is going to be helping us in ensuring that our profits can be maintained, whilst ensuring that our disbursements also keep moving up. Our disbursements both in MFI and our AUM increase in gold, because that's something which we te nd to forget quite often because we have also a very good performing gold loan book in the Asirvad books. More than INR2,000 crores of my book is actually gold as well.
So those ups in my business in both gold and MFI will continue to help us in ensuring that our profits are maintained. With regards to our liquidity to ensure fund flows there because now the problem is not about building a book, the problem is also not ab out ensuring our collection efficiencies, proof of the pudding you've seen it already. Liquidity is by and large something which the industry will be talking about.
When recently announced CGFMU scheme, we have banks chasing us, asking us how much do you want us to lend to you in that particular CGFMU scheme. So at this moment, we are poised for choice. We will be choosing 2, 3 banks that we will want to ensure our li quidity is taking care of as well.
Rohit Ahuja: Sir, last follow -up on this. So, do we expect on a consolidated basis, our ROEs improving to 13% to 14% over the next 2 years?
Bindu A.L.: If you look at the way the business is going, I wouldn't be able to give you a spot-on answer for that, but the trends definitely show good results.
V.P. Nandakumar: So we are expecting the consolidated ROE to improve because gold, we are , reducing our opex .it was the last 1 year has come down by 2 percentage opex to AUM. So the borrowing costs, yes,

at this stage is, as you have heard, last quarter it has come down by 17 basis points. And so we don't expect much increase in the overall borrowing costs and the yield is expected to remain at this level of also 17.5%, - 18%.
So the NIM, we expect to be maintained at this level will definitely improve the profitability.
And gold continue to grow at more or less at the pace of better than last year now. So we expect to stabilize somewhere around 13% to 16% in the next 1 or 2 years' time.
Moderator: Next question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: Sir, any thoughts or any steps taken to pull back the gold loan yield because I think we have seen a consistent fall in this quarter also we saw further fall. So have we taken any corrective actions in terms of slightly adjusting pricing from March, April onwards? And second is the mix of the gold loa n book in terms of ticket size.

Can we control the mix so that we don't have further dilution of the yield? Can we have that control over how the incremental growth will compound in terms of the ticket size mix? So I'm just wanted to understand how the yield will play out based on the action that you're taking on the ground?
V.P. Nandakumar: We expect the yield to remain between the 17.5% - 18%. We believe that it will not go down. So the strategies are taken, shaped in such a way to maintain at this level. It will no

t go down.
Rajiv Mehta: Because you are getting a lot of growth from the higher ticket sizes at the lower rate. So if you don't control that growth on the ground or if you don't rate increase the rate, how would the yield stay at the current level?
V.P. Nandakumar: We are targeting the lower ticket size also, so it is improving. So the trends are even in the coming quarters, we'll see that trend redeems at this level. And what I can tell you what our expectation is the yield to somewhere stabilizing between the 17.5 % to 18%.
Rajiv Mehta: And on the asset quality in the non -gold businesses, just wanted to understand where are we in terms of the cleanup cycle? And are we seeing structural improvements ,especially in the vehicle finance book, if I were to remove the write -off of INR136 crores and still there the reduction of gross NPA.
So I mean, so can you just give some color about over and above write -off the NPA reduction that you have seen? Have you taken control of NPA resolution? Have the flows stopped in the intermediate buckets into NPA ? Can you give that confidence?
And second is also in case of housing, we have seen a reduction in NPAs. Is there any structural factor there? And third is MSME and allied portfolios, we've seen an NPA increase. So how are we controlling the situation there? And would you need to do some write -off 1x in the coming quarters in MSME and allied portfolio just like what we did in vehicle finance in this quarter?
Buvanesh Tharashankar: I'll take that. So as far as vehicles are concerned, we have taken the 1x write -off in this quarter. There are a number of steps that we have taken in the vehicle finance business in terms of focusing on collections. So one is in terms of the enhancements of the teams in to soft bucket and hard bucket.
There is -- as I covered earlier also, there is a lot of focus on the digital route, especially on the follow -ups on the match collections and in terms of focus on the match bounce cases. So there's a lot of focus around that. Due to all these actions, whi ch were initiated sometime in Q3 of last year, we've seen a sustained improved trend. We see both in terms of the collection efficiencies and the collections on the match bounce cases going u p from 75% to 90%.
So overall, as you've said, adjusting for the write -off also, there is a marginal decline as far as the GNPA is concerned by about INR51 crores. So as far as flow into NPA is concerned, what we have observed in the last few months is broadly flat. Our NPA, GNPA is broadly flat in terms of the overall stock.

Yes, from a percentage standpoint, obviously, there is amplification because my overall AUM is coming down. But the stock of NPA is essentially flat. There are further actions that we will take and that will kind of play itself out in the coming quarters. So that's as far as the vehicle finance is concerned. On the home portfolio, Rakesh?
Rakesh Sharma: We continue to monitor the portfolio closely leveraging on early warning systems, data analytics. We have identified stress accounts sooner, and we are taking corrective steps to curtail that. We have intensified recovery efforts through dedicated team. We have also hired collection agencies in few locations and faster legal escalation, structured 1x settlement in difficult

accounts wherever it's appropriate. We expect slippages to moderate over coming quarters with a gradual improvement in overall efficien cy and asset quality.
Rajiv Mehta: Similar action in allied portfolio?
Buvanesh Tharashankar: So on the MSME and allied portfolio also, similar kind of actions are being initiated. We will see the results, the improvement in the numbers in the subsequent quarters. Again, in terms of enhanced collections team, there's a lot of focus in the non -gold portfolio with regards to the enhancement of the collection

team and leveraging of the digital means to improve connection efficiencies. But the trends will play out. Early reads on these trends are very encouraging. They're moving in the right direction. So we will see sequential improvement as we see in the coming quarters.
Rajiv Mehta: So then, I mean, if I were to look at this quarter's absolute credit cost, I mean, you had a benefit and you had a one time impact of INR84 crores because of the write -off in the vehicle finance portfolio. But you also have the benefit of as a write -backs and some other kind of write -backs in the Asirvad portfolio, which is about INR120 -odd crores.
But if I were to eliminate both, then would it mean that the current run rate of credit cost should be maintained, right, in Q1, Q2? And then of course, the growth of the book will obviously have its impact. But otherwise, it's a collection and recovery effort basis, the current run rate of credit costs should be maintained.
V.P. Nandakumar: See, the way I would look at it, I mean, it depends on whether yo u're looking at consol or stand alone MAFIL …
Rajiv Mehta: No, consol net it of a number, yes, of all the one-offs.
V.P. Nandakumar: I think for Q4 consol number if you look at yes, there were credit costs that we got on the Asirvad side. Offset by the build on the onetime write -off on the vehicle finance, largely cancelled out each other. So if you were to back out these 2 elements, adjusted PAT, we still had an improvement in our adjusted PAT by approximately INR50 crores quarter -on-quarte r. And that was largely on account of the volume growth that we saw on MAFIL volume.
Coming quarters one thing, what as Manoj had just alluded on in terms of the improved numbers and the change in the portfolio mix on old versus new on MAFIL. We will see continued improvement on the Asirvad portfolio. And we will see continued improvement in the non -gold portfolios as well. So overall, if you see sequentially, I think the cost of credit we will see an

improvement in the subsequent quarters. And that will basically help in terms of accretion as far as PAT is concerned.
Moderator: Next question is from the line of Kamal from Jeffries.
Kamal : I just wanted to confirm that, is there any restatement done in the interest income line? Because if I'm comparing the same with release of December, I can see some INR100 crore s restatement done for Q3. So could you please advise on the same?
V.P. Nandakumar: Bindu?
Bindu A.L.: So you're talking about the consol financials?
Kamal: Yes, consol financials. So in the Q4 release, I'm able to see the interest income as INR2,304 crores. But in the last quarter's release, it's roughly INR2,244 crores. So there is some difference which I'm able to see. So is there some restatement being done?
Bindu A.L.: Yes. I will share the exact details offline, but there is some regrouping.
Kamal: Okay. And secondly, if you could just guide on the overall consol AUM growth, which we are planning for FY '2 7. And how much would be driven by different segments like how much should we expect from gold loan? And how should we see the Asirvad AUM growth for FY '2 7?
V.P. Nandakumar: We are seeing good opportunities to grow gold loan because now with the new regulation, 2 types of products, consumption loan as well as income generating gold loan. Income generating gold loans are targeted towards MSMEs etcetera. Which give a good opportunity where there is no LTV cap for good customers with good underwriting, higher score etcetera , certain underwriting score etcetera .
We'll be able to offer slightly higher LTV. Another scope for this year would be to expand our branch network. We planned because recently the regulation has removed the requirement of prior approval for regulatory approval for opening new branches that ha s been removed now. So we plan to open

some 500 to 550 branches in gold loan during this year. So that's how places have been identified where the group prospects are good.
So this also will be a boost for the gold loan growth. Regarding our other portfolios already the CEO has already explained the growth in the microfinance already it has been mentioned by Manoj. The quality disbursals with guardrails, it is steadily improving. Where the asset quality

collection for this new book is steadily increasing, which has come to now 59% in another 1 quarter.

Manoj's expe ctation is that frankly is 75%. In that the collection efficiency stands above 99% and hope to maintain that with the guardrails, etcetera . There's definitely new scope for improving that. As Rakesh also said, some actions have taken for shifting from the micro home to the larger ticket affordable housing.

The teams have been onboard ed for businesses with the shift in the focus area of lending, where the asset quality suspected to be good . So with all these, we expect the overall consol AUM to

grow at a reasonably good level. We expect that to be maintained more than during the current year with regard to volume. That is our expectation.

Kamal: I'll take the details of the restatement offline, from you.

Bindu A.L.: Sure.

Moderator: Next question is from the line of Hardik Dara from Growmore Credit Advisors.

Hardik Dara : Just wanted to understand going forward guidance in terms of AUM growth, AUM mix? And what are the ROA. ROA profiles that we are targeting for the next 2 years?

V.P. Nandakumar: So that is already a step forward, with the opportunities with our new gold lending norms, etcetera , new products are coming in. So we will place our products. We are opening new branches also. About microfinance also , the asset quality is steadily improving. Their gold loan portfolio is also improving. We are also targeting more and more quality. Similarly, with the product shift, etcetera , home finance also is suspected to fare well.

So as I said, this year's volume growth in gold loan growth is expected to be more than what we have achieved during last year. And for other products also as our new phase has come new leadership has taken the charge. So who have the expertise for quite a long number of years in leading large companies, etcetera . So we expect that growth to be good. We don't give any number, but we expect that to be good.

Hardik Dara: And sir, any number for the FY '2 8 ROA, ROE that we are targeting?

V.P. Nandakumar: We are targeting over 15% for ROE .

Moderator: Next question is from the line of Prithviraj Patil from Investec .

Prithviraj Patil: I just had one question. I just wanted to know the Auction number for this particular quarter?

V.P. Nandakumar: About INR29 crores.

Bindu A.L.: INR15 crores during the quarter.

Moderator: Next question is from the line of Agam from Aagam Investments

Agam : Sir, you mentioned 1 point that new leadership has come in, so can you talk about that? Which areas as we have new persons have come in? And also, the second question is on the status of Deepak Reddy. is planning to join in earlier? Or how is it if you can just on that also, so two things?

V.P. Nandakumar: Deepak Reddy is under going treatment in Singapore. So yes, we are not sure when he will join, but his health is improving. But we are not able to say when the exact time of his joining. So , regarding the leadership team, new leadership, etcetera, in Microfinance, Manoj Pasangha has taken the charge as the CEO.

Similarly in Home Finance Mr. Rakesh Sharma has taken the charge. So , they have long experience in running large portfolios, etcetera. The actions taken by Manoj is the positive results are already evident. And he has taken the charge three months back. In the next 1 y

ear,

you can expect dramatic change, similarly –Rakesh Sharma in leading Manappuram Home Finance.

Agam: Okay. And anyone else? Are we also considering if Deepak Reddy ’s replacement if his joining will be delayed further ?

V.P. Nandakumar: At the Group level, Buvanesh has joined as a Group CFO. Similarly, Ashish has joined as the Group CCO. There is a Sanjay Nambiar as the Group Legal Counsel. Then Srikanth as the COO.

And we expect some more leadership to join for the positions of H ead of Internal Audi t and Head of Risk, etcetera. Collection Head has joined in Manappuram Home Finance. And CTO also have joined. So , these are all senior leadership who has proven their terminal capabilities, leadership in their previous organizations.

Agam: Okay. And just last question. If Deepak Reddy appointment gets comeback gets delayed, so are we looking at anyone else fulfilling the role or something like that? Just to break it through.

V.P. Nandakumar: No, we will wait for his return and see his health is improving. And also, he will be able to take up the charge. We are hopeful that he'll be in the healthy situation to take the charge of the company.

Moderator: Thank you. Next question is from the line of Yash B handari from Neo Markets. The line from the current question er have got disconnected. Ladies and gentlemen, with that, we will end the question -and-answer session. I now hand the conference over to the management for the closing comments.

V. P. Nandakumar: Thank you for your questions. I hope we have answered your questions. If any clarification, any details required, so we are available. Thank you.

Moderator : Thank you sir. On behalf of Manappuram Finance and Motilal Oswal Financial Services Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.